

BSE Ltd. (BSE)

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Call: Aug 2022

For BSE Limited

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Vishal Bhat *

BSE Limited (Formerly Bombay Stock Exchange Ltd.)

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Corporate Identity Number „1.67-120MH2005PLC155188 SSE EXPERIENCE THE NEW

BSE - PUBLIC

August 10, 2022

To,

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1

G Block, Bandra-Kurla Complex, Bandra (E)

Mumbai - 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015

Sub: Transcript of the Conference Call held on August 3, 2022

Dear Madam/Sir,

With reference to our letter dated July 29, 2022, intimating you about the conference call with Analysts/Investors held on August 3, 2022, please find attached the transcript of the aforesaid conference call.

The above information will also be available on the website of the Company:

www.bseindia.com .

This is for your information & record.

Company Secretary and Compliance Officer

Encl.: a/a

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BSE LIMITED

Q1 FY 2 2-23 Earnings Conference Call

August 3, 2022

BSE LIMITED

25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:

Ladies and gentlemen, good day and welcome to the BSE Limited Q1 FY 2023 Earnings Conference Call. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman , Head of Investor Relations, BSE. Thank you and over to you sir.

Anand Sethurama n

Thank you. Good evening, everyone, this is Anand from BSE Investor Relations . Welcome to our Earnings Call to discuss Q1 FY 2023 results . Joining us today on this Earnings Call is BSE's leadership team consisting of Mr. Nayan Mehta – Chief Financial Offi cer, Mr. Neeraj Kulshrestha – Chief Regulatory Officer , Mr. Sameer Patil – Chief Business Officer, Mr. Girish Joshi – Chief Trading Operations and Listing Sales and Mr. Kersi Tavadia – Chief Information Officer. Do note that this conference is being recorded and a transcript of this call will be made available in the BSE website.

Before we get started, I would like to take this opportunity to remind you that our remarks today will include forward looking statement actual results may differ materially from those contemplated by these forward -looking statements. Any forward -looking that we make today on this call are based on assumptions as of today and BSE assumes no obligation to update the statement as a result of new information of future results.

I now request, Mr. Nayan Mehta, the Chief Financial Officer of BSE to give a brief overview of the Companies Financial and Business performance. Do note that the session will conclude with a Q&A session. Thank you.

Nayan Mehta

Thank you, Anand . Good evening, everyone, and thanks for joining the call today. I hope all of you

and your loved ones are safe and keeping well. Before I start with the update, I am glad to say that BSE continued to function normally without any interruptions or glitches and has been able to improve its financial performance.

I am happy to inform you, that despite the down trending market BSE Group delivered a stable financial performance with total revenue of Rs. 198 crores for Q1 FY 2023, a growth of 6.4% as compared to corresponding quarter last year. I will start with the gross financial results for the

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BSE - PUBLIC quarter ended June 30, 2022. BSE's operational revenues have grown by 19% to Rs. 187 crores from Rs. 157 crores in the corresponding quarter previous year. BSE net profit attributable to shareholders of the company stands at Rs. 44 crores as compared to Rs. 53.4 crores in the corresponding quarter previous year. The decline is as a result of fall in investment income and slowdown in transaction-based income.

I would now share some of key financial number on the consolidated basis for the quarter ended June 30, 2022, as compared to corresponding previous year. The clearance and settlement operational revenues increased by 98% to Rs. 17.1 crores from Rs. 8.63 crores. The treasury income from Clearing and Settlement Funds have increased by 85% to Rs. 18.7 crores from Rs. 10.2 crores. The listing related income increased by 15% to Rs. 57.7 crores from Rs. 50.1 crores. Book Building Fees increased by 62% to Rs. 13.7 crores from Rs. 8.5 crores. The operating EBITDA has increased to Rs. 49.8 crores from Rs. 41.3 crores with operating EBITDA margin increasing to 27% from 26%. The net profit margin stands at 20% as against 28% earlier.

On the business side, let me start by covering our primary market segment. Funds raised by India Inc continues to be buoyant and BSE platform continue to remain the preferred choice by Indian companies to raise capital. The BSE Bond platform has enabled issuers to

raise Rs. 3.1 lakh crores

through issue of bonds, commercial papers, Municipal bonds, InVITs etc. You may note that BSE had raised its listing fee w.e.f. April 1st, 2022, which has resulted in slight uptake in the listing related income for the quarter. The total number of investors registered with BSE now stands at over 11 crores.

Let me now update you on BSE SME segment. I am happy to inform you that BSE has completed 10 years of operationalizing India's first SME exchange. BSE endeavours to support the SME and the startups in India and has seen its listing 10 companies on its SME platform during the quarter ending June 30th, 2022, taking the number of companies on SME platform to 377 and 14 odd startup platforms. This 377 SMEs have raised Rs. 4,011 crores and 14 startups raised Rs. 61 crores via BSE platform with a market value of Rs. 47,929 crores and Rs. 588 crores respectively as on June 30th, 2022. BSE market share in SME segment stands at 60%.

FY 2022 was the year in which capital market performed better than most other industries. It is in the context of such adjusted expectations that BSE's first quarter may have seen unspectacular and yet it provided business growth well above the long-term mean. Facing the challenges of the volatile market environment BSE's performance in trading segment were muted but mutual fund and insurance segment demonstrated strong growth.

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BSE - PUBLIC For the quarter ended June 30, 2022, BSE's average daily turnover in equity segment stands at Rs. 4,057 crores. In the Equity Derivative segment, the average daily turnover stands at Rs. 1.2 lakh crores. In the Currency Derivative segment, the average daily turnover increased by 4% to Rs. 24,567 crores as compared to corresponding quarter last year.

For electronic gold receipts or EGR, BSE continues to engage with its Regulator - SEBI for the final Regulatory Approval as a new segment which enable the trading of spot gold in India. We are confident that we will be able to launch it in this financial year subject to requisite approval. Our business team are reaching out to market participants including banks, vaults, wholesalers, retailers, importers, exporters etc. who would participate in the ecosystem.

I shall now discuss our Mutual Fund Distribution platform. BSE StAR MF India's largest mutual fund distribution platform continues to grow at remarkable pace with the total number transactions growing by 68% to reach 5.9 crore transactions during the quarter from 3.5 crore transactions in the same period last year. BSE StAR MF platform continues to scale new peaks in terms of single day transaction with the platform processing a high of 30.46 lakh transactions on July 11, 2022, outdoing its previous best single day record of 30.11 lakhs transactions.

I shall cover developments at our subsidiary company now. BSE promoted International Exchange at Gift City, Gandhinagar. India INX has been growing exponentially ever since it commenced trading activities on January 16, 2017, with average daily turnover of USD 9.9 billion and a market share of 92.2% for the quarter ended June 30, 2022. India INX has about USD 70 billion medium term note established and about 50 billion of bond listing till date. Owing to investment by certain strategic and financial investors BSE stakes in India INX stands at 61.93%

and 59.2% in India International Clearing Corporation as on June 30, 2022.

As mentioned in our previous earnings update India INX and India ICC hold 10% each in India International Bullion Holding IFSC A Limited for setting up and operationalizing the International Bullion Exchange. As you may be aware, the India International Bullion Exchange was launched by Hon'ble Prime Minister Shri Narendra Modi on July 29, 2022. BSE's fully owned subsidiary BSE Technology is the technology solution provider for the International Bullion Exchange at Gift City. The

same technology shall be used for BSE's Electronic Gold Receipt Trading Segment.

On the Insurance distribution front BSE Ebix Insurance Broking where BSE holds the 40% stake through its subsidiary BSE Investments Limited it has now integrated with 23 insurance companies. The total premium collected is Rs. 8.1 crore for the quarter ended June 2022, a growth 188% from the same period last year.

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BSE - PUBLIC BSE E -Agricultural Market Limited, a transparent commodity spot trading platform to facilitate spot commodities trading across value chain has enrolled 926 members and executed trades worth Rs. 17 crores in agri and steel segment on the platform during the quarter ended June 30, 2022. The company is working closely with government and government enterprises to announce the efficiency of procurement and sale of commodities.

I am also happy to inform you that Hindustan Power Exchange where BSE has a stake of 22.61%, through its fully owned subsidiary BSE Investments, has commenced operation with contingency market segments Intra-day and Day-ahead Contingency on July 6, 2022. Subsequently, three new segments, Day-Ahead market, Real-Time Market and Green-Day-Ahead Market have been launched. As on August 1, the cumulative trading volume at the exchange stands at about 235 million units since commencement achieving an average market share of over 20% in the contingency market.

As updated in our earlier call SEBI has recorded its in-principle approval to BSE Technology, a fully owned subsidiary of BSE for setting up Know Your Client Registration Agency KYC KRA and Trade Receivable Discounting System, TReDS platform. The final approval is awaited. There is no additional capital infusion required from BSE for these businesses.

With these updates, I now handover the call to Anand.

Anand Sethuraman

With this overview, let me now once again welcome you all invite you all to participate in the Q&A session. Thank you so much. Over to you Aman.

Moderator

Thank you very much. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Santosh Kumar Keshri from Keshri Wealth. Please go ahead, sir.

Santosh Keshri

I have two questions; one is about the increasing other expenses that we have seen from Rs. 40 crores of First quarter 2021-2022 to Rs. 50 crores now and it is a decrease from quarter four of 2022, but year-on-year its increase of almost 25%. So that is my first question, what could be the reason behind it, are you investing in technology and that has been installed or there is something more here.

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BSE - PUBLIC Nayan Mehta

Yes, the increase which you see in our results that is increased from 40 crores to 50 crores from June 21 quarter to June 22 quarter, one of the main reasons for the increase is, the clearing of expenses, which BSE have to pay to NSE clearing. After interoperability, this clearing house expenses have been applicable to both the exchanges depending on the transactions which are settled at other the Clearing Corporation. So, BSE's Clearing House expenses, beg your pardon, more or less they are same.

Basically, the expenses is contribution to Core SGF, last quarter in June 2021, the contribution to Core SGF was nil and against that we have got 2.26 crores contribution in the current quarter. Last year, because of COVID, we had provided lot of receivables and based on the recovery, we had to reverse those receivables. So, in June 2021 quarter, there was a reversal of the provisions made to the extent of Rs. 4.65 crores and that has got significantly offset in the current quarter. The current quarter our provision is just negative Rs. 1.38 crores because of the reversal of the excess provisions put in early quarter. So, what happens is that our provisions are required to be made on expected credit loss basis which is a standard proc

ess based on the number of days delay in receiving our dues and because of COVID in the last two years there was some delay in receiving our dues, but we got back the dues and that is why the provisions which we had made earlier had to be reversed. These are the main two reasons due which our increase has been noticed.

Santosh Kes hri

So just one thing here, so the reversal of expense s in quarter one of 2022 should be leading to reduction of the expense rather than increase the re, right? Because as you are saying there was a provision made earlier, now that provision is getting reversed.

Nayan Mehta

Yes.

Santosh Kes hri

Should not that be a reason for decrease in expense rather than increase.

Nayan Mehta

No, it is like this, last time our reversal was much higher, it was Rs. 4.6 crores, right? So that is why our total expenses were lower to that exten t and this time the reversal is lower by 3 crores. So that is the reason this 3 crores increase is coming on account of the provisio nal factor.

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Santosh Kes hri

Second question is, regarding the investment income which is now is 6 crores one -and-half compared to June 2022 quarter. So does it mean that there is an MTM. So, if that is so then what is amount of MTM that is recorded in this quarter?

Nayan Mehta

This is obviously MTM and what has happened is that in the earlier year when the yields were actually stagnant and going down and at time obviously because we had got the MTM benefits in our favour and in this current quarter. There was certain two policy announcement followed by another monetary policy. Because of this the entire market was taken by surprise and you would notice that most of the companies who have got big treasuries , have got hurt with this process. So that is why our overall mark to market differen ce was Rs.17 cr ores on quarter -on-quarter basis and also on a year -on-year basis and further actual MTM for the quarter was about Rs.8 crores.

Moderator

Thank you. We have the next question from the line Pranav Thakkar as an individual investor.

Please go ahead.

Pranav T akkar:

My question is related to StAR MF. The presentation which we have seen in previous financial results. So, request that you try to make it little bit more explanatory in terms where exactly its going and with reference to previous discussions that ma nagement is actively looking dives tment of some of the stake in StAR MF and also the divestment with reference to the recent news where LIC has shown interest to buy some stake in ICC and also INX. So, if you can share views and what are updates there?

Nayan Mehta

As far as your mutual fund thing goes our presentation is old as the same which we have been giving all throughout. We will have to, just let us know what your expectation is , which is different from what we have been providing till date. As fa r as the LIC investment in India ICC, INX goes, so obviously that is subject to approval from Regulatory Authority and once that approval comes through obviously appropriate action will be taken. The other question was regarding Strategic Investors for StA R MF. This obviously, if there is any strategic interest which is conveyed to us obviously, we are open to examining various options and possibilities but obviously that will depend on various factors. So let see when it comes, we will see.

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Pranav Takkar

The follow up on this INX is that recently there was some announcement or a news that there could be one exchange at IF SC and there cannot be two exchanges so that it helps India to compete it with foreign exchanges in a better way. So, in that case also t his LIC process will go on or it will be put on hold or how exactly it works because I think both of the things might be on the table right now.

Nayan Mehta

As of now, we are also aware of that news item but as far as we concern ed it is total speculativ

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as on date and we are not aware of any formal proposal or any proposal anywhere.

Pranav Takkar

Because in that case if that happens there could be all together a different holding. So, I was just wondering how it works in favour of BSE.

Nayan Mehta

It is anybody's guess we cannot comment on that.

Moderator

Thank you. We have the next question from Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain

Yes, sorry I joined in a bit late but if you comment on you have launched electricity at the Power Exchange. So how do you see the things ramping up there. That would be my first question and secondly on the Gold EGR on the status when do you see the launch of that product happening.

Nayan Mehta

In my speech, I had already informed that the power exchange has been launched on July 6th 2022 and we have started with the contingency market segments HRD contingency and obviously we have been very happy with how we have been able to get the market share. We have got about 20% market share in that contingency market with a total trading of about 235 million units in the last one month. So now even in the last week of July, we also launched, Day -Ahead Market segment, Real -Time -Market segment and Green -Day-Ahead Market. So that is also launched. So now we are in good step there and we will wait and see how this business unfolds for us. And I will request Mr. Sameer Patil to comment on the EGR point when they will be launched and about it.

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Sameer Patil

Hello this is Sameer Patil here. We had applied to SEBI, we got the in-principle approvals. We have already got a technology up and running for it and we await final approval from SEBI to launch the EGR at the segment.

Prayesh Jain

Just on the electricity futures question again, when we did some 400 million plus units last month what was the revenue you would have earned?

Nayan Mehta: Obviously, it is too early. Right now, whatever is being charged is being given as discount currently as a promotional discount. So, we will see what business we can start and when they can start charging.

Prayesh Jain

And actually, I think you have addressed in the opening remarks but what is the timeline for the new CEO?

Neeraj Kulshrestha

I am the Regulatory Officer; we cannot really comment on that. This is essentially these decisions are, there is a process which goes on as far as all this is concerned. So as when the announcement is there, I am sure it will be very widely reported.

Moderator

Thank you. Our next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal

Good everyone and thank you for the opportunity. So, continuing with what Prayesh was asking where exactly are we in the process of appointing the new CEO and MD?

Nayan Mehta

Devesh, that is what our CRO just informed that it is in the process and obviously we would not be aware.

Neeraj Kulshrestha

And in this process as you must be already aware there is detail media announcement etc. which are done. So, everything as per requirements of SEBI will take place, and as when it is announced

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BSE - PUBLIC it will be very widely reported. You must also understand that as in exchange, we function very stably, and which is what will be reflected in general. So, these things will happen and let us not be worried about this.

Devesh Agarwal

Sir talking about the realizations, I see that in the non-exclusive equity segment there has been some decline in the realization, why is that so?

Nayan Mehta

You are talking about equity segment, Devesh?

Devesh Agarwal

Equity non-exclusive.

Nayan Mehta

That is one more thing we are calculating this. We are calculating the direct charges based on the non-exclusive segment . But in the last quarter , there was some money which had come to us under the trading income towards offer to buy . That was more Rs.

1 crores which is not required
in the current quarter.

Devesh Agarwal

Sorry sir what was this Rs.1crore?

Nayan Mehta

There is an offer to buy segment which we have, offer to buy , and in this offer to buy segment what happens is that we do get transaction charges for the amount transactions which are happening. So, that has got decreased in the current quarter and it generally erratic . It is not regular.

Devesh Agarwal

Okay, so this Rs.1 crore we had received in Q4 FY 2022.

Nayan Mehta

Yes.

Devesh Agarwal

Even on the mutual fund side if you see despite having higher volumes our revenues are flat on quarter -on-quarter basis again implying that there is decline in realization. Is there any change in the agreements with AMCs?

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Nayan Mehta

No there is no change in agreements with AMCs. There has been a decline in realization because as we are aware, we have spoken in earlier discussions also that we have a credit structure. As we had been speaking in earlier calls also , that as our volumes increase the realization would marginally go down and that is what has happened in the current quarter also. So that is the part of the process . So, I admit that is something which has happened in this quarter also.

Devesh Agarwal

Okay realizations are expected to further decline with the increase in the volumes.

Nayan Mehta

They will go up to a particular, they will tend to go a particular level when we achieve a baseline type of final effect . We would probably tend towards Rs. 3. Right now, we are at 3.05 for this quarter.

Devesh Agarwal

Okay, any numbers that you can share on the, what could be the floor?

Nayan Mehta

As I told you, that our revenues derivation is Rs. 3.05 paisa for this quarter.

Devesh Mehta

And sir on the cost again we see there is a sharp increase on the computer technology cost. So is there any one-offs or this would be the new run rate that we should assume.

Nayan Mehta

In technology costs , what you have seen has increased would more or less be the same. If our CIO is there, would you like to comment on this? Okay anyway . So, it is like this that the cost is expected to the same because the AMC cost have increased, we have set up a new lease lines for the members. So, obviously some capital expenditure is also happening , which is resulting in corresponding operational expenses.

Devesh Mehta

Sir, if you see the minority shareholders' interest, we see that the losses have been kind of continuously increasing from Rs. 1.5 crores to Rs. 4 crores. So are this pertaining to Gift City operations, or these are something else.

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Nayan Mehta

This is do with other beneficial market, then BASL, BSE Administration, then BSE Ebix all these spaces, we are actually now increasing our operations across board in all these companies. So, we have recruited a CEO in BSE Ebix also. In BSE agriculture markets also, the operations are being totally now moving at a fast pace . So that is the reason why seeing this type of incremental minority in expenses increased.

Devesh Mehta

Okay, so last one in security services, we see these other securities revenues have increases by

almost 60% to Rs. 25 crores . Again it is a very strong growth that we are seeing, so what has been driving this and is it sustainable.

Nayan Mehta

Just come again Devesh, where are we in this one?

Devesh Mehta

Within security services, you have a break -up where you give revenues for other securities revenue that has gone up by 60% to Rs. 25 crores.

Nayan Mehta

Yes, here what happens is a part of the technical costs, our technology cost, is towards the infrastructure which we provide toward to our trading members, leased line and all those things , as well as certain equipment sometimes . This cost are recovered as Other Operational Recovery and they are accounted in the Other Security Services because th

ey are a part of our core business

income. So that is one of the main reasons why our income has actually increased. So, there will be corresponding increase in our technology cost also.

Devesh Mehta

Okay and these are sir, one time or this will be?

Nayan Mehta

So, both will continue parallelly. The technology cost also will stay at little elevated level and the security service income will also remain at an elevated level.

Moderator

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BSE - PUBLIC Thank you, the next question is from the line of Amit Chandra, from HDFC Securities. Please go ahead.

Amit Chandra

My simple question is that now we have a lot of initiatives which are at initial phase and in terms of the expenses that will incur at combo level which is around Rs. 137 crores. If you can provide some sense out of that how much would be pertaining to newer initiatives versus the old traditional business, that is one and also in terms of our newer initiatives which once now you see to generate like revenue in the next one year?

Nayan Mehta

As far as, the way we work is mostly that unless we have got some new companies which are separately setting up their balance sheets and P&L. All other initiatives which BSE works on that gets absorbed in the normal costs. So generally, what happens is that whenever we are doing newer initiatives, our existing team only is simply working on those new projects. As such we do not have any break -up of those type of costs. So, they generally get absorbed in our total costing and rest all is reflected in the minority interest. So that gives a pretty good idea on the position of losses which we are incurring .

Amit Chandra

Ok I was referring to more towards the initiatives which are now like 2 -3 years old specially on the commodity side. So, we have started but are not able to gain any significant share especially now the share has declined to a very small number and also in terms of the market share in derivatives, initially we gained some traction there but again despite spending on LES and other initiatives. Now that the market share has again come down. So, in terms of the accountability of those spends whether they are generating revenue or not how you are judging internally to initiatives spends on these new arrivals. So, what is the interim mechanism for this, I wanted to understand that.

Sameer Patil

So as far as the spend is concern, they are not significant spends and looking at two segments, the equity derivatives, and the commodities. Commodities just launched three years back and see the idea is to keep on launching new products as you never know what could be successful and what would be the flagship contract for the exchange but newer initiatives in your contract and the idea is to get the right kind of market participants , stakeholders to come on the exchange platform and to create some serious amount of liquidity . Eventually revenues will be charged as when

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BSE - PUBLIC there will be serious amount of liquidity, but just to remind you, we started three years and 2.5 years was during the COVID period . There was restricted movement of not only the team but also the participants across the nation. So that also has to be counted. Second as far as derivatives are concerned, yes, we had some market share but as you know this is also catch -up game, the market also has to support a bit. We have seen the last quarter how the market can perform. So, but nevertheless this quarter onwards we see some growth there as well.

Amit Chandra

And also, the transaction charges last year it was mostly supported by the special rate and there was huge growth in that which is now like coming on so how do we see that, and I know that is not in your control but that is a significant risk to the transaction charges because in a market which is not doing well there is risk of this going off. So how do you account for that and also in terms of

the BSE StAR MF as you said the realization will actually fall off now that they increase in volumes. So, what kind of arrangement we have with the mutual funds. And in terms of the slabs, if you could give some more colour on how the slabs function?

Nayan Mehta

So, your first question on revenue getting affected by decrease in turnover in the exclusive segment. Yes, it is a fact this is our business. So, in this business the characteristic of this business is that because we charge significantly higher transaction charges in the exclusive segment. So, if there is a decrease in turnover in that segment and which has decreased because when the markets are doing good the volume increases in this segment more than proportionately and when the markets are not doing so good. They also tend to decrease, this is a volatile segment for us and to that extent, we are susceptible to volatility in our transaction charges income. The second point which you were saying, see as we increase our total transaction charges what happens is that that the total amount which we recover from the AMC they are subject to reduction on a graded basis. So that is why as our transactions go up the average realization tends to fall. So last quarter it was 3.17 and this time it was 3.05. The thing is that it cannot go on forever at some point in time it will tend to plateau down and that would probably be somewhere less than 3 definitely but it will not go down like this for ever. The way we see it is like this that we have to continue to grow the transaction in mutual fund segment and that is what is going to deliver the expectations of our stakeholders.

Amit Chandra

So, what I was referring to is that StAR MF we started with Rs. 7 realization and when down to Rs. 3 and every time there is an increase in volume, we see a drop in realization. So, what I mean

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BSE - PUBLIC is that whether the contract with the mutual funds is on a yearly basis or every quarter, like you sit and negotiate on the rates.

Nayan Mehta

No there is no negotiation on rate. The rates have not changed after negotiation with them and comparing the current rates with Rs.7 is not actually correct because the rates which were set earlier were prior to negotiation and those were the basis for which the negotiation started. So, when we sit on negotiation table, we cannot start with a low figure. So had to start charging something which is beyond what they are willing to pay and then only we arrive at a figure which the other party is willing to pay and which we are willing to accept. So, I think it is unfair to compare Rs. 7 what is better rate is around Rs. 3.25 and which has been consistent, since the negotiation ended two years back, we have been having it as the same rate.

Moderator

Thank you. Our next question is from the line of Soham Jhaveri as an individual investor. Please go ahead.

Soham Jhaveri

I had a couple of questions. The first one is that over the past couple of years, we noticed the decline in the market share and the currency derivative segment and before interoperability got implemented, BSE had a significant market share of almost 40% -50%. So, we ideally thought that the market would have actually gone up post the implementation, but we have actually seen a decline ever since it has been implemented. So, what could be the reason for this.

Sameer Patil

So, whenever there is new addition or deletion of regulations in the system, you see the effect on the system. But if you look at the actual numbers, our average daily turnover has increased on the currency derivatives. We have seen, as far as interoperability is concerned, you are right that it would have helped, but nevertheless the system, the third-party vendors take some time to adjust and go live. So, there were some issues initially, and over a period of time it has been resolved and we now hope for the best.

Soham Jhaveri

And my second question is it is actually regarding the CEO and MD, that is there some sort of non-compete or a cool off period in the agreement in the employment agreement between the Exchange and the new CEO, there is no such thing in the agreement?

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BSE - PUBLIC Nayan Mehta

Your question is not relevant now.

Neeraj Kulshrestha

The fact is that we follow Securities Contracts regulations to the tee , and this is everything what has happen is that which has happened in accordance with those regulations .

Moderator

Thank you. We just have one question that has come up it is from the line of Pankaj Rawal from Ace Lansdowne Investments. Please go ahead.

Pankaj Rawal

Sir my question is what will be E BITDA o r PAT margin you must be making of StAR MF strategy?

Nayan Mehta

See StAR MF , we have told in earlier occasion also that in the StAR MF about one -third of the total revenue is the net profit at our end. And that is only an estimate because the operations are very intermingled, and we do not have separate balance sheet for the same.

Moderator

Thank you. Ladies and gentlemen that would be our last question for today. I now hand the conference over to Mr. Anand Sethuraman for closing comments. Thank you and over to you.

Anand Sethuraman

Thank you, Aman . Thank you so much everyone for j oining us. If you have any further question s, you can please email us , and then we will be happy to engage with you. Thank you so much.

Moderator

Thank you. Ladies and gentlemen on behalf of BSE Limited . That concludes this conference. Thank you all for jo ining us and you may now disconnect your lines.

Call: Nov 2022

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November 10, 2022

To,
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on November 7, 2022

Dear Madam/Sir,

With reference to our letter dated October 31, 2022, intimating you about the conference call with Analysts/Investors held on November 7, 2022, please find attached the transcript of the aforesaid conference call.

The above information will also be available on the website of the Company: www.bseindia.com.

This is for your information & record.

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer

Encl.: a/a

BSE LIMITED
Q2 FY 22-23 Earnings Conference Call

November 7, 2022
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:

Ladies and gentlemen, good day, and welcome to the BSE Limited Q2 FY '23 Investor Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on a touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Anand Sethuraman – Head (Investor Relations), BSE Limited. Thank you, and over to you, sir.

Anand Sethuraman:

Thank you so much. Good evening, everyone. This is Anand from BSE Investor Relations, and welcome to BSE's Earnings Call to discuss Q2 FY 2023 Results. Joining us today on this earnings call is BSE's leadership team consisting of Mr. Nayan Mehta, Chief Financial Officer; Mr. Neeraj Kulshrestha, Chief Regulatory Officer; Mr. Sameer Patil, Chief Business Officer; Mr. Girish Joshi, Chief of Trading Operations and Listing Sales and Mr. Kersi Tavadia, Chief Information Officer. Do note that the conference is being recorded and a transcript of this call will be made available

on the BSE website. Before we get started, I will have to take this opportunity to once again remind you that our remarks today will include forward -looking statements. Actual results may differ materially from those contemplated by these forward -looking statements. Any forward -looking statements that we make on this call are based on assumptions as of today, and BSE assumes no obligation to update these statements as a result of new information or future events. I will now request Mr. Nayan Mehta, the Chief Financial Officer of BSE to give a brief overview of the company's financial and business performance.
Do note, the discussion will conclude with the Q&A session. Over to you, sir.

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BSE - PUBLIC Nayan Mehta :

Thank you, Anand. Good evening, everyone, and thanks for joining the call today. I hope all of you and your loved ones are safe and keeping well. Before I start with the update, I am glad to say that BSE continues to function normally without any interruptions and glitches and has been able to improve its revenues. We are also pleased to inform you that BSE Group continues to expand its activities to service its clients and the economy on the back of the strength of its integrated and diversified model. In Q2 FY '23, BSE has expanded its platform offerings to launch Electronic Gold Receipts and KYC KRA to service the Indian capital markets and the economy.

Let me now start with the financial update. I'm happy to inform that despite the volatile market conditions, the BSE Group delivered a stable financial performance with total revenues of Rs. 240 crores for Q2 FY '23, a growth of 6% as compared to corresponding quarter last year. BSE's operational revenues have grown by 5% to Rs. 198 crores from Rs. 189 crores in the corresponding quarter of the previous year. BSE net profit attributable to shareholders of the company stands at Rs. 34 crores as compared to Rs. 65 crores in the corresponding quarter of previous year. The decline is because of the added contribution to the core settlement guarantee fund to the tune of Rs. 36 crores at a consolidated level, which is an increase of 485% as compared to corresponding quarter last year.

I would now share some of the key financial numbers on a consolidated basis for the quarter ended September 30th, 2022, as compared to corresponding quarter of the previous year :

The clearing and settlement operational

revenues increased by 67% to Rs. 16.9 crores from Rs.

10.2 crores . Treasury income from clearing and settlement funds has increased by 71% to Rs.

22.9 crores from Rs. 13.4 crores . Listing related income increased by 3% to Rs. 58.8 crores from

Rs. 56.9 crores . Other operating revenue, that is data dissemination fees, trading income, software

income increased by 30% to Rs. 18.3 crores from Rs. 14 crores . Investment income increased by

20% to Rs. 36.6 crores from Rs. 30.1 crores . The operating EBITDA has reduced to Rs. 13.4 crores

from Rs. 53.2 crores with operating EBITDA margin reducing to 7% from 28% earlier. The net

profit margin stands at 12% as against 28% earlier.

On the business side, let me start by covering our primary market segment.

Funds raised by India Inc. is well up last year's pace , as geopolitical uncertainty along with other macro factors affecting sentiments. Since BSE had revised its listing fees with effect from 1st April 2022, slight uptick in the annual listing fee is seen. Overall, BSE continues to be the market leader

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BSE - PUBLIC when it comes to raising funds in India having enabled issuers to raise Rs. 3.7 lakh crores through issue of equity, bonds, commercial papers, municipal bonds, InvITs, etc.

The IPO momentum of 2021 has not carried over to 2022 so far. It has resulted in lower book building and listing processing income for the quarter. We expect IPO activity to pick up in the second half of FY 2023. The total number of investors registered with BSE now stands at 11.7 crores .

Let me share update on BSE Trading segments . After record breaking -turnover in FY '22, volatile market conditions have resulted in slowdown during the first half of FY '23. However, BSE has been able to improve its market share for the quarter under review. Facing the challenges of volatile market environment, BSE's performance in trading segment was muted, but currency, mutual funds and insurance segment demonstrated strong growth.

For the quarter ended September 30 , 2022, BSE's average daily turnover in equity segment stands at Rs. 4,740 crores , growth of 17% as compared to the previous quarter. In the Equity Derivatives segment, the average daily turnover stands at Rs. 2.26 lakh crores , a growth of 88% as compared to the previous quarter. In the Currency Derivative segment, the average daily turnover increased to be Rs. 32,161 crores as compared to Rs. 24,567 crores in the previous quarter, a growth of 31% as compared to the previous quarter.

I'm also happy to inform you that BSE has become India's first exchange to successfully launch

Electronic Gold Receipts after receiving final approval from SEBI. A total of 4 new products based on electronic gold receipts, consisting of delivery units of 10 grams and 100 grams of 995 grade and 999 grade were made available to trade during the Muhurat session on 24th October 2022. This reflects our commitment to continuously facilitate access to high -quality investment -based products and services to investors. Our business team are reaching out to market participants including banks, wholesalers, retailers, importers, exporters, etc, who will participate in this ecosystem. BSE expects greater trades and liquidity in the days ahead as it continues to educate the market and onboard new members.

I shall now discuss our mutual fund distribution platform. BSE StAR MF, India's largest mutual fund distribution platform, continues to grow at a remarkable pace with the total number of transactions growing by 39% to reach 5.91 crores transaction during the quarter from 4.3 crores in the same period last year. BSE's StAR MF platform continues to scale new heights in terms of transaction with the platform processing a high of 2.08 crores transactions for September 2022.

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BSE - PUBLIC I shall cover developments at our subsidiary companies now.
BSE promoted International Exchange

at Gift City, Gandhinagar, India INX, that is India International Exchange, IFSC, has been growing exponentially ever since it commenced trading activities on 16th January 2017, with average daily trading turnover of USD 14.7 billion and a market share of 92.1% for the quarter ended September 30th, 2022. India INX has about USD 70 million medium -term note established and about USD 50 million of bonds listing till date. There has been no change to BSE's stake in India International Exchange, IFSC, which stands at 61.93% and 59.92% in India International Clearing Corporation as on 30th September 2022.

On the insurance distribution front, BSE EBIX Insurance Broking, where BSE holds 40% stake through its subsidiary BSE Investments Limited, it is now integrated with 26 insurance companies. The total premium collected is Rs. 13.2 crores for the half year ended September 30th, 2022, a growth of 78% from the same period last year.

BSE E -Agricultural Markets Limited, also called as BEAM, a transparent commodity spot trading platform to facilitate spot commodity transactions across the value chain has now enabled 1,121 members and executed trades worth Rs. 11.7 crores in agri and steel segments on the platform during the quarter ended 30th September 2022. The company is working closely with several state governments and their agencies for direct procurement and disposal of commodities. As updated in the earnings call speech last quarter, Hindustan Power Exchange, where BSE has a stake of 22.61% through its wholly owned subsidiary, BSE Investments Limited has commenced operations with Contingency Market Segment (namely intra day and day ahead contingency), Day Ahead Market (DAM) , Real-Time Market (RTM) and Green Day Ahead Market segment (G-DAM) segments . The volume traded at HPX, that is Hindustan Power is relatively modest and the exchange is continuously onboarding new members and exploring new products to be launched, which can result in higher volumes going forward.

I am also pleased to inform that BSE Technologies Limited, a private -owned subsidiary of BSE, launched KYC Registration Agency (KRA) , on 27th October 2022. The KYC Registration Agency is a SEBI -regulated intermediary that grants the market participants, authorization for investors' KYC, which is mandatory for investment in the securities market.

As updated in our earlier call, SEBI has recorded its in -principle approval to BSE Technologies for setting up Trade Receivables Discounting System also called as TReDS. The final approval is awaited.

With this update, I now hand over the call to Anand.

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BSE - PUBLIC Anand Sethuraman :

Thank you so much, sir, for this update. With this overview, let me now welcome you once again and invite you all for the question -and-answer session. Thank you.

Moderator :

Thank you very much. The first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain :

Just 2 questions from my side. Firstly, could you give some clarity on the SGF thing, why we had to pay such a large amount in this quarter? Any guidance for the full year?

Nayan Mehta :

Hello, Prayesh. The Settlement Guarantee Fund is basically determined by various factors, which is stipulated by the SEBI guidelines, and it is basically derived out of the volumes in any segment,

the concentration of positions in any segment, the volatility in that segment. So, during the last quarter, our currency derivatives volumes increased significantly as compared to earlier periods. Because of that, it necessitated that the core SGF as determined and computed according to the guidelines of SEBI has increased. And that is why ICCL, our clearing corporation, had to make a contribution of Rs. 36 crores to core SGF.

Prayesh Jain :

Ok, that's primarily based on the volatility that we've seen. Second question is on the StAR MF thing. If I back calculate the per transaction revenue, it inched up sequentially. Why would that happen? And what should be the purposes going ahead?

Nayan Mehta :

Prayesh, as far as the mutual fund revenue are concerned, from July 1, 2022, SEBI implemented a rule, a process, which we basically call it as non-pooling, whereby earlier the intermediaries would collect the money from the investors. And at the end of the day, they will send one particular amount to the clearing corporation. So, what used to happen is that the money which is collected by us we have to pay payment gateway charges to our vendors. At the same

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BSE - PUBLIC time, this money is back-to-back recovered from our AMCs, asset management companies. So, while our top line has increased to some extent, it has been offset by the increase in our expenses.

Prayesh Jain:

So, this is 1 quarter thing, or it will be now recurring, and this gross run rate would be similar in this range?

Nayan Mehta:

Yes, it will be recurring. Obviously, it will have some incremental expenses also, but they will be slightly less than what we are recovering.

Prayesh Jain:

Interesting. And with regards to equity derivatives, any changes in the thought process on charging the segment for transactions?

Sameer Patil :

Yes. So, we have already started, but that is very miniscule on the options segment. But as you know, as you understand, we are still giving incentives for the order flow. So, we will continue to do that. And eventually, when we see sizable amount and then we can think about charging them.

Prayesh Jain :

And then lastly, anything on the CEO appointment?

Neeraj Kulshrestha :

No, there is no information as of now.

Prayesh Jain :

There is no further update?

Neeraj Kulshrestha :

No, nothing.

Moderator :

The next question is from the line of S.K. Srivastav, individual investor. Please go ahead.

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BSE - PUBLIC S.K. Srivastav :

Many thanks for giving the opportunity for the questions. First, I would like to thank all the respected members of BSE for making it India's best exchange. I have a very small question. Is there any plan of listing of any of the subsidiaries of BSE in near future?

Neeraj Kulshrestha :

No, there are no such plans.

Moderator :

The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal :

My first question is you did mention that other expenses are up on account of SGF contribution, but the increase that we see on a sequential basis is almost Rs. 45 crores, while the SGF contribution is Rs. 36 crores. So, is there any other one-off as well in this number?

Nayan Mehta :

So, Devesh, other than the SGF, the increase is also on account of increase in clearing house charges. So, since the number of transactions which happen on BSE to the extent, they get cleared by NCL or by ICCL. So, obviously, BSE has to pay clearing house charges. So, those are the ones which have increased by about Rs. 4.5 crores. Also, there was an increase in professional fees, which I just mentioned earlier, because to offset the income which we are receiving from the mutual fund segment. So, these are the 2 main reasons why our expenses have increased, other

than SGF.

Devesh Agarwal :

And would you be able to quantify, sir, how much is the increase in the mutual fund expense?

Nayan Mehta:

It's basically a provision right now. But the total amount based on the number of transactions which have come to us directly instead of getting pooled at the intermediaries. The total amount is close to about Rs. 7 crores .

Devesh Agarwal :

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BSE - PUBLIC And sir, in other income, also, is it all M2M gains or there is some one-off income that has been booked?

Nayan Mehta :

Devesh, which amount are you referring to here?

Devesh Agarwal :

The Rs. 36.6 crores number that you have for the quarter .

Nayan Mehta :

So, the M2M component obviously has

as been totally controlled now. I mean the total M2M for us

as on date is about Rs. 4 crores at the most, and that is positive for us in this. What we have done, Devesh, is that consciously after the 2 hikes, which happened in the first quarter, we have moved away from instruments, which are mark-to-market. And again, there was always a risk of further depreciation considering the vibes we are getting on with respect to the happenings in U.S. and globally as well as in India. So, in the last year 1 or 2 quarters, we have really got some significant good deals in debt , basically in state development loans and also in fixed deposits. So, we have actually moved a lot of money from the mutual fund segment to basically debt and fixed deposits.

Devesh Agarwal :

The overall volatility will now come down in the other end

Nayan Mehta :

Yes

Devesh Agarwal :

Is this a run rate say around Rs. 30 odd crores is what we can build in for our estimates, quarterly run rate?

Nayan Mehta :

See, in the best-case scenario, we can expect a return of around 6.5%.

Devesh Agarwal :

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BSE - PUBLIC And sir, on your new spot gold exchange, the EGR that you have launched, what we understand from the other exchange that there are certain GST issues, which can restrict the overall volume growth on that platform. Your views on the same? And secondly, are there any plans to start charging for this platform? Or we have a certain time limit before we start charging for this?

Sameer Patil :

So, Devesh, just to answer this, we launched EGR only last week at the Muhurat during Diwali session and we got a very good response for this . We have started charging for it right from day 1, and second, as far as the clarification, we still await clarification on the GST, and it might come soon. So, then this product can really take off then.

Devesh Agarwal :

What are the changes, sir, for this?

Sameer Patil :

It is Rs. 345 per crore . Same as equity because it's part of the equity segment.

Moderator :

You have a question from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra :

Thanks for the opportunity. Sir, you mentioned about the hike in existing fees, it's applicable from 1st of April. So, the fees were hiked up for all companies or only for exclusive companies? And what's the rationale behind it because we already have increased it in the past and it is at par with NSE. So, are you planning to increase it higher from here?

Girish Joshi :

Fees will increase marginally for all companies and some companies where the market cap is higher, we have linked fees to the market cap for a highly capitalized company.

Nayan Mehta :

So, Amit, it is like this, it is the industry practice. Now the competition exchange also leverages the listing fees based on market cap. Earlier, we were charging it on the basis of the equity capital.

And so, this is one improvement which we have made in our revenue profile.

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BSE - PUBLIC Neeraj Kulshrestha :

And every few years what happens because of the increase in regulatory activities that are expected on all these companies. So, this is like something like that. So, it's not that this is out of the blue. This will happen, continue happening , every few y ears.

Amit Chandra:

And in this StAR MF, obviously, there is increase in the realization, but excluding the pass -through, are we seeing additional pricing pressure from mutual funds or were stable from the mutual fund side?

Nayan Mehta :

Amit, there is no pressure on the mutual fund side because our charges are very, very low.

Neeraj Kulshrestha :

Correct. And like this was a new change, which has come about. And as we have already said that this is currently a provisioning and also separately discussion s are also on. Let's see where we go.

Amit Chandra:

And sir, any update on the monetization of the StAR MF platform because it has been there for the

last 1, 1.5 years, but we have not received any update. So, what exactly is going on? Is it still into consideration or we have not received any interest from any investors in that?

Nayan Mehta :

Basically, we have not solicited any interest from anyone actually. The last 2 -3 months, obviously, because of the much higher number of transactions which have come to us directly, we are basically ensuring the robustness of our systems and the business. But as we have told earlier in case there is any strategic interest or financial interest for any serious investors, obviously, we will not stop that person from com ing to approaching us.

Amit Chandra :

So, anyone has not approached or there has been the disconnect in terms of valuations being asked? Or any update on that would be helpful, sir.

Sameer Patil :

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BSE - PUBLIC No, we have not pursued much on that at this point of time.

Nayan Mehta :

There were 1 or 2 inquiries in between, but obviously, we felt it was not serious, so we left it.

Amit Chandra:

And lastly, sir, on charging. Because INX volume has been increasing and any plans on charging on INX in the near term? Or any t hreshold in mind wherein that if you reach that, then you start charging? Or is it going to be free for the next few years?

Sameer Patil :

So, everybody was in fact, waiting for this connect to happen. It has also happened now. But still, just to be in the competition, at least for the time being, we think we won't be changing. We continue not to charge , as done by competition.

Moderator :

Next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal :

Thank you again, sir, for the opportunity. Just 2 questions from my side. I missed your comments on the KRA business. So, what is the update here, sir?

Neeraj Kulshrestha :

So, KRA business, we have gone live with the business. And so, we are live. We are one of the KYC KRA participants now in the industry and we are offering our services. And now this business, we will take this forward.

Devesh Agarwal :

Sir, CDSL is one of the leading KRA where we own 20% stake. So, why have we thought to go through separately in this business? Any thoughts around that?

Neeraj Kulshrestha :

So, in this particular thing, see, what happened is there was this whole background where SEBI itself wanted exchanges to also consider this activity. So, therefore, all exchanges. Now what we

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BSE - PUBLIC realized is that as an exchange, there were synergies because all investors, whichever segment they come to essentially from a member perspective, there is a lot of synergy in that. So, therefore,

it was felt and that is the whole reason. This question is, in a sense, late because we have already announced much earlier that we are already going to pursue this business. So, that is the thing.

Devesh Agarwal :

And sir, finally, on the HPX. I think all the products were now being launched somewhere in July, August, but still, I think the market share has been subdued. So, any plans out there? What are your thoughts in terms of improving the volumes and market share on that platform?

Neeraj Kulshrestha :

So, see, those are actively under consideration by the respective Board out because see what happened is the most important thing for us was first to get the license and then get started. And then what happens in this industry, it's a very limited industry. There are new participants, there are members who need to be onboarded it, etc. There is all this process, which is on this participant. And there is opportunity also there. But it will take some time, but hopefully, since I understand that there is an incumbent there. So, there will be competition. It will take some time, but it will happen. And its early days, but we are now ready, and we are one of the best platforms, by the way, in the power sector, as a power exchange, which

is well acknowledged by the market

participants also. Now the point is to get liquidity there.

Devesh Agarwal :

And any plans to add in to power derivatives?

Neeraj Kulshrestha :

Again, see, this is a product which SEBI has to approve. So, there is no such proposal from SEBI. So, you understand our framework, right? We can only look at products when SEBI approves products like in EGR. When SEBI approved it, then only we can launch.

Moderator :

The next question is the last question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain :

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BSE - PUBLIC What would be your free cash on the balance sheet as of date?

Nayan Mehta :

Prayesh, on a stand-alone basis, it is about Rs. 1,376 crores.

Prayesh Jain :

This is available to investors, right?

Nayan Mehta :

Yes.

Prayesh Jain :

And secondly, longer term as from a 3 to 5-year perspective, do you see any of these new products that we've spoken so much about, your INX, your gold receipts, power exchange, derivatives, any of these contributing or together contributing to, say, 15%, 20% of the revenues? How should we think about it somewhat say, a 3-to-5-year perspective from these products, particularly?

Nayan Mehta :

Prayesh, each of the segments is a gold mine. The thing is that its time has to come. See, we are in a very unique business where there were type of duopoly or oligopoly. And sometimes what happens is that the product comes first, and the market then develops. So, we have set up the products. We have set up the infrastructure. We are now marketing our products, but something may happen in 1 year, something happening in 2 years, something happen in 3 years. But the fact is that each of them is not a product where you can lose hope, or you can say this will not work.

Prayesh Jain :

Actually, from a point of view that like our revenues have been kind of in that trajectory, not seeing very strong growth in spite of the fact that the markets have been very buoyant. So, that's where I was coming from, as to how do we see BSE's revenues growing in the next 3 to 5 years? And possibly while the core business of cash volumes might not grow at an alarming pace, but the other segment can really drive up the revenues and possibly we can look at something like 18% to 20% kind of revenue guide. Is that a possibility?

Nayan Mehta :

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BSE - PUBLIC Prayesh, we are in a financial market. When things happen, they happen in a very nonlinear fashion. You have been tracking us since many years now. And you have seen how our revenues change with different economic and macro conditions. And the thing is that that if some products start working, it can start generating a stream of revenues, which we would not have thought of earlier. So, I'm in the same stage as much as you are. We are working towards delivering the best results out of our efforts. But we have to wait and see how it happens.

Sameer Patil :

Also, Prayesh, if you look at the mutual fund contribution, we started mutual funds way back in 2009, and we started pricing it only recently, until back a couple of years, okay? But now if you see the contribution towards the topline, it's huge. But on the positive note, the EGRs, when we have launched the EGR, right from day 1, we have started applying transaction charges on the trade s. So, that is also a positive.

Prayesh Jain :

And last question, SGF, is there any discussion with the regulator to allow flexibility to withdraw from it?

Neeraj Kulshrestha :

So, see, those discussions are ongoing. So, they keep happening and regulator has agreed sometimes, does not agree and then we have to work around some of the regulations. You see what further can be done. Okay. So, I'll just twist this whole thing into just one specific point that whenever we have an amount to be set aside for SGF, please understand that it's a good problem to have. Because wha

t it means is, there are volumes, there is a lot more clearing taking place in that particular clearing corporation. And that is the reason which necessitates the increase in allocation towards this SGF. So, all I am trying to tell you is that the good problems come this way. and what it means is the volumes once they come, along with that we have further abilities in terms of how to get monetized and further, et c. So, look at the positive side of these things. While it's an allocation, no doubt, but what it means is that there are volumes which are coming.

Prayesh Jain :

Okay. Sorry, just last one more. CDSL stake sale, 20% or 15%. Any thoughts there now?

Nayan Mehta :

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BSE - PUBLIC Prayesh, we'll have to reduce 5% by 2nd October 2023. That's the mandate that we have for the regulation and at the approximate point of time, we would be taking appropriate decision on that matter.

Moderator :

Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Anand Sethuraman for closing comments.

Anand Sethuraman :

Thank you so much and thank you all for being here today. Do know that should you have any further questions, or you need any particular information or data, please reach out to us, or write to us at bse.ir@bseindia.com. Thank you so much.

Moderator :

Thank you. On behalf of BSE Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

(no extractable text — likely a scanned image PDF)

Call: Feb 2023

BSE - PUBLIC

February 10, 2023

To,
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 051

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Vishal Bhat
Company Secretary and Compliance Officer

Encl.: a/a

BSE LIMITED
Q3 FY 22-23 Earnings Conference Call

February 7, 2023
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC

Moderator:

Ladies and gentlemen, good day and welcome to BSE Limited Q3 FY23 Investor Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman – Head, Investor Relations, BSE Limited. Thank you and over to you, sir.

Anand Sethuraman:

Thank you so much. Good evening, everyone. This is Anand from Investor Relations at BSE and welcome to BSE's Earnings Call to discuss Q3 FY23 Results.

Before I begin, it gives me great pleasure to welcome Mr. Sundararaman Ramamurthy for his first earnings call with BSE after he took charge as MD and CEO on 4th Jan 2023. He is a highly motivated leader and a consistent performer with a successful track record of 38 years. Prior to joining BSE, he was the MD and Chief Operating Officer in the Indian arm of Bank of America

where his responsibilities included global governance and control of the banking entity in India and the securities segment. He has also worked with the National Stock Exchange of India for over 20 years as a senior member since his inception where he was responsible for its significant transformation. Joining him today are the other members of BSE's leadership team consisting of Mr. Nayan Mehta – Chief Financial Officer, Mr. Neeraj Kulshrestha – Chief Regulatory Officer, Mr. Sameer Patil – Chief Business Officer, Mr. Girish Joshi – Chief of Trading Operations and Listing Sales, Mr. Kersi Tavadia – Chief Information Officer and Mrs. Kamala K – Chief Risk Officer. Do note that this conference is being recorded and the transcript of this call will be made available on the BSE website. Before we get started, I would like to once again take this opportunity to remind you that our remarks today will include forward-looking statements. Actual results may differ materially from those contemplated by this overlooking statement and any forward-looking statements that we make on this call today are based on assumptions and BSE assumes no obligation to upgrade these statements as a result of new information or future events. I would now request Shri Sundararaman Ramamurthy – MD and CEO to give a brief overview of the company's financial and business performance.

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BSE - PUBLIC

This session will conclude with the Q&A session. Thank you, sir.

Sundararaman Ramamurthy:

Thank you, Anand. Good evening, everyone, and thanks for joining the call today. Indeed, I am honoured and excited to be here as the new MD and CEO of BSE. I am very well aware of the challenges that lie ahead, but I can assure you that all of us at BSE are working very hard to drive the success of this organization.

Let me first start with the financial updates.

I am happy to inform you that despite the volatile market conditions, BSE Group delivered a growth of 12% with total revenues of Rs. 245 crores for Q3 FY2023 as compared to Rs. 218.6 crores in the corresponding quarter of last year. Similarly, BSE's operational revenues have grown by 6% to Rs. 204 crores from Rs. 193 crores, the net profit attributable to shareholders of the company standing at Rs. 52 crores as compared to Rs. 61 crores. This decline is because of the added contribution to the core settlement guarantee fund, we call it as core SGF, to the tune of Rs. 16 crores at a consolidated level which is an

increase of 83% year-on-year. This is on account of

an increase or rather added contribution to the EGR and Currency Derivatives segment.

I will now share some of the key financial numbers on a consolidated basis for the quarter ended December 31st, 2022, as compared to the corresponding quarter of previous year.

The clearing and settlement operational revenues increased by 57% to Rs. 18 crores from Rs. 11.6 crores. Treasury incomes from clearing and settlement funds has increased by 53% to Rs. 22 crores from Rs. 14 crores. Other operating revenue which includes data dissemination fees, training income, software income has increased by 21% to Rs. 18 crores from Rs. 15 crores. Investment income increased by 70%, Rs. 35 crores from Rs. 20 crores. The operating EBITDA has reduced to Rs. 39 crores from Rs. 57.7 crores with operating EBITDA margin reducing to 19% from 30% earlier. The net profit margin stands at 19% as against 27% earlier due to the increase in computer technology related expenses and increase in core SGF as stated earlier.

On the business side, let me start by covering our primary market segment.

Fund raising by India Inc is well off last year pace as geopolitical uncertainty along with other macro factors affected the IPO sentiment. Notwithstanding the revision in annual listing fees with effect from April 1, 2022, a slight uptick in annual listing related income is seen. Overall, BSE continues to be the market leader for fund raising by India Inc with the share of 60% for equity public issues, 84% for debt public issues having enabled issuers to raise Rs. 3.9 lakh crores overall.

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The IPO momentum of 2021 has not carried over to 2022 so far which has resulted in lower book-building income for the quarter. India's equity market faced various headwinds after record breaking turnover levels in 2022.

Facing the challenges of the current market environment, BSE's performance in Trading Segments were muted, but the Mutual Fund segment continued to demonstrate strong growth.

For the quarter ended December 31st, 2022,

The average daily turnover in Equity Cash segment stands at Rs. 4,234 crores, which is down 11% as compared to the previous quarter. The average daily turnover in the Equity Derivative segment stands at Rs. 1.97 lakh crores down 13% as compared to the previous quarter. The average daily turnover in the Currency Derivative segment stands at Rs. 26,246 crores down 18% as compared

to the previous quarter.

BSE StAR MF, India's largest mutual fund distribution platform continues to grow at a remarkable pace. Its total number of transactions growing by 37% to reach Rs. 6.9 crores transactions during the quarter from Rs. 5 crores in the same period last year. The platform continues to scale new peaks in terms of transactions with platforms processing a new high of 37.75 lakh transactions in a single day and a new monthly high of 2.4 crores transaction in December 22 and then once again with 2.5 crores transaction in Jan 2023. Overall, the platform achieved 101% of the transactions processed within 9 months, 18.7 crores so far in FY2023 as compared to 18.5 crores transactions during FY21-22.

Now, I shall cover developments with our subsidiary companies.

India International Exchange IFSC, the average daily trading turnover in India INX, the BSE promoted International Exchange at GIFT City, Gandhinagar stands at USD 18 billion with the market share of 95 % for the quarter ended December 31st, 2022. India INX has about USD 70 billion medium-term notes established and about USD 50 billion of bond listings till date.

India INX's Global Access platform for investors wanting to invest in global securities has grown to reach a trading turnover of US \$7,369 million that is 7.4 billion for the quarter ended December 2022.

On the insurance distribution front, BSE EBIX Insurance Broking where BSE holds 40% stake through

its subsidiary, BSE Investments Limited is now integrated with 26 insurance companies.

The total premium collected is Rs. 17.1 crore for the 9-month ended December 31st, 2022, a growth of 84% for the same period last year.

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BSE E-Agricultural Markets, we call it as BEAM, a transparent commodity spot trading platform to facilitate spot commodities transactions across the value chain has now enrolled 1220 members and executed trades worth Rs. 43.7 crores in Agri and Steel segments on the platform during the quarter ended December 31st, 2022. The company is working closely with several state governments and their agencies for direct procurement and disposal of commodities.

Power Exchange, the trading at Hindustan Power Exchange where BSE has a stake of 22.61% through its wholly owned subsidiary BSE Investments has been relatively modest and the exchange is continually onboarding new members and exploring new products to be launched which can result in higher volumes going forward.

Before I conclude, I can confirm that the Board of the BSE, the meeting held today has approved the divestment of 2.5% of BSE's stake in Central Depository Services Limited, CDSL towards meeting regulatory norms.

In closing, overall, I believe we reported sustained third quarter results amidst a difficult market environment. 2022 was a period of transition for the BSE and as we embark on a new journey in the new financial year, I believe that a balanced business model will enable us to grow much higher. We are confident of rising to the current challenges and take BSE to newer heights. With these updates, I now hand over the call back to Anand.

Anand Sethuraman :

Thank you, sir for the updates. With these overviews, let me now welcome you all once again for the Q&A session. Handing over the call to Yashashri.

Moderator :

Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain

First of all, welcome Mr. Ramamurthy to this esteemed organization. First question to you is, what are the initial focus areas for you to take BSE to new heights? What would be the key focus areas for you saying top 3 or 4 things that you would be focusing on that would be my first question?

Sundaraman Ramamurthy

Thanks for your good message and question. The initial focus areas, what I find is BSE today has its presence held in equities and currency. To start with, therefore, my focus area will be to ensure that we are able to concentrate on equity and grow our market share there. The second area will

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certainly be currency where we have some presence which we can build upon. That is a short answer, if there are further questions, I can elaborate on them.

Prayesh Jain

One of the key drivers for the business for the exchanges has obviously been the Equity Derivative segment where the actual growth has been coming, now the margin norms have really hit hard

the cash segment and the growth has kind of moved from cash to derivatives, so how would you think that BSE can at least garner some market share on the Derivative side?

Sundaraman Ramamurthy

Yes, that is a very fair question, so since you asked for initial focus area, I think mentioned equity and currency and of course actually I should have mentioned one more segment there, which is Mutual Fund. That is the initial focus area because we have some foothold there, so to develop something where we have a foothold becomes easier, and in Equity Derivatives at this point of time I find BSE is not having much of a foothold, we need to develop it. While that will certainly be a focus area, first we will have to strengthen our foothold in equity segment, Currency Derivatives and Mutual Fund, where we have a good market share and as a follow on and as a process along with equity since they

are related the Equity Derivatives will be built over a period

of time, first concentrating on Sensex, as Sensex is a brand which is known to the entire world and has its merits and value and lot of recall. So, that will be the next focus area.

Prayesh Jain

The second question is more on the financial, the settlement guarantee fund, the increase, the contribution that has been coming through previous quarter as well and in this quarter as well, now how do you see this going ahead, how should we kind of read into this and should we kind of model for this, does this become an element which we are not able to kind of figure it out?

Nayan Mehta

Prayesh, this settlement guarantee fund as we had spoken in earlier meetings also, this fund constitution and increment contribution is dependent on many factors which include volatility in markets, business volume increase, concentration of positions and many other things and it is determined by an algo on a monthly basis. So, to that extent, you would recall even our earlier we had said that when we make additional contribution to SGF, that is the sign of progress as far as business is concerned. So, while it might look like a hit on your P&L for the company, but it is a one-time hit, whenever it comes and it comes on increments means when we move onto the next slab of business, obviously there will be some incremental SGF which would come. As of sitting

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today, it is very difficult for anybody means an analyst or the management itself to determine as to how much movement or incremental contribution will be there in SGF from year to year.

Prayesh Jain

Sir, just extending that point, sir, if you look at the cash volumes that are down for you, derivatives we don't have too much of volumes, so what actually grow this incremental settlement guarantee fund if October and November were very weak months and even December was a very weak month for cash volumes, so just try and explain me as to what really cause this SGF contribution?

Nayan Mehta

Prayesh, in this year, obviously we also contributed some SGF amount towards electronic gold receipts which was the minimum base contribution required by SEBI. At the same time, Currency Derivatives volume increased during this year, so obviously those volumes necessitated that we do some contribution towards the same and again as the number of people, number of members increase in our clearing corporation, obviously that is also a big reason why that position led to incremental SGF contribution.

Prayesh Jain

And my last question will be on CDSL, so we have to reduce it to 15%, right?

Sundaraman Ramamurthy

Yes, it is a correct question, we have to reduce it to 15%, so we will be getting towards that. There is a regulatory time limit available, so we will offload in tranches to ensure it is a smooth transition.

Prayesh Jain

What is the time limit for that?

Nayan Mehta

We have to do it by 2nd October this year, 2023.

Prayesh Jain

2nd October this year total 5% stake, of which 2.5% you will be doing now?

Nayan Mehta

That is what has been approved by the Board today.

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Moderator

Thank you. The next question is from the line of Vikram Kotak from Ace Lansdowne Investment. Please go ahead.

Vikram Kotak

Congratulation Mr. Ramamurthy for the appointment and my one question has been answered by you in earlier question, the other question which I have for Nayan or you that how do we set off this guarantee fund contribution which we are doing by way of increased charges, these numbers are looking like a very big number compared to our revenue, so what are our mechanism to kind of set off this, do we increase charges or any other way to do it?

Nayan Mehta

I will tell you in one particular way is that just that you have mentioned when you look at contribution to SGF, you are looking at the expense side, but in the consolidated

side, obviously it

doesn't come evident in the face of the results is that our income from clearing corporation has increased quite significantly over the last 1 year and that is on terms of margin and deposits which we have got and also in terms of the transaction charges which our clearing corporation has collected. So, it is not that, it is a one-way expense. There is a corresponding benefit which is coming to BSE which is getting accounted in our financials.

Vikram Kotak

So, you mean Nayan by that it is higher than the contribution which we are doing according to you net-net?

Nayan Mehta

In some quarter that will be high, some quarter there will be much significantly higher contribution, but overall, each SGF contribution increment over a period of time leads to an incremental revenue flow for us.

Moderator

Thank you. We have our next question from the line of Santhosh Kumar Keshri from Keshri Wealth. Please go ahead.

Santosh Kumar Keshri

Sir, I have two questions, one question is about CDSL divestment that we are doing now, so I wonder that isn't the timeline could have been better because now the market conditions are not good and CDSL is also at almost 52 week low, so the realization that BSE is going to get against

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this investment would be much lesser than what it would have had been selling a year or so back, that is one. Even last time, when BSE divested 2.5% from 22 to 20%, they sold that Rs. 220 a share. After that the prices zoomed up to something like Rs. 1,500 -Rs. 1,700 level, so it is a little difficult to realize that as a shareholder we are not earning as much from the divestment as the market participants were buying from the offloading of shares by BSE and getting to make lot better profit?

Sundararaman Ramamurthy

So, let me give one reply, I don't know how much that will satisfy you. If it doesn't, I will ask Nayan to add. As exchange when we want to offload, we have to look at it from multiple perspective, of course the return maximization is always there in everybody's mind who has invested into any stock, but as an exchange when we do it, it is also the question of we have to realize we will not be able to time the market. That is difficult for anybody for that matter, if exchange it is much more difficult because we need to follow multiple internal and external process of taking approvals before we go to the market. So, we will not be able to time the market. In hindsight, it may sometimes come across as a very good move or probably a move where we should have waited, it can come across. So, that will be the sum and substance of it, so that is why always things are done in tranches over a period of time to ensure that we are taking care as much as we can in respect of return maximization without having the capability to timing the market. Nayan, you want to add something.

Nayan Mehta

No, I perfectly agree with you. There is no way anybody can actually time, not about that.

Sundararaman Ramamurthy

That difficulty is there, but your point is valid, always one should expect to maximize returns, sometimes it doesn't work for us because we are not able to do that in terms of managing the time.

Santosh Kumar Keshri

I know that, but the point is that this is the second time on the trot that BSE is not able to realize, but anyway I take that point, now my second question is about SGF, so though many participants raised a question, I just had one limited point and that will be that the interest that we earn out of SGF, does that accrue to the BSE P&L or it is earmarked to the fund and it will get credited there,

how does it happen?

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Nayan Mehta

So, the interest which is earned in the settlement guarantee fund remains in that fund and it is not considered as income in standalone or consolidated accounts.

Santosh Kumar Keshri

So, we can take that as cost of doing business, right?

ht, the contribution to SGF?

Nayan Mehta

Yes, and this is obviously according to the current SEBI regulations which we have to follow.

Sundararaman Ramamurthy

Just to add to what Nayan is saying, the contributions to SGF, the competition are all regulatorily defined, and it goes according to that. Therefore, when BSE contributes the money to SGF which is held by ICCL any amount of interest earned from the fund has to be retained in that fund as a regulatory requirement.

Moderator

Thank you. We have our next question from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra

Sir, my first question is on the area of investments that we have been doing into the new areas of growth, so we have been investing into the INX, like into commodities and also into various new products which are in trial phase or inception phase or initial phases, but not generating any returns since like many years, so what is our strategy there in terms of monetizing these areas where there is scope to generate like revenues maybe in the next 1 year, so which areas you think is promising and now you should start monetizing?

Sundararaman Ramamurthy

This is a very good question. Some of the investments that we make will be oriented towards national development and overall economic development in mind which will be the driving force. As a responsible MII we will be doing some of them like that, to just give the example of GIFT City. When we look at GIFT City, we are trying to promote an exchange which will be the face of India for all the foreigners to help them participate in this country's market and not allowing the Indian markets to be exported outside India. That is the idea behind that and that is the reason why it is at a very senior level everywhere, thought about as a very good requirement for the country as well for development and that is the reason why BSE has been the first exchange to get that set

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up its own exchange and clearing corporation there and it is growing in terms of its size and all. Does it give back money to us in return at this point of time, these ventures many at times as you will appreciate have slightly long-term gestation period. Some of the things like our Mutual Fund platform if you look at it, with minimum investment it is giving maximum revenue in a short term. Some of these investments like GIFT city and all where it is a new proof of concept which we need to provide in the market takes time. That is the reason why MIIs have to get into it because it cannot be taken totally as a commercial venture alone, it will give commercial results, but it is a question of time where after the gestation period only, you will be able to reap the benefit. The same thing will be applicable to power exchange or Agri markets. You know Agri markets require lot of development, how much it can help in nation's economic development by helping the farmers, we all know that, but it takes time to bring in people, changing behaviour, making them understand. So, if you ask me that within one year you will be divesting something and making money, it may not be wise to do that in one year to divest some of the investments. Some of them will be making good sense, like for example, take the case of CDSL which we invested quite some time before, today it is yielding lot of results. It is a question of waiting, permitting it to grow, supporting it to grow and then reap the benefit. The same thing will happen with every one of these investments because they are well thought out investments, just not only as a commercial venture, but also as a contribution to the society. That is the way I look at it.

Amit Chandra

And also sir, you mentioned about focusing on the cash and the currency side and also on the derivative side, but this strategy has been there for the last many years and we have been trying to gain market share in cash,

we tried in derivatives, we attained some success there, but again we are back to around 1% market share, so what has to be done like differently there to gain market share or I think it is an area where it is very difficult to get some market share from NSE because it is going, it is actually getting bigger and stronger, so what are the views there?

Sundararaman Ramamurthy

It is a fair question, but I am sure you will appreciate it is just one month for me now in the exchange notwithstanding that I will try and reply to you. Well, it is true that there has been lot of efforts put on by the market under regulator to ensure there are two exchanges at least in India. I am not looking at it to put it differently, I am not just looking at it as growing BSE's market share. You look at it from a slightly macro perspective. Do you require only one exchange in India, or do you require to have two exchanges in India, one need not be 50-50% is not what probably we look at it while other exchange should be vibrant to take care of many of the needs whenever any

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circumstance warranted, but I am sure principally everybody agrees now. Principally, people all see having a single exchange is not a good idea, if we start talking in terms of, in many countries it is only a single exchange, single airline, why in India there should be more than one exchange, that question no longer remains a question. I think the answer is clear in many people's mind as to why you require more than one exchange which has to be vibrant and in existence. So, when principally everybody is in agreement, what is the effort going on into ensure the vibrancy of the second exchange, why is this falling short, what can we do to attack it, to help it, to grow is the question there. That becomes the strategy. What I find is while intraday interoperability is required for MIs, it is not totally implemented by all members for the clients. I think that is a very important requirement. So, this is one idea I am talking about. Soon, we will be reviewing all the areas and we will be coming out with some product differentiation, in the coming days you will get to see. As I told you it is just one month and two days in terms of number of days and their number of days in office is just 20 days. You will see certainly some product differentiation happening in cash market and in currency, everywhere you will see and you will find some new products being talked about and you will also see that we going and advocating to the system developer, to the brokers and to the clients how if there were to be two vibrant exchanges it will be on a day to day basis helpful for them, for example if somebody as a client finds a better price in BSE to buy and after sometime he finds a better price well in NSE, if the brokers do not enable intraday interoperability at the front-end for client, they are not going to know it. If they are not going to do it, it is not BSE losing volumes, it is actually the client not making money and the broker not making money, we will own the money. If the market is on turmoil, if there is this type of an arbitrage facilitated, don't you think the price decline will be arrested because there is clearly a price finding very imminently happening and very fast happening. If it does not happen, you will find the stock declining in a very faster pace to touch the bottom and then climbing that slowly back in one exchange. How to understand what I mean, so to cut a long story short, give me some time, I am reviewing things, certainly you will find new product differentiations, product approvals coming in place and we talking to brokers to strengthen the entire vibrancy of second exchange if I would not call it as making BSE's market share more, providing a vibrant exchange to the economy is today our prime motive.

Amit Chandra

And sir, my last question would be on what are we planning with the c

ash that we get from CDSL,

so will it be used for investments, or will it be used for higher share and the shareholder Payout ?

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Sundararaman Ramamurthy

It is a very important question that you are asking. The question of utilizing the proceeds towards further building, capability to deliver to the shareholders or to make payments will also be governed by regulatory restrictions as to how much we can do. Clearly, the intention will be to put the money to use for the shareholder's benefit. That would be the driving force because it is the shareholder's money which has gone in as an investment. That is what is coming back. The effort will be within the four walls of regulation, whatever permitted will be to maximize or optimize shareholder's wealth. That would be the goal with which we will be working.

Moderator

Thank you. We have our next question from the line of Prayesh Jain from Motilal Oswa Financial Services. Please go ahead.

Prayesh Jain

Sir, just a couple of questions on financials, if I look at depreciation it is at Rs. 17 crores versus

much lower run rate in the previous quarter, so what is the reason for the same?

Nayan Mehta

Prayesh, in the current year there has been lot of investments in IT, hardware and software, so that has resulted in higher depreciation, so that is one of the major reasons for increasing depreciation.

Prayesh Jain

Secondly, on the tax rate, it has been much higher at in the previous quarter 42% and this quarter 33%, how should we think about this tax rate and going ahead, how should we look at it?

Sundararaman Ramamurthy

Going forward Prayesh, you can consider 33% to 35% as the normal rate for us, the reason being that we are currently offsetting our MAT credit, which is available with us and for that reason, all our focus is towards earning taxable income which attracts the maximum tax rate to utilize the MAT credit.

Prayesh Jain

And just one last follow up question on the previous one was StAR MF, we have earlier kind of telling that completely, any incremental thoughts out there under the new CEO?

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Sundararaman Ramamurthy

This is a good question, but look at it this way, the entire retail is a big way is looking towards mutual fund in these ways. If you look at it when FIIs or FPIs, some part of last calendar year they were exiting India for whatever volatile reasons. You find that suddenly the Mutual Fund contribution is increasing, so there is a good amount of penetration that is happening towards mutual funds because of the clear attraction. If as an individual I want to have a balanced portfolio, to buy 20 shares and 30 shares and create a portfolio, manage it, monitor it, it is not going to be easy for me. When a small investor and more and more the financial conscience and the financial literacy increase, I feel that mutual fund transactions are going to go up. If that is the case, is it right time to think about digesting and coming out of it or is it that we should grow it more organically because these are all linked, right, so the mutual fund transaction we did link with multiple things. So, should we look at and explore all those areas, what will be on the interest of shareholders and what will create value for the shareholders is one question which repeatedly comes to my mind, while I may not have clear answer, but at this point of time, my inner feeling is that we should do more to develop even bigger platform. The amount, you saw lot of new highs we are touching on a daily basis. If this is what it is clearly the market is loving this product and clearly the market feels that we are serving them, that is why they are coming to us. So, if that is the phase that the community is reporting on you, is it that you should grow on the same or you should encash it is one question which comes to me repeatedly. I feel at this point of time, the indication is more

ore towards, at least putting in some efforts to see how we grow it. Well, this is today's view. As sometime before, Anand said tomorrow's factors may be different and your views may differ, but at this point of time, this is very encouraging area that the faith, love, and affection shown by the market platform is very high, I am sure you agree with me.

Prayesh Jain

Yes, absolutely and mutual fund investing is something, which the entire industry is looking forward to, but the challenge is the regulator seems to be kind of in a mood to even hit the commissions and distribution expenses out there, so do you see any challenge on your expenses or on your charges that you to levy today, do you see any challenges to sustain those levels or do you think that that should be coming down?

Sundararaman Ramamurthy

See, that could be speculative for me to say. I wouldn't know and whatever, see, we are working under a regulated atmosphere. Within the regulated atmosphere, we need to deliver value to the

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investors of ours and to the investors in the market. We will strive hard there, and we will ensure that we will do things which will benefit everybody, the market, us, and the shareholders.

Moderator

Thank you. We have our next question from the line of Vikas Kasturi from Focus Capital. Please go ahead.

Vikas Kasturi

So, welcome, Ramamurthy sir. Sir, I had a few questions regarding StAR MF. So, if you could just

help me understand a few nuances of this business, so for example, I believe one clear tailwind for this business is that there is a shift from paper-based application or paper-based transaction to a more digital kind of a transaction and I have been totally surprised because every quarter I see the StAR MF hitting a new high, so I am just wondering, sir, out of the total universe of all mutual fund transactions, approximately what percentage would go through StAR MF?

Sundaraman Ramamurthy

About 50%. That is what is my rough estimate.

Sameer Patil

So, entire universe about 50% of the transaction goes today through the StAR MF platform. More than 50%.

Vivek Kasturi

And the other question is, sir, what is stopping the other 50% as in have we not reached those towns or what is stopping the other 50%, sir?

Sundaraman Ramamurthy

No, not necessarily stopping. It is like this, today, you just go back to the era where you did not have StAR MF right, so some people still prefer to invest only directly, right. So, they may go to individual mutual fund websites, register themselves, maintain a user ID, password, very stringently and regularly every second month change it. They like to do that. Some type of people are used to doing it for ages and they do not want, they feel that if they directly invest, the return for them is some few basis points more. That is one class of investors and they will continue to be that way and there are some people who want to go to a single bank and open a bank account and the Demat account and the trading account under their trading securities and also a mutual fund in the same bank account, and they have a Relationship Manager attached to them and the Relationship Manager comes and tells, you change this portfolio, you do this, you do that, and he

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gives an advice and they tell yes to him and he goes and does it in the same platform. So, that is another type of investor. So, these are all standard set of people who have been in existence for quite some time. Now, you are having a new paradigm. You are bringing in an exchange platform where you are using the distributor and trading members who are used to these types of platforms to make more and more people understand this and accept this. So, these are all the new set of people in my opinion who are coming in. That is why you will always, in my opinion, have all types of people. Like for example, there are some people who will

go to Kirana stores,

some people who will go to a mall, some people will do online order entry for getting even their groceries. So, I think this multiplicity of the market is what is making it vibrant and interesting, and I think that will continue. I think we will not be able to say that at some point of time 100% of the volume of all mutual fund transactions will come only through StAR MF because people with different requirements and different preferences will continue to exist. That is actually what in my opinion helps in innovation. That is what I feel in this. I am not sure how much you agree with me.

Vivek Kasturi

Sure. I will take your view, sir. Sir, a related question on StAR MF, so does this bring in some sort of stickiness for the mutual fund distributors, suppose he has 10 clients, and he uses StAR MF for this transaction, so is he kind of getting locked into the StAR MF in any way, sir?

Sundaraman Ramamurthy

I feel so because what happens is see, today everything is technology. So, if somebody is bringing their clients into it, they need to also develop something from their front end. Every technology is an investment, so there is a cost associated with it. So, people would like to maximize the benefit arising out of it. So, also, some of the activities which they need to do, they are able to depend on the exchange platform to get that done for them, right. So, clearly, there is a benefit for the investor because it is one-stop shop -all and for the distributor, it becomes helpful because part of his work is being taken care of by the MII, which is operating it and for MII is beneficial because it is bringing in more clients to it. Slowly and steadily, they will also start looking at BSE equities. So, there is a synergistic capability available here. It is a big set of clientele whom you are serving. At some point of time, this may spill over to other segments as well. It is a question of time, and it is a question of how we put it across. So, to answer to your question shortly, I feel there is stickiness and that is why people are building on it and that is why it is growing.

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Vivek Kasturi

And one last comment from my side. Not a question, but more like a comment. Sir, I have been a shareholder of BSE for over 4 years now and my request to you is that please do invest in newer products because these tend to give us the exponential growth like StAR MF and CDSL has shown us, so that is just my humble request to you, sir. Thank you very much.

Sundararaman Ramamurthy

No, our humble pranams to you for continuing to be our shareholders. We really appreciate the faith that you are reposing in us, and it is our promise that we will do whatever we can in our powers to ensure that your interests are taken care of, and we will certainly always be looking for newer products through which we can serve the market and serve our investors.

Moderator

Thank you. I will now like to hand the conference over to Mr. Anand Sethuraman for closing comments. Over to you, sir.

Anand Sethuraman

Thank you, everyone for all your questions. Should you have any further questions or requests for any particular data as such, please write to us at bse.ir@bseindia.com. With this, we would like to conclude this call. Thank you.

Sundararaman Ramamurthy

Thanks to everybody for your interest in us. Thank you so much.

Moderator

Thank you. On behalf of BSE Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

BSE - PUBLIC
May 16, 2023

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN:
INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Sub: Transcript of the Conference Call held on May 11, 2023

Dear Sir/ Madam,

With reference to our letter dated May 04, 2023, intimating you about the conference call with Analysts/Investors held on May 11, 2023, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com .

This is for your information & record.

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer

Encl.: a/a

BSE LIMITED
Q4 FY 22-23 Earnings Conference Call

May 11, 2023
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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Moderator:

Ladies and gentlemen, good day, and welcome to BSE Limited Q4 and FY '23 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman, Head Investor Relations, BSE Limited. Thank you, and over to you, sir.

Anand Sethuraman:

Thank you so much, Faizan. Good evening, everyone. This is Anand from Investor Relations, and welcome to BSE's earnings call to discuss Q4 and FY 2023 results.

Joining us today on this earnings call is BSE's leadership team consisting of Mr. Sundararaman

Ramamurthy, Managing Director, and CEO; Mr. Nayan Mehta, Chief Financial Officer; Mr. Sameer Patil, Chief Business Officer; Mr. Girish Joshi, Chief of Trading Operations and Listing Sales; Mr. Subhash Kelkar, Chief Technology Officer; and Mr. Kersi Tavadia, Chief Information Officer.

Do note that this conference is being recorded and the transcript of this call, along with the earnings release and presentation can be found in the Investor Relations section of the BSE India website. Before we get started, I will have to once again take this opportunity to remind you that our remarks today will include forward-looking statements. Actual results may differ materially from those contemplated by these forward-looking statements. And any forward-looking statements that we make today on this call are based on assumptions and BSE assumes no obligation to update these statements as a result of new information or future events.

With this, I will now request Mr. Sundararaman Ramamurthy, MD and CEO, to give a brief overview of the company's financial and business performance for FY 2023.

Sundararaman Ramamurthy:

Thanks, Anand. Good evening, everybody, and thanks a lot for joining the call today. It gives me great pleasure, as always, to address you all today. It's been an interesting journey for me since Jan 4, 2023, when I joined as MD and CEO of BSE. As you may recall in the last quarter earnings call, I had informed that my primary priority is to make BSE a vibrant exchange. I'm glad that we

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entered the FY 2023, having made progress in this regard. The major priority areas driving our road map are trading segments of equity, currency derivatives and equity derivatives segment. Some of the changes that we have brought are as follows. In equities cash segment, BSE has reduced the tick size for scrips below 100 to Rs. 1 paisa from Rs. 5 paisa. As you know, this is unique for BSE. In currency derivatives, we have introduced another unique feature new strike price intervals of Rs. 10 paisa for our USD INR contracts in addition to the existing Rs. 25 paisa strike prices. The Equity Derivatives segment, I'm happy to inform that we are relaunching Sensex and Bankex derivative contracts with lower lot size and a different expiry on Friday, from the traditional Thursday expiry. We believe that these changes will bring more traction. This relaunch is happening on May 15, 2023.

It is early days. Still, I'm happy to inform you the changes in equity cash and USD INR options that we have already brought in have been well received by the market. We are seeing some positive traction in this regard. I also want to update you that BSE has discontinued the liquidity enhancement schemes that were

ongoing for equity derivatives and commodity derivatives with effect from April 1, 2023.

In addition, BSE has discontinued software services and hardware infrastructure services that were being offered under the technology program with effect from May 1, 2023. On the stand-alone level for these schemes and services, BSE had incurred cost of about Rs. 32 crores in FY 2023. The relaunched equity derivatives contract we feel will attract volumes and hence, we have discontinued the LES.

Let me now start with the financial updates. FY 2023 was a challenging year. As I mentioned earlier, we have, however, made good progress on our main priorities and setting ourselves up to deliver better results in the days to come. Surpassing all previous year's performance, I'm happy to inform that BSE delivered a record year again in terms of revenues to reach a total revenue of Rs. 954 crores for FY 2023 as compared to Rs. 864 crores in FY 2022, a growth of 10%. Similarly, BSE's operational revenues have grown by 10% to Rs. 816 crores from Rs. 743 crores. The net profit attributable to shareholders of the company stands at Rs. 221 crores from Rs. 254 crores in the previous year, which is a decline of 13%. The decline is due to the added contribution to the core settlement guarantee fund or the core SGF, to the tune of Rs. 55 crores at a consolidated level. This is an increase of 89% year-on-year. This is on account of added contribution to the currency derivatives and EGR segments.

I will now share some of the key financial numbers on a consolidated basis for the year ended March 31, 2023, as compared to the previous year.

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The clearing and settlement operational revenues increased by 64% from Rs. 45.3 crores to Rs. 74.3 crores. Treasury income from clearing and settlement funds have increased by 51% from Rs. 55.1 crores to Rs. 83.2 crores. Other operating revenue, which includes data dissemination fees, training income, software income has increased by 32% from Rs. 68 crores to Rs. 90 crores. Investment income increased by 12% from Rs. 97.5 crores to Rs. 109.3 crores. The operating EBITDA for FY 2023 stands at Rs. 197.4 crores from Rs. 213.1 crores last year. Operating EBITDA margin reducing to 24% from 29% earlier. The net profit margin stands at 22% as against 28%

last year as a result of increased in computer technology -related expenses, an increase in core SGF as stated earlier.

On back of these financial results, it's my pleasure to inform you that the Board of Directors of BSE Limited has recommended a final dividend of Rs. 12 per equity share, having a face value of Rs. 2 for the financial year 2022 -23, subject to the approval of shareholders in the ensuing Annual General Meeting . The total payoff with the dividend Payout ratio of 98.8% of the current year's profit would be Rs. 165 crores on a stand -alone basis.

I'm confident that as we enter FY 2024. We are well positioned to meet the evolving needs of our customers and create value for our shareholders.

On the business side, let me start by covering our primary market segment.

Fund raising by India continues to be buoyant and BSE platforms continue to remain as well as the preferred choice by Indian companies to raise capital. In FY 2023, the BSE platform has enabled i ssuers to raise Rs. 14.4 lakh crores to issue of equity bonds, commercial papers, municipal bonds, InvITs , etc. The total number of investor accounts registered with BSE now stands at 13.05 crores, which was 10.15 crores in the previous year, a growth of 2 9%.

As you may be aware, the equity cash segment has experienced a period of subdued performance in FY 2023, likely attributed to challenging market conditions. But Mutual Fund segment at BSE has been showing interesting and sustained growth.

For the year ended March 31, 2023, the average daily turnover in equity cash segment stands at Rs. 4,132 crores, down by 22%

as compared to last year. The average daily turnover in equity derivatives segment stands at Rs. 1.38 lakhs crores, down 48% as compared to the last year. The average daily turnover in currency futures stands at Rs. 18,5 69 crores, registering growth of 50% as compared to the last year. The average daily turnover in currency options stands at Rs. 7,030 crores. and with the changes that we have bro ught in, there will be growth in this segment. Moving on to our mutual fund business, BSE Star MF, a comprehensive platform, continues to generate compounding revenue growth and delivered another year of record revenues and

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performance, up 56% year -on-year to reach Rs. 78.6 crores. The strong growth is a testament to the strategic broadening of our business model. This gives us the ability to deliver growth through an array of macroeconomic envi ronment and BSE's continued commitment with the equities market and mutual funds in India.

The total number of transactions processed by BSE Star MF grew by 43% to reach 26.5 crores transactions in FY 2023 from 18.5 crores the last year. BSE's market share stands at 87% among exchange distributed platforms. The BSE St ar MF has been consistently reaching new highs in terms of transactions in the platform, processing a new high of 52.3 lakh transactions in a single day in April 2023. On an average, the platform process over 2.2 crores transactions per month in FY 2023 as compared to 1.54 crores in FY 2022. This demonstrates the scalability and reliability of BSE's platform Star MF.

Now I shall cover developments to our subsidiary companies.

India International Exchange I FSC or India INX, the BSE Promoter International Exchange at Gift City, the average daily trading turnover stands at USD 13.1 billion with a market share of over 90% for FY 2023. India INX has about USD 70 billion medium -term notes established and about USD 50 billion of bond listings till date. India INX Global Access platform for investors wanting to invest in global securities has grown to reach a total trading turnover of USD 27.1 billion for FY 2023.

On the insurance distribution front, BSE Ebix Insura nce Broking where BSE holds 40% stake through its subsidiary, BSE Investments is now integrated with 26 insurance companies. The total premium collected is Rs. 24.3 crores for FY 2023, a growth of 103% compared to the previous year. BSE e -agricultural mark ets called BEAM a transparent commodity spot trading platform to facilitate spot commodities transactions across the value chain has now enrolled 1,342 members and executed trades were Rs. 148 crores in Agri and steel segments on the platform during the year. The company is working very closely with several governments and their agencies for direct procurement and disposal of commodities.

In closing, I can say FY 2023 was a challenging but pivotal year for BSE. We have made important progress on our priorit ies, and we have taken significant steps to improve our product profile.

As we move forward, we see that there is a significant opportunity to continue to expand and evolve the products and services within our core business. The continued investment in our mutual fund business to the innovations that we bring to our trading sys tems and market data products, BSE is well positioned for long -term success and growth, I'm really focused on doing this in a way that helps BSE as well as the market participants, and this will stay our theme for

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the years to come and will make BSE more vibrant. We are set up well to build on this work in 2024 as we continue investing for future growth while remaining focused on delivering strong financial performance. With these updates, I now hand over the call back to Anand.

Anand Sethuraman :

Thank you so much, sir, for these updates. With this overview, let me now welcome you all once again for the Q&A session. Now hand

ding over the call to Faizan.

Moderator:

Thank you very much. The first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain:

And first, let me congratulate on a great set of numbers. So just a question on the financials. So if I look at the revenue or the income line items, there are some like other securities services from Rs. 26 crores to Rs. 35 crores on a Q-on-Q basis. Other operating income has doubled in from Rs. 18 crores to Rs. 35 crores. And so, as the other income jumped from Rs. 6 crores to Rs. 12 crores on to play growth. So, can you explain these line items as what has caused the jump in these line items?

Nayan Mehta :

Prayesh, just covering one-by-one, which as you said?

Prayesh Jain:

Other security services has gone up from Rs. 26 crores to Rs. 35 crores Q-on-Q. Other operating income going up from Rs. 18 crores to Rs. 35 crores and other income going up from Rs. 6 crores to Rs. 12 crores?

Nayan Mehta :

So Prayesh, the other security services income comprises from the revenue which we are deriving from other group companies in terms of not only treasury income from clearing and settlement, its clearing and settlement charges. And it also includes various fees such as your admission fees, processing fees and all other fees. So, this is a, because this year, there was an increase in the margins and deposits also which we received and the overall clearing activity, which happened. So, there is an increase in the other securities services. Other operating income basically comprises of income which we have received, which have considered with respect to our subsidiary, BTPL, our technology subsidiary, which is the BSE technologies and BSE Institute. So

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there our technology services firm technologies actually had a better year ended actually its revenue rose significantly during the current period, current year. And that was the reason why you see a big comp from Rs. 18 crores to Rs. 35 crores there.

And other income, the hike which you are seeing, that is arising mainly out of the income tax refund, which we have received, the interest thereon, which is considered as an income for the current year. And there is a minor reversal of about Rs. 2 crores with respect to certain expenses of earlier year, which has added to about Rs. 6 crores, Rs. 7 crores of the overall increase.

Prayesh Jain:

So the other security services, as I said in other operating income run rate, is this sustainable at this rate? Or should you think about it differently?

Management:

More or less, it is a forward-looking statement which you have been asking for. But I think we try to do as much it as we can.

Prayesh Jain:

Just reframing this question, forward-looking one. Out of the Rs. 35 crores in the other securities services and Rs. 35 crores of other operating income, is there any one-off items in these line items?

Nayan Mehta :

No, there is no one-off item in this one.

Prayesh Jain:

Okay. Great. And the other question was on expense line items. So, if I look at your employee expense run rate has been trending down. We are at Rs. 42 crores in this quarter. And also, technology cost has gone off on a sequential basis, but on a Y-o-Y basis is still higher. So how should we think about the line items from FY '24 perspective?

Nayan Mehta :

FY '24 perspective, again Prayesh employee cost. Obviously, I mean we need to retain talent. We need to have new talent to come up with to manage the new initiatives and obviously, there will be an upward pressure, which will be normal, which can be seen in any of the organizations. Same

as technology costs also, while we in do our level best to manage costs to the best of our abilities. But I mean, there are normal escalations which cannot be avoided year -on-year. And obviously, there are certain improvements which we need to keep updating, whi

ch you need to make year -

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on-year, which will be there as usual. So ob viously, the budget cannot be the same as the previous year in the subsequent year.

Prayesh Jain:

Okay, got that. And just one more thing on the tax side. Could you guide us on tax rate for next year?

Nayan Mehta :

Tax rate will be around 35%. We have a huge MAT which is unutilized as on date and for that, we are investing heavily, whatever we are investing, we are investing in taxable securities. So we will attract maximum marginal tax rate for, probably for the for eseeable future.

Moderator:

Move on to the next question from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra:

Sir, my question is on the steps that we are taking to revive the market share in the cash and also the steps we a re taking on the currency side. And also, we are launching a new derivatives contract. So, all these steps obviously are on the positive direction and we are seeing improvement in our numbers and margins also. But how confident are we in terms of gaining t hat market share in the cash segment which with the initiatives that you are taking? and also, we have spent on the LES schemes over the last many years, and we have tried that earlier also be 5 years back on the derivative side. And again, we are again tr ying on the derivative side to gain some market share. And as of now, we have no market share there. So, what's your thoughts on these two segments?

Sundararaman Ramamurthy:

Thanks for this question, Amit Chandra. My replay may be slightly founding philoso phical. The efforts whether we believe it will bring the market share. Any one effort in itself is not going to bring market share. We just narrated only a few of the efforts that we are making. Market share is a function of how much of market participatio n happens. And there will be multiple interventions that would be required from a market perspective for this to effectively happen. This not only includes making changes, but also making members aware of the requirements and importance and talking to them and bringing them back and getting attention into the BSE's platform from the larger public aspect. It is all what we are trying to do at this stage and more and

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more every day new things emerge for us, giving us ideas as to how we can better be out to th e marketplace.

So, if you ask us whether we are confident that we were doing that, of course, yes, we have to feel confident about whatever we are doing and we go into the right direction. At some point of time, all the efforts that we are putting in will fructify and we will gain back whatever we have seeded away in the past. That is the feeling. The second question is, well, LES was there. It was discontinued now. A lot of efforts were made in the past. We are relaunching what is our view about it - when I think about it, I actually remember a story in the past. I'm not sure you would have heard about the story as all of Robert Bruce, who lost multiple times war against the King of England, and he ran away from one of the battles into a cave when they were sitting, and he was watching a spider. It was trying to climb up the wall of the cave. It was going on falling down. But the spider never gave up, it tried multiple times on the seventh and eighth attempt, it succeeded and then climbed up.

This is an actu al story of 1300 's, I'm sure if Google, you'll be able to see. Then Robert Bruce went back and with rejuvenated energy fo ught back and he won the battle. The method is try, try, try again once or twice though you may fail, try try again till you succeed tr y again. And we are doing it with rejuvenated energy - trying changes , which may look very simple but which may be very material. We have taken market participants into confidence. We have requested them as to what market changes would bring in. So maybe w h

at did not work in the past may work. That is the

confidence and expectation with which we are proceeding. I hope I have answered your question.

Amit Chandra:

No, sir. It was a very comprehensive answer. And I also expect BSE to do well in these segments. But the second question would be on the cost side. So historically, we have spent on several initiatives which are not yielding results. So, are we becoming more cognizant on the spending that we are doing on these initiatives mostly from an ROI perspective? and if you can throw some more light on what is happening on the INX side. Is there some consolidation happening like one exchange there? and on our expense that we are doing on INX, can you see some drop there also in terms of expenses there?

Sundararaman Ramamurthy:

Yes. So every decision in respect of listed corporates like us, if you look at it, are taken collectively considering the facts that are available at that point of time. The best interest of the corporate entity. All the expenditures that would have been made prior to me coming and joining here would have been done or were done in that same spirit. And some of them worked, some of them

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did not work. The liquidity enhancement scheme is one of the measures that was tried. In retrospect and in hindsight when we look at it probably it has not delivered us results. So, what is not delivering results should be abandoned and we should try something new. That is why we are now thinking about product differentiation and product interplay which is what we should highlight to try to garner volumes that is what we are trying to do now. When you do that, incidentally what happens. There is a better position in the balance sheet and profit and loss and there is a better return on investment. It is just not only the return on investment which is driving you to cut down expenditure. It is also what is effective, what is not effective, what is the cost, what is the benefit. That type of an analysis is what is driving us to take these types of steps. That is one part.

On the INX part, it is a very, very important question that you have asked. It is very close to our heart because it is a national priority and therefore, we would like to ensure and do anything that is possible that we as India are able to provide a place where all the foreigners are able to converge and trade with us with no export of Indian markets abroad. This noble thought has made us to start the exchange first and clearing corporation, well capitalise it and we are running it well with a good amount of market share as you would have seen with 90%. So, this is just a starting in my opinion. Lot of changes are happening in that space, and we are going to be present there in whichever way we can ensure that the national dream of having a GIFT City in India materialises and BSE is as always, a leading part in this noble effort.

Amit Chandra:

Yes. Thanks for that and one last question. So, this is an answer. So, we have seen the operating cash flows being negative for this year. Can you please explain what has led to this?

Nayan Mehta :

Amit, as you are aware that this year was the bad for capital markets. All exchanges trading volumes went down not only in India globally also and it has a cascading effect on all our revenues across the board. So, since the operating income has hit, operating also affects our operating EBITDA and operating margins. At the other side, our core settlement guarantee fund, we had to make an additional contribution of Rs. 26 crores over and above our previous year. So, we have made Rs. 56 crores of contribution to core settlement guarantee fund in the current year which was one of the main factors resulting in our operating income actually showing a dip as compared to what you would have expected.

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Moderator:

Thank you, Mr. Chandra. May we request that you r

eturn to the question queue for follow-up

questions? The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal:

Good evening, sir, and thank you for the opportunity and many congratulations on the good set of numbers. Firstly, sir, I would like to know this discontinuation of liquidity enhancement scheme and the support that we were giving to software and hardware services. The total saving together is Rs. 32 crores or just the liquidity enhancement of Rs. 32 crores in FY '23?

Management:

It is close to Rs. 32 crores, the savings which we expect due to discontinuation of the scheme.

Devesh Agarwal:

Okay. And, sir, the way we have discontinued for FY '24, are you having any target in terms of start charging on some of the segments where you are not charging? So, is there any thought process around that?

Sundaraman Ramamurthy:

So, that's a very good point that you are making. There are two objectives always for any entity like us. One is improving liquidity in a market segment so that we are serving better the market. That's a very primary objective. That's our commitment to the marketplace. Commitment to the shareholder is making revenue out of it. While both of them run hand-in-hand, the timing will have to be very apt to manage that both are fulfilled properly.

So, while we today have some of the services where we are not getting any revenue which is given free, we are not in any case having any market share. So that is the place where we are trying to sort of increase our presence and we are trying to get more liquidity there. And once we are able to get some traction, we will of course be charging so that we serve the second interest. That is now the interest which we need to take care of the shareholders. So, it goes hand-in-hand.

Devesh Agarwal:

Understood, sir. But no numbers that you can share that probably this level, once we have 5% market share or something like that, that we would look to charge so that we have some indicators which we can track?

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Sundaraman Ramamurthy:

That's a very valid question that you are asking. I wish I am able to provide you a number. I will, if it is any thing which BSE as an entity can give us an answer, we would have immediately given. It is all purely market driven as you would certainly appreciate. You are from a securities firm. I'm sure you appreciate what I say. So, it's a question of evolution, right? So, we have to see from May 15, how the equity derivative segment is shaping up. The changes that we brought are all from March only. So, it is just 1.5 months. And we need to do more. We need to wait and watch. So, I will not be able to say at what level of market share I will be able to start charging more in respect of whatever new segments that I am not charging.

In equity derivatives options, already I am charging. It's a smaller number. It will be revisited soon. In equity futures, equity index futures, I'm not charging anything. Once there is some traction, we will charge. Some of the charges we have already started, as you may be knowing, whatever free services were there in respect of co-location, today we are already charging to defray the cost at least to start with, and over a period of time to convert it into a profit centre. So, it will be baby steps. It will be in the right direction. It will not take too much time, but it will take some time to ascertain.

Devesh Agarwal:

Sir, SG F has been a big hitter in FY '23 to our profits. Based on the exit run rate, do you think that there could be further contributions that could be required under SG F or for the time being we don't see any significant contributions coming in?

Nayan Mehta:

Devesh, contribution to SG F depends on many, many parameters. One is your total volumes, concentration of positions, open interest, volatility in the scripts, contracts. So

frankly, it is simply

impossible for us to judge or project anything about the next year because we are ourselves don't know.

Moderator:

The next question is from the line of Pankaj from Ace Lansdowne Investments. Please go ahead.

Pankaj:

Hi. Thanks for the opportunity. Congratulations for the great set of number. So, yes, my first question is, so you mentioned that we did some changes in last quarter around the tick size, like for equities and for the currency options. So, in the last couple of months, have we noticed any traction in the volumes because of it, or is this too early to guess that?

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Sundaraman Ramamurthy :

No, it's a fair question that you're asking. What we have seen is in respect of tick size, the market, there are multiple things which we have seen. The overall impact cost in respect of these securities, we have found a s coming down. If you look at it, what was the origin? The origin is up to Rs. 15, whatever securities were there, we had a tick size of 1 paisa. We found in respect of these securities, we had a better market share, better delivery percentages, and also, we have a

better impact cost in respect of these securities.

We thought that is very beneficial to the market. We wanted to mimic it for slightly a higher number of securities. So, we went up to Rs. 100. Whatever is up to Rs. 100, the tick size was changed. We find all the three things holding good. We find the impact cost has come down. Our market share in these securities used to be around 9%. Now it is around 11%. A 2% increase in two months, which is short of, I can say, 20%, is an increase in the volume in the market share, because from 9% to 11% is roughly that way. It is still a long way to go, but certainly it has started showing green shores.

And in terms of delivery percentages, we are very happy to tell you around 80% of the total trades in respect of securities up to Rs. 100 at BSE results in delivery. When you compare it with the national average of 19% in other exchange, I think it's a very big number, I feel. So, I think, the purpose for which we launched this is materializing. But as you also rightly pointed out, it is early days. There will be some more traction happening.

In respect of currency options, what we found is, in respect of this 10 paisa strike price intervals, around 65% of the trading is happening in these strikes. So that means we have made some difference. We have started making some meaningful difference in respect of multiple new participants who are entering into this market. So, these are some early indicators for us. Currency options came around March 6, I guess. It's early days, but I think we are making the dent.

Pankaj:

Okay. Thanks for that, sir. My second question is around that ASBA implementation in the secondary market. So, what can be the possible impact for our treasury revenue with ASBA implementation in the secondary market?

Sundararaman Ramamurthy:

It will be too early to comment, Pankaj, because you are talking about ASBA implementation where the contours of the regulatory change in itself is not becoming evident. You may like to

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note that this is not an exercise on SEBI's side to increase the revenue of MIs. It is an exercise from the regulatory side for improving the investor protection. So, the angle from which it is looked in itself is very different, and contours are not clear, so it will be very difficult to give any comment on this stage.

Pankaj:

Okay. No problem. The last question is what is the cash and cash equivalent as on 31, March, own cash and cash equivalent?

Nayan Mehta :

So, Pankaj, as you know that we distribute more or less the entire income which we receive during the year. So and our capex is not very high as compared to many other organizations. So, we still have Rs. 1,400 crores as we would have told you last year also, and all calls we have

been telling

this, and we continue to have over Rs. 1,400 crores of free cash for shareholders in our standalone books.

Pankaj:

Okay, sorry, if I'm not, I think that last to last quarter it was around Rs. 2,200 crores...

Nayan Mehta :

Yes. That is the total cash in our books, but when you talk about cash in books, I generally understand that it is meant to be free cash for shareholders.

Pankaj:

Correct. Okay, got it. Thank you. That's all from my side. Thank you very much.

Moderator:

Thank you. The next question is from the line of Rishab, an individual investor. Please go ahead.

Rishab:

Could you please guide me regarding the fee structure in the StAR MF platform?

Nayan Mehta:

What happens, Rishab, is that what we recover from the AMC that towards the services comprises of two parts. One is the transaction charges for processing the transaction the orders, and the second is the recovery of the cost which we incur in handling those and processing those transactions. So, there are various slabs which become applicable to different parties depending

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on different levels of operations. So, I can tell you one thing that the overall recovery for us is about Rs. 4 per transaction.

Sundar araman Ramamurthy:

Nayan, if I may add, Rishab, if your question is whether there is any cost to the retail investors, there is no cost. If you are asking whether there is any cost to the intermediaries, there is no cost. It is what is the recovery, what we make from AMCs for the services we render to the AMCs.

Rishab:

Yes, I'm saying that during, in terms of the core SG F, can I know the reason for that?

Sundararaman Ramamurthy:

As Nayan told some time back, the SG F computation is based on a complex algorithm that works. It takes into account multiple things like volatility, cleared volumes, etc. So that is the reason because of which based on that algorithm, the number changes, a number is arrived at, and if we have to contribute, we have to contribute. That is SEBI stipulated algorithm and based on which this happens.

Moderator:

Thank you, Mr. Rishab. May we request that you return to the question queue for follow-up questions? We'll take the next question from the line of Vikram Kotak from Ace Lansdowne Investments. Please go ahead.

Vikram Kotak:

Thank you. Hi, Sundar sir. Hi, Nayan. Hi, everyone at BSE. First of all, congratulations for a good set of numbers, and I can see a lot of sweat in the numbers and lot of small changes which you are doing is paying somewhere. So, I have two questions. One is the – I don't know whether I joined late, so maybe if it's answered, then you can – sorry for that. So, one question which you brought with 1 paisa tick size, how do you see this as kind of helping – did you took a survey for brokers? How is it helping you to kind of get more closer to the investors and the broker community? That's my question number one.

Management:

Can I answer it? Yes, see, actually, you missed the answer. I have a very elaborate answer for it. I will just repeat it in a sort of summarized form. The three guiding factors which because of which we thought we should do this is one is the impact cost, improving delivery percentage, and third is, no, accessing more investors through market share. All the three we are finding some traction.

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The delivery percentages in respect of these securities at BSE is 79%, around 80% you can take. The impact cost has significantly reduced in respect of these stocks as we compare it with the other exchange, and our market share, which was hovering around 9% before the change, has gone up to around 11% in these securities, overall market share. That is a 2% increase over a base of 9% increase.

Vikram Kotak:

Right. Got it. And Sundar sir, second question for you is that I know you started a few months back and you have gone through the first one full

quarter. And where do you see in terms of transition

and where do you see in terms of low-hanging fruit or in terms of strategy? You see a long way to go or you are seeing that things are panning out quite quickly? And this is a difficult year, so it's not easy to really implement and really see the result because the tough year for capital market. Do you see whatever steps you are taking, whether it's a good year of bull market or good run on the equity market, do you see the more operating leverage will be playing out to what changes you brought till now and what are the more changes in the offing? That's my question. Thank you.

Sundararaman Ramamurthy:

No, I'm honestly not able to answer your first part. If you are asking for what changes in the operating, that is easier to answer. I'm sorry I did not understand the first part of your question.

Can you simplify it in a single line?

Vikram Kotak:

Yes, I'll simplify it. That whatever changes you have taken, done in the last three months, whether it's a 1 paisa transaction, 1 paisa thing or putting the currency derivatives, stop bringing more products, right? It's a tough year, so you can't get all the benefits in the tough year. So, if the year was good, do you see a huge operating leverage there to play out in all these areas of changes which you brought? That's my first question.

Sundararaman Ramamurthy

Okay. The simple answer to it is, yes, it was a tough year, and I joined in the last quarter, and the moment you join, immediately you don't hit the ground running. It takes some time, notwithstanding that we have tried to bring in in the first quarter in itself multiple changes. And as you may be aware, we are relaunching rather Sensex and Bankex derivatives in slightly a modified form based on market feedback from Monday onwards. I'm sure you'll be tracking it. And incidentally, if any of you are trading, we would like your full support to BSE and these derivatives contracts. We feel that they are wonderful contracts for multiple reasons. Sensex, as

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you know, is one of the oldest Index in India. It represents 30 stocks and 12 sectors. And since there are 20 stocks less than two sectors less than this, this is quick. This is Sensitive Index. That's why it's called a Sensex. It incorporates the market price into the price information into the Index very fast. And therefore, that in itself creates a situation of lead and lag with the other big market Index, which is Nifty, giving a lot of product interplay possible between Nifty and Sensex, which is a Sensex derivative of pair trading. Apart from that, because our contract is expiring one day later, in respect of people having positions on Nifty options on Thursday, if they feel that they should recover the theta by waiting one more day, they will be able to transform the position of Nifty options to Sensex options by paying a smaller theta and probably landing up in the money. These are just two strategies I'm talking about. There are multiple strategies. This is the reason why we have carefully selected Sensex 30 and Bankex derivatives. Bankex is very akin to Bank Nifty. And as you know, both of them enjoy a 99.96% correlation with the other Indices of the other exchange. And they have better volatility profile, and the return profile of Sensex is far superior. And its CAGR has been a very high percentage in the last five years. All this you will be aware of. The reason for bringing this is to rejuvenate the market and bring in vibrancy. You're asking me whether we have belief that it will change the operational capability. The honest answer is, yes.

As far as what the future plans are, which is the second question that you asked, multiple changes could be there and multiple products could come. We are only talking about two products now, and they are both Index products. Today, if you look at the market, the market is suffering from

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very big concentration risk. The entire volumes are concentrated in a single trading venue, in a single segment, in a single product with around two or three indices alone, taking care of almost everything in the market. This is a huge concentration risk.

We are seeing in order to provide vibrancy, it's trying to address this risk for the nation and for the investing public, by providing in new products. We are starting with Index. We are sure in the days to come, we'll be having more equity-related products coming in derivatives, more indices, broad-basing the market, and providing protection to the market from the concentration risk which they are suffering today. This is the vision that we have, and it is not going to happen in a day, as you would appreciate. It will take some time. The entire tenure of mine, which is next to four years, is there for me to contribute whichever way I can to the growth of the nation and BSE.

Vikram Kotak:

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Super. All the best, Sundar sir, and all the best BSE. Thank you so much for your elaborate answers. Thank you.

Sundaraman Ramamurthy:

Thank you.

Moderator:

Thank you. The next question is from the line of Rahul Kumar from New India. Please go ahead.

Rahul Kumar:

Good evening, sir. My question is, what is the future of gold exchange and social exchange? Are we in the future going to get some revenue in this, two segment?

Sundaraman Ramamurthy:

Sorry, which? Gold, what you said?

Rahul Kumar:

Gold exchange and social exchange.

Sundaraman Ramamurthy:

Gold exchange and social exchange. See, social exchange, you will not be able to get any. That's not a revenue-making exercise. That is a contribution to the society as a corporate citizen, what we all need today. From social stock exchange, at least at this point of time, I am not expecting any revenue. I am here to serve the larger part of the sections of the society through SSE.

Gold Bullion exchange is a separate exchange, which is shareholding of multiple other exchanges.

So, it is a fledgling exchange. Gold has a great potential in India. We are talking about 800 tons and what not, but still, we are not the price setter. So, India is having interest in trying to make India the price setter for gold. I am sure since it's a single exchange with multiple people joining together to promote this exchange, this being in GIFT City, which is very close to our heart and nation's interest, I'm sure in the coming days it will grow well. I'm not sure whether you are tracking our EGR. That is another effort for onshore participants we have put in place. It is early

days. There are some teething troubles in terms of taxation and other areas . We feel we will be serving the market better very soon with some changes if it comes through the e -gold assets as well within India.

Rahul Kumar:

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My next question is how much revenue we get from power exchange? We have some shareholding in Hindustan Power Exchange. Do we get some revenue from that?

Nayan Mehta:

So, Rahul, right now we are not earning any revenues or share of revenue from HP X. It is still in the process of , it's a new exchange and it will take its own time to grow up and revenues. So, it will be very difficult to say, what type of revenue share or profit share we can get from them. However, we are providing technology to them through our group company, BSE Technologies, and that is the revenue which we earn against our services to them. So, we will probably have to wait for some time before we get some returns from the investments which we have made in HP X.

Rahul Kumar:

Okay, thank you.

Moderator:

Thank you. Ladies and gentlemen, we will take the last question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain:

Yes, hi. Thanks for the opportunity again. Firstly, on the existing businesses of transaction cha

rges

or listing fees, any thoughts on increasing the rates in FY '24?

Sundaraman Ramamurthy:

See, I probably do not understand the question. Are you talking about transaction charges or listing fees? Which one are you talking about? What are both?

Prayesh Jain:

Both. I am asking whether there is any thoughts of increasing them in times to come?

Sundaraman Ramamurthy:

See, the rates are sort of competitive rates as far as listing is concerned. So unilaterally to make a comment that we will increase is not possible. It is not any sort of joint effort to increase or decrease, but the market is very competitive. So accordingly, the pricing gets made. So, it will be a function of multiple things where the entire market is moving towards in terms of capital raising, IPOs that come into market, buybacks that come into the market and on and on. And so therefore, it is not a unilateral point of time decision to say that, yes, indeed, we will be raising listing fees. That is one part.

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On the transaction charges, I am not sure whether you missed the point which I was making slightly earlier. We do charge subsidized rates in multiple areas, and we do not charge in some areas. If you look at it, for example, in equity options, our charges are very low. Currency options, our charges are almost one -tenth, I guess, compared to the competitor. And in respect of equity futures, we do not charge anything at all.

At this point of time, it is not making a difference because we are not having much of a market share to boast. But we are doing everything to ensure that we will get some market share. So as and when we get market share, will we be revising the charges? Will we be introducing charges? Yes, we will be introducing. We have already started charging certain services which we were not charging before. Like for example, in colo, it was all free earlier, which was in a way taking some amount of the P&L, right? So, which was talked about, the technology scheme which was talked about. So today, we have started defraying the cost. So, like that, in currency futures again, to mention, our charges are one -fifth of what the competition charges. So, there are scopes for us to increase. We are trying to deepen the market. And once we are deepening the market, certainly we will be working towards increasing the charges and taking care of the shareholders' revenues increase as well.

Prayesh Jain:

This helps. On the StAR MF, you mentioned an answer that it's Rs. 4, but if I look at FY '23, it's far lower than that. So, is that the run rate that we should look forward going ahead or how should we think of that?

Nayan Mehta:

It's like this that over a period of time as our volumes increase, the lowest labs will get applicable.

And to that extent, there will be a downward trend with respect to the average charges which we are earning per transaction. But as you'll note that we are able to increase our revenue by almost 55% from Rs. 50 crores to Rs. 78 crores in this current year. So obviously, with higher transactions coming on us, obviously that can have an upward impact on our revenues.

Prayesh Jain:

Got that. Yes, that's it from my side. Thank you and all the best.

Moderator:

Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Anand for closing comments.

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Anand Sethuraman:

Thank you, Faizan. And thank you, everyone, for joining us today. If you have any further questions, please feel free to reach out to us at bse.ir@bseindia.com. Thank you so much.

Moderator:

Thank you. Ladies and gentlemen, on behalf of BSE Limited that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

BSE - PUBLIC

August 14, 2023

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on August 9, 2023

Dear Sir/ Madam,

With reference to our letter dated August 3, 2023, intimating you about the conference call with Analysts/Investors held on August 9, 2023, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com .

This is for your information & record.

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer

Encl.: a/a

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www.bseindia.com | Corporate Identity Number: L67120MH2005PLC155188

BSE LIMITED
Q1 FY 23-24 Earnings Conference Call

August 9, 2023
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:

Ladies and gentlemen, good day and welcome to BSE Limited Q1 FY24 Investor Conference Call. This Conference Call may contain forward -looking statements about the company, which are based on the belief, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that

are difficult to predict. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman - Head of Investor Relations. Thank you and over to you, sir.

Anand Sethuraman:

Thank you so much, Nirav. Good evening, everyone. This is Anand from Investor Relations and welcome to BSE's Earnings Call to discuss Q1 FY24 Results. Joining us on this call is BSE's leadership team, consisting of Mr. Sundararaman Ramamurthy - Managing Director and CEO, Mr. Nayan Mehta - Chief Financial Officer, Mr. Sameer Patil - Chief Business Officer, Ms. Kamala K - Chief Regulatory Officer, Mr. Girish Joshi - Chief Operating Operations and Listing Sales, and Mr. Subhash Kelkar - Chief Information Officer. Also, present here are the members of our finance and secretarial team.

Do note that this conference is being recorded and the transcript of this call, along with the Earnings Release and Presentation can be found in the Investor Relations section of BSE India website. Before we get started, I once again remind you that our remarks today will include forward-looking statements. Any actual results may differ materially from those contemplated by these forward-looking statements. And any forward-looking statements that we make today on this call are based on assumptions and BSE assumes no obligation to update these statements as a result of new information or future events.

With this, I will now request Mr. Sundararaman Ramamurthy, Managing Director and CEO, to give a brief overview of the company's financial and business performance in Q1 FY24.

Sundararaman Ramamurthy:

Thanks, Anand. Good evening, everybody and thanks a lot for joining the call today. It gives me great pleasure as always to address you all today.

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BSE - PUBLIC It has been an interesting 7 months for me since I joined as MD and CEO of BSE. As you may recall, in the last earnings call I had informed that my primary priority is to make BSE a vibrant exchange.

My priorities have not changed. We saw a good traction in segments like equity cash and mutual fund and made significant progress in the development of equity derivative segment. And we continue our important work to operate more efficiently by creating durable savings to fund investments in our long-term priorities such as building our commodities segments, adding infrastructure capacities and colocation spaces.

I will talk about this momentum including our continued leadership in mutual funds and the evaluation of BSE equity derivative segment. But first, let me start with BSE's 149th Foundation Day. I am happy to inform you the BSE on July 10, 2023, marked its 149th Foundation Day, representing a significant milestone. This auspicious occasion was met with enthusiasm as we unveiled our new logo symbolizing prosperity, vibrance, growth and new beginnings. The genesis of the new logo reflects the vibrance that BSE aims to spread. That is exactly what we have done in our equity derivative segment. As you may recall, based on member feedback, we had announced the relaunch of Sensex and Bankex derivatives contract with lower lot size and a different expiry on Friday from May 15, 2023. We are also discontinued the liquidity enhance

ment schemes, software services and hardware infrastructure services that were being offered for enhancing liquidity and participation.

I would like to highlight the progress we have made in 12 weeks since. For the first time in the history of BSE, a record of 6.73 crore contracts, representing a notional turnover of Rs. 44.2 lakh crores were traded on a single day that is 4th August 2023. Our trading systems processed over 50 crore orders and 1.5 crore trades, which are higher than our equity cash segment. 219 members traded Sensex options on August 4, 2023, as compared to just 28 on day one. Similarly, since relaunch, more than 1.65 lakh UCCs have traded Sensex options. Just 38 UCCs traded on day one. It is still early days, and we are motivated to do even better. Several large retail, prop and high frequency trading members for the first time ever in the history of capital markets are now readying systems, building necessary infrastructure and are already commenced testing and trading in BSE equity derivatives. We have also seen significant demand for colocation racks and associated connectivity provided by the exchange. So, that might actually increase the CAPEX of BSE going forward to that extent. Overall, the momentum remains strong. Adoption by all users is moving in the right direction. I am confident that appropriate monetization, at the appropriate time will follow as we move towards achieving critical mass in terms of participation, volumes, and liquidity.

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BSE - PUBLIC Let me now start with the financial updates. I am happy to inform that BSE delivered a stable quarter in terms of revenues to reach a total revenue of Rs. 271.2 crores for Q1 FY24 as compared to Rs. 197.7 crores in Q1 FY23, a growth of 37%. Similarly, BSE's operational revenues have grown by 15% to Rs. 215.6 crores from Rs. 186.9 crores. The net profit attributable to shareholders of the company excluding exceptional item stands at Rs. 75.1 crores from Rs. 44 crores in the corresponding quarter previous year, which is a growth of 71%.

I will now share some of the key financial numbers on a consolidated basis for the quarter ended June 30, 2023, as compared to the corresponding quarter previous year. Revenues from transaction charges increased by 23% to Rs. 66 crores aided by growth in mutual fund segment. The clearing and settlement operational revenues increased by 41% to Rs. 24.1 crores. Treasury income from clearing and settlement funds have increased by 19% to Rs. 22.2 crores. Other operating revenue, which includes data dissemination fees, training income, software income has increased by 20% to Rs. 21.6 crores. Investment income increased to Rs. 44 crores from Rs. 6 crores. The operating EBITDA for Q1 FY24 stands at Rs. 70 crores, up from Rs. 49.8 crores. Operating EBITDA margin increased to 32% as against 27% in the corresponding quarter last year. Similarly, the net profit margin improved to 27% from 20%.

I am also happy to inform you that BSE has completed the sale of its 5% stake in CDSL to meet with regulatory requirements at an average realization of Rs. 991 per share. A mix open market and block window execution was done to ensure seamless execution at a total consideration of about Rs. 518 crores. In view of the stake sale, the board has approved the share buyback of 45.9 lakh equity shares representing 3.39% of the total equity shares and the total paid up equity capital of the company as of March 31, 2023, via a tender route. The buyback price has been fixed at Rs. 816 apiece representing a premium of 34.1% over the closing price on June 30, 2023, for a total consideration of Rs. 374 crores exclusive of taxes. In total, we have announced a net capital return of Rs. 539 crores based on a successful buyback and dividend payout of Rs. 12 per equity share which was announced last quarter. Both the dividend and buyback are subject to approval of shareholders in the ensuing

annual general meeting.

On the business side, let me start by covering our primary market segment.

Fundraising by Indian corporates picked up in Q1 of FY2024. BSE platforms continue to remain the preferred choice by Indian companies to raise capital. BSE platform has enabled issuers to raise Rs. 4.39 lakh crores by means of equity and debt raising bonds, commercial papers, municipal bonds, etc.

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BSE - PUBLIC Moving on to our trading segment :

For the quarter ended June 30, 2023, the average daily turnover in equity cash segment stands at Rs. 4,025 crores which is similar to Rs. 4,057 crores in the corresponding quarter last year. The average daily turnover in currency future stands at Rs. 13,800 crores, a decline of 20% as compared to the corresponding quarter last year, which was in line with the market volumes. As you may be aware, BSE has revised transaction charges in the Currency Futures segment which are now at par with the market transaction charges. These charges are effective from September 1, 2023.

Moving on to our mutual fund business :

BSE StAR MF continues to generate compounding revenue growth and delivered yet another quarter of record revenues and performance, up 59% year-on-year to reach Rs. 23.8 crores. The total number of transactions processed by BSE StAR MF grew by 39% to reach 8.3 crore transactions in Q1 FY24 from 5.9 crores in the corresponding quarter last year. BSE's market share stands at 88% among exchange distributed platforms. The BSE's StAR MF has been consistently reaching new highs in terms of transactions with the platform processing a new high of 3.05 crore transaction in July 2023. On an average, the platform processed over 2.76 crore transactions per month in Q1 FY 24 as compared to 1.98 crores in Q1 FY23. This demonstrates the scalability and reliability of BSE's platform StAR MF.

The BSE group directly or via subsidiaries also has its presence in other related business including India International Exchange (India INX) - BSE's Exchange at GIFT City, BSE Ebix, insurance distribution platform with Ebix Inc, The Hindustan Power Exchange (HPX) in association with TTC India and ICICI Bank, BSE E -Agricultural markets (BEAM), spot platform for trading in commodities and BSE Administration and Services Limited (BASL). BSE is committed to these new areas and is constantly working with partners for the growth of these businesses. As we move forward, we see that there is a significant opportunity to continue to expand and evolve these businesses.

In conclusion, me and my team are energized by the pace of innovation and the momentum across the BSE. With our strong underlying momentum in equity derivatives and aligned focus on the right strategies moving forward, I remain confident that we will continue to deliver long term

growth for our shareholders and deliver on our mission of Vibrant BSE 2025.
With these updates, I now hand over the call back to Anand.

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BSE - PUBLIC Moderator :

Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Narendra Shah from RoboCapital. Please go ahead.

Narendra Shah:

So, my first question would be regarding the derivative transaction charges. I mean, do you have any set target for how much are you going to make in that segment for FY24, if you could share some light on it?

Sundaraman Ramamurthy:

As you may recall, we started equity derivatives segment that we relaunched on May 15, 2023. It is around 12 weeks now since the date of introduction. Typically for a relaunched product to get into a sustained phase normally we expect around 6 to 10 months. The growth of Sensex derivatives has been faster and today we are seeing good amount of tractions within 12 weeks. But still, there is a good amount of ground to be covered to ensure sustainability and consistency in its growth. We are already charging for this

product at the rate of Rs. 500 per crore which is probably lower than what market charges. We will at the appropriate time, as I mentioned in my speech, consider appropriate charges in respect of equity derivatives once a feeling of sustained growth is achieved by us.

Narendra Shah:

Regarding the transaction charges that we are planning to raise it at some point of time , right?

Sundaraman Ramamurthy:

That is exactly what I told in my speech, and I also repeated, at an appropriate time we will consider charging, levying appropriate charges in respect of equity derivative segment, yes.

Narendra Shah:

And my second question regarding the equity cash segment, so what are we doing on that front to capture more market share? Anything that you would like to share?

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BSE - PUBLIC Sundaraman Ramamurthy:

Sure. So, on the initial first part, we of course change the ticket size, which you all are aware of up to Rs. 100. That gave us some amount of benefit in increasing the market share of those securities from 9% to 12%, just a significant growth. But that is not the beginning and end of it. We need to move into other areas. One area where we really do well is blocks and we continue to do well, and we continue to engage with our stakeholders informing them of the benefits of block trades and we see good traction there. The other area is where the institutional volumes are. So, what we feel is the institutions are not, at this point of time, particularly FPIs fully facilitated to trade in multiple exchanges post interoperability. If a FPI trades in BSE and NSE for the same scrip for the same order, he does not get a single contract note with a VWAP price of what he has traded in both the exchanges from the broker. This puts his back office into a tussle. So, we had studied this in great detail. We are in engagement with the market participants to enable FPIs to participate in multiple exchanges which we see will fructify appropriately and that could be the next stage for growth in equities cash segment.

Moderator:

Thank you. Next question is from the line of Navdeep, Individual Investor. Please go ahead.

Navdeep:

Sir, I have two small questions. One is, if I want to understand the transaction charges which we are charging for equity derivatives, we are charging Rs. 500 per crore of notional turnover. So, does that mean that.

Sundaraman Ramamurthy:

Sorry, may I interrupt you. It is Rs. 500 per crore of not notional, it is of premium.

Navdeep:

So, if I want to understand that on the last Friday the turnover was about Rs. 145 lakh crores. So, how much of that does go to the top line? If you can please help us understand?

Sundaraman Ramamurthy:

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BSE - PUBLIC The numbers are bit wrong. Sorry for interruption, the numbers are wrong, it is Rs. 44 lakh crores,

round number it was some Rs. 44.2 or something Rs. 44 lakh crores was the notional. The premium is not a direct function of the notional. The premium is a function of volatility and many other things, so it will not be right to compare with the notional, though every one of us understands notional. The premium is charged, the transaction charges are on premium, and premium does not have a direct proportional relationship with notional.

Navdeep:

The other question I have is on the buyback. We have announced that the price of Rs. 816 per share, but now that the share price has moved up significantly. Are we thinking about it, to revise the price or something?

Sundaraman Ramamurthy:

It is a very interesting and good question that you are asking. In the speech when I was telling, actually we told you, I explained how this Rs. 816 was arrived at. Based on the specified date on which we fixed this, it was around 34% premium over the closing price of June 30, 2023. So, Rs. 816 was fixed by following the practices and requirements as stipulated with the premium which we thought w

as substantial. We do not have any control over market movement, subsequently the markets could move anywhere. So, at this point of time, the buyback price is fixed as Rs. 816.

Moderator:

Thank you. Next question is from the line of Pranav Thakar, Individual Investor. Please go ahead.

Pranav Thakar:

Sir my question is with reference to derivative, if you can share what was the revenue last fantastic Friday that is when we record highest derivative turnover and my second question was in the similar line of derivatives that as a segment, do we have to incur separate additional cost, or I would like to understand what would be the cost structure of derivatives. Thank you.

Sundaraman Ramamurthy:

So, the answer to the first point is the revenue earned on that day was only Rs. 26.6 lakhs. Because it is on premium, the total premium traded on that day was Rs. 5,320 crores. Therefore, that is

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BSE - PUBLIC the revenue. On the cost structure, at this point of time, we are using the existing infrastructure to fuel these volumes. But as I told as the market is growing there will be need for colocation space, provision of racks, provision of connectivity, provision of connecting system, peripheral system, main system, back-end systems, and all. So, certainly there will be some amount of capital expenditure based on how the market grows, the capital expenditure would vary. As you would appreciate when capital expenditure increases depreciation and operational expenditures will also increase. That would happen if the volumes go upward therefore the revenue will also grow. At some point of time, the revenue growth will be overtaking the cost resulting in the profit margin. That is the entire logic behind pushing this product.

Moderator:

Thank you. Next question is from the line of Raja Panda, Individual Investor. Please go ahead.

Raja Panda:

Sir, some of the authorized persons who are in my circle, they have reported that now BSE is going to charge AMC of Rs. 4,000. This authorized person means the sub broker. So, could you please confirm if this is correct and if it is then what is the number of authorized persons on our system?

Sundaraman Ramamurthy:

Indeed, there is going to be some charges for authorized persons. I would not exactly remember the number of authorized persons or what is exactly the charge. If you can e-mail to our people, we will be able to give you that data. That is not an issue because the charges are public domain in any case. The number of APs I would not remember offhand.

Moderator:

Thank you. Next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal:

Firstly, congratulations on a successful relaunch of your Sensex equity derivative product. My first question is around the same thing. In your opening remarks, you did mention that the number of UCCs have seen a significant increase as well as the number of members. So, if you could share

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BSE - PUBLIC some more insights in terms of efforts that we have put in to achieve this, that will help us to better appreciate the entire efforts of BSE?

Sundaraman Ramamurthy:

Sure, certainly. Thanks for this question. As I was mentioning, the day when we started, we had very few members, just 28 members participating. Very few front-end trading systems were

supporting BSE equity derivatives. A product has to be broad based, liked by all and traded by all then only it sustains. Since we had gone and met couple of hundreds of brokers, taken their views, taken their views of their clients, taken the views of their dealers before relaunching this product. Though we started with just 28 people with our relentless efforts of make showcasing this product more and more members started flocking in. Once the members come in the input to the software providers requesting for the capability to trade, that front end capability to trade

e BSE

derivatives started increasing and therefore software vendors, almost all of them now are providing the front -end capability to trade into BSE's F&O system. This has helped in big, large retail brokers to introduce our product in their platform. People who are delaying because of their software requirements and changes that they are making started getting more and more calls from the investment investing public as to when census derivatives are going to be made available putting in a way a mild, sort of friendly pressure on the brokers to introduce it ASAP in their system. This is the reason behind the significant growth from very few UCCs on 1st day to significantly large number of UCCs at this point of time. But as I said, this is just the beginning. There is a long way to go. We have to continue to work hard, continue to work with our brokers, more and more understand their requirements and take things forward, but we are confident with the continued effort and concentration and attention and focus that me and my team are having, we will be able to achieve it.

Devesh Agarwal:

Sir, just to understand what would be the UCCs those would be active on NSE?

Sundaraman Ramamurthy:

Honestly, I would not be the right person to comment on it.

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BSE - PUBLIC Devesh Agarwal:

No issue sir. Just to understand, would all the large retail brokers and the software vendors that you are mentioning are they offering the Sensex product, or you are expecting more to come in which can further drive the volume? Any big broker or software vendor which could actually add to the overall volumes?

Sundaraman Ramamurthy:

So, most of the software vendors as I told you are already providing access to equity derivatives. All the big brokers, many of the big brokers are in, many of the other big brokers are in the process of getting in because overnight changes are not possible on software issues. While the software vendor might have provided acclimatizing it and dovetailing it with the back office all are very important. Also, if you look at it many of the big brokers, they also have their own software. So, their own software will be much more, what should I say, customized for their requirement in such a situation making changes in them takes some amount of time, so they are in the process. As I was mentioning, last Friday, 219 brokers traded in Sensex options. The numbers increase every Friday. We expect the numbers to grow further as more and more people are coming in.

Devesh Agarwal:

And sir, if we compare the option premium to notional numbers for us and the competition, we would be one-third of what they achieved. So, we will be around 7 basis points and they are around 22. I would believe this is partly because most of our volumes is happening around the expiry date. So, any thoughts around that, what are we planning to do about it?

Sundaraman Ramamurthy:

So, see, first of all, between different products, we should not compare. That is one point. Second point is premium is a function of the following: strike price, spot price, time to expiry, volatility and risk-free rate of interest. That is taking only one factor and presuming because of it is the premium percentages are different may or may not be correct. That is one part of it. And second part is of course they are different products. So, that would be my reply to your question.

Devesh Agarwal:

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BSE - PUBLIC And finally, sir, last question from my side. Any target in terms of market share that you have to achieve on equity derivative side?

Sundaraman Ramamurthy:

As I told you, we are not considering ourselves as a competing product to compare the market share. We are always considering ourselves as complementary product. Today I find in media lot of people on my expiry day talking about how they are using Nifty and Sensex together for giving form to their aspirations and v

iews. So, we feel that we are complementary products. We feel therefore our growth should come from within instead of looking at outside and putting across a market share on our head. And also, we are talking about different products, similar but different products. So, strictly speaking trying to put a market share target, in my opinion is not very meaningful.

Anand Sethuraman:

Next question is from line of R Gajra from Informist. Please go ahead.

R Gajra :

So, basically from the presentation, I just wanted a few numbers, if you could share. One was your listing fee income number for the previous quarter that is Q4 of FY23. Listing fee, book building and other services and your mutual fund revenues, so these three for the previous quarter, that is Q4 of FY23?

Nayan Mehta :

So, in Q4 of FY23, that is quarter ending March 2023, our listing fees were Rs. 61 crores, building fee was Rs. 14 crores and mutual fund income was Rs. 24 crores.

Moderator:

Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain:

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BSE - PUBLIC Just to continuing on these derivatives, this has been path breaking for BSE in the sense of volume ramp up that we are seeing. One question, you mentioned that you will do it at an appropriate time that the increase in transaction charges. So, what is there in your mind? When is the appropriate time? Is it the volume reach or is it a market reach? Because from a price point, do you think that change in price to the competitor level would really kind of impact to our volumes in that sense and the apprehension of not increasing the prices right now?

Sundaraman Ramamurthy:

So, let me start from the bottom. It is not any apprehension or anything which is making us to think about an appropriate time. It is about the product sustenance and the people walking in and getting the benefit of a new product which has come as a complementary product to support and de-risk the market from concentration risk. So, that is the idea. Would I be able to tell what the appropriate time is, if I could, honestly, I would have told. Already this is the time by which we will introduce. Do I have a parameter which is single to tell that this is the appropriate parameter, appropriate thing, is it in terms of volumes or it in terms of values or it in terms of participation? The honest answer is I do not know. I wanted to see it is a question of, see the markets are very difficult to predict. As and when they develop, I am sure you will appreciate when you look at it at some point of time you will feel that things have come to steady state. What that steady state is, it could be different for different products and different circumstances. So, once we get internally a feeling of a steady state of this product that will be the appropriate time.

Prayesh Jain:

And furthermore on that, could you share some insights into what is the kind of concentration with respect to the volumes on derivatives today with regards to members or with regards to customers, anything on that sort that can help us understand what is the kind of concentration level?

Sundaraman Ramamurthy:

Sure, we can. Honestly, today with the 212 members participating, the concentration is not there, it is very well spread. If we talk about a participation of 20 members, 30 members, there is typically a big concentration. Fortunately for us, thanks to all people including Motilal Oswal and others who participate in the market, in our products, it has been wonderfully nicely spread. We have good participation from retail, good participation from proprietary traders, good

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BSE - PUBLIC participation from dealer networks, good participation from mobile trading people and good participation from HFT. When I look at it, I find it as a healthy mix of all the types of participant who typically you find in a matured product trading. That

is what I will be able to share.

Prayesh Jain:

With respect to colocation and other CAPEX that you mentioned for the derivatives segment, first of all, what kind of volume levels would you wait for before you kind of start committing towards that number? And secondly, as you had mentioned earlier, I think for the Colocation for the cash segment, you have already kind of started charging the members. Would similar mechanism be implemented and hence no major impact because of the higher operational cost?

Sundaraman Ramamurthy:

No, see here one important point to be noted. Today we are charging in Colocation only to cover our cost. It is not like the market model where Colocation appears to be a profit centre. For us, it is not at the profit centre. It is just a no cost and no profit basis at this point of time. So, it is not the cost charging to Colocation for derivatives or cash it matters. Because Colocation is Colocation, people who put the servers may use it for cash or may use it for derivatives. And our CAPEX planning will not be dependent on volume. As I told you, we already crossed 50 crores orders last Friday. So, it is not orders which would be making us decide on when and how much we have to spend on CAPEX. The question of how much of the requirement that comes from the members for the racks. As you know, BSE has unique services in terms of full rack, quarter rack and half racks. Quarter rack is not a thing which I think anybody else is providing. Only we provide, I feel, I may be right, maybe wrong. We may like to check. So, these services we are providing. So, we have stocks very limited, we are exhausting it. If we find the queue is beyond the number, then we have to necessarily invest in Colo and provide to address those queues. In our opinion, the way the queue is building, we need to therefore invest in CAPEX in the near future, CAPEX to materialize into physical assets has a gestation period. So, we have to be mindful of the gestation period and start investing in advance and there will be therefore some existing queue and some projected queue. So, based on which is what we will start incurring the CAPEX. It is not the volume that will drive, it will be the demand for Colo that will drive. At this point of

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BSE - PUBLIC time, Colo is not a profit centre. That does not mean at some point of time Colo will also be giving some amount of profit.

Prayesh Jain:

Last question from my side, there is still a liquidity enhancement spend that we have seen in this quarter, what is that pertaining to and how do we see it going ahead?

Sundaraman Ramamurthy:

The liquidity enhancement scheme amount you are seeing is not for BSE Limited. It is for India INX, which is our GIFT City exchange.

Prayesh Jain:

Okay. That will continue, right?

Sundaraman Ramamurthy:

Yes, that will be continuing the way where we are, that depends on what the developments are there accordingly it will continue.

Moderator:

Next follow up is from the line of Navdeep, Individual Investor, please go ahead.

Navdeep:

Sir, I wanted to ask you about the kind of cash which is sitting on our balance sheet, what is the management thinking about it and what is the way forward here?

Sundaraman Ramamurthy:

So, buyback is one such effort to take care of that.

Navdeep:

But sir, if I may add, buyback CDSL stake which we have sold. But we do have significant cash sitting on the balance sheet. Is there any thought in that direction?

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BSE - PUBLIC Sundaraman Ramamurthy:

As I was just narrating to you, since the equity derivative segment is taking off. First of all, CDSL sale is equal to buyback is probably not a correct equation. CDSL sale augments the cash reserves, so buyback. That is the way probably I would like to look at it. The question remains very valid. You have a significant cash reserve, what are you planning to do is a very valid

question. As I told

you, it is for the first time BSE is seeing some activity in equity derivatives, thanks to the support from market. So, when we expand there is a quite an amount of expenditure in terms of technology, which I talked about now in terms of front-end system, peripheral system, connecting system, main system, back-end system, the connections to the Clearing Corporation, reporting system, etc. So, clearly, there will be some amount of fruitful CAPEX associated with therefore the depreciation around it and the OPEX where these moneys are going.

Navdeep:

This is regarding the Hindustan Power Exchange. Can you please provide any update on, is the management happy with the kind of response it is getting or anything on that sort?

Sundaraman Ramamurthy:

On the Hindustan Power Exchange, it has reported profit in Q1 and the volumes in power sector are high in the Q1 and Q4 and dips in Q2 and Q3. We have infused the capital of around Rs. 12.5 crores. So, I think the market share in June 23 for contingency and energy savings certificate is

around 32.23 and 32.75. I think things are moving in this direction as far as HPX is concerned. Our associate company with the equity stake of 22.62% in this stage.

Navdeep:

I have been an investor for 5 years and I must congratulate the team. Especially once you have joined, we have seen the exchange moving in the right direction and hopefully it is good days ahead for all of us. Thank you so much.

Sundaraman Ramamurthy:

Thank you for all the support that you all are providing to us.

Moderator :

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BSE - PUBLIC Thank you very much. Ladies and gentlemen, we will take the last two questions. Next question is from the line of Pranav Thakar, Individual Investor. Please go ahead.

Pranav Thakar:

Actually, I do not have any question, but there is a suggestion that why do not we let expiry of Bankex and Sensex because if we have fantastic Friday, let us have Monday magic something like that on a different note. Because most of the volumes are happening on expiry day and I myself I am also a trader, so based on that I can make it out that it will come to grow further. So, do we have any plans on this?

Sundaraman Ramamurthy:

Thank you for this suggestion. What would be your suggestion? Should we have it on Monday or Tuesday or Wednesday or Thursday?

Pranav Thakar:

No, sir. Monday, look, NSE is having Tuesday as financial Nifty expiry. They shifted bank Nifty expiry on Wednesday. Thursday is Nifty expiry. So, only slot which is available to us is Monday. So, I believe NSE is splitting all this to have volume benefit and extra turnover and Monday is the only day which is now available. So, if Monday is available, then we also have benefit of added revenue growth.

Sundaraman Ramamurthy:

Monday mid cap expiry is there, I am told.

Pranav Thakar:

No, it is Wednesday. I do not know if they have shifted to Monday.

Sundaraman Ramamurthy:

But they are shifting, they are shifting.

Pranav Thakar:

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BSE - PUBLIC But sir, there is not much of the volume. It would be the volume would be similar to what Bankex is having right now. There is not much volume and so it will be at par with NSE, and we also have equal opportunities for growth. So, we have only one day if we considered 5 trading days, we have only one day, let us have two days in a week. So, if we can do that, please.

Sundaraman Ramamurthy:

Thank you for the suggestion. We will take market feedback and we will react on it. Thank you so much.

Moderator:

Thank you. Next question is from the line of Rajesh Jain, Individual Investor. Please go ahead.

Rajesh Jain:

My question is almost same as some people asked already on buyback of shares. I can see that as of date this seems to be a futile exercise, we will go nowhere with the kind of movement in the share price. So, I am certain that management must have already b

een thinking about what course

of action is available to them, either by increasing the buyback price or some other means to return money to investors. So, if you can throw some light on that, I will be grateful. Thank you.

Sundaraman Ramamurthy:

The job of management would be to enhance shareholders value. If that is possible through buyback that is what we will do, if it is through any other mechanism that is what the management will strive hard to achieve. The buyback process is well defined regulatorily and statutorily, there are steps stipulated in the journey of buyback. We have just entered into that process by announcing the buyback with the price with a hefty premium as on a specific date which we observed and based on professional advice. Markets movements are not predictable and market movements would always take the course of action to different places depending on its own course. The buyback mechanisms provide for all such eventualities because it is a time-tested regulatory mechanism.

Moderator:

Rajesh, do you have any follow-up question?

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BSE - PUBLIC Rajesh Jain:

No, I think we are just shying away from saying what our thinking is. But I can understand that, thank you.

Sundaraman Ramamurthy:

Honestly, we are not shying away. You see it's our opinion that the buybacks will fail, that is your opinion. So, I will not be the right person to comment on your opinion. So, what I have stated is absolute fact that Rs. 816 was 34% premium over June 30, 2023's price and buyback follows a process and that is the process which we are following. When we are offering for buyback, where is the shying away? It is coming forward and offering and honestly every action is towards the enhancement of shareholder value.

Rajesh Jain:

I have no doubt in that you are enhancing the shareholders' value and you are taking the right steps. But as of date, it seems like a futile exercise that we may spend money, which may go waste. Nobody is going to offer you, means practically if you look at it, nobody is going to offer you shares at 816 when the price has already moved up significantly.

Sundaraman Ramamurthy:

I see your point and we very much note what you are saying.

Moderator:

Thank you. Ladies and gentlemen, for further queries, you may write your questions on bse.ir@bseindia.com. I now hand the conference over to Mr. Anand Sethuraman for closing comments.

Anand Sethuraman:

Thank you. Thank you very much for joining us today. Should you have any further questions like Nirav said, please feel free to reach out to us at bse.ir@bseindia.com. Thank you so much, goodnight.

Moderator:

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BSE - PUBLIC Thank you very much. On behalf of BSE Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

BSE - PUBLIC

November 15 , 2023

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on November 10, 2023

Dear Sir/ Madam,

With reference to our letter dated November 3, 2023, intimating you about the conference call with Analysts/Investors held on November 10, 2023, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com .

This is for your information & record.

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer

Encl.: a/a

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www.bseindia.com | Corporate Identity Number : L67120MH2005PLC155188

BSE LIMITED
Q2 FY 23-24 Earnings Conference Call

November 10, 2023
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:

Ladies and gentlemen, good day and welcome to BSE Limited Q2 FY24 Investors Call.

This conference call may contain certain forward -looking statements about the company which are based on belief, opinion and expectations of the company as on the date of this call. These

statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman – Head, Investor Relations. Thank you and over to you, sir.

Anand Sethuraman:

Good evening, everyone and thank you so much, Yusuf. This is Anand from the Investor Relations team at BSE and welcome everyone to discuss Q2 FY24 Results.

Joining us on this call BSE's leadership team consisting of Mr. Sundararaman Ramamurthy - Managing Director and CEO; Mr. Deepak Goel - Chief Financial Officer; Mr. Sameer Patil - Chief Business Officer; Ms Kamala K. - Chief Regulatory Officer; Mr. Girish Joshi - Chief of Trading and Listing Sales; Mr. Subhash Kelkar - Chief Information officer and Mr. Khushro Bulsara - Chief Risk Officer. Also present here are members of our Finance and Investor Relations team.

Do note that this conference is being recorded and the transcript of this call along with the earnings release and presentation can be found in the Investor Relations section of the BSE India website.

Before we get started, I once again remind you that our remarks today will include forward-looking statements. Any actual results may differ materially from those contemplated by these forward-looking statements and any forward looking statements that we make today are based on assumptions and BSE assumes no obligation to update these statements as a result of new information or future events. With this, I now request Mr. Sundararaman Ramamurthy -

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BSE - PUBLIC Managing Director and CEO to give a brief overview of our company's financial and business performance for Q2 FY23 -24.

Sundararaman Ramamurthy:

Thanks, Anand. Good evening everybody and thanks a lot for joining the call. Happy Diwali. It gives me great pleasure, as always, to address you all today.

As I mentioned in my previous earnings call, the journey we have embarked upon has been nothing short as transformative and I am immensely proud to stand before you today to share our collective achievements and the road map ahead.

Let me start with our efforts to revitalize the BSE Equity Derivative segment. As you may recall, based on member feedback, we had announced the relaunch of Sensex and Bankex derivative contracts with lower lot size and a different expiry on Friday, from May 15, 2023. I believe that building a full-fledged derivatives business is a multiyear journey. I am proud to say that we have made considerable progress to start with the Sensex options. We are 5 months in now, and I am very happy with the trajectory. There are just above 1 million active users at this point and we are now getting to the point where we are going to be focusing on growing the segment further in terms of user base and premium profile. From what we can see currently, market participants have made it their preferred product to trade on Fridays. I am also happy to inform you that we have crossed a significant milestone of having traded more than Rs. 27 crores contracts representing a notional turnover of over Rs. 177 lakh crores today, an all-time high. Our trading systems also process close to Rs. 140 crore orders and Rs. 6 crore trades, which are higher than our equity cash segment. So far, more than 350 members have

traded BSE derivatives

representing more than 10 lakh UCCs since the relaunch.

For Sensex, currently our focus is improving the volumes on non-expiry days and longer dated contracts and of course we believe there should be far more clients who will trade. I think that if we keep at this for a few more years, then we have a good chance of achieving our vision there. On similar lines, we have reintroduced Bankex derivatives with Monday expiry with effect from October 16, 2023. Though it is still early days, the contract has generated significant interest faster than what we had seen for Sensex. In just its 4th Monday expiry earlier this week, more than Rs. 1.35 crore contracts were traded representing a notional turnover of about Rs. 10 lakh crores. 205 members and 42,574 UCC's participated on that day. For Sensex contracts, this trajectory had earlier taken about 8 to 12 weeks. In my previous earnings call, I had mentioned

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BSE - PUBLIC that I was confident that appropriate monetization at appropriate time will follow as we move towards achieving critical mass in terms of participation, volumes and liquidity. I am happy to update that we also reached a monetization milestone in respect of Sensex earlier than originally expected.

With effect from November 1, 2023, BSE has introduced a slab wise transaction structure for the current week Sensex options contract primarily to cover our clearing and settlement costs the exchange was barring as well as the initiative that is needed for the growth of Bankex contracts. Beyond Index derivatives contracts, I also want to share some thoughts on our longer -term efforts to upgrade our technology infrastructure and colocation facilities to drive the momentum for the continued growth of Index derivatives. We now have the ability to process Rs. 800 crores plus orders across segments, up from Rs. 110 crore orders about 6 months back. In terms of trades, we have upgraded our capacity to handle 18 crores trades from 2.25 crore trades about 6 months back. Our focus is expanding this capacity even further in order to support the growth of our derivatives and other segments. Similarly, we are working to increase the colo facilities and align infrastructure in our primary site that is the P J Towers in Fort Mumbai. This will be a major focus area and an important part of our strategy and capital investment going forward. Let me now start with the financial updates . I am happy to inform that BSE has marked a historic achievement, attaining its highest quarterly revenue ever at Rs. 367 crores for Q2 FY24, as compared to Rs. 239.80 crores in Q2 FY23, a growth of 53%. Similarly, BSE's operational revenue has grown by 59% to Rs. 314.5 crores from Rs. 197.7 crores. The net profit attributable to shareholders of the company at Rs. 120.5 crores from Rs. 33.8 crores in the corresponding quarter previous years, which is a growth of 256%.

Key financial numbers on a consolidated basis , I will now share some of the key financial numbers on a consolidated basis for the quarter ended September 30, 2023, as compared to the corresponding quarter previous year .

Revenues from transaction charges increased by 54% to Rs. 98.6 crores, aided by growth in equity cash and mutual fund segment. The Clearing and Settlement operational revenues increased by 98% to Rs. 33.5 crores. Treasury income from Clearing and Settlement funds has increased by 151% to Rs. 57.3 crores. Listing -related income increased by 29% to Rs. 86.7 crores, mainly due to contributions from book -building income and annual -listing income. Other operating revenue, which includes data dissemination fees, training income and software income has increased by

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BSE - PUBLIC 37% to Rs. 25 crores. Investment income increased to Rs. 47.5 crores from Rs. 36.6 crores. The operating EBITDA for Q2 FY24 stands at Rs. 141.7 crores up from Rs. 13.4 crores and operating EBITDA margin incre

ased to 45% as against 7% in the corresponding quarter last year. Similarly, the net profit margin improved to 32% from 12%. I also would like to update that the company bought back 86,532 fully paid up equity shares of face value of Rs. 2 each through tender offer route on a proportionate basis at Rs. 1,080 per equity share.

On the business side, let me start by covering our primary market segment. BSE platforms continue to remind the preferred choice by Indian companies to raise capital. BSE platform has enabled issuers to raise Rs. 3.46 lakh crores by means of equity and debt raising bonds, commercial papers, municipal bonds, etc.

Moving to our trading segment , For the quarter ended September 30, 2023, the average daily turnover in equity cash segment stands at Rs. 5,922 crores compared to Rs. 4,740 crores in the corresponding quarter last year. Like I mentioned earlier, BSE Equity Derivatives volumes have picked up with average daily turnover growing to Rs. 32.82 lakh crores in terms of notional turnover as of October 2023. The average daily turnover in Currency Futures stands at Rs. 10,762 crores as compared to Rs. 18,490 crores the corresponding quarter last year.

Now, let us get into our Mutual Fund distribution segment, which continues to do well. BSE StAR MF delivered yet another quarter of record revenues and performance up 56% year -on-year to reach Rs. 29.35 crores. The total number of transactions processed by BSE StAR MF grew by 63% to reach Rs. 9.6 crore transactions in Q2 FY24 from Rs. 5.9 crores in the corresponding quarter last year. BSE's market share stands at 89% among exchange distributed platforms. BSE StAR MF has been consistently reaching new highs in terms of transactions with the platform for processing a new high of Rs. 3.52 crore transactions in October 2023. On an average, the platform processed Rs. 3.06 crore transactions per month in current financial year as compared to Rs. 2.2 crores in previous financial year. We are going to continue focusing on StAR MF and improve it in terms of scalability, functionality and order processing. The BSE grew directly or via subsidiaries, also has its presence in other related business, including India International Exchange, BSE's exchange at GIFT City, BSE EBIX Insurance Distribution platform with Ebix Inc, The Hindustan Power Exchange HPX in association with PTC India and ICICI Bank, BSE E -Agricultural Markets BEAM, spot platform for trading and commodities and BSE Administration and Services Limited BASL. I am happy to update that the Board of Directors of BSE in the meeting held today have approved the fund infusion of Rs. 22.36 crores in India International Exchange, IFSC Limited, that

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BSE - PUBLIC is India INX and Rs. 33.88 crores in India International Exchange Limited, India ICC towards purchase of equity shares through subscription of rights issue which is our reflection of commitment to GIFT City.

Earlier on, October 18, 2023, the Board of Directors of BSE had also considered and approved the investment of an amount up to Rs. 30 crores in BSE Investment Limited, a wholly owned subsidiary of BSE which will be deployed in potentially successful opportunities. BSE is committed to these new areas and is constantly working with partners for the growth of these businesses. As we move forward, we see that there is a significant opportunity to continue to expand and evolve these businesses.

In Closing: This was another solid quarter for our business, despite facing some headwinds in terms of expenses. We believe the investments that we are planning to make to scale up our product profile, scaling up our technology infrastructure will enable us to pursue long-term growth for our shareholders and deliver on our mission of Vibrant BSE 2025. Happy Diwali once again. With these updates, I now hand over the call back to Anand.

Anand Sethuraman:

Thank you so much for these updates. I request

Yusuf to please open the call for questions and answers.

Moderator:

Thank you very much. We will now begin the question and answer session. First question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal:

My first question is on this clearing and settlement treasury income, we are seeing almost 160% Q-o-Q jump to Rs. 57 crores, is this on account of higher margin money that have during the quarter and if yes, how much is our current margin money and what has been the increase on a sequential basis?

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BSE - PUBLIC Sundararaman Ramamurthy:

As you know, clearing and settlement charges are a function of the fee levied on the clearing and settlement services that we provide and also the margin money that comes from. Exact number of margin money, I wouldn't have in my hand immediately to reply to you because it pertains to a subsidiary company, which is ICCL, but what certainly I will be able to reply you is yes, the revenue coming from clearing and settlement charges have gone up significantly. It is arising out of the increased margin money as you rightly pointed out and the increase in clearing and settlement services that are being offered by the clearing company to the clearing members.

Devesh Agarwal:

But sir, on console number, what we will be seeing the revenues would be net received from NSE, right in terms of clearing and settlement and not on our own transactions?

Deepak Goel :

Yes, Devesh, you are right, at consolidated level, we will see clearing and settlement expenses which are payable to or paid to NSE net of what we have given to our group company, so that will not.

Devesh Agarwal:

I am asking on the income side, I am talking about the Treasury income on clearing and settlement, which has been reported as Rs. 57.3 crore in the quarter and which is of 158% Q-o-Q on the income front?

Deepak Goel :

So what is your question?

Devesh Agarwal:

What has led to this increase?

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BSE - PUBLIC Sundararaman Ramamurthy :

For that part of it as I explained to you that increase is coming from ICCL who is our subsidiary company, the clearing and settlement charges are a function of the clearing and settlement services afforded by ICCL to the clearing members as and when that increases, the charges also increase. Also, it is a function of the margins that are maintained. When we talk about increase in the clearing and settlement services that is the function of the volume of trades that pass through them and get settled and since there is an increased activity, there is an increased clearing and

settlement and therefore the higher revenue.

Devesh Agarwal:

Moving on to the Options segment in equity derivative s, we reported as revenue of Rs. 4.8 crore this quarter as against this, what was the cost that you have incurred?

Sundaraman Ramamurthy:

The cost that we have incurred is much higher than that revenue there. As you recall, we inherited the charges of Rs. 500 per crore of premium for every option contract traded from the previous way in which it was implemented. Since we were changing, we did not touch the charges at that time and we also made a commitment to these stakeholders at an appropriate time and appropriate level of charges will be levied, which has been done only from November 1 of 2023. So the period which is covered here, the charges that were received were at the rate of Rs. 500 per crore of premium. As against that, I think for the month of September, we would have paid around Rs. 17 crores to the Clearing Corporation. So the charges are much higher than what we received as income. Most of this has gone to NCL since a good amount of clearing in respect of derivatives for all the members in the country happened through NCL.

Devesh Agarwal:

And post the increase sir, in the charges now, are we making any net contribution at the gross level after paying charges to

the NCL?

Sundaraman Ramamurthy:

Devesh, you need to give us some time for that because the charges got implemented on November 1, right and we are just now November 10th, and it is not all these days are working

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BSE - PUBLIC days. There was one Saturday, Sunday at least in between, so give us some time, maybe next quarter things will be very clear as to how the income profile is emerging, how the cost profile is emerging. One point what we should notice, we received revenue in terms of premium earned in crores, whereas we pay charges in a very complex fashion which has multiple components including number of contracts traded, premium, etc. So it is not a one to one comparison. So I will not be able to give you a number now. Since it is too early, we need to wait for some time. Maybe in the next quarter investor call, there will be clarity on how much we are making as money.

Devesh Agarwal:

And one last question on Bankex, we continue to charge Rs. 500 as a tariff at this point in time, any thought around what volume would we be increasing the tariff on the Bankex as well?

Sundaraman Ramamurthy:

Yes, it is a very valid question that you are asking. As we stated in respect of Sensex, we need to levy charges at an appropriate time at an appropriate level. At that time, the question that was asked was what is an appropriate time, we mentioned that we need to have a comfort that the volumes that we are seeing are sustainable. So when we felt that the volume probably in respect of Sensex is sustainable, we levied the charge much earlier than even what we anticipated. The same thing will be done in respect of Bankex as well. The charges will be levied at an appropriate level and an appropriate time when we feel the product has become sustainable and the market will be able to absorb the charges that we levied. The answer is yes, we will levy.

Moderator:

Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain:

Just extending the point what Devesh was making on the clearing and settlement cost, if the volumes increase from here on by say 20%, would the cost slowdown or how should we think about this number from a growth perspective as the incremental cost per crores will go down or will it be maintained, how should we think about this?

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BSE - PUBLIC Sundaraman Ramamurthy:

No, it is a very fair question. As I said, it is too early to give you a very clear picture. What I can do is to attempt to give you what the paradigm is. So that now it will be clear next quarter when we are answering it, it will be clearer. As I told that the cost paradigm in respect of clearing of options through NCL is a combination of multiple factors including the number of contracts traded and the premium amount earned out of those contracts that are traded. When we talk about premium and contracts, the premium has a relationship with whether it is in the money, at the money or out of the money. That is one thing which impacts the value of premium and therefore impacts our revenue whereas in terms of number of contracts still it will be 1, right. So the other thing is whether it is near the expiry or before the expiry, whether it is near week, next week, third week, monthly, so it is a combination of, therefore, a complex set of factors. Typically, what I have seen

in my experience is as a product mature more from a simple out of the money trading, more and more contracts converge towards in the money and at the money trading as well, and also simply from trading the current week, it goes and extends to the next week and next to next week as well. So therefore what happens is, once the quality of the trading in terms of number of weeks cover changes, the premium changes, then the per crore cost that you incur in terms of clearing and settlement will change and we will be able to study a better impact probably in the c

oming quarter

because by the time we feel Sensex would have graduated, just not first week and next week, even beyond that and also this volume stabilization would have happened and the charges and therefore the cost that we pay could have stabilized and we will be able to throw more light on this with accuracy.

Prayesh Jain:

Just reiterating what you mentioned, is it fair to assume that if the volumes move closer to at the money contract and longer dated contract, the cost per crore will go down?

Sundaraman Ramamurthy:

Absolutely perfect to understand and assume this.

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BSE - PUBLIC Prayesh Jain:

Secondly, you mentioned that almost every part of the volume you have traded through NSE's Clearing Corporation, is there any way that can change from your side or any push from your side that can change and you don't have to incur this cost in a large manner?

Sundaraman Ramamurthy:

See whether it is the NCL or ICCL whoever is clearing, since they are a separate entity, BSE has to pay the clearing and settlement charges. The one argument you can have is if you pay to BSE's Clearing Corporation, it is in a consolidated accounts position, at least some amount will come back to your balance sheet. That is a fair argument to make so, but that would depend upon the sales promotion capability of ICL and also the member's preference in shifting to ICL from an established place where currently they are trading. While we are very clear and sure that the efforts will be on to help such of those members who want to shift from NCL to ICL and also our effort will be to acquire more new members who are joining the system by providing them better services into Clearing Corporation, that effort will be on, at the same time we should be mindful of the fact whichever Clearing Corporation they clear at this point of time, BSE has to pay a clearing fee to that Clearing Corporation.

Prayesh Jain:

And lastly, any thoughts on currency volumes which have been falling consistently and how do you plan to scale that up?

Sundaraman Ramamurthy:

So that is a very fair question that you are asking. Currency volumes of late I think the country in itself is seeing some amount of not a great growth, it is showing some sort of decline. It could be a combination of multiple factors. Our efforts are on to further and strengthen the currency options segment and so that the volumes can sustain itself and remain at a consistent level. While we will not be able to address macroeconomic factors, we will be certainly able to address whatever we can in terms of more member inclusion, more participation where the efforts are continuously on.

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BSE - PUBLIC Moderator:

Thank you. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra:

So, my first question is on the options revenue and expenses, so just to simplify it, in this quarter based on the old pricing, we have earned Rs. 5 crores of revenue and based on the clearing and settlement expenses excluding what we have done last quarter, this incremental cost of around Rs. 15 crores on clearing and settlement. So, this Rs. 15 crores of cost that is what we have paid to NCL, right and so the revenue that we get on the console P&L, that is the treasury income on clearing and settlement fund, this is the clearing settlement revenue like received from BSE standalone or from NSE, so just want to clarify that?

Sundaraman Ramamurthy:

I am not sure whether I understand the question. My CFO can answer if he is understanding it.

Deepak Goel:

So Amit, I will try to explain it to the best of my ability, the way I have understood. I would say

both are not, treasury revenue or the income which we make on balances maintained with ICCL in terms of margin is different from what we pay for clearing and settlement on option business, which happens on BSE platform.

Amit Chandra:

So, the cl

earing expense of Rs. 15 crores is paid to NCL, right? So this is the correct assumption?

Deepak Goel:

That is the right assumption.

Amit Chandra:

And sir, if you can throw some light on how the clearing and settlement charges as you mentioned that it is not depend on the value that it depends on the number of trades, but mostly if you are a member of one Clearing Corporation then, you can clear either NSE and BSE and as like most of

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BSE - PUBLIC the participants on the derivative segment are the members of NCL, so most of the clearing is happening on NCL, so how come we are receiving revenues, so our share of revenue from the increasing derivative contracts must be very low because if I am not wrong, we have 10% kind of a market share in terms of the Clearing Corporation in terms of the settlement of trades, so how do we address that? And secondly, on the pricing hike that we have done, so I know that we have increased pricing around 5X, but seeing our pricing in all other segments where we are almost similar to NSE or at a premium to NSE, so is it fair to assume that we can have a similar pricing to the NSE and lastly on the volume that is happening?

Sundaraman Ramamurthy:

I only remember clearly the first question, so let me explain to you how the clearing and settlement charges work. So what has been put in place is there is an interoperability agreement between the two clearing corporations. In the interoperability agreement, there are two basic paradigms that have been defined in respect of derivatives, one is or based on the number of contracts cleared. When it talks about the number of contracts cleared, that again is not a simple arithmetic, there are slabs, based on the slabs, per contract clear what will be the charge becomes different. So that is one first paradigm. The next paradigm that is put in place there is the premium amount collected. On the premium amount collected, again there are slabs and based on the slab, differential pricings are stipulated. So this makes it basically to start with as two factors and each factor having multiple slabs and then it talks about whichever is higher. So in the process, what happens, it becomes a complex number to compute, while in respect of the revenue that we earn, it is very simple in the sense that it is based simply on whatever premium that we receive and on that premium there is a slab and in the slab, you extrapolate and you get the revenue. So because of that it is very difficult to equate one with the other. I hope I had explained the first question. If I have missed anything, please do let me know.

Amit Chandra:

On the pricing part?

Sundaraman Ramamurthy:

I remember you asked me whether we will be raising it to the NSE level, right? That was the question, isn't it?

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BSE - PUBLIC Amit Chandra:

Yes.

Sundaraman Ramamurthy:

So see, as I told, we started with no derivatives. Derivatives have not been there with BSE for around 23 years because in 2000 derivatives got introduced. So when we introduced now in 2023, there was a charge of Rs. 500 per crore, which was there, we just continued because we were not concentrating on that, we were concentrating on how to find the product which will be useful for the market. The moment we got a feeling that it is right time now that we have brought a product which is useful to the market, therefore the market will be able to absorb some amount of charges. So we, after consulting the market participants and in close collaboration and discussions with them as to what impact it will have on the trade, what type of impact it will have on the Bid-Ask spread, if we put the charges, what will not come in the way of further product development because still it is in nascent stage isn't it? We just introduced it in May 15th and what can I say we are just 6 months around, so in 6 months the product has not reached its full maturity cycle. So at

this point of time, whatever it can take, that is what we have put in place. At some point of time, if we feel that the market is mature enough to take a higher charge that could be considered. That is point number one or some other point of time, let us assume Clearing Corporation decide to

unbundle the charges and not put the owners of collecting the clearing charges on clearing on the exchange, but let us assume the paradigm evolves where they are going to collect it from the clearing members themselves. Then the entire cost paradigm in itself undergoes a change. Then we will have to revisit whatever charges we are making. Our effort will be to charge that much, which helps in taking care of the interest of the stakeholders and at the same time maintain a balance where it will not come in the way of growth of the product. Is it very easy, no, it is a very fine thin balance. How do we arrive at it? You arrive at it based on trial and error and error should not be there because it can be a trial, it should not be ever an error because otherwise you have killed the product and therefore by way of lot of consulting process with the members and doing your own simulations to see that it can be taken. That is what we will do and that is what we will continue to do.

Moderator:

Thank you. Next question is from the line of Pranav Thakkar who is an Investor . Please go ahead.

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BSE - PUBLIC Pranav Thakkar:

I am a proud shareholder, and this Diwali couldn't have been better with such a great result. And I would also like to thank you for accepting my recommendation to shift the Bankex expiry on Monday. And sir, I also mentioned that I am a trader and I have a couple of recommendations. First is that being an option seller, I normally do Sensibull or Opstra and also option size chart. So when I visit any of this website, I don't find relevant data or strategies which are available for Nifty. So basically what I am trying to say that if the strategies or relevant data are available same as Nifty or bank Nifty or FIN Nifty, in that case we would be able to attract more option sellers, so are we doing some efforts in that direction if you can advise that?

Sundaraman Ramamurthy:

First of all, Pranav, thanks for your suggestion for shifting of Bankex. As you would have observed, we are always listening to people and whenever we get good feedback from people like you and from our members, we always analyze it and wherever we can, we implement it at the appropriate time and thanks for being a shareholder of us and we really value all our shareholders. You were talking about whether sensible and some other names you said, whether they will be displaying all the data in respect of Sense x and Bankex, which they typically display in respect of Nifty or bank Nifty. As you are aware, they are not our platforms, so we do not have any say, whatsoever on what they do. What we can assure you is anybody asking from us anything which is possible for us to provide, we are always ready to help everybody in the market to come out with such type of information which helps the investors to be intelligent and trade. At this point of time, I am not sure whether there are any requests pending from anybody to us where we have not provided what we could provide, if any of these people whom you mentioned were to approach us, we are more than happy to openly look into it and do whatever the best we can.

Pranav Thakkar:

Sir, another thing is what I have observed many times, if I compare the margin of the BSE vis-à-vis the Theta value which is generating on the expiry date, on Nifty, it is coming like 10 or 15 bps higher, so is there possibility that we can reduce by margin to that extent, so that whatever margin is blocked for trading Sensex or Bankex if it is reduced by around 15%, in that case, I will be able to generate the same return as of nifty, I understand that volatility of Sensex

is a little bit higher,

but from a trader's point of view, I am feeling that margin if coming a little bit down it will help to increase the volumes.

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BSE - PUBLIC Sundaraman Ramamurthy:

Thanks, Pranav, for this suggestion. Two points here, one is we will certainly look into your suggestion and see what best we can do, second is having said that margins are based on parameters stipulated by the regulators, so the parameters are applied by the exchanges on the product and whatever number comes out, that is what is charged as margin as you are rightly aware. So, the leeway available with the exchanges for changing the margin parameters is nil and we don't levy anything other than what has been regulatorily stipulated. So having said that, as I told before, we will look into what you said and if there are any merits in it, we can take it up with regulators.

Pranav Thakkar:

And sir, if you can share on the website whatever premium is traded, we can get the notional value of contract, but if you can add the premium value because on the website when you visit, you get total number of contracts traded and the value, but if premium value would be there, as the shareholder, it will give little bit boost and we can get motivated?

Sundaraman Ramamurthy:

Now fully appreciate your suggestion, you will be happy to know that we are already working on it and soon we will be introducing what the data that you are requiring in our website. We are working on it. It is in advanced stages of implementation.

Moderator:

Thank you. Next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani:

Sundar sir, my first question is, you mentioned in your opening remarks about the active users today, could you speak where we are in that journey? What is the possibility in terms of, how many more active users of UCCs, do you think we can reach out to? And then what duration of time did you endeavor to reach out to this universe?

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BSE - PUBLIC Sundararaman Ramamurthy:

So today to share the numbers more than what was shared in the talk initially I had, we have around 7 crores UCC's uploaded already into the equity derivatives of BSE. It is a very big number. What we see is around 1 million UCC's have already traded in BSE Equity Derivatives. The third important number is at any given point of time on an expiry day if you look at it more than 3 lakh UCC's are regularly trading. So this is data. If you ask where it could be, of course it is anybody's guess. What we feel is probably since there are 7 crores UCC's already in the system and 1 million have already traded and since on a consistent basis, around 3 lakh UCC's are trading, there should be a significant increase in this, and that number should be substantially higher than what currently it is. As I said, it is in nascent stages, it will grow. Maybe it should grow at least to 10x compared to what it is now is our view, maybe, but at some point of time we will reach probably whatever numbers that are in the other exchange. I wouldn't know exactly what the number is, my presumption is it could be some 30 lakhs.

Aejas Lakhani:

And sir, from a market participation standpoint, the more larger advanced Algo traders, where are we in the journey of onboarding them onto the platform?

Sundararaman Ramamurthy:

It is a good question. So if you look at it, many of the large Algo traders who are there today in the Indian market, they have already come in and they have started participating with us. So we feel more and more active participation will happen from them as the product further grows in its stature.

Aejas Lekhani:

And sir, could you just speak a little bit about the co-location, how are you thinking about it? And could you just quantify, sir that what is the space available to you today and by when will the incremental racks come up and how should we really construct our

thought process?

Sundararaman Ramamurthy:

Already we have colocation facilities, if you may be aware. We have around 102 racks which is located in our primary data center which is in P J Towers. So we have allocated them to our

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BSE - PUBLIC members who are aspiring to take them and this is world class colo facility and people are utilizing it already. As we grow the product, our understanding is there will be more and more requirement of colo racks which we will be very happy to provide. We are working on it in finding out space which will suit the requirement within the building in the primary data center itself and we are working to provide it ASAP, so that when a member comes and asks for colo racks we will be able to provide them.

Aejas Lekhani:

Sir, any timelines on when you may incrementally provide this?

Sundararaman Ramamurthy:

It will be a process, it will be going on that, so and then when we get the requirement we will be going on increasing the capability and we will be providing.

Moderator:

Thank you. Next question is from the line of Rahul Kumar an Individual Investor. Please go ahead.

Rahul Kumar:

Sir, my question is, are you planning to introduce more derivatives on Tuesday or Wednesday expiry, IT derivatives or FMCG derivatives?

Sundararaman Ramamurthy:

So Rahul, I will split the question into two. The first question is, are you planning to introduce new products, the short and sweet answer is yes. Are you going to introduce products expiring on Tuesday and Wednesday and Thursday? Sorry, the answer is I don't know, why I say I don't

know, I will be coming up with new product ideas and as always I do we will be going to the members and asking them which day of expiry suits them. Whatever the members ask me to do that is what I will do because it is not that I introduce and members trade, it is me who will ask them what I should do and whatever they ask me to introduce as product and whatever is the timeline and whatever expiry date, that is what I will do.

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BSE - PUBLIC Rahul Kumar:

My second question is sir, we are not getting any volume in Equity Futures, any planning to increase it?

Sundararaman Ramamurthy:

I presume you are asking about individual stock futures. As you would have seen only on the relaunching a product, we are able to get a traction where we concentrated relaunch after talking to the brokers. We have not gone and talked to any of our members about stock product at this point of time. At an appropriate time, we will be talking about the appropriate stocks that we need to introduce and we will do the needful.

Rahul Kumar:

And sir, my last question is on Equity Cash, our market share is housing around 8% whereas in last month we see significant jump, but in this month we are seeing our market share is going down again, so any plan for this?

Sundararaman Ramamurthy:

See the market share of BSE has been a function of what is the total activity in the market and based on that, there is a market share that is coming in. We have been working as I always used to tell with all the institutional members like AMC's, LIC, insurance companies and all requesting them to divert some amount of order flow into our exchange. As you know, historically in the last few years, the market share of BSE has come down to as low as 5%. We are striving hard to take it up. We are working with a lot of them and we are also working with all the Algo players, retail traders and all to provide a level playing field to BSE whereby there is a significant and good amount of order flow coming to our equities market so that BSE can become vibrant. We will continue our efforts still we reach our goal.

Moderator:

Thank you. We will take the last question from the line of Faizaan Joad from Singularity Holdings. Please go ahead.

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BSE - PUBLIC Faizaan Joad:

My question is just on the option volume market share, what is the

market share, the derivatives

volume does BSE aim to capture over the next 2 -3 years or even the next 12 months given the traction you received in the last 5 months?

Sundararaman Ramamurthy:

Faizaan, it is factual but also in a lighter vein, my market share is 100% of what it is, why do I say that. My product is not available anywhere else, right? Sensex is available only with me, so whatever I trade is my 100% market share, so that is what a lighter vein, but to answer your question in all sincerity, what you are talking about is what is the growth percentage we are expecting in the market. That is how I interpret it. We are not looking at growing this product in terms of market share because as I said, you cannot compare apples with orange juice and mine is a complementary product, not a competing product. So it will not be fair on my part to talk about market share. We are thinking about extending it to at least 400 to 450 members across the country, have at least 30 lakh UCC's trading on it on a regular basis, have an active current week, next week and next to next week and next month contract. These are the parameters by which we are measuring our success. We are not benchmarking our success in terms of what is happening in the market elsewhere. We are benchmarking our success in terms of whatever is the journey that we are stipulating for ourselves and against which we are telling that where we have to go. That is the way we are looking at it.

Moderator:

Thank you. Ladies and gentlemen, that was the last question for the day. I now like to hand the conference over to Mr. Anand Sethuraman for the closing comments.

Anand Sethuraman:

Thank you, Yusuf and I thank all the participants for participating today. I wish you all a Happy Diwali. Thank you.

Moderator:

On behalf of BSE Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2024

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BSE - PUBLIC
February 07, 2024

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on February 05, 2024

Dear Sir/ Madam,

With reference to our letter dated January 29, 2024, intimating you about the conference call with Analysts/Investors held on February 05, 2024, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com

This is for your information & record.

Thanking you,

Yours faithfully,

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer
Encl: a/a

BSE LIMITED
Q3 FY 23-24 Earnings Conference Call

February 5, 2024
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:
Ladies and gentlemen, good day and welcome to the BSE Limited Q3 FY24 Earnings Conference Call.
This conference call may contain forward -looking statements about the Company, which are

based on the beliefs, opinions, and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman. Thank you and over to you sir.

Anand Sethuraman:

Thank you so much, Rayo. Good evening, everyone.

Before I start, apologies from our side as our board meeting went longer than expected and welcome to BSE's Earnings Call to discuss the Q3 FY 2024 Results.

Joining us on this call is the BSE's Leadership Team consisting of Mr. Sundararaman Ramamurthy – Managing Director & CEO; Mr. Deepak Goel – Chief Financial Officer; Mr. Sameer Patil – Chief Business Officer; Ms. Kamala K – Chief Regulatory Officer; Mr. Girish Joshi – Chief of Listing and Trading Development and Mr. Subhash Kelkar – Chief Information Officer. Also present here are the members of our Business, Finance and Investor Relations team.

Do note that this conference is being recorded and the transcript of this call along with the earnings release and the presentation can be found on the investor relations section of the BSE India webpage. Before we get started, I once again remind you that our remarks today will include forward looking statements. Any actual results may differ materially from those contemplated by these forward -looking statements and any forward -looking statements that we make today on this call are based on assumptions and BSE assumes no obligation to update these statements as a result of new information of future events.

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BSE - PUBLIC With this, I now hand over the call to Mr. Sundararaman Ramamurthy – Managing Director and CEO, to give a brief overview of the Company's “Financial and Business Performance” for this Q3 FY 2023 -24.

Sundararaman Ramamurthy :

Thanks, Anand. Good evening, everybody and a warm welcome to all our esteemed stakeholders for joining the call today. It gives me great pleasure as always to address you all today.

I am happy to say that 2023 has been crucial in laying the foundations for the future growth of BSE. We have successfully initiated a significant milestone by laying the foundation of our equity derivatives segment. Our achievements in 2023 paved the way for the next steps to be delivered in 2024. We have a strategic plan with the expansion of our core data centre and onboarding new members in our trading business. These are the critical bricks to complete our presence across the integrated value chain allowing us to innovate and shape capital markets in line with evolving client needs and making BSE even stronger to deliver future growth. We have actively responded to evolving investor preferences and market dynamics and the results are evident.

The key driver of our growth has been the performance of our equity derivatives contract, that are Sensex and Bankex. As you recall, we relaunched these derivatives in the month of May 2023 with the aim of providing investors with enhanced flexibility and hedging opportunities. This move has proven to be immensely successful exceeding all our expectations. I am particularly delighted to announce that BSE ranks second among exchanges globally and our flagship index, Sensex, ranks fourth in terms of derivatives contracts traded in 2023 according to the data published by Future Indus

try Association. It also gives me pleasure to inform you that Sensex derivative is still growing and broke its record on 2nd February 2024 when more than 49 crore contracts traded representing a notional turnover of Rs. 356 lakh crores and a premium turnover of Rs. 27,500 crores. Our trading systems also processed more than 220 crore orders and 9.6 crore streams. Since the relaunch, 375 members have traded BSE derivatives representing more than 23 lakhs UCCs. The Bankex contracts has also generated significant interest, expiry date change to Monday on October 16, 2023. Today, in its 17th Monday expiring, the Bankex contracts created a new record with 9.7 crore contracts traded, representing a notional turnover of 75.7 lakh crore. We are constantly monitoring its performance and will revise it like we did with our Sensex contracts. One crucial area requiring our immediate focus is further diversification of our participant base. We have not seen the full spectrum of market participants actively engage with

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BSE - PUBLIC our derivatives platform. Expanding our member base is a top priority for us in order to build liquidity on non -expiry dates and longer dated contracts. As a part of our commitment to providing the fastest, most reliable and cost -effective trading experience, we are investing in developing a good co -location facility. While this will incur some expenditure in the short term, it

is a strategic investment that will deliver benefits in the long run. We are confident that this will solidify BSE's position and drive our continued growth in the years to come. We now have the ability to process around 800 crores plus orders across segments up from 110 crore orders about 6 months back. In terms of trades, we have upgraded our capacity to handle 18 crore trades from 2.25 crore trades about 6 months back.

Let me now start with "Financial Updates":

I'm happy to inform that BSE has achieved another milestone breaking our previous quarterly revenue record, achieving revenues of Rs. 431.5 crores compared to Rs. 245 crores in Q3 FY23, a growth of 76%. Similarly, BSE's operational revenues have grown by 82% to Rs. 371.6 crores driven by strong volumes in equity, equity derivatives and mutual fund distribution segment. The net profit attributable to shareholders of the Company stands at Rs. 108.2 crores compared to Rs. 51.6 crores in the corresponding quarter previous year.

I will now share some of the "Key Financial Numbers" on a consolidated basis for the quarter ended December 31st, 2023, as compared to the corresponding quarter previous year:

Revenues from transaction charges increased by 163% to Rs. 166 crores aided by growth in equity cash, equity derivatives and mutual fund segment. The clearing and settlement operational revenues increased by 81% to Rs. 32.9 crores. Treasury income from clearing and settlement funds have increased by 115 % to 46.9 crores. Listing related income increased by 20% to 89.4 crores due to contribution by book building income and annual listing income. Other operating revenue, which includes data dissemination fees, training income and software income has increased by 19% to Rs. 21.4 crores. Investment income increased to Rs. 54.6 crores from Rs. 34.8 crores. The operating EBITDA for Q3 FY24 stands at Rs. 91.9 crores up from Rs. 39 crores and operating EBITDA margin increased to 25% as against 19% the corresponding quarter last year. Similarly, the net profit margin improved to 25% from 19%.

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BSE - PUBLIC I also want to appraise you of two key factors that impacted our profitability: One is contribution to core SGF. BSE's clearing arm, ICCL, had to contribute an amount of Rs. 91.7 crores for Q3 FY2024 towards its equity and currency derivative segment. This is 67% higher compared to entire previous financial year. Second is clearing and settlement charges. As you know, these charges are a function of the fee

levied on the clearing and settlement services provided by clearing corporation. BSE has incurred a cost of Rs. 63.8 crores on a standalone basis compared to Rs. 40.2 crores in the previous quarter.

On the business side, let me start by covering our primary market segment:

BSE platforms continue to remain the preferred choice by Indian companies to raise capital by enabling issuers to raise Rs. 4.12 lakh crores by means of equity and debt bonds, commercial papers, etc.

Moving on to our trading segment:

For the quarter ended December 21, 2023, the average daily turnover in equity cash segment stands at Rs. 6,643 crores compared to Rs. 4,234 crores in the corresponding quarter last year. Like I mentioned earlier BSE equity derivatives volumes have picked up with average daily turnover growing up to Rs. 71.14 lakh crores in terms of notional turnover as of December 2023. The average daily turnover in currency futures stands at Rs. 5,558 crores compared to Rs. 20,937 crores in the corresponding quarter last year.

Now let's get into our mutual fund distribution segment which continues to do well:

BSE StAR MF delivered yet another quarter of record revenues and performance up 55% year-on-year to reach Rs. 32.84 crores. The total number of transactions processed by BSE StAR MF grew by 60% to reach Rs. 10.99 crore transaction in Q3 FY24 from 6.86 crores in the corresponding quarter last year. BSE market share stands at greater than 89.5% among exchanged distributed platforms. The BSE StAR MF has been consistently reaching new highs in terms of transactions with the platform processing a new high of Rs. 4.34 crore transactions in Jan 2024. On average, the platform processed Rs. 3.2 crore transactions per month in the current financial year as compared to Rs. 2.2 crore transactions per month in the current financial year. We are going to continue focusing on StAR MF and improve it in terms of scalability, functionality and order processing.

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BSE - PUBLIC The BSE Group directly or via subsidiaries also had its presence in other related business, including India International Exchange (India INX), BSE's exchange at GIFT City, BSE Ebix, Insurance Distribution Platform with Ebix Inc., the Hindustan Power Exchange HPX in association with PTC India and ICICI Bank, BSE E -Agricultural Markets, BEAM, Spot Platform for Trading in Commodities, and BSE Administration and Services Limited. BSE is committed to these new areas

and is constantly working with partners for the growth of these businesses. As we move forward, we see that there is a significant opportunity to continue to expand and evolve these businesses. In closing, I want to say that 2024 will be another transformational year for BSE. With the projects we are implementing, the plans we are preparing, which I am confident will shape the future of BSE Group. All of us will be working hard on numerous transformative projects including expansion of data centre, a new mutual fund platform enhancing our data and index business, numerous regulatory projects, and improving our clearing and settlement services. I am certain that our diversified business model, our hard work, and our agile operating culture combined with our continued cost discipline will allow us to shape the capital markets for future. With these updates, I now hand over the call back to Anand.

Anand Sethuraman:

Thank you so much sir. With this update, I would like to open the floor for questions and answers. Thank you.

Moderator:

Thank you. We will now begin the question-and-answer session. The first question is from the line of Pranav Thakkar, who's an individual investor. Please go ahead.

Pranav Thakkar:

Thank you for the opportunity. And congratulations on receiving outstanding CEO Award in Capital Markets. Sir, if you can share update with reference to the merger which is proposed in GIFT City, where we are and how long it will take?

ke?

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BSE - PUBLIC Sundararaman Ramamurthy :

Thank you so much for the congratulatory message. My apologies that my throat is very bad and in case I cough in between, my apologies for it. GIFT City as you know is very, very close to our heart and it is a project of national importance and as you know that we were the first exchange to be there and we are doing whatever we need to do there in the most expeditious fashion, the way that we can move around for furthering the cause of GIFT City and therefore there is a unified approach to the outsiders as far as India is concerned through GIFT City. The work is on. It is very tough at this point of time to put an exact timeline to say when it will get completed because whatever work we are pursuing today has lot of requirements to be fulfilled from multiple regulatory agencies. But what we are able to assure at this point of time to our investors, is our commitment and steadfast work that we are continuing to do with our GIFT City.

Pranav Thakkar:

And sir, if you remember, I made a suggestion that some of the data publishing site like Sensibull or Opstra are not publishing the data with reference to Sensex and Bankex which they typically publish for Nifty, Bank Nifty or Finnifty. So as a shareholder, I request if anybody from the team can approach them because as I see the larger picture, if any analyst appearing in the Business News Channel, they normally refer to data about call open interest before giving any recommendation. So the frequency of the calls which are coming on Sensex and Bankex are comparatively very low, or you can say almost negligible. So if we can do on that front...?

Sundararaman Ramamurthy :

Thank you so much for your kind suggestion. We value your suggestion, and we will take your advice. We have been continuously putting our efforts to any agency who wants our data to provide it. And we also proactively approach agencies for providing the data wherever it could be of service to the investors. We totally take your advice, and we will continue our efforts and journey towards making visibility of Bankex and Sensex to increase. One reason probably could be, is the other products which are typically covered are 23-year-old. Since we are in the initial stages of growth, probably it is taking time. With good people and well-wishers like you and our efforts, I think soon we will be able to get more popularity for Sensex and Bankex. Thank you so much once again for this.

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BSE - PUBLIC Moderator:

Thank you. The next question is from Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal:

Sir, my first question is around the equity derivative segment. If you could share the blended tariff for the quarter as well as the payment that we have made to NSE for the clearing and settlement for the third quarter, just for the equity option segment.

Sundararaman Ramamurthy :

So, the blended numbers and all it keep on changing. If they keep on changing, I think we have put still whatever it is in the presentation. One minute let me refer to the number and tell you. Currently it works out around 2145, but what I need to tell you is that these numbers can keep on changing because the mix is going to change and therefore this will change.

Anand Sethuraman:

Hi, Devesh. If you refer to our investor presentation, we have a slide on equity derivatives segment. So, if you can see, we have given the total revenues, that is Rs. 34.2 crores, and you can see the premium turnover, that's around Rs. 4,030 crores. So if you can just do a simple division, you'll get a blended rate of our equity derivatives. And also, as you know, we have slab -wise structure for Sensex derivatives, and we have a flat fee of Rs. 500 per crore for Bankex . So, this is the rate that is coming up as of now. Slide 14, you can refer to our investor presentation.

Devesh Agarwal:

Right, Anand. I think the tari

ff part is clear. If you can help me with the cost part as well, the amount that we have paid to NSE?

Anand Sethuraman:

If you heard our further speech, we did mention that the BSE incurred a cost of Rs. 63.8 crores for Q3 as compared to Rs. 40.2 crores for Q2. So this was given as an update in the speech as well.

Devesh Agarwal:

Right, so this is largely for equity options.

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BSE - PUBLIC Anand Sethuraman:

Yes.

Kamal K:

Anand, if I may add, payments is to NCL and not to NSE.

Anand Sethuraman:

Yes, so just to clear, we make payments to both NSE clearing as well as to ICCL.

Devesh Agarwal:

Okay. And for the SGF contribution that we made during the quarter, again, you mentioned largely it's for equity options. So, my understanding was that because a large part of clearing is done by NSE Clearing Corporation, the obligation of SGS to a large extent would be on them and not on us. So, to that extent, this 90 crore contribution has surprised.

Sundaraman Ramamurthy :

Sorry for interruption, one element of clarity. The SGF contribution of 91.2 has not arisen out of the trading volumes or whatever it is from equity options. It has come from our activities in currency derivatives segment.

Devesh Agarwal:

So, I just wanted to know, will this run rate continue any sense that you can give for the coming quarters?

Sundaraman Ramamurthy :

It's a very good question that you are asking. The SGF computation, as you know is based on the regulatory parameters that have been put in place and has multiple parameters including the open interest, the market volatility, etc. So, since it is very difficult to predict the volatility part of it and open interest at any point of time, and it certainly fluctuates, so it's very difficult to give a forward -looking number as to how would be the SGF growth. Suddenly you find in one quarter or in one month, there is some activity, which as per the SEBI parameters when you compute necessitates in a contribution to the SGF. So it is, at this point of time not possible to quantify what will be the future trend of SGF requirement.

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BSE - PUBLIC Devesh Agarwal:

Right sir. And sir, can you share the UCCs between Sensex and Bankex just to know what is the scale up that has happened in Bankex and how much it can more grow?

Sundaraman Ramamurthy :

So the Sensex at this point of time, we find 23 lakh UCCs have traded till now and on expiry day, last expiry day that day we found around 7 lakh UCCs participating. All the UCCs who are in Sensex are also part of Bankex, but in trading part of it, around 2 lakh UCCs are participating in Bankex at this point of time, last expiry, that is today when we have seen.

Moderator:

Thank you. Next question is from Marcel , who's an individual investor. Please go ahead.

Marcel:

First of all, I have a strong suggestion that being an investor of BSE, we always want to stick to BSE and all our reports we want to see in BSE. But there is a very severe problem in the IT portal

of your Company of BSE Exchange, whenever we see the corpo rate announcement of any Company, it simply gives the message that the page you are looking for has been removed or error 404. So, sir, can you please direct this to CIO to fix this problem. If I can get email ID of him, I can send him screenshot also beca use it becomes so embarrassing that if we never want to open the other exchange website. We only want to go through your website, but then we are forced to just drop your website and go to the other exchange website to see the result of any Company. And it happens even if some announcement has come three days ago, today we cannot see because the page always shows error. Many times it shows error.

Sundaraman Ramamurthy :

I am extremely sorry to hear this. Our sincere apologies that you faced with difficulties. My humble request is if you could please send a mail to us so that we can get in tou

ch with you and

we will certainly work on this.

Marcel:

On which email ID should I send sir?

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BSE - PUBLIC Anand Sethuraman:

You can send it on bse.ir@bseindia.com and we will forward to the relevant people in BSE.

Moderator:

Thank you. The next question is from Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain:

So, I have total 3 questions. Firstly, is on the question that Devesh was asking earlier. If I look at the currency volumes, they have been significantly lower when we compare YoY and still, we have contributed good Rs. 90 crores to SGF. So why is that? That was the first question.

Sundaraman Ramamurthy :

You have asked a very, very valid question. When the volumes in currency have gone down, why are you contributing a significantly higher amount to the SGF, is your question. It's absolutely very valid from a perspective of optics. But what happens is the c omputation of SGF is as per a prescribed methodology of SEBI. It does not consider volumes in that perspective. It considers the open interest at the individual level and any concentration at any individual level and also the volatility associated with mar kets apart from various other factors. Given by those parameters, the number comes as an increase of Rs. 92 crores. Logically, it becomes very difficult to take it but that is what the current formula is. And we have to abide with all the regulatory requir ements.

Prayesh Jain:

The second is on the clearing and settlement cost. So, what would be, how would we bring this down? So, one was obviously the longer dated options volumes and possibly you would need institutional investors to use Bankex and Sensex for hedging th eir portfolios. That would be one of the things or the second move could be people changing from NSE clearing corporation to our clearing corporation, where are we in both of those elements to bring the clearing and settlement costs down? Because that's kind o f taking away the profits for us. Yes, that would be my second question.

Sundaraman Ramamurthy :

So very good question that you're asking. Actually, there is another method apart from the two you said. It is the clearing corporation deciding to charge reasonably. That is the first method

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BSE - PUBLIC actually to be very honest. We have already requested the other clearing corporation. The lion's share of the clearing is done by our members with NCL. We have written to them telling that it is too much of a cost and they should relook at it because it is long time since the interoperability agreement was signed between clearing corporation. And it is time to review that, and we have been requesting for a review. So that we will continue to pursue. With regard to the institutional volumes, it is more impor tant tha t even from a clearing and settlement perspective, in order to ensure, first of all there is a volume growth, there is sustainability, there is scalability, and there is open interest across all expiries, it is very important to increase the institutional p resence in the derivatives market. We are working seriously with foreign participants, FDI clients. The reason is Indian domestic institutions do not have large scope for trading in equity derivatives. So, it should be only through the foreign par ticipants we need to bring in this type of a stability in terms of open interest and trading activity across multiple expiries and the effort is on.

Prayesh Jain:

Lastly, could you mention the kind of investments you would be doing for the co -location services and when do we see this to be a revenue driver for us and what could be the size of the revenues that we can look at?

Sundararaman Ramamurthy :

Yes, good question again. So the investment is ongoing and as you know these are all not short-term projects because it is not about bringing up something in a physical manner. So it takes some time. The projects are on. The pro

jects will start delivering racks to us somewhere in the first quarter onwards of this calendar year, I mean not the financial year, and going forward throughout the year, it will be month-on-month delivering some additional racks. At this point of time, the main focus is to get the facilitation done for the investors and the brokers and other members. And once the volumes pick up, monetization will happen at the appropriate rate and the appropriate time. Monetization happens generally in two fashion. One is about the rack rent. That is more of a cost recovery. There at this point of time, our rack rents are much lower. So we will bring it to market levels at some point of time. As I say, at the appropriate time. And about the order messages per second, which also generally gets charged elsewhere, we will look at it at the appropriate time. So it is a question of more what the market can take and how the market grows. So now the primary focus from our side is to ensure the infrastructure is available for people to participate, deepen the markets, bring in greater stability, and therefore a good product for the future.

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BSE - PUBLIC Moderator:

Thank you. The next question is from Santhosh Kesari from Kesari Finance. Please go ahead.

Santhosh Kesari:

I just have two questions. One is that what is the net cash balance of the BSE at this point of time. That's my first question.

Sundararaman Ramamurthy :

So I will ask my CFO to see. I think what you are asking is what is the net cash balance. I don't know whether I have understood the question well. I will ask my CFO.

Deepak Goel:

So Santhosh, at this point in time, we are maintaining a net cash surplus of about Rs. 2,000 crores.

Santhosh Kesari:

My second question is about the distinction between treasury income and your other income that you are showing in the presentation, if you can just clarify on this one?

Deepak Goel:

So Santhosh, investment income has been shown separately in standalone as well as in consolidated financial results. For the current quarter in consolidated basis we have under investment income of Rs. 54.57 crores and at standalone level we have got a treasury income of Rs. 41.2 crores.

Moderator:

Thank you. Next question is from Deepak Ajmera from IGE Family Office. Please go ahead.

Deepak Ajmera:

Looking or comparing with the NSE profitability, we are already at 15% -16% of the profitability level, market share level. But the profitability, if I compare with NSE, they're generating almost 10,000 crore of profit from options and by when we can expect Rs. 1500 -Rs. 1600 crores profit at the current market share?

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BSE - PUBLIC Sundararaman Ramamurthy :

Honestly, I don't think I have a reply for this because if you would have recalled my previous conversations as well, we are doing it from the perspective of providing a marketplace which is vibrant, which helps in addressing concentration risk and provides very good complementary product. That is the way we are measuring our success and incidentally that give rise to the profits. So our focus will continue to remain the same, to make BSE vibrant and provide a very good vibrant complementary product which helps in reduction of concentration risk. How much it will contribute to profitability? Is the profitability comparable? These will be very difficult questions because of the simple reason. If you look at the contribution of profits, from the top line to the bottom line with increasing profitability, exchange being fixed cost business, the marginal contribution to the bottom line by every rupee added to the top line goes on increasing. So it is a question of how we are able to make the products of BSE relevant and vibrant so that we get into the trail of increasing marginal contribution of the topline to the bottom. So that will be our continued effort.

Deepak Ajmera:

I asked this because lots of scop

e is there on the charges side also. And mainly on the charges side, currently we are charging much less charges. And it doesn't impact as such the turnover related charge, Rs. 3000 or Rs. 2000 or Rs. 500 . So that's going to be one thing?

Sundaraman Ramamurthy:

It's a very, very fair point that you are making. Yes, we do feel that there are a lot of good opportunities for us to increase the revenue of BSE. We look at revenue from two perspectives, how we are very careful and conscious about spending, the cost part of it we are very careful about. And in respect of revenue, as I promised to the shareholders at some point of time in the last-to-last quarter, that appropriate time we will start charging for derivatives. We have started charging. We have made a beginning. We very closely watch the market and its behaviour based on whatever we are doing. And based on market feedback, based on the voice of customer, we will be very much considering whatever appropriate levies to be made from time to time and that will certainly show up in the increase to profitability.

Moderator:

Thank you. The next question is from the line of Jayan Kharote from Jefferies. Please go ahead.

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BSE - PUBLIC Jayan Kharote:

Two questions from my side. One is just digging on the SGF piece a little more. Is there a part of the Rs. 91 crore which was towards currency derivatives or was all of it towards that? And secondly, what we've seen is our currency derivatives, ADTV has been sort of consistently or steadily moving down. So if you're moving on the same trajectory, it's fair to assume that the SGF piece will be at least as far as these levels or lower and not more than this?

Sundaraman Ramamurthy :

Your second part of the question was not audible to me. First part was audible. In the first part, you asked whether it is all because of currency derivatives or part of it towards currency and part of it towards equity? To clarify, it is all because of currency derivatives. The second part of the question was not properly audible. If you could please summarize and repeat again, I'll be very happy to answer.

Jayan Kharote:

Yes, sir. Just to summarize, basically our turnover in currency has been steadily coming down. So if this trend continues, is it fair to assume that the SGF contribution should be similar or lower incrementally?

Sundaraman Ramamurthy :

See, as I told, it is just not the volumes that decide the contribution to SGF. As you have observed, the volumes have come down but still the contribution has gone up. So it is, it may not be that fair to assume that if the volumes continue to go down there will be no SGF contribution to currency segment.

Jayan Kharote:

No sir, I didn't say no, I said similar or lower but not more than this.

Sundaraman Ramamurthy :

That is a probable way to look at, but it is very difficult to predict because as I told you the computation of SGF is based on a host of parameters. It is just not a linear model. Because it is not a linear model, it is very difficult for anybody to predict what it will be.

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BSE - PUBLIC Jayan Kharote:

And second question, sir, in terms of monetization of our derivative piece, at what levels of premium are we comfortable moving in? Basically, we've seen Bankex also do steady Rs. 5,000 crores – Rs. 6,000 crores of premiums on Monday . Is there a number that you have in your mind? How do you think about moving ahead with monetization over there?

Sundaraman Ramamurthy :

So it's a good question again. So if you recall, last to last quarter when the same question was asked to me about Sensex, the point that I made was it is just not the volume on a single day or volume on multiple days that clearly makes us to decide whether it is the right time to charge. We look into a host of factors, including the participants and various other things, which makes us feel comfortable. And we also go to

the markets to talk to them about, understand from them what their plans are so that we will be able to take a conscious call. So it is not possible for me to just say if Bankex volumes touch this many crores, I will start charging. It's a host of factors which we look into to find ourselves comfortable that by charging. We are not killing a product, but we are only growing, making it grow.

Jayan Kharote :

That's very fair says and just a last question if I could just squeeze in on the clearing piece slightly

longer term, is there any regulatory tweak or change that you feel is necessary to make the clearing market sort of more level playing?

Sundaraman Ramamurthy :

See, our country has the benefit of a very proactive regulator who thinks about all aspects. So, I am sure wherever there is a need for any regulatory intervention, they will intervene.

Jayan Kharote :

Anything that you feel is needed right now from BSE perspective?

Sundaraman Ramamurthy :

So at this point of time, we are already putting ourselves on multiple areas of work. As I told you, we are talking with the NCL for review of the agreement. We are also talking to large scale

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BSE - PUBLIC participants to ensure that there is a deeper contract, open interest across multiple expiries. That is where we are engaging ourselves at this point of time.

Moderator:

Thank you. Next question is from the line of Aman, who is an individual investor. Please go ahead.

Aman:

Within derivative segment, what is the contribution of Bankex versus Sensex?

Sundaraman Ramamurthy :

You are talking in terms of volumes or are you talking in terms of revenue?

Aman:

You can tell either, revenue preferably, but if you can volume.

Anand Sethuraman :

So Aman, just to answer your question, today almost 82% of all volumes are on our BSE are from Sensex options and the rest are from Bankex options.

Aman:

Secondly, again on SGF only, almost Rs. 150 crore has been spent on the SGF fees. Out of that, 91 crore you said is for derivatives and I'm assuming the 60 -odd crore must be spent between the regular equity and the equity derivative. Is it possible that such a dramatic impact which we have seen for currency segment can also happen for the equity derivative segment at some point in future, depending on whatever calculation methodology which the regulator has defined?

Sundaraman Ramamurthy :

First of all, Aman, there is no further Rs. 60 crores in this. It's only Rs. 90 crores, and I don't know where you are getting another Rs. 60 crores to put it up as Rs. 150 crores. Kindly look at it. It is the contribution to the SGF only, Rs. 92 crores, a rising fully out of currency segment. And I can only repeat the same answer if you ask me to project anything on SGF. It is based on a host of factors as decided by the parameters are provided by SEBI. So any projection whatsoever in respect of any segment you ask, any number of times, any number of investors, the answer has to be same.

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BSE - PUBLIC Aman:

It is not possible to be projected. I got it. So within this Rs. 90 crore - Rs. 92 crore number, there is no contribution for the equity derivative business?

Sundaraman Ramamurthy :

I think I have already clarified it three times. I'll clarify it for the fourth time. This entire amount is for currency derivatives.

Aman:

Okay, but something like this, the Rs. 92 crore what has happened for currency, can it possibly happen for equity derivative as well? That is my last question.

Sundaraman Ramamurthy :

I heard the same question before also from you, and I replied. It is not possible for me to predict whether it will happen for equity options or not because it is a complex algorithm.

Moderator:

Thank you. Next question is from Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra:

My first question is on the pricing. Obviously, you have answered on the pricing part, your thought

process on charging for Bankex, but if I see in comparison to what NSE is charging versus what BSE is charging, then all the other segments we are at par with NSE or even higher. So is there a thought process in place that we can match the pricing with NSE? And also in terms of SGF, obviously you have answered the question, but if you can provide the total SGF that we have and also the SGF amount in all the various segments, currency versus equity?

Sundaraman Ramamurthy :

Amit. If you ask four questions together, I may not remember. In fact, now I don't remember the first question that you asked.

Amit Chandra:

First on the pricing matching with the NSE.

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BSE - PUBLIC Sundararaman Ramamurthy :

As I told you, it is not a question of benchmarking game with NSE. It's a question of the product and what impact the pricing will have on the bid -ask spread? How much of bid ask spread increase will happen if there is a cost from the exchange? How much it will impact liquidity? At what levels the bid -ask spread increase will not matter for the liquidity perspective. These are the points that we look into before getting into charges. So simply to say that NSE charges are this and BSE charges should be same as that may not work because in the interest of the product, the product's liquidity is paramount to ensure. So I will not therefore be able to immediately answer because these everyday go on evolving, the liquidity keeps on evolving, bid -ask spreads keep on evolving, the depth evolves. That is what we look for. When we look for all these factors, the depth, the participation spread, the bid -ask that comes, the liquidity available across strikes, all that we bear in mind before deciding, at the appropriate time the charges will certainly be levied for Bankex.

Amit Chandra:

Second was on the SGF spread between the various segments and where we are underfunded and where the funding is appropriate. And also, if I just compare with the other exchange, they have almost doubled their SGF in the last one year. So can we see our SGF also doubling from here on?

Anand Sethuraman:

Just to answer your question, the contribution to our SGF is available on our Clearing Corporation website. So the total SGF number we have as of February 2024 is Rs. 916 crores, of which Rs. 381 crores is for the equity segment, about Rs. 100 crores is for the equity derivatives and Rs. 400 crores for the currency derivatives segment. So obviously if you see the trend, even ours for SGF has kind of doubled over the last 2.5 years and these numbers will continue to evolve as the regulatory requirements come up.

Amit Chandra:

My last question is on the premium collection that we have across Sensex and Bankex. What are you doing to improve the depth of the contract? So maybe the premium collection on the non - expiry days has not seen that significant improvement as we are seeing on the expiry days. Also our premium collection as compared to the notion volume is one third of what we are seeing in NSE. So any thoughts on that, how we can improve that?

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BSE - PUBLIC Sundararaman Ramamurthy :

So the first part of it is like this. To increase the participation across expiries, we are doing multiple things. As you know currently, the charges that we levy in respect of Sensex is only in respect of the current week. The next week and the next to next week and all continue to enjoy the benefit of Rs. 500 per crore of premium in order to encourage participation in slightly longer dated options compared to the current week alone. And that is one exercise which we have already done and which we have put in place. The second exercise that we are doing is we are trying to work with all the foreign institutions and other institutional participants to see how much of trading activity and interest they can bring into the market because many of them are into not current week, they are in

to other weeks as well. That will bring in a lot of stability. So one is domestic by way of the transaction charges which we talked about. Second is institutional participants which we are trying to make to deepen the other markets. Hope it is clear and answering your question.

Moderator:

Thank you. The next question is from the line of Karan, who is an individual investor. Please go ahead.

Karan:

I just have two questions. Firstly, if you can provide the YOY growth in cash and F&O turnover according to the investor category.

Anand Sethuraman:

Hi, Karan. If you see, we do provide this information on our website. It is available under the heading category -wise investor turnover. So this information is available on a BSE website and is available on a daily basis.

Karan:

And secondly, any new products in the pipeline that you're looking to launch?

Sundararaman Ramamurthy :

Thanks for that question. It's a very important question that you have asked. Any conceptualization of a new product is a long -term exercise, and it is a continuous effort, as you

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BSE - PUBLIC would agree. And it is based on the voice of customers and what the market wants. While we continue to engage with market participants in understanding their need for a new product, it is very important for us at this point of time to understand that just October onwards, which is Bankex is trading, which is around three to three and a half months, and Sensex is not even full year of operation since we instituted the change. So we want to give them some time for them to stabilize and grow further. Once it is there, based on the continuous exercise that we are doing with the market participant in understanding their needs, we will come up with product propositions which can add value to the market.

Moderator:

Thank you. We'll take that as the last question. I would now like to hand the conference back to Mr. Anand Sethuraman for closing comments.

Anand Sethuraman:

Thank you, Rayo. And thank you everyone for joining us today. We have taken all the feedback that you guys have given us, and we'll try to incorporate it in our presentation. If you have any more questions, please feel free to write to us at bse.ir@bseindia.com . Thank you.

Moderator:

Thank you very much. On behalf of BSE Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2024

Registered Office: BSE Limited, Floor 25, P J Towers, Dalal Street, Mumbai - 400 001, India. T: +91 22 2272 1234/33 | E: corp.comm@bseindia.com
www.bseindia.com | Corporate Identity Number : L67120MH2005PLC155188

BSE - PUBLIC
May 13, 2024

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on May 8, 2024

Dear Sir/ Madam,

With reference to our letter dated May 3, 2024, intimating you about the conference call with Analysts/Investors held on May 8, 2024, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com

This is for your information & record.

Thanking you,

Yours faithfully,

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer
Encl: a/a

BSE LIMITED
FY24 Earnings Conference Call

May 8, 2024
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:

Ladies and gentlemen, good day, and welcome to BSE Limited FY '24 Investor Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult

to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman, Head of Investor Relations. Thank you, and over to you, sir.

Anand Sethuraman:

Thank you so much, Sagar. Good evening, everyone, and thank you for joining with us today.

This is Anand from Investor Relations at BSE to discuss BSE's earnings call for FY24. Joining us on this call is BSE's leadership team consisting of Mr. Sundararaman Ramamurthy, Managing Director and CEO; Mr. Deepak Goel, Chief Financial Officer; Mr. Sameer Patil, Chief Business Officer; Ms. Kamala K, Chief Regulatory Officer; Mr. Girish Joshi, Chief of Listing and Trading Development and other members of our Business, Finance, and Investor Relations team.

Do note that this conference is being recorded. The transcript of this call along with the earnings release and presentation can be found in the Investor Relations section of the BSE India website.

Before we get started, I once again remind you that our remarks today may include forward - looking statements. Any actual results may differ materially from those contemplated by these forward -looking statements. And any forward -looking statements that we make today on this call are based on assumptions and BSE assumes no obligation to update these statements as a result of new information or future ventures.

With this, I will now request Mr. Sundararaman Ramamurthy, Managing Director and CEO to give a brief overview of the company's financial and business performance for the year FY 2024.

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BSE - PUBLIC Sundararaman R:

Thanks, Anand . Good evening, everybody, and a warm welcome to all our esteemed shareholders for joining the call today.

It is with great pleasure that I stand before you today, having completed my first full financial year as the MD and CEO of BSE. This past year has been full of challenges, opportunities and most importantly, a period of immense learning and growth for both me and the entire organization. But overall, I'm happy to say that the last year has been crucial in laying the foundations for the future growth of BSE.

There were several new highs and announcements for the Indian capital markets as well. The combined market capitalization for all listed stocks on BSE hit the INR 400 lakh crores milestone for the first time ever, owing to the buoyancy in the Indian economy and participation across the spectrum.

When I joined BSE, registered investors based on unique client code stood at 12.1 crores, which has since increased to 17.1 crores as on date, a growth of 41%. This is a testament to the growing confidence and interest in the capital markets, and it is our responsibility to help them navigate the financial landscape.

As we witnessed a surge in investor registration, I want to acknowledge a crucial aspect of our responsibility, which is investor education and inertial protection. We have taken concrete steps to enhance and safeguard the ecosystem of Indian capital markets.

The company through its Investors Protection Fund was instrumental in conducting 13,780 investor awareness programs throughout the country the financial year 2023 -24.

We have also adopted through digital and social medi

a as a means of spreading awareness as it is the trend seen amongst investors. As a part of digital strategy, BSE successfully made 11 videos on various topics related to securities market in Hindi language with the videos evolving around one common character called Mr. MANE. These Mr. MANE videos became very popular in short span of time with total views across social media and YouTube exceeding 10.75 crores views. We have also sent investor awareness messages with an embedded video through WhatsApp to over 4.5 crores active investors registered with BSE on various topics related to securities market. Moving on to some notable regulatory initiatives in the area of investor protection.

The Investor Risk Reduction Access, IRRA platform is an initiative, conceptualized and implemented by market infrastructure institution under the guidance of SEBI to reduce risks

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BSE - PUBLIC faced by investors in the eventuality of technical glitch, a trading member and at both primary sites and disaster recovery sites.

On the listing side, we streamlined the IPO listing process with introduction of T+ 3-day listing for IPOs. The fastest turnaround time benefits both companies seeking to raise capital and investors

eager to participate in new offerings. Coming back to the updates pertaining to the exchange. I am happy to share that BSE recorded its strongest year in its history with a record revenue of INR 1,618 crores on a consolidated basis. We have successfully relaunched our index options segment and continue to improve its performance while also delivering strong results in our equities, mutual funds and clearing and settlement business. We have also announced plans to launch new products and services to further strengthen our offerings. The investments we are making in our infrastructure will create an even stronger platform for long-term sustainable growth. I will now share some of the key financial numbers on a consolidated basis for the year ended March 31, 2024, as compared to the previous year.

For the first time in history, BSE group revenue crossed INR 1,500 crores to reach a total revenue of INR 1,618 crores, up 70% compared to the previous financial year. This growth is led by strong performance in transaction related income, treasury income from clearing and settlement services and investment-related income. Similarly, BSE's operational revenue have grown by 70% to INR 1,390 crores from INR 815 crores. The net profit attributable to shareholders of the company excluding CDSL stake sale stands at INR 411 crores from INR 221 crores in the previous year, a growth of 86%. The operating EBITDA for FY '24 stands at INR 399.9 crores from INR 197.4 crores last year with operating EBITDA margin expanding to 29% from 24% earlier. The net profit margin, excluding CDSL sales stands at 25% as against 22% last year.

The clearing and settlement operational revenues increased by 70% to INR 126 crores from INR 74 crores. Treasury income from clearing and settlement funds has increased by 121% to INR 184 crores from INR 83 crores. Other operating revenue, which includes data determination fee, trading income, software income, has increased by 3% to INR 91.7 crores from INR 89.5 crores. Investment income increased by 85% to INR 202.4 crores from INR 109.3 crores.

I also want to appraise you of two key factors that impacted our profitability. One is contribution to Core SGF. BSE's clearing arm ICCL has to contribute an amount of INR 91.7 crores for FY '24 towards its equity and currency derivatives segment, which is 67% higher compared to previous financial year. Second is clearing and settlement charges. As you know, these charges are a function of the fee levied on the clearing and settlement services provided by clearing

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BSE - PUBLIC corporations. BSE has incurred a cost of INR 206.5 crores on a stand-alone basis compared to INR 61.7 crores in the previous year.

ious year.

As many of you may be aware, BSE has received a letter from our market regulator, SEBI, dated 26th April 2024 with respect to differential regulatory fee for the past periods along with applicable interest. We are currently looking into the matter and pending finalization of the outcome based on the prudence the company has provided in the current period, an amount of INR 170 crores towards differential regulatory fees.

On back of these financial results, it is my pleasure to inform you that the Board of Directors of BSE Limited has recommended a final dividend of INR 15 per equity share having a face value of INR 2 for the financial year 2023 -24, subject to the approval of shareholders in the ensuing Annual General Meeting. The total payout with a dividend payout ratio of 71.3% of the current year profits would be INR 206 crores on a stand-alone basis.

I would now like to share updates pertaining to business. For specific numbers pertaining to turnover, kindly refer to the BSE website and the investor presentation.

Let me start by covering our primary market segment. BSE platforms continue to remain the preferred choice by Indian companies to raise capital by enabling issuers to raise INR 21.3 lakh crores by means of equity, debt, bonds, commercial papers, etc.

Moving on to our Trading segment. On the 15th of May, next week, we will mark 1 year since the relaunch of Index Derivatives segment. This relaunch was a watershed moment for BSE. And I am incredibly pleased of what we have achieved collectively in the past year. In less than 1 year, BSE ranks second amongst exchanges globally and our flagship index SENSEX now ranks fourth in terms of derivatives contracts traded according to the data published by the Futures Industry Association, (FIA). More importantly, BSE earned INR 176 crores from this segment despite having promotional offerings of lower transaction charges of INR 500 per crores of premium for Bankex and far-week contracts.

Further, BSE has implemented a new fee structure for SENSEX and Bankex options contract which will be effective from 13th May 2024. It also gives me pleasure to inform you that SENSEX Derivatives is continuing to grow, and it broke its own record on third May 2024 when more than 52 crores contracts traded, representing a notional turnover of over INR 388 lakh crores, and a premium turnover of INR 30,750 crores.

The Bankex contracts has also generated significant interest since its expiry date change to Monday from October 16, 2023, by creating a new record with 19 crores contracts traded,

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BSE - PUBLIC representing the notional turnover of INR 160 lakh crores. Since relaunch, more than 400 members have traded BSE Derivatives, representing 36 lakh active clients.

In my last earnings call speech, I had announced regarding our strategic plan with respect to the expansion of core data centre, and I'm happy to update that we have completed Phase 1 of our expansion allowing us to accommodate more clients and ensure unmatched serving continuity. With this price revision, as mentioned earlier, we will be able to ensure continued investments in product innovation and necessary technology upgrades for the trading systems and the data centre capacity.

BSE has recently announced its foray into single stock derivatives space, effective 1st July 2024, all stock derivatives contract at BSE will expire on the second Thursday of the month. This is in line with our strategy to improve our product suite to complement the existing product offerings available in the market.

Moving on to our mutual fund distribution segment, BSE Star MF delivered yet another year of record revenues and performance, up 63% year -on-year to reach INR 128 crores. The total number of transactions processed at BSE StAR MF grew by 55% to reach 41.1 crores transactions in FY '24 from 26.5 crores in the previous year. On an average, the platform pr

ocessed 3.4 crores

transactions per month in FY 2024 as compared to 2.2 crores in FY 2023. The platform also processed a new high of 4.73 crores transactions in April 2024.

Given the growth, we are going to continue investing in StAR MF and improve it in terms of scalability, functionality and order processing and introduce a new platform called StAR MF 2.0 next quarter, that is Q2 FY 2025.

Moving on to our subsidiary businesses now. I also would like to update that S&P Dow Jones Indices LLC is in discussion with BSE for divestment of its equity stake in Asia Index Private Limited, a 50 -50 joint venture with BSE. This will be an important area of focus in the coming years given the growth of passive investments in India.

The BSE group directly or via subsidiaries also has its presence in other related business including India International Exchange (India INX), BSE's Exchange at GIFT City, BSE -Ebix, The Hindustan Power Exchange (HPX) , BSE's E Agricultural Markets (BEAM), spot platform for trading commodities and BSE Administration and Services Limited (BASL).

BSE is committed to these new areas and is constantly working with partners for the growth of these businesses. As we move forward, we see that there is a significant opportunity to continue to expand and evolve these businesses.

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BSE - PUBLIC Looking back at the last one year, I'm happy to say that we have done well in our objective of a vibrant trading platform. We have created a strong portfolio of businesses, a rapid pace of innovation and the strategy that is well understood.

Now it's time to widen and deepen our existing product offerings, we feel that we are on the right track. With these updates, I now hand over the call back to Anand.

Anand Sethuraman:

Thank you so much, sir, for the brief update. I would now like to throw the floor open for question and answers. Thank you so much.

Moderator:

The first question is from the line of Pranav Thakker from -- who is an Individual Investor Please go ahead. Mr. Pranav, your line is unmuted. You can please proceed with your question. As there is no response from the line of the current participant, we'll move on to our next question. Our next question is from the line of Narayanan R. from Fintrek Research. Please go ahead.

Narayanan R :

So there used to be a slide which was there in your previous investor deck, where you had given market share across your segments. That doesn't seem to be there in the current release. So, I just wanted to get a sense of why it has stopped? And what is the market share in futures and options for this quarter? And how do you measure it? Similarly, what's your market share for the StAR MF in Q4?

Sundararaman R:

Okay. Thanks very much for the question, Narayanan Ji.

As I always see in respect of derivatives, we do not measure the market share at BSE in a normal way in which the market measures it. The reason is the products are different. The case of cash equities, we can talk about market share. In the case of the derivatives, it's very difficult to talk about market share. Our goal has always been that what we do in terms of number of members, number of investors and the number of foreign participants who trade. There, you know the numbers are available in our presentation.

And also, other volumes are available regularly in our website in case you would like to compare it as a market share, it will be easier for you to do. But we are measuring our vibrance in terms of

BSE - PUBLIC how much we are extending. Today, we have around 400 members. We always like to grow to 500, 600 members. Today, we have around 3 million UCCs are trading with us. We always aspire for a bigger number there.

Today, we have around 100 FPIs. We want to scale it to at least 200 to 250 FPIs. Today, we had only 2 index products. Now we are slowly making our entrance to stock derivatives. We want to get into more pro

ducts. Today, a few weeks before or a few months before, our near month expiry was liquid, now that it's slowly getting into the next week and next month as well. This is the way we are measuring our progress.

Narayanan R :

Got it. So, the market share that you used to disclose that was based on what in the past?

Anand Sethuraman:

Sir, it was based on notional turnover for the derivatives market.

Narayanan R:

Okay. Got it. And in BSE StAR, what was the market share in Q4?

Sundaraman R:

We continue to have the same type of a market share of around 85% to 90%.

Narayanan R:

Okay. Got it. Got it. And just 1 follow -up. On this BSE StAR MF 2.0 that you spoke about, what are the key differences between the current platform and the ones that we are planning to launch?

And how is it proposing to help us?

Sundaraman R:

Yes. So, if you will recall, the mutual fund industry underwent a lot of regulatory changes and has been evolving over a period of time. So, when you start with the code and we start upgrading it with new changes happening, it's always important in order to ensure the following things namely, functionality, features, resilience, governance, sustainability and growth. We need to always relook into whatever codes we have written and rewrite the platform so that we can reinvent and start from the beginning. So, this is a modular platform, which helps in scaling up different parts differently, and addresses all the areas that you just mentioned in terms of

BSE - PUBLIC functionality and other things in this platform. That is what is the major change. So, it will be very helpful for the market in providing stability and functionality for growth.

Moderator:

The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain:

Firstly, on if I look at your active customer base, you mentioned it's about 3 million. And for the other player also, it's about 4 million. So, I think a large portion of that has been kind of penetration has been reached. Do you think that the ticket size is different, and we can still have a higher growth there, is it possible. And that's the first question. I'll ask the second one after that.

Sundaraman R:

So yes, we feel that there could be further growth in , because of multiple reasons. Because what we find is there is a good amount of significant interest from the institutional players in equity derivatives who are coming in, that is one part. And even with these 3 million players, what we are talking about, while the number may be looking good, the way which you're talking about deepening and widening and broadening what we are talking about in terms of futures volume, next to next month, next month all d one. There is a long way to go. That is why we feel that we should extend the customer base to such of those people who have a longer time horizon and therefore the product will be deepened and broadened.

Prayesh Jain:

Got it. Sir, secondly, on the SEBI letter and follow -up price hike, is that completely compensating for further incremental charges firstly that. And secondly, you mentioned that you will be kind of representing to the regulator or probably considering your options on that, if -- is there any possibility of a reversal there? And if there is, then would you cut back the prices?

Sundaraman R:

See, we have brought the prices of the transaction charges of BSE on par with what is the market's existing charges now. In a way, if you look at the SEBI letter, yes we have received a letter on April 26, 2024, wherein we are informed that the SEBI turnover fee should be computed based on the notional value and not on premium. And it just should be done for the last 18 years. It clearly predates my coming into BSE, I am just 15 months old here. And this topic is about 18 years. When I look back at the records that are available with BSE, based on expert opinion ta

ken from time to

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BSE - PUBLIC time, BSE has been paying it based on premium and not on notional turnover. Now that the letter has come, we will be requesting and representing and submitting and appealing to the regulators to reconsider this decision. And we are very hopeful that we will be heard by the regulator. So that is our request to the regulator. And if it happens, it will be really good. And you also will know that one another major area, which is eating away all the gains that we are making is the charges made by the other clearing corporation, which is very huge. Because of it, a significant part of our earnings are going towards the clearing and settlement charges.

We are also appealing that, that should be reviewed, and it should be reduced. So we hope that this happens, which will help us to get some profit so that we can improve more and more in creation of infrastructure and facilities for the market participants .

Prayesh Jain:

Okay. And sir, lastly, what new index products you think you can bring on? And your competitor has also launched a new contract now. So whether any such index contract is something that you are looking forward to launch that would be helpful.

Sundaraman R:

So it's a very, very interesting and important question that you are asking us. Yes, our products are just -- if you look at it, Sagar the SENSEX derivative is just 1 year old -- going to become 1 year old. And Bankex derivatives is yet to become 6 months old. We are -- so it is too early to be just going on introducing products. Nevertheless, based on market demand, we have introduced to stock derivatives, as you know, which will be a monthly product, but expiring in the mid -month. So similarly, we have quite a few product ideas. We are developing on every one of those ideas. I'm sure we will be coming with one behind the other as and when we feel the products that we have introduced are going on stabilizing. If you recall, I have always been telling that once our product is stabilized, we'll always come out with a new product. We feel that by and large, SENSEX and Bankex are stabilizing now. Therefore, we have come with the stock product. Once we feel that the stock products are going to stabilize, we'll come out with more products as we have a lot of ideas there.

Prayesh Jain:

That's helpful. what is your view on the colocation revenues? And how should we think about this from FY '25 and '26 perspective? And whether these will be profit contributors to these years.

That's it from my side.

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BSE - PUBLIC Sundaraman R :

So one request from my side. There is a big queue. If every person could restrict just to two questions, it will be helpful. I understand the enthusiasm, I really appreciate it. So let this be the last caller who is asking 4 questions. Otherwise, everybody they could restrict it to 2 questions, it will be -- we'll be highly obliged.

As far as colocation is concerned, we feel that it is an important part and parcel of developing, deepening, and widening the market base. Yes, you may know that we started with around 100 racks when we just started the derivative segment. All those 100 racks are consumed. The Phase 1 of our expansion we had undertaken, and I'm happy to say that it is complete, and we are in the process of allocating those racks. And as and when demand comes, we will be building more and more colocation to cater to the market needs. We are here to serve the market as market infrastructure intermediaries. We will be very conscious of it, and we will fulfil our duties.

Moderator:

The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal:

My first question is, sir, the tariff increase that you're talking about will be effective from May 13th. Now this -- is basically for the increase in the regulatory costs that we have seen, we had to take this. Otherwise, earlier, we w

anted to be more gradual in terms of tariff increase. So my question here is do you expect any impact on the volumes because of this tariff increase given that this is the exchange fee is a significant part of the auction trading cost?

Sundaraman R:

I'm not -- so you are right in telling that we have increased the tariff from May 13th. See, this is very essential for us to increase the cost at this point of time because the clearing and settlement costs are already very high. And there is an increase in the SEBI turnover fee as well. So we've gone ahead and do this so that we are able to break even and able to cater to the increasing needs of provision of infrastructure. So we have done that. And therefore, we feel that it was an essential element of growing the market.

Devesh Agarwal:

But no sense in terms of a likely impact on the volume or too early to talk about it?

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BSE - PUBLIC Sundararaman R:

It will be like market forces which will decide, I'm sure. I will not be able to see how the market will decide. Our feeling is the charges are in line with what the market is already paying. So we have not changed it in any fashion whatsoever. It was at a discount earlier, a significant discount we have now brought it on par.

Devesh Agarwal:

Right, sir. And sir, my second question would be in terms of this INR 85 crores of clearing and settlement costs that you have paid, how much of that would be for equity options. And of that, how much is paid to NSE?

Sundararaman R:

I do not know where you're getting the number INR 85 crores.

Devesh Agarwal:

Talk about the standalone number for Q 4?

Sundararaman R:

Only for the 1 quarter you are talking about. Yes. Got it. A significant portion of it is coming from the option side.

Devesh Agarwal:

And how much will be paid to NSE, sir, of this INR 85 crores?

Sundararaman R:

Significant portion again, goes to NSE around INR 63 crores or around INR 64 crores has gone to NSE from this. What I meant was NSE 's clearing house not NSE .

Moderator:

Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra:

My question is on the options profitability. So obviously, after the SEBI fees and the price hike, the option profit -- the option profitability has been impacted. And one of the prime reasons for

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BSE - PUBLIC that is the lower options realizations that we have versus against it. And we earlier talked about the increase in the options realization maybe on the non -expiry days. So what steps are we taking in terms of increasing the premium to notional ratio? And also, is it fair to assume that with colocation coming in, the overall depth will increase and we'll see an increase in the premium to notional ratio?

Sundararaman R:

That's a very good question. Thanks for asking this. See, the participants decide which expiry is suitable for them to trade. Typically, institutional participants tend to have a longer -term view of the market. So they'd like to talk about next week, next to next week, next month, etc. That's why our strategy has been to deepen and broaden the market using the institutional players and also some of the high -frequency traders also have long -term views where they tend to participate in the longer -term products. So we are encouraging such as those people who have a longer -term view in the market and we are requesting them to deepen and broaden the market so that the one market itself becomes very stable. Two, it really and clearly performs an economic purpose in the market. Three, it improves the premium quality as one would call of the notional to premium ratio. These are the steps we are taking. Some of -- and we also see that providing colo will be very helpful in this direction, because many of the institutional players who like to come in and who have the objective of trading longer -term products

, like to have a presence in colo to execute the strategies. So, these are conjoined together in that sense.

Amit Chandra:

Okay. And sir, my second question is on the Core SGF part. So, we have seen a very sharp fall in the currency -- like currency derivatives volumes. And if I'm not wrong 50% of our SGF is parked into the currency. I mean in the last quarter also we can see this.

So is it fair to assume that the future contribution to SGF can be taken care of by shifting some of that from currency -- from one segment to another or is it because it's a very high amount. And correspondingly, in the F&O side we have very low amount. So is it fair to assume that there can be shift there?

Sundararaman R:

See, my understanding of the -- I'm not an expert in core SGF, because it comes from the clearing corporation side, but my understanding of it, it is while there is an increase, it immediately kicks

BSE - PUBLIC in. When it has to taper down, it takes time because the increase gets sustained in the system for quite some number of months, before it even could be reworked to brought it down.

So while technically over a period of time, this will be not required in currency because the volumes are coming down, it is suitable and necessary regulatory approvals it can be reused towards other things, other segments, I will not presume that because the volumes have fallen down in the last few weeks or few months immediately the Core SGF requirement will come down, because it is based on peak over a period of time as you will understand. So that is the way I look at it at actually.

Moderator:

The next question is from the line of Navdeep Singh who is an individual investor. Please go ahead.

Navdeep Singh:

Mr. Ramamurthy, first of all, please accept my heart felt gratitude for the kind of performance the company has delivered over the past 1 year. I've been a shareholder for 6 years almost. And I'm sure the business will only grow under your leadership. I have two small shareholder related questions. Our dividend payout ratio this year is close to 71%. Is there a change in the dividend policy because generally, we get close to 100% of the stand-alone profit?

Sundaraman R:

There was no specified policy Navdeep Ji that we have to have a 100% dividend payout.

Therefore, it is not a digression from the policy per se. But you are right, in the previous years, almost 100% was the dividend payout ratio. You are absolutely right there.

This year, as you know, the last few weeks, we were to take the stand of providing for a significant amount of our profits towards the differential SEBI regulatory fee and we will be, of course, representing and requesting and appealing to the regulators. Notwithstanding that, as a matter of prudence, we have provided for that has significantly diverted the profits from what could be available for distribution to be provisioned.

And from an absolute number perspective, from INR 165 crores last year, we have paid this year INR 200 crores – INR 206 crores actually, which is around the INR 31 sorry, INR 41 crores increase, which is itself from a dividend amount perspective, around 25% increase in that sense, which we are able to do.

The balance INR 80 crores we have retained and taken to the reserves. As you know, we are also embarking on improving the market infrastructure for the ease of trading of people and also for

BSE - PUBLIC providing more and more products. In order to build the infrastructure, it is felt as again, as a matter of prudence, some amount should be taken to reserves and well utilized towards infrastructure building. That was the reason why these numbers have been arrived at.

Navdeep Singh:

One more question on one of our subsidiaries. The exchange we have in the GIFT City, the volumes have kind of dwindled over the past 1 year since NSE has launched its GIFT NIFTY from there. So is there any up

date on the merger which we are hearing? I mean can you just provide us any information on that, sir?

Sundaraman R:

It's again a good question that you are asking. As you know, GIFT City is very, very close to our heart. The India INX was the first exchange that has been -- that have been established with under the guidance of Narendra Modi Ji, our Prime Minister. We want this exchange to flourish and do very well.

Yes, we are also taking note of the fact that the volumes are dwindling. We are going to develop our efforts to do whatever best we can in the interest of the nation, whereby GIFT City continues to flourish and grow and most volumes come into the exchanges and give a breather for life. We are at it and we will be working on it.

Moderator:

Our next question is from the line of Aaditya Jain from DNNS. Please go ahead.

Aaditya Jain:

First of all, congratulations for the amazing performance. So I have one question. So BSE's major revenue increase has been because of derivatives volume in last 1 year. You have spoken in one of the questions that product stability is one of the key focus and then we are increasing the products.

So in derivative trading, especially in, SENSEX, Bankex, so there were two dates when there were big slippages on the system. 2nd, February 2024 and 12th April 2024. So a lot of traders after these dates were saying that we don't want to trade in these particular products. So my question is, what was the issue on these two dates because of which stop-loss which were there in the

system did not get triggered? And second, is BSE doing anything to fix it? And will it happen in

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BSE - PUBLIC future or not? NSE is relatively more stable in case of such events. So what is BSE's stance? And what are we doing to fix it?

Sundararaman R:

This is a very good question that you're asking. On the two days that you mentioned, it is not the system's stability because of which any of those things happened. And the market movement suddenly happens in respect of exchange, where the order book is not very deep, when the stop-loss orders get triggered because of the change in volatility profile, trades happen at whatever prices that are available in the order book, and therefore you find the graph going slightly in a peak and then coming back to normal.

It is not unique only for this product. In the last 6 months, 7 months, if you take every product available in every exchange has seen such behaviour during the intraday volatility spurts. Having said that, in the interest of product stability whether anything could be done to ensure that such peaks as it happens because of the volatility changes or market information coming in, how it could be sort of smoothened -- how it can be smoothened.

When we look at it, we have introduced multiple actions in the area of surveillance. The latest one is called a Limit Price Protection which was very -- two, three weeks before, I guess, we introduced it. We see such type of measures are continuous and evolving and we will continue to put our efforts to ensure that whatever best we can do to smoothen on such movements.

Market movement, sudden ups and sudden downs are not in our hands, because they are market movements. But when they happen, the impact on the order book automatically becomes less if we deepen and broaden the market. It comes back to our team. That is why more and more efforts should be made to deepen and broaden the market, which we are doing.

And second is whatever additional things that we can do, like LPP, Limit Price Protection, which we talked, it's the latest one, earlier, again, we have done quite a few things, and it is evolving, as I said, we will be working on even providing more and more things wherever we come across on such possibility, to prevent it from happening again, to whatever extent we can.

Aaditya Jain:

Okay. So what I understand is it was a liquidity is

sue at debt -- at order book and debt level and...

Sundararaman R:

No, no, no, Aaditya. It was a sudden volatility issue because of which when the market moves sharp, auction prices moves sharp. When it moves sharp, stop-loss orders get triggered and

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BSE - PUBLIC instantly whatever liquidity is available in the market. So it is a volatility which makes it. If you could smoothen the curve by external protection measures like LPP it helps that is why we have put it.

Moderator:

Thank you. The next question is from the line of Jayant Kharote from Jefferies. Please go ahead.

Jayant Kharote:

Just building on to our earlier discussion about the data centre and co-location piece. Sir, if you could outline how is the utilization tracking? And at what level do you feel you'll be comfortable to start monetizing the business, A that and B, in terms of growth, let's say, if we were to approach this monetization slightly slowly and you've added another 100 racks as we understand in that 15kVA product. So what are the plans for the next 1 or 2 years? Where do you see this 200 number going over the next 1 year?

Sundararaman R:

Thank you, Jayant Ji for this question. If you may recall, when we started our journey 15 months before, we had around 100 racks and BSE was not collecting any money from the members, and it was actually subsidizing the the capital costs and the maintenance cost. When we started this derivatives, we said that we will recover the costs associated with the colocation from the members. And so that we will not be out of pocket in respect of the existing racks. So we started charging. Those charges were at a discount to the market charges at the point of time. Now as the Phase I, we have introduced new racks, brand-new racks by incurring capital cost 100 racks have come into existence. Some of them are 15kVA racks for the first time in India and others are 6kVA racks like everybody else provides. So in order to ensure that we were not out of pocket in respect of both the capex and opex, what now we have done is we have brought the colo rack rent on par with what is there in the market, already the charges have started happening in respect of colo.

What is not yet happening is the charges per message that comes into the colo system, which are applicable in other places, we have not levied. Probably, we will not levy it immediately. We will

again allow things to stabilize in some more time. And after some time, we will think of levying probably, at first, paid at a discount and then going full -fledged like what we have been doing all along.

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BSE - PUBLIC So if you ask with regard to just the colo rack, yes, we have already -- we will not say monetizing. We have already started collecting rent, which will ensure that we are breaking even, and we are not out of pocket in respect of all the racks including th e new racks.

Jayant Kharote:

Sir, just to build on this question, do you expect once you start levying on the messaging piece, your yield per rack should match some of the other peers in this business?

Sundaraman R:

Will not because others are charging order messages for the messages as well, which I'm not charging at this stage. So it will not match. It will be still at a discount. I look at it this way Jayant Ji. If there is a discount today, that means there is a s cope for me to increase it further tomorrow. So that is the way I'm looking at it. I'm sorry, you asked one question which I had not replied. That was, where do we see the numbers going in a year or two? We already have plans of bringing in 150 more racks, if there is a market demand for which we have identified place. If that also gets consumed, then we will further increase it dependent on the demand. And at the time, we will find the place and do it.

So clearly, we are looking at the market for the demand. So that's timely, we will provide a supply. Well, there will

be some gap between demand and supply naturally because it's an evolving area.

But as we promised earlier that we are building the new rac k, and we will give it to you. And today, hopefully, we are allotting it. We will do the same thing. Once there is a demand building up, we will make it ready to supply.

Moderator:

Thank you. The next question is from the line of Deepak Kumar Ajmera from IGE India Family Office. Please go ahead.

Deepak Ajmera:

Until now, BSE and NSE, what we think was working in collaboration...

Moderator:

Sorry for that. Just give me a moment. Let me just try and reconnect that.

Deepak Ajmera:

So I was saying that until now NSE and BSE, we thought working in collaboration, Friday and Monday was exclusive to BSE, now NSE has launched NIFTY Next 50 on Friday and that too

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BSE - PUBLIC without any charge. So given that -- that will -- that will eat lots of volume, which is there on BSE, I would like to have your view?

Sundaraman R:

The number of products cannot remain just at 5 in a week because they are only 5 days in a week. At some point of time, there are to be more number of products. I always look at it this way. I look at it as going to a restaurant and ordering only 1 dish. A nd second is going into a restaurant where a buffet spread is there and choosing whatever we want to eat and eat. When it is a restaurant, which is supplying only one dish initially, there will be a lot of demand because there will be no other restaurant. But over a period of time, people will start preferring a buffet so that they can eat whatever they want. This analogy is what comes to my mind, though it is a very crude analogy, I accept.

So over a period of time, I think more and more products will come in. So more and more products on a single day will continue to be there. And people will be choosing whatever for that day, they need to hedge whatever positions they have, so that every pr oduct will start functioning effectively and doing a very good economic role for the market. That's the way I think the market will evolve.

Deepak Ajmera :

So this time, the success on F&O product is because of different day only. And if the different day itself is not there since the market share, which we are gaining is largely due to different day, this is the difference in the strategy earlier -- compared to earlier where BSE has tried and couldn't succeed. So this success is there because of different day and now the different day is not there exclusively. So, we -- that's the concern.

Sundaraman R:

No, you are perfectly right. Initially, the product differentiation in respect of SENSEX which made market participants to look at it, absolutely came because it had an expiry, which did not clash with any expiry and therefore, help in optimal use of the c apital. You are absolutely right there.

But since the product has gained momentum now, now there will be room for people to any case concentrate on SENSEX and also look at other products that are coming in and use it effectively. The one great advantage of the indices that we have launched till now, they have great correlation with the other indices that are in the market.

For example, if you take Bankex, of course, it has 100% correlation with itself. And Bankex correlation within NIFTY is around 97%. Bankex correlation with SENSEX and NIFTY is around

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BSE - PUBLIC 94%. Bankex correlation with Bank NIFTY is around 99.98%. So clearly, therefore, such a great amount of correlation in itself lends rule for a lot of strategies to evolve. That's what I meant when I said the buffet example. There will be quite a few strategies evolving where when a new product gets introduced if they are having significant levels of correlations like this, actually, the existing product will grow along with the new products, helping the new products also to grow. That's the way I am looking at it.

Moderator:

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Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. Anand Sethuraman for closing comments.

Anand Sethuraman:

Thank you so much everyone for joining us on the call. If you have any further questions, please feel free to write to us at bse.ir@bseindia.com. We'll be happy to take your questions. Thank you so much.

Sundaraman R:

Thank you, everybody.

Moderator:

Thank you. On behalf of BSE Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines .

Call: Aug 2024

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BSE - PUBLIC
August 13, 2024

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on August 7, 2024

Dear Sir/ Madam,

With reference to our letter dated August 1, 2024, intimating you about the conference call with Analysts/Investors held on August 7, 2024, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com

This is for your information & record.

Thanking you,

Yours faithfully,

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer
Encl: a/a

BSE LIMITED
Q1 FY25 Earnings Conference Call

August 7, 2024
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC
Moderator:
Ladies and gentlemen, good day, and welcome to BSE Limited Q1 FY '25 Investor Conference Call.
This conference call may contain forward-looking statements about the company, which are

based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman, Head of Investor Relations. Thank you, and over to you, sir.

Anand Sethuraman:

Thank you so much, Sagar. This is Anand from Investor Relations, welcome you all to the BSE's Earnings Call to discuss Q1 FY 2025 performance. Joining us on this call is BSE's leadership team consisting of Mr. Sundararaman Ramamurthy, Managing Director and CEO; Mr. Deepak Goel, Chief Financial Officer; Mr. Sameer Patil, Chief Business Officer; Ms. Kamala K., Chief Regulatory Officer; Mr. Subhash Kelkar, Chief Information Officer; and Mr. Khushro Bulsara, Chief Risk Officer. Also present here are the senior members of our Business, Finance and Investor Relations team.

Do note that this conference is being recorded and the transcript of this call along with the earnings release and presentation can be found in the investor relations section of BSE India website.

Before we get started, I once again remind you that all our remarks today will include forward-looking statements. Any actual results may differ materially from those contemplated by these forward-looking statements. And any forward-looking statements that we make today on this call are based on assumptions and BSE assumes no obligation to update these statements as a result of new information or future events.

With this, I will now request Mr. Sundararaman Ramamurthy, Managing Director and CEO, to give a brief overview of the company's financial and business performance for Q1 FY 2025.

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BSE - PUBLIC

Sundararaman R.:

Thanks, Anand. Good evening, everybody, and a warm welcome to all of our esteemed stakeholders for joining the call today. Before we delve into the numbers, I would like to take a moment to acknowledge the dynamic economic environment in which we operate. The first quarter of FY '25 has been a period of significant transformation for the Indian economy and the financial markets. The election results and the union budget has laid out a clear road map for sustained the growth and development on the 9 key priority areas, the focus on capital expenditure, infrastructure and digital transformation.

This bodes well for the growth of Indian economy and poised to create ample opportunities for all, including the Indian capital markets. In this backdrop, the Indian capital markets has been witnessing robust activity underpinned by active participation from all class of investors. The combined market capitalization of all listed stocks on BSE crossed INR 450 lakh crores, the benchmark Sensex crossing the milestone of 80,000 points for the first time ever.

When I joined BSE, registered investors based on Unique Client Code UCC, stood at INR 12.1 crores, which has increased to INR 18.4 crores as on date, a growth of 51%. This is a testament to the growing confidence and interest in the capital markets and it is our responsibility to help them navigate the financial landscape.

As highlighted in our previous earnings call as well, we remain steadfast in our commitment to fortify the Indian capital markets ecosystem through initiatives via our investor protection fund. Coming back to the updates pertaining to the ex

change. I'm happy to share that BSE recorded its highest ever quarterly revenues with a record revenue of INR 674.4 crores on a consolidated basis, up 149% as compared to corresponding quarter previous year.

I will now share some of the key financial numbers on a consolidated basis for the quarter ended June 30, 2024, as compared to the corresponding quarter previous year. The growth in revenues is led by strong performance in transaction-related income, treasury income from clearing and settlement services and investment-related income.

Similarly, BSE's operational revenues have grown by 182% to INR 607.7 crores from INR 215.6 crores. The net profit attributable to shareholders as the company stands at INR 265 crores, up from INR 75.1 crores, excluding CDSL Stake Sale, a growth of 253%. The operating EBITDA for Q1

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BSE - PUBLIC FY '25 stands at INR 283.9 crores from INR 70.1 crores with operating EBITDA margin expanding to 47% from 33% earlier.

The clearing and settlement operational revenues increased by 40% to INR 33.8 crores from INR

24.1 crores. Treasury income from clearing and settlement funds has increased by 179% to INR 62 crores from INR 22.2 crores. Other operating revenues which includes data dissemination fees, training income, software income has increased by 9% to INR 23.2 crores from INR 21.5 crores. Investment income increased by 43% to INR 62.9 crores from INR 44 crores.

We have finished the first quarter strongly with every business line contributing to revenue growth. This reflects the strength of our proposition, the improvements we have made to our products and the depth of our relationships with our customers.

I would now like to share updates pertaining to business or specific numbers pertaining to turnover, kindly referred to the BSE website and the investor presentation. Let me start by covering our primary market segment. BSE platforms continue to remind the preferred choice by Indian companies to raise capital by enabling issuers to raise INR 7.7 lakh crores by means of equity, debt, bonds, commercial papers, et cetera.

Moving on to our Trading segment:

BSE's average daily turnover in the cash segment for Q1 FY 2025 stands at INR 9,006 crores as compared to INR 4,025 crores in the same quarter last year on account of a buoyant market, as mentioned earlier. It also gives me great pleasure to inform you that Sensex derivatives continues to grow and broke its record on 26 July 2024, at more than 54 crores contracts traded representing a notional turnover of INR 432 lakh crores and the premium turnover of INR 24,929 crores. The Bankex contracts have also generated significant interest since its expiry date changed to Monday from October 16, 2023, by creating a new record on 29th July 2024, with 25.9 crores contract traded representing a notional turnover of INR 230 lakh crores and a premium turnover of INR 20,269 crores. Since relaunch, more than 430 members have traded the BSE derivatives representing around 47 lakh active clients.

BSE forayed into single stock derivatives space with effect from 1st July 2024, with a mid-month expiry for the second Thursday of the month. So far, 155 members have participated in single stock futures and 35 single stock options. The total turnover for the month was INR 316 crores in futures and INR 35 crores in options. The performance so far has exceeded our expectations. The performance of our has exceeded our expectations.

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BSE - PUBLIC I would like to delve a bit deeper into the evolving regulatory landscape of the Indian derivatives market. The associated growth in retail participation and dynamism in this segment. SEBI has recently issued several circulars and consultation papers, encompassing various concerns in the derivatives market and the broader securities landscape. These include strengthening index derivatives framework for increased investor participation, protection and market stability, treatment

of interest income by Clearing Corporation on cash collaterals received from clearing members and upstream the client funds, charges levied by market, infrastructure institutions, et cetera.

I do not wish to go into specific details since they are all readily available. While some of the proposed measures may potentially impact the derivatives volumes, we are currently in a phase of careful evaluation and analysis of these consultation papers and circulars. These consultation papers offer valuable opportunities for industry feedback, and we are actively engaging in the process to ensure that the evolving regulatory framework supports market development and deepening liquidity. The revision of transaction charges for BSE Derivatives segment significantly contributed our financial performance this quarter.

BSE is also in the process of redesigning the existing charge structure which will be uniform for all the members in the equity derivatives segment to confirm the SEBI circular stating the market infrastructure institutions have to be "true to label" and the new charge structure should give due consideration to the existing per unit charges realized. The announcement for the new charges will be made separately.

Moving on to our mutual fund distribution segment. BSE StAR MF delivered yet another year of record revenues and performance, up 101% year-on-year to reach INR 48 crores. The total number of transactions processed by BSE StAR MF grew by 72% to reach 14.1 crores transactions in Q1 FY '25 from 8.3 crores in the corresponding quarter previous year. On an average, the platform processed 4.7 crores transactions per month in Q1 FY '25 as compared to 2.75 crores in Q1 FY '24. The platform also processed a new high of 5.27 crores transactions in July 2024. Given the growth, we are going to continue investing in StAR MF and improve it in terms of scalability, functionality, order processing and introduce a new platform called StAR MF 2.0 this quarter.

Moving on to our subsidiary business now. I would like to update that we have completed the acquisition of S&P Dow Jones Indices entire equity stake in Asia Index Private Limited making AIPL, our wholly owned subsidiary company. AIPL is committed to improving and expanding its

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BSE - PUBLIC product offerings by working closely to the financial market ecosystem and other relevant stakeholders. The company announced its first index called Sensex Next 30, which monitors the performance of the largest companies from the BSE 100 that are not included in Sensex. The index is expected to act as a benchmark for asset managers and be a reference index tracked by passive funds. The index launch also aligns the BSE's vision to provide innovative indices in line with the market trends and will be an important area of focus in the coming years given the growth of passive investment in India. The BSE group directly or by our subsidiaries also has its presence in other related business, including India International Exchange, that is India INX, BSE's exchange at GIFT City, BSE Ebix, the Hindustan Power Exchange (HPX), BSE E-Agricultural markets (BEAM), spot platform for trading in commodities and BSE Administration Services Limited (BASL).

BSE is committed to these new areas and is constantly working with partners for the growth of these businesses. As we move forward, we see that there is a significant opportunity to continue to expand and evolve these businesses.

In summary, we have started the new financial year well, and our high pace of innovation continues. We are revamping of pricing model and adding newer participants to widen and deepen the liquidity profile in exchange-traded derivatives segment. In our index company, we are seeing strong demand for new products. BSE StAR MF had an outstanding first quarter growing share in a strong marketplace. We are making significant enhancements to BSE StAR MF and the revamped version 2.0 is

approaching launch. We are also delivering efficiency improvements with underlying profitability margins improving year-on-year despite ongoing technology investments to support growth in our business.

Before I end my speech, I assure all of our stakeholders that BSE remains steadfast in its commitment to emerge as a vibrant and innovative platform for all stakeholders.

With these updates, I now hand over the call back to Anand.

Anand Sethuraman:

Thank you so much, sir, for this update. We can now open the conference for question-and-answer session. Thank you.

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BSE - PUBLIC Moderator:

Our first question is from the line of Pranav Takkar, who's an Individual Investor.

Pranav Takkar:

And congratulations for a great set of results. Finally, it's a big relief for shareholders because since last 2 quarters, we are getting surprises, first in terms of SGF and then SEBI order on notional turnover. Sir, my first question is that if you can bifurcate the equity derivative revenue because up to INR 3 crores, we are subsidizing it to INR 500. And after that, the next slab is INR 4,950, which is almost 10x. And I believe that from first October, pursuant to the SEBI order, this will go to 10x, and I believe that it will straightaway at the bottom line.

So, if you can give some colour on what is the subsidized revenue and also if we have worked out what will be the exchange fee per crores from first October?

Sundaraman R.:

Pranav ji, thank you, first of all, for listening to us and showing interest with us and asking this question. This question is talking about the telescopic charges, which are currently levied on a slab system basis, with people doing more turnover, paying lesser charges and people with very low turnover, getting some benefits and above that, people based on turnover paying higher fees or royalty.

So if you may recall, recently, the regulators have issued a circular where they have directed the exchanges to compute the charges based on what is the charge per unit realized. We have started charging on a full-scale basis very recently. That is May 15, 2024. Therefore, we are not in a position to ascertain exactly what will be the blended rate for us and what would be the realized rate because the SEBI dictate us, it should be per unit charges what is realized currently that's what should be the starting point for the charge to be levied by the exchange.

Since it is just to me, and we are stabilizing. As you know, there are 2 important costs for us. One is the clearing and settlement costs; and second is the regulatory fee. While that will not affect the gross value, the gross value will be dependent on what is the premium for traded contract, and the premium per traded contract has been fluctuating a lot in the recent times. So maybe it will require a few more weeks or at least 1 more month for us to properly ascertain what is the realized revenue per unit.

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BSE - PUBLIC But what we've seen is that, given the trading pattern that we have seen, we do not find it to be closer to the bottom compared to the top, that much it is becoming evident where exactly the needle will stop. We need to see a few more weeks of data before we can come out with a clear number.

Pranav Takkar:

The intention of asking this question was mainly because I'm also a trader. What exactly I am doing is up to INR 3 crores of turnover, I do it in one account and another INR 3 crores in another account. So as an individual, if I see the monthly benefit by trading in BSE compared to NSE is INR 13,000. So INR 4,500 up to INR 3 crores, INR 500...

Sundaraman R.:

That is for members, not for investors.

Pranav Takkar:

Total revenue. If you have that number readily available that what is -- under INR 500 premium what we are charging?

Sundaraman R.:

So under -- probably I'm not understanding your question. So what is the question? What is the last statement you made? What do you want

me to check?

Pranav Takkar:

Sir, there is INR 110.6 crores is the total revenue from equity derivatives for the month. How much belongs to the first slab up to INR 3 crores, INR 500?

Sundaraman R.:

No, we do not distribute the income that way at which slab what it covers because, yes, that will not be possible because picking of the slab where it belongs to. My clearing and settlement charges are going to be distributed uniformly. So that is not the distribution that we have. That is point number one.

The second point is, the changes that we make are not with individual investors bearing in mind. It is with the individual members. And what was happening earlier was different members were

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BSE - PUBLIC adding different charges because they were in different slabs. Going forward, it will be a uniform slab across all members. So how much you want to -- what you want to know is how much your charges may go up if you're in the lower most point of INR 500. How much would it like it may go up is what you are planning to see.

But unfortunately, we are not able to look at it from that perspective. We look at it from the members' perspective, what is the top slab and bottom slab, what is the average revenue that we get. So that would require a few weeks for us for reasons explained by me to come out with a proper number.

Pranav Takkar:

Right, sir. Understood. And sir, I'm very delighted to see that we are coming with a second week expiry because based on whatever experience I have, it will absolutely increase the demand and transactions into the exchange and traders would be more interested in having the Theta value for the first 15 days.

But sir, it is observed that broking firms are not allowing it to operate. I also tweeted, but there is no response. So if you can share when it is available on larger platforms like Zerodha, Angel booking and Upstox?

Sundaraman R.:

See on behalf of brokers, it will be very difficult for me to give a commitment of date. Certainly, what we will do is we will be engaging with all the brokers. Because of the public demand, they should start making it available ASAP. We will engage with all of our brokers.

Pranav Takkar :

And sir, final one suggestion from my side, it's Bombay Stock Exchange. Can we change the name to Bharat Stock Exchange, please. It will give national footing as well.

Sundaraman R.:

We note your suggestions. Thanks for it. We will deliberate on it, and we'll see how best we can look into it. Thank you.

Moderator:

The next question is from the line of Devesh Agarwal from IIFL Securities.

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BSE - PUBLIC Devesh Agarwal:

Firstly, many congratulations on a great set of numbers. Sir, my first question would be, although you touched upon the recent consultation paper, but if you could share your initial thought as to what could be the possible impact on the industry volumes. And relatively, how it can impact BSE?

Can there be some safeguard in terms of market share gains and the impact could be relatively lower for BSE? Any thoughts around that?

Sundaraman R. :

Sure. May I request you to put it on mute because there is some background noise. Thank you. So as you know, SEBI has constituted the expert working group on the topic, which you mentioned about derivatives, which confabulated and gave their thoughts to the regulators which was discussed in committee called Secondary Markets Advisory Committee and the public consultation paper has been published by SEBI, requesting for views from the market till August 20, 2024.

Regulatory process in India are co-created with active consultation from the market participants. And the outcome of any regulatory discussion is based on and have a large bearing on what the market suggestions are to that paper. So at this point of time, the jury is not yet out. So it's not as to what is the direction the public consultation paper will ultimately take in formulation of regulation.

Having said that, every emerging regulatory and business environment is new, and therefore, the regulatory changes when they impact existing paradigm invokes a sense of concern at times. But what we need to notice, they also provide newer opportunities. BSE, since it is at its nascent stages of development of this market, I'm sure we'll find it comparatively easier to adapt to the emerging paradigms and strategize and grow stronger.

As you would have noticed, BSE in the last 18 months has faced multiple headwinds and it has emerged stronger. What I can tell you is that we reiterate that BSE remains steadfast in its commitment to emerge as a vibrant and innovative platform. And we see while we will wait and watch as to see what emerges, we will be re-strategizing ourselves to whatever it emerges, adapt ourselves, continue our path of growth journey, the same amount of my vibrant that we have been displaying all along. We are very confident about it.

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BSE - PUBLIC Devesh Agarwal:

Okay, sir. Sir, the second consultation paper, which talked about returning the interest income on the margin money. If we were to believe that, that paper were to be implemented as is, could you share what could be the possible impact for BSE?

Sundaraman R.:

So basically, as you're talking about the margin money return on ICCL. I think I can tell you what is the total treasury income. It is around INR 62 crores. What portion of it will be coming from the clearing and settlement fund I need to see. Let me check whether I have this number...

Deepak Goel:

INR 62 crores.

Sundaraman R.:

The total number is INR 62 crores, which is coming out of the treasury income of ICCL. That is the number I can say.

Devesh Agarwal:

Can we say that this entire number could be under, what you say, discussion in terms of whether this has to be returned?

Sundaraman R.:

No, I don't think so. My CFO will reply to this.

Deepak Goel:

So Devesh, as the MD explained earlier, this is also under consultation. And it's still not -- jury is still not out. So once exact regulation comes out, we'll be able to exactly assess the impact and possibly can come out with number. But at this point in time, it is very difficult, how much impact it will going to have.

Devesh Agarwal:

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BSE - PUBLIC Sure, sir, sure. And 1 last question, sir, from my side. In terms of your equity options segment, if you could share what was the quantum of clearing and settlement cost and the regulatory cost, either in terms of absolute number or in rupees per crores, based on premium turnover.

Sundaraman R.:

See around INR 1,200 crores to INR 1,300 per crores, INR 1,200 crores is the regulatory charge.

That is very clear. INR 1,300 to INR 1,200 is the clearing and settlement charges that we pay.

Anand Sethuraman:

Devesh, see, we have given our regulatory expenses in our presentation. So if you're simple division of our regulatory expenses to the premium turnover will give you the figure.

Devesh Agarwal:

That will be largely for the equity option segment.

Anand Sethuraman:

Yes.

Devesh Agarwal:

And clearing and settlement also, is it the similar thing?

Anand Sethuraman:

Yes. So we have given the clearing and settlement also in our presentation. So a simple division will give you the numbers as well.

Devesh Agarwal:

Perfect. Perfect.

Moderator:

The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain:

Congratulations. Sir, firstly, on the fee that I still put the transaction part...

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BSE - PUBLIC Sundararaman R.:

Sorry, sorry for interruption. Can you keep your mouth slightly away from the speaker and talk, it is echoing so I'm not able to hear you.

Prayesh Jain:

Is this better, sir?

Sundararaman R.:

Slightly better.

Prayesh Jain:

Okay. So what I was asking was with respect to the transaction charges that we have to decide on, would we also -- and if by that time, the verdict

is out on the clearing and settlement treasury

income is -- so would you also consider that while deciding on a transaction charge or these 2 are separating altogether and you will have to take the hit of clearing and settlement treasury income per se.

Sundararaman R.:

So 2 points need to be clarified. First of all, they 2 are separate. And by finding the average revenue, that is not the blended rate, actually, you're not taking any hit. What you are doing is whatever you are getting as of now, that instead of being different, different slabs, we are making a uniform slab. Therefore, that uniform rate does not in any way create a new room for any hit. The existing charges continue and there separate. They do not go and impact the arriving that of the realized revenue per unit. So that is different and they do not impact. And there's no negative thing coming on because of averaging result across members. I hope you understand this.

Prayesh Jain:

Yes. Sir, my question was, if I look at the consolidated entity today, right? We have, why did we not have hit transaction revenues because we will come down to a unit cost, which will be similar to positive realized rate that we would be earning today. That -- but when the -- if the clearing and settlement treasury income interest cost goes away, that -- in any form that will be a hit to the exchange from a revenue and profitability perspective. Will you consider that also while deciding on a charge? Or will it be completely separate, and you will have to get that hit?

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BSE - PUBLIC Sundararaman R.:

So, no, that's exactly what I thought I clarified. Treasury income and clearing and settlement fund is an income of ICCL. And on consolidation, I'm showing it as a revenue. So that's a very separate thing. And if you're talking about clearing and settlement charges and regulatory charges paid on the revenue earned by the exchange, the Clearing Corporation and this regulator, even that will not impact in arriving at a realized revenue per unit. Of course realized revenues top line, and these are expenses part.

Since the realized revenue is nothing but averaging out across what we are earning already, it is not any way further going to be impacted by the existing clearing and settlement charges or by the regulatory charges. And as explained before, treasury income on clearing and settlement funds, I have nothing to know with this and it is part of ICCL. And only because of consolidation, you are seeing it along with BSE.

Prayesh Jain:

Got that sir, got that. The second question is again on clearing and settlement charges that we...

Sundararaman R.:

I would really like to say that people could restrict it to 2 questions and stand again queue, it will

be helpful.

Moderator:

The next question is from the line of Nalin Shah from NVS Brokerage.

Nalin V. Shah:

Sir, let me congratulate the BSE team led by yourself, MD, and for producing such wonderful results. And we are really delighted to see the complete change in the BSE. As you said, vibrant BSE, it is really vibrant BSE now. So that is my first comment.

I wanted to, sir, overall only ask you 1 question, that if I take my Q1, your performance compared to the Q1 of the last year, excluding the extraordinary income of that CDSL profits. Can we -- in the terms of -- while computing our equity, this thing value, can we say that this is the similar performance, as you know, it was in the last year, first quarter versus total 4 quarters, we can -- I

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BSE - PUBLIC mean, simulate that in the same manner? Or do you feel that there could be a lot of fluctuations in the quarterly performance?

Sundaraman R.:

Thank you, first of all, for your congratulations. And let me confess to you my shortcoming in not being capable of forecasting future and not being able to advising you in any fashion whatsoever. From Q1 to Q4 last year, what you saw, whether you can use that as a yardstick to p

roject you

into Q4 this year. Unfortunately, my capabilities and knowledge do not lie in that area, I'm not able to help you there. I am -- my apologies on that.

Nalin V. Shah:

And my second question was only the StAR Mutual Fund, looking to the number of transactions and the acquired quantum, which we are handling. Do you think that, I mean, we can -- I mean better and more from that, if we were to charge some very negligible even charge to the investors also that could be -- or per transaction basis, which could really enhance our income and profitability from the StAR mutual fund platform?

Sundaraman R.:

Thank you for this suggestion. It's a good idea from income earning perspective. We will have to analyse it and look at it and study it carefully. There are multiple objectives when you start a service for the market. One objective is, of course, taking care of shareholders' value. And the second object is serving the broader market; and three, helping investors in the capital creation of the country through their participation into the markets. So there are multiple objectives. Every suggestion will therefore have its pros and cons across many of them. We will certainly take your suggestion on board, analyse it thoroughly and also consult our other stakeholders, and we will take a meaningful decision.

Moderator:

The next question is from the line of Deepak Ajmera from IGE India Family Office.

Deepak Ajmera:

Congratulations on the wonderful result. On the consultation paper, I would like to seek your guidance to understand it more better. One is on the weekly expiry. There is a point that only 1

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BSE - PUBLIC exchange can have 1 weekly expiry. And in case NSE opt for Nifty, we will be opting for Bankex or Sensex that will decide the revenue stream. So if you can guide it.

Sundaraman R.:

Thanks for this question. Honestly, at this stage, it's a slightly presumptuous question because there is a good amount of distance to be covered in terms of what is going to be ultimately in black and white from a SEBI circular post, the co-created version of regulatory decision.

Having said that, BSE will always go by what the market participants want from it. Our decision on what index and what way to go will depend upon what is the meaning of the word benchmark index as understood from SEBI and also what the market participants require us to do. We will factor both. That is what SEBI means by benchmark index and also what the market participants want. And post the public consultation when things come out, in the light of that, these guidance for us from the regulator and from the market, we will take a decision which will help the marketplace to become more and more vibrant.

Deepak Ajmera:

Second part was on the concern that we started generating good derivative income. And then in less than a year there is a circular from -- or the consultation paper from SEBI. And in case the derivative income reduces significantly because of elimination of 1 weekly expiry, what all levers we have in order to maintain the profitability.

Sundaraman R.:

Is it a question or a comment?

Deepak Ajmera:

Yes. I would like to have your views on what all levers, in case we have to maintain the profitability and more from your view, whether we would like to maintain the profitability by increasing these charges, et cetera.

Sundaraman R.:

Deepak ji, actually, this question was asked by 2, 3 speakers before the questioners before along this question was asked. And I gave a sort of a very detailed reply. So in the interest of time, I'll give a very summarized reply for you.

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BSE - PUBLIC I was telling that emerging regulatory and business environments are realities. Things keep on going changing. And when they change, they actually also throw new opportunities. So from a -- shift from a weekly to monthly, I'll give you just 1 example and leave everything else to your imagination.

While

one school of thought may think that the number of transactions and contracts may come down, the other school will say the premium traded will be very high. So the regulatory charge and clearing charge will come down, whereas the revenues will go up because the revenues are based on premium, whereas the charges are based on number of contracts traded. So there are multiple ways of looking at the same thing. One may know that is from one perspective. The same thing may look very bright from other perspectives.

So presumptuously, at this point of time to say this is good or bad, it's not possible. What certainly we will have to do is, every emerging regulatory requirement because it throws newer opportunities. With a very open mind, we should see all possibilities with lot of fire in that we should strategize ourselves with our full energy, to ensure we provide a vibrant platform from BSE, which I promised you a few minutes before, we are steadfast, and we will continue with our commitments there. You have to wait and watch a bit now.

Moderator:

The next question is from the line of Dhaval Parekh from IIFL.

Dhaval Parekh:

Sir, I have 2 questions. Firstly, on the StAR MF business, sir, the yields -- the average yields that we have seen over the last 2 quarters has improved to INR 3.4 per transaction compared to INR 3 earlier. So is there any material change in the commercials here? Or is it something else to do? And is this run rate sustainable going ahead?

And also on my second question, on the segment-wise revenue that you have provided in the presentation, we see that the other security services has grown sharply on a sequential and annual basis to around INR 61 crores in this quarter. So can you please elaborate what all services are clubbed into this? And how do we look forward to this? These are my 2 questions, sir.

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BSE - PUBLIC Sundaraman R.:

On the first point, Certainly, we have improved the efficiency in processing because of which our costs have come down, therefore, the revenues have gone up. On the other security-related charges, I need to look into the details, and we will revert back once we get the details from it. I don't have it readily in front of me now.

Moderator:

The next question is from the line of Vikash Chovatia, who's an Individual Investor.

Vikash Chovatia:

Respected Ramamurthy, sir, it's been a pleasure reading the fabulous results presented by BSE and feeling myself enough fortunate to be a BSE shareholder. First my question is -- first question is regarding this BSE has contributed SGF before 2 quarters. Since currency volume was down to almost zero, do you see reversal in SGF going forward? This is my first question.

And secondly, if the 1 weekly expiry by each exchange is implemented, do we see BSE and NSE going forward for an equal market share? This is my second question, sir.

Sundaraman R.:

On the first one with regard to SGF of currency segment, the computation, retention and reversal of settlement guarantee funds are governed by regulatory stipulations issued from time to time. The fact that the regulatory -- the earlier regulatory clarification has resulted in not being any volumes in currency segment, and therefore, the need for the settlement guarantee fund coming down is well known and highly appreciated. But to take back that money and reuse it elsewhere as part of settlement guarantee fund would require regulatory discussions. And based on that outcome, the needful will be done.

With regard to the single contract which you talked about, already, if you could please see the last 2 questions, we have very detailed way explained since it is just few minutes before the sand is not seen, the sand is not different. The sand is same.

Moderator:

The next question is from the line of Amit Chandra from HDFC Securities.

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BSE - PUBLIC Sundararaman R.:

Before Amit Chandra could proceed, one of the previous people w

ho questioned us other services

included what. I just was looking at the fee. It includes mainly the data fee -- the data dissemination fee, which we charge. As you know, the basic data, which we give to investors is always free of cost. And basic data we provide to the members is also free of cost. So where the charges that we make from selling enhanced data is included there, which is one of the main components.

Apart from that, we also collect book building fee, as you know, that the book building fee is not a transaction fee that also gets there. And whatever small ones we today collect from colocation as a rent that also goes there. My apologies, I was not able to reply when the question was asked. But fortunately, we were able to browse through it and I was able to take it out, and this is the answer for the earlier question.

Sorry Amit, I have taken a time, please proceed with your question.

Amit Chandra:

No problem, sir. Sir, my question is on the SGF part. So, you mentioned about the SGF thing. But the regulator has asked the other exchange to increase the F&O SGF contribution to INR 10,500 crores, which is around 30% to 35% higher than where they are currently. And in terms of our contribution, to F&O segment is only around INR 100 crores. So, do we see this that the SGF contribution on the F&O for BSE is also going to increase, or we have a target set by the regulator as it has been done for the other exchange? This is my first question, sir.

Sundaraman R.:

I would like to clarify to you that we do not, at this point of time, have any regulatory targets stipulated to us in terms of SGF requirement, from F&O. That is a first clarification. We are fully aware of the fact that regulators are looking into the sufficiency and adequacy of settlement guarantee fund considering various scenarios. And the regulators will always come out with a very reasonable co-created decision on what should be the settlement guarantee fund size based on risk analysis on very objective grounds.

So once they come out, it may positively or negatively impact. But what also has some other speaker earlier talked, there is a good amount of surplus lying with BSE in terms of currency segments -- contribution we made to currency segment for SGF.

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BSE - PUBLIC So in totality, all has to be looked at. That is the reply from my side.

Amit Chandra:

Okay. And sir, on the reversal of the interest component on the interest on the Clearing Corporation. I know have we have -- we had actually discussed on this. But one clarification more from a fundamental understanding perspective, is it the whole interest that we get from the member deposit or from the clearing funds has to be reversed or only is the interest that is on the idle funds that has to be reversed because if I take the idle funds, which don't have any position against it, then the impact becomes very less...

Sundaraman R.:

So the current understanding for us is that when a member keeps funds with us, some portion of it gets utilized. And some portion of that is an excess collateral get to buy in with us. So our understanding at this point of time is whatever excess funds that are kept with us, which are not, at this point in time, utilized for any collateral requirements that alone will be eligible for getting some interest from us. And whatever administrative charges that we will be incurring in retaining that funds with us will be recovered by us. And the balance only will be given to that.

Amit Chandra:

Just a follow-up on this, obviously...

Sundaraman R.:

Before that, put that one more clarification and probably you are to come to the queue again, I guess, for the third question. So therefore, in the light of this, when we look at it, the number, INR 62 crores, which we talked about, some price is off, all our administrative expenses included the net also, the interest earned on utilized funds and also on s

urplus funds. The entire INR 62 crores

what we talked about cannot be attributed to the interest earned on excess funds only.

Moderator:

The next question is from the line Rajesh Gajra from Informist.

Rajesh Gajra:

So in the con call in May in the previous quarter, you had mentioned that you'll be writing to SEBI about the turnover fee that -- around that INR 160 crores, somewhere around that. So did you

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BSE - PUBLIC write to SEBI as we responded to BSE because it will have a bearing. You have already provided a big amount in the previous quarter. And if the regulator considers it favourably, then there could be an impact. So what is the feedback that we got from the regulator? This is my question.

Sundaraman R.:

Thanks, Rajesh, for your good memory and asking this question to us. We always do what we promise to do and keeping up our promise, we have had detailed discussions and we have submitted our submissions to the kind review of the regulators.

We also understand that they are actively reviewing our requirements and our submission. While we would like to have a reply immediately, they are working on it and probably we're expecting the reply from them soon. And that means, therefore, we have not yet received any reply from them in this regard.

On the part of the impact, fortunately, since as a part of prudent thought process and management, we already provided for this money in our earlier quarter. It will not impact any way negatively our income in the future or the present. If it -- if any relief comes to us, it will positively impact us.

Rajesh Gajra:

Correct. My last question is that in this F&O consultation paper on index derivatives. While you said you will go by what the market participant wants and you said of course after that thing is over, had become it's final thing whatever the Board approves, SEBI board, but what is BSE's view on the proposals in the paper, you would have an MII affected by the proposal, you would have your own view. What is that view that will put this as a feedback to the consultation?

Sundaraman R.:

See, BSE's view will be towards what the market would like should have from a regulatory perspective in order to ensure the objectives set out by the by the regulators in the paper because BSE is not outside the market or outside the regulatory set up to have an independent and separate view and what should be done. What is good for the market should be the view of market infrastructure and treasury.

And in order to ensure whatever outcome is good for the market, the regulators are not taking a unilateral decision. They are discussing with the market participants also they have discussed

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BSE - PUBLIC with us to take our take our points, what we would like to put across on various points that they have mentioned. And they based on that what they feel should be the right path, have put it across to the market for their use.

So BSE cannot independently voice out a view by itself, which could be other than what is good for the market, what typically is the regulatory view.

Rajesh Gajra:

But do you agree with these objectives in -- mentioned in the paper?

Sundaraman R.:

SEBI subject to us to ensure market liquidity and growth by taking care of the markets, investors and intermediaries. That view, nobody can disagree, right? It's a very noble view, and it is in the right direction as a view. The actions towards achieving this view can be very different from different people's perspective. That is why SEBI thinks that these are the right ways to achieve this objective. If the public thinks it is different than accordingly whatever provides will become the law.

Moderator:

Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Anand sir for closing comments.

Anand Sethuraman:

Thank you so much. If you still have any further questions, please feel free to

write to us at

bse.ir@bseindia.com. Thank you so much.

Sundaraman R.:

Thanks a lot for all the questions and all the participants.

Moderator:

Thank you. On behalf of BSE Limited, that concludes this conference. Thank you for joining us.

You may now disconnect your lines.

Call: Nov 2024

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www.bseindia.com | Corporate Identity Number : L67120MH2005PLC155188

BSE - PUBLIC
November 19, 2024

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on November 12, 2024

Dear Sir/ Madam,

With reference to our letter dated October 22, 2024 , intimating you about the conference call with Analysts/Investors held on November 12, 2024, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com

This is for your information & record.

Thanking you,

Yours faithfully,

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer

Encl: a/a

BSE LIMITED
Q2 FY25 Earnings Conference Call

November 12, 2024
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC
Moderator:
Ladies and gentlemen, good day and welcome to BSE Limited Q2 FY '25 Investors Conference Call.

This conference call may contain forward -looking statements about the company, which are based on belief, opinion and expectation of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman, Head of Investor Relations. Thank you, and over to you, sir.

Anand Sethuraman:

Thank you so much, Yousuf. Good evening, everyone. This is Anand from Investor Relations and welcome to BSE's Earnings Call to discuss Q2 FY 2025 performance. Joining us on this call is the BSE's leadership team consisting of Mr. Sundararaman Ramamurthy, Managing Director and CEO; Mr. Deepak Goel, Chief Financial Officer; Mr. Subhash Kelkar, Chief Information Officer; Mr. Ashutosh Singh, Managing Director and CEO of Asia Index Private Limited. Also present here are senior members of our business, finance and Investor Relations team. Do note that this conference is being recorded and a transcript of this call, along with the earnings release and presentation can be found on the Investor Relations section of the BSE India website.

Before we get started, I once again remind you that our remarks today may include forward -looking statements. Any actual results may differ materially from those contemplated by these forward -looking statements and any forward -looking statements that we make today on this call are based on assumptions and BSE assumes no obligation to update these statements as a result of new information or future events. With this, I will now request Mr. Sundararaman Ramamurthy, Managing Director and CEO to give a brief overview of the company's financial and business performance for the Q2 FY2025.

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BSE - PUBLIC Sundararaman R.:

Thanks, Anand. Good evening, everybody, and a warm welcome to all our esteemed stakeholders for joining the call today. The Indian economy is emerging with resilience with a GDP growth of 6.7% year -over -year in the Q1 FY2025. India remains one of the world 's fastest -growing large economies and it is estimated that the growth is likely to pick up given the government's focus on boosting manufacturing, improving youth employability, etc. These factors coupled with India's young and aspirational population presents a unique opportunity for economic growth and bodes well for the capital markets in particular.

Against this backdrop, BSE recorded a strong second quarter achieving its best ever half year revenue and profit. The vibrancy and diversity of India's markets were on full display, as investor sentiment was favourable, driving strong volumes in all our markets with multiple daily records achieved across the capital market segments of equity cash, derivatives and listing sales. Furthermore, the mutual fund distribution platform extended its robust performance, contributing to the strength of the exchange during this period. The recent listings on the exchange of Hyundai Motor India, the Indian subsidiary of Hyundai Motor Company was a landmark initial public offering, the largest in India's history. The event demonstrates the strength, depth and the attractiveness of our markets, while a healthy listing pipeline reinforces India's position as the IPO fundraising centre of choice. Against this backdrop, I'm happy to share the BSE recorded its highest ever quarterly revenues of RS. 819 crores on a consolidated basis,

up 123% as compared to the corresponding quarter previous year.

I will now share some of the key financial numbers on a consolidated basis for the quarter ended September 30, 2024, as compared to the corresponding quarter previous year. The growth in revenues is led by strong performance in transaction -related income, treasury income from clearing and settlement services and investment -related income. BSE's operational revenues have grown by 137% to RS. 746.3 crores from RS. 314.5 crores.

Transaction charges which include equity cash, equity derivatives, mutual fund and clearing house income has increased by 284% to RS. 507.1 crores from RS. 132.2 crores. The net profit attributable to shareholders of the company stands at RS. 346.8 crores, up from RS. 120.5 crores a growth of 188%. BSE has achieved a significant milestone by surpassing the 50% operating EBITDA margin threshold for the first time, reaching 52% for the current quarter. The operating

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BSE - PUBLIC EBITDA stands at RS. 388.8 crores from RS. 133.2 crores. Treasury income from clearing and settlement funds has increased by 10% to RS. 63 crores from RS. 57.3 crores.

Other operating income, which includes data dissemination fees, training income, software

income, etc has increased by 48% to RS. 56.7 crores from RS. 38.3 crores. Income from investments increased by 41% to RS. 67 crores from RS. 47.5 crores. I would now like to share updates pertaining to business. For specific numbers pertaining to turnover, kindly refer to the BSE website and the investor presentation.

Let me start by covering our primary market segment.

BSE platforms continue to remain the preferred choice by Indian companies to raise capital by enabling issuers to raise RS. 13.7 lakh crores by means of equity, debt, bonds, commercial paper, mutual funds, etc.

Moving on to our Trading segment :

BSE's average daily turnover, the cash segment for Q2 FY2025 stands at RS. 9,768 crores as compared to RS. 5,922 crores in the same quarter last year on account of buoyant market as mentioned earlier.

It also gives me pleasure to inform you that Sensex derivatives continue to grow and broke its record on 20th September 2024, when more than 66 crores contracts traded, representing a notional turnover of over RS. 560 lakh crores and a premium turnover of RS. 48,327 crores. Since re-launch, more than 450 members have traded BSE derivatives, representing around 68 lakh active clients. BSE forayed into single stock derivative space with effect from 1st July 2024, with the mid-month expiry on the second Thursday of the month. So far, 169 members have participated in single futures and 126 in single stock options.

The turnover since re-launch is RS. 516 crores in futures and RS. 384 crores in options. BSE processed a record 697 crores orders in a single day on 4th October 2024 on back of increased demand for its derivatives products. To cater to such high volumes, BSE is continuously investing in technology upgrades and building its next phase of state-of-the-art data centre within the BSE premises in Fort, Mumbai.

We are expecting it to be operational by end of this financial year. During the first half of FY2025, we continue to work closely with our stakeholders and regulators to implement initiatives that

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BSE - PUBLIC promote the quality and attractiveness of our markets. In particular, we have rolled out the recommendations of the SEBI on measures to strengthen the index derivatives framework.

Accordingly, with effect from 18th November 2024, BSE has decided to continue with Sensex derivatives as its sole weekly expiry contract, while Bankex and Sensex 50 contracts will be moving to a monthly expiry cycle from the existing weekly expiry. Additionally, the exchange has increased the lot sizes for all the index derivatives contract. The new launch sizes are 20 for Sensex, 30 for Bankex and 60 for Sensex 50.

With respect to True to La

bel Circular BSE has revised its transaction charges for index options to RS. 3,250 per crores of premium turnover with effect from October 1, 2024. Transaction charges for equity cash segment remains unchanged as BSE has been following a flat rate structure since December 1, 2022. Additionally, SEBI is currently deliberating on discussion papers pertaining to the treatment of interest income by clearing corporation on cash collaterals received from clearing members and upstream client funds and monitoring shareholding of MIIs. These discussions are ongoing, and we will continue to monitor developments closely. Though we believe these steps will impact the volumes of the exchange, these initiatives aim to further improve market efficiency and trading dynamics, which will ultimately benefit both institutional and retail investors as well as other market participants. Moving to our mutual fund distribution business. BSE StAR MF delivered yet another quarter of record revenues and performance up 100% year-on-year to reach RS. 58.7 crores. The total number of transactions processed by BSE StAR MF grew by 68% to reach 16.28 crores transactions in Q2 FY '25 from 9.67 crores in the corresponding quarter previous year.

On an average, the platform processed 5.06 crores transactions per month in first half of current financial year as compared to 3 crores last year. The platform also processed a new high of 6.05 crores transactions in October 2024. Given the growth, we are continuously investing in StAR MF to improve in terms of scalability, functionality and order processing.

Moving on to our subsidiary business now.

My last earnings call had updated that BSE has completed the acquisition of S&P Dow Jones Indices entire stake in Asia Index Private Limited, making AIPL a wholly owned subsidiary company. Also, I had mentioned that AIPL is committed to improving and expanding its product offerings by working closely in the financial market ecosystem and other relevant stakeholders.

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BSE - PUBLIC I'm happy to update that the company has launched 11 new indices in the last 3 months, including several innovative indices such as Business Group, Premium Consumption and Internet Economy, which are very relevant for the asset management industry and the investors at large.

AIPL will continue to launch more indices which in line with the market trends. This will be an important area of focus in the coming years given the growth of passive investments in India. The BSE group directly or via subsidiaries also has its presence in other related businesses, including India International Exchange, that is India INX, BSE's Exchange at Gift City, BSE Ebix, the Hindustan Power Exchange, BSE E -Agricultural markets, spot platform for trading in commodities and BSE Administrations and Services Limited.

BSE is now committed to these new areas and is constantly working with partners for the growth of these businesses. As we move forward, we see that there is a significant opportunity to continue to expand and evolve these businesses. Looking ahead, we remain steadfast in our commitment to further enhancing the vibrancy, resilience and competitiveness of our markets by continuously expanding our product offering and investing in our infrastructure. We are committed to ensuring that BSE remains at the forefront of financial markets, offering a transparent, well-regulated and highly liquid platform for companies and investors alike. We also look forward to working closely in partnership with our stakeholders and regulators to ensure that our markets remain fit for the purpose for the next generation of investors.

With these updates, I now hand over the call back to Anand.

Anand Sethuraman:

Thank you so much, sir, for these updates. We can now open the floor for question and answers.

Moderator:

Thank you very much sir. We will now begin the question and answer. The first question is from

from

the line of Jeet Suchak an Individual Investor. Please go ahead

Jeet Suchak :

Hi, team. Congratulations for the good set of numbers. I had a question with regard to the clearing charges and related to clearing houses. So as you know from 20th November, the contract size will be increased and so for -- per contract turnover will be increased. So currently, from last calls, it is understood that currently, clearing charges are counted based on the number of

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BSE - PUBLIC contracts. So, what will be the impact of the increased turnover per contract will be what I mean, is clearing charges going to come down and what is the take of ICCL and what are the clearing charges on the same. And is there any update on revising the pricing strategy of that clearing charges?

Sundaraman R :

Mr. Suchak thank you so much for attending the call, and thanks for your kind and good words and good questioning. Going from November 20, 2024, as you rightly observed, the size of the contracts are increasing. When the size of the contract increases, the premium earned per contract will be more. And therefore, the transaction charges received should increase. While the clearing charge is based on the number of contracts traded, the clearing charge would remain the same.

So therefore for every amount of clearing -- every RS. 1 of clearing charges paid, the amount of premium collected will be more. So that is the correct statement which you have made, but how it will benefit the exchange will depend upon how the market views that increase in the size of the contract and how much it is, therefore, able to trade those contracts will be an important factor to wait and watch for.

Clearing corporations do not charge directly any charges to the client. The clearing charges are bundled along with the exchange charges and the exchange pays the clearing; the charges based on whatever is the interoperability agreement stipulated numbers are. So the question whether the clearing corporation will reduce charges to the customers does not arise.

Jeet Suchak:

I mean is that -- is there any price increase from the clearing house that is possible and that we are thinking because the top line will be reduced by half or -- I mean, 50% or 66% as the contract size is nearly twice or thrice currently. So is there -- because that will be big dent on the top line of the clearing houses, so on that?

Sundaraman R.:

Got it. I understood your question now. As you may say, as you may be aware, we have been discussing with clearing corporation since September 20, 2023, that the clearing charges are very

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BSE - PUBLIC high on BSE, compared to what other exchange pays because of the quality of premium being different and the charges being based on a number of contracts.

We have been requesting them to significantly either reduce the charges or unbundle the charges and charge whatever is appropriate directly to the clearing members so that the exchanges could pass on the benefit of economies of scale to the investors. So our dialogue in this matter, with the

clearing cost ratio and the escalation that we have raised to the regulators on this shall continue till we get a satisfactory resolution.

Jeet Suchak :

So on only last thing. So there is no current communication between clearing houses to increase the price from 20th November. So that's the right statement, right?

Sundaraman R.:

We have not received any communication from any clearing corporations or on any increase in charges associated, actually we are discussing with them on reduction of charges.

Jeet Suchak :

Okay understood. That was my question. Thank you for answering.

Moderator:

Thank you. Next question is from the line of Pranav Thakkar an Individual Investor. Please go ahead.

Pranav Thakkar:

Thank you for the opportunity and congratulations for great set of numbers. I would like to understand what our what effort

ts we are doing to ensure more traction in individual stocks and options because since launch, there is no traction and it is also not available to trade by major like large brokers, Zerodha, Upstox or any other discount brokers. So if you can give some colour on it, please?

Sundaraman R.:

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BSE - PUBLIC Thank you so much, Mr. Thakkar, for kindly attending the session and congratulating me. You're right. We introduced the stock futures and stock options in July. The initial trouble that we had with regard to Sensex where brokers were not providing technological access to these products because they did not have the system ready. The same issue we are facing today with some of the brokers with regard to stock futures and stock options.

As you rightly pointed out, only when more and more members provide this opportunity, there will be traction in these products. We are working on two sets of participants. One is participants who are not technology ready yet to provide the technology for their clients to participate. And second people who have the capability to provide a two-way course in these products, we are requesting them to gear up that system to provide two-way course.

So then the market will have a strong presence of liquidity providers and liquidity takers that should ensure that the product succeeds. As you would appreciate, the last 2 months, 3 months were having a lot of regulatory discussions on very many impending regulatory changes to strengthen the index derivatives market from a regulatory perspective as a safeguard for investors

In view of this, our efforts in taking this product to the multitudes of market participants and discussing with them and handholding with them for providing the technology support, both from a liquidity provider and taker perspective could not be very intense. So now that there is a clarity on many of the regulatory directives in this regard, we will be taking it much intense with our market participants so as to bring in traction to these products.

Pranav Thakkar:

But is it possible for you to share some deadline or when it can get more traction?

Sundaraman R.:

No. Honestly, it would be an interesting thing if I could be able to provide the deadline. But the fact of the matter is there are contending technological changes at every broker's end arising out of multiple requirements, partly regulatory and partly their own requirements. So given that how they will be able to prioritize is something which they will be only able to provide, and it will not be a common single date.

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BSE - PUBLIC But what in my experience I have seen is when investors like you go on demand, the members that you would like to trade the mid-month expiry of stock derivatives at BSE. Typically, they prioritize it, and they bring it across because all of us, us, that is the MII, and the brokers are working for the welfare and benefit and business interest of the clients. So certainly, pure requirement to the brokers asking for a technological capability will certainly have a lot of weightage in prioritizing this requirement and making it an easy happening.

Pranav Thakkar:

Right sir. Thank you.

Moderator:

Thank you. Next question is from the line of Sanidhya from Unicorn Asset. Please go ahead.

Sanidhya:

Sanidhya this side. So sir your first question would be on the expiries of the various new indexes that we are launching. So is there any possibility we are trying to sign expiries in a way that mid-month and every week kind of we can have more than one expiries? And is there any setback we have received from the regulatory authorities in this regard?

Sundaraman R.:

Sanidhya thank you for attending the call and asking me this question. At this point of time, what we are doing is we are keeping things as what it is. But as you would appreciate, BSE's success is all ascribed to we listening to the voice of the customers. We will be we are, and we will be

continuously interacting with the market participants to seek what their directives are to us as to how we should shape the expiries.

Once we arrive at the clarity in this regard, with their propositions, we will go to the regulators and seek their approval in whatever we want to do so that the market as a whole gets benefited and the customers see that the voice is heard, that would be our approach in this regard.

Sanidhya :

And sir, secondly, on the side of just a clarification on the side of clearing, we are engaging with ICCL only, right? No other clearing?

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BSE - PUBLIC Sundaraman R.:

No, the BSE products, because of the interoperability in as much as the NSE products are cleared and settled in both the clearing corporation. The clearing members have provided an option to either settle through NSE's clearing house that is NCL or BSE's clearing corporation that is ICCL. The brokers we trade in any of the exchanges, but the settlement venue is as per that choice, which would be a single one. So when we talk of charges, we will be engaging with both the clearing corporations.

Sanidhya :

So any reason why we are seeing a charge extra while other exchanges are not and I didn't understand why that's happening, like we have been trying for long for this, right?

Sundaraman R.:

That's right. So the way in which the interoperability agreement was structured which is quite some time back, did not probably envisage a situation where an upcoming exchange is trying to bring in liquidity and newer market products, because of the newer market product, which is trying to garner liquidity typically starts building volume, starting with expiry day, expiry minus 1 day and goes backwards and then graduates into a weekly and then a monthly and probably a quarterly contract.

So until the process gets complete, the premium paid per contract is very small initially, and then it grows up till it becomes a very matured product, which is traded for 3 months expiries. Because of this, the yardstick that is used today to chart, which is the number of contracts traded makes it lopsided for an exchange where the number of contracts traded is more, whereas the premium is far lesser compared to an exchange where the number of contracts traded, and the premium are sort of in tandem. So that is where the disadvantage arises. And therefore, a condition is not true to label. The income earned by the exchanges is by way of premium turnover in crores. The income earned by the exchange is shared with the clearing corporation as clearing charges. So if we bundle the charges, our humble opinion and submission is that the base at which the people are charged should be the same. If the income earning is based on premium per crores, then the charges should be paid also should be on premium crores per person. Whereas here, what exchange earns as bundled is on premium crores, but whereas what it pays is simply on the number of contracts. Hence, the dichotomy, that's why we have been taking it up.

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BSE - PUBLIC Sanidhya:

And sir, lastly, anything you want to speak on the SME side, regulators trying to bring in new regulations regarding the SME only the IPO or the entire SME platform could you clarify anything you have heard from regulators or what's your view, like it would be just impacting the IPO side, or it would be impacting the entire SME platform. Also, anything regulator has communicated in terms of the lot size of the SME stock. So, I think we recently reduced the lot size there?

Sundaraman R.:

I will answer this question, but only my humble request is people should restrict to two questions per person, more questions can be answered if they can go back to the queue. As far as the question that you have asked, regulatory process in India has always been a very consultative and a co-creative process, and it is ever evolving

because if you look at it, the markets are evolving, so the regulatory process also will evolve.

So every market, including SME, goes through this regulatory development process which therefore requires review of all the regulations from time to time and make them more relevant and more meaningful for the evolving economic conditions. In that backdrop, you need to see whatever LODR changes that are happening for main board and also what may be in the offering for SME market.

Sanidhya:

Sir, anything on the lot size?

Sundaraman R.:

This has been the fourth question; I would request you to stand back in the queue so that others get an opportunity. Sorry.

Moderator:

Mr. Sanidhya may we please request you to rejoin the queue for the follow up questions.

Sanidhya :

Sure. Thank you.

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BSE - PUBLIC Moderator :

Thank you. Next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal :

Thank you for the opportunity sir and many congratulations on great set of numbers. My first question, sir, is on active clients. Did you mention that correctly, you have 68 lakh active clients.

So now are we at par with NSE in terms of monthly active clients?

Sundaraman R.:

So thank you, Agarwal Ji, first of all, for joining. I very much remember , we are talking about the 68 lakh clients having traded with us, but I honestly do not know what will be the numbers for NSE. My presumption is that we will not be badly off and very much different. But pardon my ignorance, I do not know what will be the corresponding number for NSE.

Devesh Agarwal:

Sure, sir. And sir, if you see the volume numbers for our Sensex and Bankex contract, especially if we just compare the last five expiries compared to the preceding five expiries, we see that the volumes are down almost 20% to 30%, both for Bankex and Sens ex. While if we do the same exercise for NSE contracts that is Nifty and Bank Nifty, we see that the decline is 10% to 20%. So any particular reason why we are seeing a much higher slowdown compared to the NSE for our contracts. Is it basically because we of the measures which we'll be implementing, what is that impact of that?

Sundaraman R.:

It's a good question that you have asked. September month, if you look at it, has been a hit with more expiries. So that now created a good amount of traction, and therefore, volumes, with greater volatility. October month had 1, lesser volatility and also because of the intervening holidays, expiries started getting merged with the previous days . As you would appreciate, when more than 1 contract expires on the same day, the attention gets divided, and BSE has only two contracts as Bankex and Sensex. So the possibility of greater reduction of BSE increases compared to any other exchange having multiple expiries because of this reason.

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BSE - PUBLIC Devesh Agarwal :

Okay sir. I have more questions, but I will come back in the queue.

Moderator:

Thank you. Next question is from the line of Gurpreet Sahi from Goldman Sachs. Please go ahead.

Gurpreet Sahi :

Thank you for taking my questions. Great set of results, Mr. Ramamurthy and BSE team and tremendous value creation for the shareholders. My questions are basically centred around the reforms that the regulator is doing in the options market. So high -level question on the industry, not for BSE as to if there is an impact on volumes, do you see from our clients in the industry that they can shift towards future? Is that an option over the medium term that can happen?

And if so, then our efforts in that direction can bear fruits? And also, if SEBI does not get a meaningful reduction, the second question is, over these 6 months, there's news that they would look at investor eligibility and kind of do whatever it takes to bring down option volumes. So, what's your view on that?

Sundaraman R.:

Mr. Sahi, thanks for joining t

he call and thanks for your congratulations. And the question was asked about what will be the impact of volumes, I presume I heard it right, the impact of volumes on the as a whole for the market because of the regulatory reforms brought in by the regulators. And will there be a shift to stock futures, to the index futures volumes instead of index options volume. These are two questions I'm able to remember and recollect. And also, you were asking about whether there will be investor eligibility requirement put in place if there was no reduction in volume happening in the next 6 months.

The regulatory framework was evolved to ensure that the investor interests are well taken care of, and the right investors participate in the market. And hence, the six set of regulations were brought in by the regulators. One of the impacts of it is expected to overall reduction of index options volume in the market. Typically, what I have seen is the interest in index options is slightly more than the interest in the index futures market. An index futures market for certain reasons is believed by the investors to be costlier to trade than index options.

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BSE - PUBLIC So I do not think that an individual investor who is the targeted person in respect of the index reforms will be getting in the index futures just because of this in the index options because index futures in any way comparatively could be a costlier product to trade because of the very nature of the product.

So having said that, it will have an impact on the volumes because that is the regulatory purpose. Your question was, if the volume reduction does not happen will SEBI move to the next stage of requirement of any accreditation of investors only they being in a position to trade. We need to wait and watch because even 6 sets of regulatory impact is yet to start effect. From November 20, it will start for 5 and for the 6th one from April 2025.

So we need to watch as to how the market evolves and how the regulatory thought process evolves. And as I have always been telling in my calls, India is a unique country where the regulatory process is absolutely consultative and a co-creation and therefore, I'm sure the market participants, including the MIs will be consulted, and the collective opinion will prevail for any regulatory further reforms that were to be put in place.

Gurpreet Sahi:

Thank you, sir.

Moderator :

Thank you. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra:

Sir, my first question is like post the regulatory changes as a shift from more weekly to more monthly expiry, do we see increase in the volumes in the non expiry days on BSE. And that will have an impact on the premium conversion ratio wherein where we have one-third of the other exchange. Can we see that converging and that can also have implications in the contract level and profitability wherein the contract level profitability for BSE might improve as the charges can come down.

Sundara raman R. :

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BSE - PUBLIC May I request you to reserve your second question so that I am fully doing justice to the first question after which you can please ask the second question. I don't want to forget what you are asking. So is it okay if I answer your first question first?

Amit Chandra:

Yes sir, yes sir, please go ahead.

Sundararaman R.:

Yes. Sorry, if I did not remember your question properly and do not answer it properly, that is not correct. That's why I'm requesting this. You're right that the intention of BSE notwithstanding the regulatory -- recent regulatory directive if you may recall. We have been repeatedly talking about deepening and broadening of the market as our strategy for the year. And while we were talking about deepening and broadening of the market, one important point, what we were making was to make Sensex products mature and Bankex products mature

to become monthly contracts.

So our efforts have been on. Now it has got a regulatory, what should I say, backing as well for us to promote it even better. As you would have seen in the recent weeks, already there is some amount of traction that we are seeing in the next week, next to next week, and third week contract in respect of Sensex.

We are trying to build it by talking regularly to the market participants because we feel a mature product has to go through that way. And our efforts will be on in respect of Bankex as well to take it in the same direction. Once that happens, yes, indeed, the premium per contract, both in terms of the size and also in terms of the week of expiry will be very advantageous for the cost optimization at the exchange level, under the clearing corporation level.

So we are working towards it. And if we are able to succeed, yes, it will have a positive impact for the market as a whole because the product will become a mature product for people to take a view for not just this week but for a longer period of time. And also in terms of operations, it will help the exchange and clearing corporation.

Amit Chandra:

Okay. And sir, in terms of participation, obviously, we have previously mentioned about increasing and deepening the participation. So any update on how the FPI participation has been? And also, if you can like if you can give some data around what is the contribution of investors

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BSE - PUBLIC who are having a total turnover of, say, like RS. 1 lakh and RS. 10 lakh monthly turnover options on BSE, maybe in terms of percentage because the other exchange provides that through -- just to get a sense in terms of how the retail participation is there on the platform?

Sundararaman R.:

So in terms of the deepening and broadening of market which we talked about. We have been working -- we're increasing the number of members. As you may recall, we initially started with the 8 members on first day went to 50 members and went to 300 members. We have been increasing the number of members. I'm very happy to tell you today, we have registered members of around 453 in our Derivatives segment, starting with just 152 in May 2023. For name sake, they were there at the time with no technological capability. Today, when I'm talking of 453 they are with technological capability and with more members in the offering with a lot of applications coming to us on a regular basis.

And the number of UCCs, which is another metric which we use started from just 4,000 on the first day to go to now around 5,595,000. That is 55,00,000 to say so in terms of number of UCCs registered, so they all may not be trading. In terms of FPIs as well, starting with nobody today we have reached to a level of 120 and we are in discussions with around 30, 40 people are in the pipeline and at various stages of inclusion into the section.

In terms of percentages, our numbers do not vastly differ from what you have for NSE which is published information from market pulse which we also look at, we are not vastly different from those numbers that they have. The p layers that they talk about 49,00,000 or whatever it is slightly bigger than what we have as base, but the percentage distribution is not different.

Anand S.:

Amit, you may also want to look at our investor presentation, which gives these numbers. So in terms of members, in terms of UCCs, we are giving these numbers now. So you will have the month-wise numbers available to you.

Amit Chandra:

Yes. And sir, my last question on the SGF part. So obviously, if you can tell us what is the SGF in the F&O segment for us. And if I'm not wrong, there is a target set by the regulator in terms of having a particular SGF contribution for the F&O segment. So is it not right for us to assume that

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BSE - PUBLIC the SGF contribution would be in line with the market share because we are quite low in terms of the SGF contribution versus what the other exchange is having?

Sundararaman R.:

In terms of number, for equity derivatives, in fact, Amit, it's the third question that you are asking. As I'm just replying, nevertheless, for equity derivatives, the SGF is around RS. 114.15 crores. That is our core SGG. The total SGF contribution today BSE is having is around RS. 1,000 crores - - roughly RS. 1,000 crores. My memory is -- so I think RS. 997 crores or something.

The SGF computation as you know is a very complex process. And recently, there have been some changes from October 1, 2024, in the methodology of computation. The contribution of BSE to the clearing in totality and the ICCL clearing requirement are both not very big at this point of time. Because BSE is just growing and ICCL has a very low market share in clearing and settlement at this point of time. So given that the rules will accordingly apply by the regulator and as and when any call comes, we have not received any specific call for any specific increase at this point of time. As and when any call comes, we will certainly provide for as required by the regulatory setup.

Amit Chandra:

Okay sir. Thank you and all the best.

Moderator:

Thank you. Next question is from the line of Marsal, an Individual Investor. Please go ahead.

Marsal:

Yes, sir, first of all, many congratulations for putting such a fantastic number, but we have a serious apprehension that the kind of growth we have seen in the core revenue, whether it's sustainable since there are a lot of -- for example, this first, I want to ask that whether it's sustainable? Or if you can tell us that how much is coming from the core equity transaction and

how much is coming from F&O? Because F&O is going to be under like a lot of changes like very shortly as per the regulatory guidelines. So if you can just like put some light on this one?

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BSE - PUBLIC Sundararaman R.:

Sure. Thank you so much. See, if you look at the income for BSE, it comes from the following sources. One is listing revenue; second is the data dissemination revenue; third is treasury income; fourth is equity income. Transaction charges coming out of equity. Fifth is transaction charges coming out of equity derivatives and sixth is transaction charges coming out of mutual funds. So if you look at it, while equity derivatives is an important contribution, it is basically other contributions are also there. To look at it this quarter, we have made a top line of RS. 350 crores from equity derivatives, RS. 100 crores from cash, around RS. 60 crores from mutual fund. And apart from that, of course, there is significant amount of listing fee, I think around RS. 120 crores of listing fees that we have made which is called as services to corporate. And we had treasury income which is around RS. 63 crores from clearing and settlement funds on and on. So while we do have good amount of revenue coming from derivatives, it's not that only derivatives is contributing for the top line growth. All the things that I mentioned to you, all of them have been contributing to the top line growth. With regard to the regulatory changes and the impact on equity derivatives of BSE we need to see how it turns out because there are 2 factors which are on the play here. One factor is, of course, a negative factor is that Bankex still becomes a monthly product, there could be a blip in its volumes of weekly options because there'll be no weekly options. Whereas only two contracts are available in the market as a whole for all the investors to participate. Sensex being one of the indices, which is very understood and highly adapted and well followed and tracked index could find some meaningful interest for many of the market participants who have shorter interest, also longer-term interest and therefore, could be a very important product in the coming days. Based on these two, we

need to wait and

watch how the equity derivatives volumes proceed. The limited point, what I want to make is the revenue numbers that you are seeing are not solely coming from equity derivatives. It is spread over around 6 sources of income. All the other sources of income are also growing. And therefore to that extent, that provides a stability in income.

Marsal:-

But sir, like this derivative product is not available with one of the leading brokers which is shoonya.com, like it is showing in the list, but when we click, there is like no rate is showing there. So can you please check up with them and tell them like to start working on this. Because if you trade any option or future through this BSE, then there is no fees. So it is good for, for example, for the client as well as good for the broker also because if somebody is trading for derivative

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BSE - PUBLIC through BSE then he will be parting the money with the broker. So broker is also making interest from those options fund. So can you please ask your concerned person or head of trading, like recently, somebody is appointed there to take up with shoonya.com to activate this derivative function of BSE immediately, please?

Sundararaman R.:

Thank you for the suggestion. We continuously engage with all the brokers for activation of BSE platform. Now that you have suggested a specific name in our continuous follow-up, we will include that name also. To the extent what I understand, we were told that they are technologically enabled now to permit customers. So therefore that should be possible. So we will certainly be talking to them as well in our talks with all the brokers. I would also humbly submit to you when a client demands, as I was just replying two, three questions before when a client demands a product, the brokers have an incentive as you very rightly pointed out because it also makes business sense for them to provide the contract. So my humble request to you is from your side you also follow up and it is a continuous process for us to follow up with all the brokers, we will also include, if we have not already included in my opinion, we have been following up with shoonya as well, we will talk to them. And thank you so much for this suggestion to us.

Marsal:

But sir, I also gave one suggestion last time, sir, because it is a serious like but in your website, that if you are browsing any or if you're opening any PDF file in corporate announcement, which is 3 day old, it never opens. Like, for example, today, the date is 12th so I can open any announcement made by the company on 10th of November I can open, I can open of 11th November also, but I can open of 8th November also, but I can't open 9th November. So this is serious, but last time like your colleague told me that let me send an email to investor

relations, we sent email to investor relations also, but it fell on the like on the nobody cared, and the problem still persists. So since you are the CEO of the BSE, kindly take some urgent action because we are so used to browse only through BSE, we are not like they used to browse NSE website because it is too like grumbled up. Your website is very simple, clean, but like the three days old announcement, never -- any PDF file never opens. So please take some action on your IT as well as your IR also.

Sundaraman R.:

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BSE - PUBLIC Thank you so much for bringing up to my notice. Certainly, I look into it. I will -- my IR people are and other all my KMPs are on the call. They are listening to you as well. I'll ask them to look into it. Thank you for the suggestion.

Marsal:

Yes. And my last question -- my second question, sir, is like CDSL we have a sizable holding. Why it is not showing in the fair valuation gain?

Sundaraman R.:

Before I answer this question because this is a fourth question, when you were talking, I tried to open from my mobile 4 days old PDF and I am

able to open. I can suggest you also what is the PDF

which I am opening. Reliance Industries one second kindly listen to me. It is a submission made by Reliance Industries Limited on October 24, 2024, which is in my portal, and I am opening it and I'm able to open, but you said three days old PDFs are not opening. So I will have to check whether there are any broker problem.

Marsal:

No. What I'm saying because we use this -- we use, for example, this desktop only like we use this laptop only. And I'm again trying to like to open something, for example, let me see some companies which companies should I browse here for example ?

Sundaraman R.:

May I request you something. One is already the time is up, and this is the fourth question. In any case, I have noted your problem. While talking I tried to open multiple PDFs of the past, I'm able to open, I don't know why you are having a problem. So my humble request is you also check it from your system side whether you have any issue. We will also check from our side whether we have any issue.

Marsal:

Sir, like I am fine, but maybe you can open through mobile, but it's never opening in the laptop which I have tried multiple -- in the multiple laptops. So let me again clarify three days old, not four days old. If you -- today is 12th November, you can't open any announcement of 9th November, three days old, not four days old sir, in the laptop I'm saying?

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BSE - PUBLIC Sundaraman R.:

Okay. I think it has got something to do with your Chrome extension. I don't want to take the time here. Probably you should try, and we will also try and probably you should get in touch with one of us by calling us from the website number. We will tell you where your problem lies, we'll be able to resolve it for you soon.

Moderator:

Ladies and gentlemen, we will take this as a last question for the day. I would now like to hand the conference over to Mr. Anand Sethuraman, Head of Investor Relations for the closing comments.

Anand Sethuraman:

Thank you, Yousuf, for the call. Thank you, everyone for joining us on this call. We do realize that we have not been able to answer all questions. Please feel free to us at bse.ir@bseindia.com.

Thank you so much.

Moderator:

Thank you. On behalf of BSE Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2025

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BSE - PUBLIC
February 12, 2025

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on February 6, 2025

Dear Sir/ Madam,

With reference to our letter dated January 30, 2025, intimating you about the conference call with Analysts/Investors held on February 6, 2025, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com

This is for your information & record.

Thanking you,

Yours faithfully,

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer

Encl: a/a

BSE LIMITED
Q3 FY25 Earnings Conference Call

February 6, 2025
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:
Ladies and gentlemen, good day, and welcome to BSE Limited Q3 FY '25 Investor Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand. Thank you, and over to you, sir.

Anand Sethuraman:

Good evening, everyone, and thank you so much, Raghav. Hi. This is Anand from the Investor Relations at BSE, and welcome to the earnings call to discuss Q3 FY 2025 performance. Joining us on this call is BSE's leadership team consisting of Mr. Sundararaman Ramamurthy - Managing Director and CEO; Mr. Deepak Goel - Chief Financial Officer; Mr. Sunil Ramrakhiani - Chief Business Officer, Ms. Kamala K - Chief Regulatory Officer; Ms. Vaishali Babu, MD & CEO - ICCL, Mr. Ashutosh Singh - MD & CEO, Asia Index Private Limited (AIPL). We also have other Key managerial personnel (KMPs) present here along with members of finance and investor relations teams. Do note that this conference is being recorded and the transcript of this call along with the earnings release and presentation can be found in the Investor Relations section of the BSE India website. Before we get started, I once again remind you that our remarks today may include forward-looking statements. Any actual results may differ materially from those contemplated by these forward-looking statements. And any forward-looking statements that we make today on this call are based on assumptions and BSE assumes no obligation to update these statements as a result of new information of future events.

With this, I will now request Mr. Sundararaman Ramamurthy, Managing Director and CEO to give a brief overview of the company's financial and business performance. Thank you, sir.

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BSE - PUBLIC Sundararaman R.:

Thanks, Anand. Good evening, everybody, and a warm welcome to all our esteemed stakeholders for joining the call today. Two years have already passed since I took on the privilege of leading this prestigious institution. I am happy to state that in these two years, BSE has made significant progress across all key parameters, driven by a share division under tireless efforts of the entire BSE family, the BSE board, regulators, as well as the support of our partners.

When I first stepped into this role, our focus was clear to make the BSE vibrant, we embarked on a journey of revitalization, across the exchange, focusing on enhancing our technology and processes. Our second year was dedicated to deepening and broadening of the market, where we recognized the importance of expanding our reach and attracting new participants. Now as we embark on our third year together, our focus shifts to customer delight. We will strive for seamless experiences at every touch point, listen attentively to the feedback and continuously improve. Before we delve into our quarterly performance, I want to briefly address the recent market dynamics.

The last quarter of 2024 saw signs of increased market volatility, the market sentiment remaining cautiously optimistic amidst global fragility and ongoing uncertainty over the continuing geopolitical tensions and other macro challenges. Set against this backdrop, the Honourable Finance Minister presented a comprehensive budget that has touched all the critical areas that needed attention for our economy, employment generation, consumption, energy, mobility, skill building, tourism, health, exports, MSME, etc., with fiscal stability given ample attention.

Considering the widespread expectations, the finance minister announced major tax relief for the middle class with a total tax exemption for

income up to Rs. 12,00,000 per annum. This substantial enhancement may put more disposable income in the hands of taxpayers leading to increased savings and importantly, giving a significant boost to consumption and financial savings, that potentially bodes well for the Indian capital markets. We anticipate that the

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BSE - PUBLIC increased spending power can have a positive ripple effect across various sectors contributing to economic growth and benefiting companies listed and to be listed on BSE.

Against this backdrop, I'm happy to share that BSE once again, recorded its highest ever - quarterly revenues of Rs. 835.4 crores on a consolidated basis, up 94% as compared to the corresponding quarter previous year.

I will now share some of the key financial numbers on a consolidated basis for the quarter ended December 31, 2024, as compared to the corresponding quarter previous year. The growth in revenues is led by strong performance in transaction-related income, treasury income from clearing and settlement services and investment-related income. On a year-on-

year basis, BSE's operational revenues have grown by 108% to Rs. 773.5 crores from Rs. 371.5 crores.

Transaction charges, which include equity cash, equity derivatives, mutual fund and clearing house income has increased by 157% to Rs. 511.1 crores from Rs. 199 crores. Similarly, operating expenses for the quarter grew by 86% to Rs. 567 crores attributable to higher contribution to core settlement guarantee fund to the tune of Rs. 199 crores accounting for 35% of the total operating expenses. The higher contribution is on account of new methodology for computation, as per SEBI circular dated 3rd October 2024 for Minimum Required Corpus (MRC) for the Equity Derivatives segment and onboarding of new members at the clearing corporation. Further 52% of the total operating expenses are attributable to core SGF and regulatory fees, whereas 15% was attributable to clearing and settlement expenses, all of which is directly correlated to increasing derivative volumes. Treasury income from clearing and settlement funds has increased by 3% to Rs. 48.5 crores from Rs. 46.9 crores. Other operating income, which includes data dissemination fees, trading income, software income, etc has increased by 77% to Rs. 64 crores from Rs. 36.2 crores. Income from investments increased by 7% to Rs. 58.2 crores from Rs. 54.6 crores. The operating EBITDA has increased to Rs. 236.5 crores as compared to Rs. 91.9 crores with margins expanding to 31% from 25%. Excluding contribution to core SGF, the EBITDA stands at Rs. 435.7 crores with a margin of 56%. The net profit attributable to shareholders of the company stands at Rs. 219.7 crores, up from Rs. 108.2

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BSE - PUBLIC crores, a growth of 103%. I would now like to share updates pertaining to business. For specific numbers pertaining to turnover kindly refer to the BSE website and the investor presentation. Let me start by covering our primary market segment. BSE platforms continue to remain the preferred choice by Indian companies to raise capital by enabling issuers to raise Rs. 20.9 lakh crores by means of equity, debt, bonds, commercial papers, mutual funds, etc. In Q3, 2024 BSE welcomed 30 new listings, raising a record Rs. 95,512 crores, up 261% on a year-on-year basis. The IPO market continues to show signs of growth, and the IPO pipeline remains healthy with 108 active applications. On the listing front, we continue our efforts to promote high standards of corporate governance and disclosure practices among listed issuers and ensure the competitiveness of our listing framework.

Moving on to our Trading segment. Despite the challenging macroeconomic backdrop, as stated earlier, the BSE cash market continues to demonstrate resilience with an average daily turnover of Rs. 6,800 crores for the quarter as compared to Rs. 6,643 crores in the same quarter last year, a

marginal increase.

The BSE Derivatives segment sustained its growth trajectory in the quarter with highest ever average daily premium turnover of Rs. 8,758 crores for the quarter. As stated by me in the previous earnings call updates, we worked closely with our regulator SEBI, to implement the measures to strengthen the index derivatives framework that promote the quality and attractiveness of our markets. While at least one more recommendation, intra-day monitoring of position limits remains to be implemented, the other five regulations that have been rolled out, have made a significant impact on the trading patterns. Further, as you may be aware, BSE also changed the expiry day of its Sensex and Bankex contracts from Friday and Monday respectively to Tuesday with effect from Jan 4, 2025. The number of contracts traded, and notional turnover has declined, as seen from the numbers stated in our investor presentation and website, while the premium turnover has remained stable so far.

While these are all still early days, we remain committed to further improve market efficiency and trading dynamics for the benefit of all market participants, while Sensex contracts continue to remain liquid, BSE is committed to rebuilding liquidity in its Bankex contracts.

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BSE - PUBLIC BSE single stock derivatives segment is yet to pick up volumes in a meaningful way, as members are still developing connectivity. So far, 174 members have participated in single stock futures and 139 in single stock options. The total turnover, since relaunch is Rs. 564 crores in futures and Rs. 498 crores in options.

As part of our commitment to driving innovation and efficiency in our markets, to process the increase in number of orders and trades handled in the derivatives segment, we plan to continuously upgrade our trading systems to adopt the best-in-class future-ready technology. This is aimed at enhancing trading experience, clearing and risk management capabilities, adding co-location racks for client requirements, etc.

Moving on to our mutual fund distribution business. BSE StAR MF delivered yet another quarter of record revenues and performance, up 92% year-on-year to reach Rs. 63.5 crores. The total number of transactions processed by BSE StAR MF grew by 39% to reach 17.99 crores

transactions in Q3 FY '25 from 10.99 crores in the corresponding quarter previous year. On an average, the platform processed 5.37 crores transactions per month in the current financial year as compared to 3.21 crores last year.

The platform also processed a new high of 6.15 crores transactions in December 2024. Given the growth, we are continuously investing in StAR MF to improve it in terms of scalability, functionality and order processes.

Moving on to our subsidiary business now.

Asia Index Private Limited, AIPL BSE's indexed company continues to launch innovative indices, which are very relevant for the asset management industry and the investors at large.

The company has launched 15 indices in the ongoing financial year and is focusing on launching more indices and expanding the factor family of indices and broad market family of indices before the year-end towards . I am happy to announce that AIPL has won the highly commended "Index Provider of the Year" award at futures and options world (FOW)

India INX, BSE's subsidiary exchange at GIFT City continues to expand its product offerings with the launch of Sensex derivatives contracts on February 3, 2025. As India's most recognized

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BSE - PUBLIC index representing the equity market, Sensex futures and options will offer international investors to participate in India's growth story. This represents a key step in broadening access to India's benchmark index for global investors. With its launch at India INX, we reinforce our commitment to deepening liquidity, enhancing market access and positioning GIFT IFSC as a premier global

financial centre in line with the vision of our Honourable Prime Minister.

The BSE group directly or via subsidiaries also has its presence in other related areas, including Ebix Insurance distribution, Hindustan Power Exchange, BSE e -agricultural markets, and BSE administration and Services Limited. BSE is committed to these new areas and is constantly working with partners for the growth of these businesses.

Before I conclude, I'm happy to note that throughout 2024 BSE demonstrated focus and resilience amidst challenges on the business, regulatory and geopolitical front by introducing new products, market enhancements and expanding our strategic footprint. These included expansion of our offerings at the AIPL and India INX, modification of index derivatives contracts and introduction of single-stock derivatives. BSE also continues to remain India's premier capital raising venue with positive sentiment returning to the IPO market culminating in a record year. Our derivative markets also had another record year, resulting in closing the year strongly with the group reporting record third quarter financials.

While the road ahead will not be without challenges, we are optimistic about 2025, and we look forward to continuing to execute on our vision to lead and shape the development of India's capital markets, supporting our vision to build the preferred marketplace for the benefit of our customers.

With these updates, I now hand over the call back to Anand.

Anand Sethuraman:

Thank you so much, sir, for these updates. With this, we will be now open for question and answer.

Over to you, Raghav.

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BSE - PUBLIC Moderator:

Our first question comes from the line of Vivek Patel from Ficom Family Office.

Vivek Patel:

I have two questions. First, post the implementation of SEBI recommendation. What has been the loss in the trading volume of Bankex and increase in the trading volume of Sensex. And secondly, could you please expand on the nature of the core SGF contribution? And what will they be going ahead as a percentage of revenue or in absolute terms?

Sundararaman R:

I will take the second question first. And on the loss of Bankex volumes, I will talk subsequently. As far as core SGF is concerned, as you would be aware, SEBI came out with a recent circular dated October 1, 2024. Basically, it enhances the stress testing framework for equity derivatives. Under that it defines a minimum required corpus. This computation methodology has actually three stress test models - factor model, stressed VaR and Filtered Historical Simulation. When we apply this along with the price shock as stipulated, the minimum required cross corpus have significantly increased. SEBI was also kind enough to permit one-time inter-segment transfer of funds. So, considering that, the net core SGF requirement, which we needed to provide for this quarter came to around Rs. 199 crores, of which Rs. 147 crores were to be contributed by ICCL and Rs. 53 crores were to be contributed by BSE that is the impact

and reason of SGF increase.

As far as the number of contracts reduced is concerned. What we find is, the overall volumes in Bankex have significantly fallen down almost by around 95%. Sensex notional volumes have fallen down marginally, and premium volumes have almost remained stable for most of the part and is showing an increasing tendency because of the activity we see on non-expiry days owing to the change in the expiry day. We are trying to rebuild the Bankex liquidity by encouraging people to consider strategies, which suite the monthly cycle and helps them to take a long-term view. The market is used to such views because of existin g such contracts from the past in Indian exchanges. So, we are confident we will rebuild the monthly contract of Bankex.

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BSE - PUBLIC Anand Sethuraman:

Vivek further, you may also refer to our website it does giv

e the product -wise breakup of

Bankex, Sensex along with notional, premium and other parameters.

Moderator:

The next question comes from Prayesh Jain from Motilal Oswal.

Prayesh Jain:

Couple of questions. Firstly, continuing on the SGF part, you mentioned what has caused the contribution in this quarter. But how should we look at it from a going-ahead perspective, do we with volumes if they continue to increase, whether it will be a regular contribution? Or is there any strategy that the Board has decided to kind of incrementally contribute on a regular basis? Or it would depend upon SEBI, giving out circles and then you contribute, which will be kind of sporadic in nature. That is my first question. Second question is on the clearing and settlement side of the business, where the clearing, there has been talks about or there has been consultation paper on the clearing corporation is getting demerged and that stream of income could be at risk? Or how do we see that eventually panning out? And what could be the measures there?

Sundaraman R.:

Thank you for these questions. In terms of core SGF, you may recall, we have always been telling that the core SGF computation is dependent on a multiple number of factors making itself unamenable to a linear extrapolation. Also, it has this various price shocks, volatility shocks, multiple models, which I mentioned.

So given that periodically to forecast what it could be next quarter becomes very difficult.

Hence, that's the reason why we are not able to continuously provide for the number every quarter. Will it increase? Will it increase? If so, what will be the fact or that causes increase and what is your strategy with regard to that was the other part of the question that you were asking.

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BSE - PUBLIC The way I look at it, I may be proved right, I may be proved wrong, to be very honest. The way I look at it is the method that has been stipulated on October 1, 2024. It's a significantly different and highly enhanced in terms of the requirements, that type of a method. That is why, if you look at it, the numbers have jumped from around Rs. 74 crores to somewhere around Rs. 550 crores.

When this type of a jump happens, it is mainly because the system, which is being used to compute is new. And if this continues, there is a greater probability the incremental increase that will happen over a period of time would be marginally much lower than the initial jump that has happened. Multiple factors, including acquisition of new members, increased open interest amongst the existing members could be a very important reason for increased core SGF. But if you look at it, they are all good problems to have because if the volumes are increasing and if you are getting more and more members and because of which you are putting more money into the core SGF, that's good because you are creating a permanent revenue stream with a marginal increase in the contribution to the core SGF. I hope that answers by and large the question that you raised on the core SGF.

On clearing and settlement business, it is very early days. There is a consultation paper available. If you look at the principle, which is guiding the regulatory thought process in respect of clearing and settlement, I understand it as and all. Clearing and settlement is a very, very, very important part of the MII framework in handling the transactions and therefore, an integral part of market efficiency. Such type of an important organization, institution. Should it be a subsidiary, or should it be an independent organization, fully capable of managing itself in its thought process, totally oriented towards its job of clearing and settlement are not dependent upon a parent for its policy formulation. The answer looks very evident. It has to be very independent. That is the direction in which the regulators are thinking. So, when you say independent, the shar

eholding should be such a passion that it makes it independent. The revenue stream should be such that it makes it independent, how to achieve it from a current 100% model to a diversified model, how do we achieve? The Indian regulatory thought process has always been clear. We cannot have monopoly structures. We cannot have concentration risk. We cannot put all these into 1 basket and have a risk of failure. So if you are to achieve 2 exchanges, 2 clearing corporations have a diversified shareholding and that's result in an

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BSE - PUBLIC independent entity, nevertheless, it's not a very easy task. I'm sure it will get achieved by the great brains of our country, but it is a process slightly away.

Given that it will be very difficult today to project what will be the impact, whether it will impact our revenues. So, all you know, the diversified shareholding pattern may result in increased revenue for an exchange like BSE. So, it's too early to predict. So, I am not able to clearly give a direction in that. Therefore, my apologies.

Moderator:

The next question comes from the line of Sudarshan, an individual investor.

Sudarshan:

So I just wanted to know how can we increase our market share in the equity cash segment, sir? Can we do a different strategy rather than the traditional model of collecting money for the turnover instead of that, can you have money collection based on the execution -based order for the equity cash segment, sir?

Sundaraman R:

Thank you, Sudarshan. My apologies for making you to repeat the question. The equity cash segment market share has had initially shown a good growth trajectory, when the markets were on an upward trend. First one to the global headwinds that we are seeing, and the market volumes have started diminishing though in terms of the ADTV, we have done better than year - on-year quarter, if you look at the market share percentage, it has not shown any great improvement. We have been trying a lot to bring in greater a traction. For us, one of the most important requirements from an institutional front is common contract note. With the help of the guidance from regulators, we have been working with all partners and we are trying to make them understand the importance for market efficiency through a common contract note. It should have been implemented in October 2024, if you may recall.

Many of the stakeholders for various good reasons of themselves, wanted the timeline should be extended to January . Now they have further extended it to March. In our opinion, common

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BSE - PUBLIC contract note is very important for getting the secondary market volumes in the best place of execution, which we feel BSE has a chance of 50 -50. The second is the retail volumes. Today, notwithstanding all the regulatory directive and intentions to ensure a level playing field on the capability of the client to choose the best price for execution, the software provided by the systems and front ends provided by many of the market participants are far from being satisfactory. We are working with every one of them. We are talking to them to ensure that it provides a fair play and a level play and good access for a best price execution. Already, the regulators have made it very clear through multiple communications to the exchanges and also to market participants. It is a necessity. The timeline that has been prescribed as October 2024 for the qualified stockbrokers and for others by Jan 25. The timelines are over, but still some people are languishing. I am sure the regulatory directive will take effect and at some point, everybody will be providing a level playing field. With these 2 things happening, we feel equity market segment will see better light for BSE. In respect of the differentiation in the charging structure, I will certainly consider this. It is a good suggestion for us to consider and think about and if you could

be kind enough to write a detailed note on what you meant by this and how you feel it will help and forward it to us, we are more than happy to analyse it. As you know, we always go and take the voice of customers, and we go by what the customers tell us. We work here for customers' delight, and we will certainly factor it in our decision -making.

Sudarshan:

Thank you, sir , my second question is, how are you going to improve the quality of the premium, sir. Have you onboarded more FPIs as we intended to. If we wanted to improve from 200 to 500. And what is the status of that? And what is the capacity utilization of these data racks?

Sundaraman R:

Sudarshan, I will answer this question with a request to you. No further questions from you will be allowed. You have to stand in the queue because there are many other aspiring people are asking the question. I'm sure you will appreciate that. As far as this question is concerned, the premium quality increase improves its participation is for longer dated and also on all days of expiring. As you would see, all of our efforts have been in that direction, and it has already

BSE - PUBLIC started showing proper fruits. Today, the percentage of volume traded of Sensex derivatives on expiry day has consistently fallen down and the other days, including the next day of expiry i.e. E-4 days, if I were to call has significantly increased. In fact, on many days from what the past numbers were, I find it 4x to 5x more. So that is these are the things we are doing to improve the quality of premium.

Moderator:

The next question comes from Devesh Agarwal from IIFL Securities.

Devesh Agarwal:

My first question is a clarification question. You said on the colo side, the new methodology has led to an increase in the requirement from Rs. 75 crores to Rs. 540 crores. Now what we have provided in this quarter is Rs. 200 crores. So is the balance likely to come up in the coming quarters?

Sundaraman R:

No, there is one set of number, which was told with you. There are other sets of numbers you need to consider. The new MRC difference came for us to Rs. 481 crores. And in that, we have already been permitted a onetime transfer of excess funds from equity cash segment to the equity derivatives segment, as I mentioned to you. After doing that, the resultant balance, which we needed to provide for, was around Rs. 199 crores. Roughly, you can take it as Rs. 200 crores of that, Rs. 150 crores was to come from I CCL and Rs. 50 crores had to come from BSE, which we have done.

Devesh Agarwal:

Understood. And my second question, sir, is on what your plans for colocation facilities are. Now that SEBI is also talking about retails to benefit from the colo services. So, are you what exactly are the plans in terms of putting up new colo facilities? And when will we start monetizing this thing?

BSE - PUBLIC Sundaraman R:

Three parts for that, your question, my dear friend. One is about retail algo. Retails are permitted to have algo whether that will increase the colo demand was one thing, which we have to wait and watch. That is one part. Already, as we have started monetizing the colo to the extent of racks rent, which is competitive rent now. So that's a second part. Well, for the order flow, we are not charging anything in a meaningful way, very, very small token of a charge is what we have introduced. At the right time when we feel, as I always say, when the market is in a position to take extra cost, that's the point when we burden the market, we will do that. As far as the colo plan is concerned, if you may recall, we started with almost no colo facility with hardly any the number of racks with us. And subsequently, we had a significantly large number of racks, almost the total rack, the total now, which we have crossing somewhere around 200, 220 racks is what we currently have. Is that a good number or a suf

ficient number? No. We do have a big

waiting list. As you know, we are working on providing extra colo space, and we are in the process of implementation. And as we do really understand the need of colo racks for the market and their importance of colo racks for the market participants, we are in the process of providing in the days to come as and when the complete our colo, we will be releasing it so that the market benefits from that.

Devesh Agarwal:

Alright sir thank you so much.

Moderator:

The next question comes from Sanidhya from Unicorn Assets.

Sanidhya:

So my first question would be on core SGF, so you were saying the figure that came for us was Rs. 481 crores, so there was onetime setup that we gained from like transfer from one fund to the another. So can we assume for the next year, if we see some growth as well, it would be more than Rs. 500 crores for the entire year, FY '26?

BSE - PUBLIC Sundaraman R:

See, I think I answered this question in great detail, when the first or second question was asked. I have given a lengthy explanation as to how it's nonlinear. It cannot be projected and how, when a new methodology gets introduced, the delta increase is always very high. And subsequently, the deltas become small. Here, I do not mean the option delta. I mean by delta,

the difference between the old number and the new number. And I also said that how when the volumes and open interest increases, which is bound to increase because we are working on better premium quality. We are asking people to trade next month and next to next month. So open interest will increase, and we are in the position of acquiring new members to come into our clearing market. So clearly, these are good growth standards for core SGF.

If we by some delta increase the core SGF of that, we are going to get the perennial source of revenue. I have also explained in the previous question, how any number cannot be put at that point of time. And that is the reason why many of the many these computations cannot be regularly provided for because it is very difficult to extrapolate.

Sanidhya:

Okay, sir. Got it. And secondly, if you see the overall premium for the last this quarter versus the previous quarter, it has kind of remained same, whereas the number of contracts have significantly decreased as well -- and as we see for the month of January, our premium turnover, net-net has increased and the number of contracts has been lower than the last quarter.

So can we assume of getting more operating leverage in that sense? And could you quantify like what number is variable for us, whereas how much it could be benefit -- we could be benefited from increasing the premium?

Sundaraman R:

So it's like this, as you rightly observed, we if you look at the total number of contracts and the average notional daily turnover they have consistently -- they have fallen down compared to the previous quarter. If you look at it in Q2 FY '25, my average daily notional turnover of around Rs.

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BSE - PUBLIC 128 lakh crores basically. It has come down to Rs. 105 lakh crores in the last quarter, whereas the average daily premium has marginally gone up from Rs. 8,203 crores to be precise to Rs. 8,758 crores, it has gone up. So, in this process of premium improvement, what happens is one is the quality of premium is going up with lesser number of contracts. Second is, therefore, the clearing and settlement charges and the regulatory fee, which are based on a number of contracts traded they come down. That is the way it is benefiting us. And if we improve our next month or next to next month contracts, it more and more long-term participants coming in, that the market reorienting itself towards trading longer-term contracts, reintroducing more contracts into the system. We feel that we will be able to continue to grow in the coming months.

Sanidhya:

Sure, sir. Sir,

just to confirm the number. So you are highlighting on the Rs. 8,200 crores is the average. So if we see a particular day that is January 21, it was more than Rs. 40,000 crores in terms of option premium turnover. So is it rightly understand that this may be due to the rollovers in terms of the last week to previous week?

Anand S.:

I'm not sure where you're getting the numbers from, please check our website, Rs. 50,000 crores was an all-time high. I think that you are referring to, which happened somewhere in September or October. But on an average basis, the numbers are given in the investor presentation.

Sanidhya:

Yes. I was just highlighting on the January 21 derivatives turnover, the option premium turnover on the website. So, for 21st of January, it's like Rs. 41,716 crores. So, is the understanding right that this is due to rollover taking place on that particular expiry date?

Sundaraman R:

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BSE - PUBLIC See, we will not be able to comment on whether it is because of rollovers or whatever it is. Because you see rollover means we have to go to an individual client to see whether he rolled over or not. That will not be the right way of looking at it.

What we will certainly see is whether on the expiry day, there is significant number of contracts has opened interest in the next week, next to next week and in the monthly contract and whether it is consistently growing. That is the way we will look at it. We may not give a technical jargon call rollover because that will be client specific in our opinion. I hope this answers your question.

Moderator:

The next question comes from Shalini Gupta from East India Securities.

Shalini Gupta:

I have one or two questions. One is that the transaction, your BSE transaction charges for F&O are more than NSE, so what steps are you taking to increase institutional participation on the exchange?

Sundararaman R:

I don't know why the transaction charges is related to incentivizing participants. It's like this. BSE charges are Rs. 3,250, you are right. NSE charges are about Rs. 3,500. It is around Rs. 250 per crore of premium, which is more there. The reason why we put the number that we have is not to incentivize anybody or disincentivize anybody. If you may recall, we fix the charges based on what realization we had at that point of time when we wanted to bring in the regulation of "True to label".

You will appreciate that we are a very young and new exchange as far as derivatives are concerned. We are not, therefore, knowing any equal pedestal to a fully matured nicely grown long-term exchange. We are very young exchange. So, our intention of pricing is to bring in the uniform charges, so whatever realizations are based on that we fixed it. It's not as any creating competitive advantage we have fixed to this number.

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BSE - PUBLIC Shalini Gupta:

Then, sir, how do you increase your market share. If you don't get an institutional participation, how will you increase your market share?

Sundararaman R:

In which segment you are talking about? Sorry.

Shalini Gupta:

F&O.

Sundararaman R:

In F&O, I do have sufficient good amount of institutional participation, and it is consistently increasing. At this point of time, FPI participation is 5%. Many of the FPIs, who have converted themselves as brokers in India, one by one, they are also taking registration with BSE, and they are also able to trade more with us.

And I have repeatedly told in all my investor calls. Market share is a result. It is not the goal. The goal is to provide a good viable nicely complementing product to the market. We feel Sensex fits that bill. So, more and more participants should get the benefit of it. So, what do we do? We go ahead and bring in more participants in terms of members, FPIs, etc. So, the market share will become a result, it is not a goal to pursue for us. The goal is to provide a good viable

complementary contract.

Moderator:

Ladies and gentlemen, we will take that as a last question for today. I now hand the conference over to the management for closing comments.

Anand S:

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BSE - PUBLIC Thank you so much, Raghav for hosting this call. And thank you, everyone, for joining us on this call. If you have any questions, please feel free to reach out to us at bse.ir@bseindia.com.

Thank you so much.

Moderator:

Thank you. On behalf of BSE Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

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BSE - PUBLIC
May 9, 2025

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on May 6, 2025

Dear Sir/ Madam,

With reference to our letter dated April 29, 2025, intimating you about the conference call with Analysts/Investors held on May 6, 2025, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com

This is for your information & record.

Thanking you,

Yours faithfully,

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer

Encl: a/a

BSE LIMITED
FY25 Earnings Conference Call

May 6, 2025
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:

Ladies and gentlemen, good day, and welcome to the BSE Limited FY '25 Investor Call.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for

you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then 0 on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman – Head of Investor Relations. Thank you and over to you, sir.

Anand Sethuraman:

Thank you so much, Allierick. Good evening, everyone and apologies for the slight delay. This is Anand from Investor Relations and welcome to BSE's Earnings Call to discuss FY '25 performance. Joining us on this call is BSE's leadership team consisting of Mr. Sundararaman Ramamurthy – Managing Director and CEO; Mr. Deepak Goel – Chief Financial Officer; Ms. Kamala K, Chief – Regulatory Officer; Mr. Sunil Ramrakhiani – Chief Business Officer, Mr. Subhash Kelkar – Chief Information Officer, Mr. Khushro Bulsara – Chief Risk Officer. Also present here are Mr. Ashutosh Singh – MD and CEO, Asia Index Pvt. Ltd., Ms. Vaishali Babu – MD and CEO, Indian Clearing Corporation Ltd., and other members of our Business, Finance and Investor Relations team. Do note that this conference is being recorded and the transcript of this call along with the earnings release and presentation can be found in the Investor Relations section of the BSE India website. Before we get started, I once again remind you that our remarks today may include forward -looking statements, and actual results may differ materially from those contemplated by these forward -looking statements. Any forward -looking statements that we make today on this call are based on assumptions and BSE assumes no obligation to update these statements as a result of new information or future events.

With this, I will now request Mr. Sundararaman Ramamurthy – Managing Director and CEO to give a brief overview of the Company's Financial and Business Performance for FY 2025.

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BSE - PUBLIC Sundararaman R:

Thanks, Anand. Good evening, everybody, and a warm welcome to all our esteemed stakeholders for joining the call today. I am filled with immense gratitude and pride as we embark on the third year of this transformative journey together. It is a privilege to lead an institution as iconic as the Bombay Stock Exchange. Over the past 2 years, we have achieved remarkable milestones, navigated challenges and laid a strong foundation for growth, innovation and trust. But today, as we step into this new chapter, our focus is sharper, our purpose is clearer, and our ambition is bolder.

On April 17, 2025, BSE commemorated its 150th Foundation Day with Honourable Minister of Finance and Corporate Affairs, Srimati Nirmala Sitharaman Ji as the chief guest; and guests of honours were the Honourable Minister of State for Finance, Shri Pankaj Chaudhary Ji; and Chairman of SEBI, Shri Tuhin Kanta Pandey Ji to mark the occasion. To mark this historic milestone, the distinguished guests unveiled a specially minted commemorative coin, BSE at 150 logo, BSE 150 Index, and rolled out impactful new CSR initiatives to strengthen community welfare.

At BSE, we are not just a platform for trading, we are a trusted partner in the wealth creation journey of millions of investors, a catalyst for businesses to grow and a cornerstone of India's financial ecosystem. Customer delight is not just a theme, it is a commitment to exceed expectations, to create meaningful experiences and to empower every stakeholder who interacts with us.

Before we delve into our quarterly performance, I want to briefly address the recent market dynamics. The global and Indian capital markets have been navigating a period of unprecedented change. From a macroeconomic perspective

, India demonstrates notable stability despite global pressures. Indian capital market experienced a mixed performance of over the last few months characterized by volatility, a recovery phase and selective sectoral strength. BSE's benchmark index, SENSEX, increased by approximately 2 370 points, a growth of 3.02% since the beginning of 2025.

Against this backdrop, I am happy to share that BSE recorded its strongest year yet in its 150 -year history with record revenues of Rs. 3,236 crores on a consolidated basis, an increase of 103% against the previous year. The growth in revenues is led by strong performance in transaction -related income, treasury income from clearing and settlement services and investment -related income.

I will now share some of the key financial numbers on a consolidated basis for the year ended March 31, 2025, as compared to the previous year:

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BSE - PUBLIC On a YOY basis, BSE's operational revenues have grown by 116% to Rs. 2,957 crores from Rs. 1,371 crores. Transaction charges which include equity cash, equity derivatives, mutual fund and clearing house income has increased by 186% to Rs. 2,030 crores from Rs. 709 crores. Further, 32% of the total operating expenses are attributable to core SGF and regulatory fees, whereas 22% was attributable to clearing and settlement expenses, all of which is directly correlated to increasing derivatives volumes. Treasury income from clearing and settlement funds has increased by 18% to Rs. 218 crores from Rs.

184 crores. Other operating income which includes enhanced data dissemination fees, software charges, etc has increased by 71% to Rs. 220 crores from Rs. 129 crores.

Income from investments increased to Rs. 1,500 crores as compared to Rs. 384 crores with margins expanding to 51% from 28%. Excluding contribution to core SGF, the EBITDA stands at Rs. 1,590 crores with a margin of 54%. The net profit attributable to shareholders of the Company stands at Rs. 1,326 crores up from Rs. 778 crores, a growth of 70%.

I would now like to address the reversal of Rs. 109 crores reflected in our P&L statement for the current quarter under contribution to core SGF. As explained in the previous earnings call, BSE set aside a provision of approximately Rs. 200 crores with BSE directly contributing Rs. 53 crores to the SGF and ICCL Rs. 147 crores. Subsequently, ICCL on receiving approval from SEBI utilized surplus funds lying in the currency segment, which led to the reversal of the provision on ICCL's part. For the Quarter 4 F Y '25, BSE has contributed an amount of Rs. 37.6 crores towards N SE Clearing Ltd. (NCL) leading to a net reversal of Rs. 109 crores.

On back of these financial results, it is my pleasure to inform you that the Board of Directors of BSE Limited has recommended a special dividend of Rs. 5 in celebration of the 150th anniversary of BSE, and a normal dividend of Rs. 18 resulting in a final dividend of Rs. 23 per equity share having a face value of Rs. 2 for the FY '25 subject to the approval of the shareholders in the ensuing Annual General Meeting. The total payout with a dividend payout ratio of 28.4% of the current year profits would be Rs. 316 crores on a stand-alone basis.

I would now like to share updates pertaining to business:

For specific numbers pertaining to turnover, kindly refer to the BSE website and the investor presentation.

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BSE - PUBLIC Indian Capital Markets witnessed a surge in activity in FY 2025 driven by a record number of IPOs, augmenting capital formation, and reflecting strong market fundamentals. This has provided a robust foundation for market stability and growth contributing to the diversification of the investor base and enhancing market liquidity. Empowering investors through education and awareness is of paramount importance to BSE.

In FY 2025, BSE IPF undertook around 14,000 investor awareness programs to promote financial literacy and b

ring about awareness in securities markets for their financial well-being and protect investor interests. Additionally, investor education is also carried out through various social media posts and TV advertisements.

Moving to our primary market segment: BSE platforms continue to remain the preferred choice by Indian companies to raise capital by enabling issuers to raise Rs. 25.59 lakh crores by means of equity, debt, bonds, commercial papers, mutual funds, etc. In 2025, BSE welcomed 81 new listings, raising a record Rs. 1.82 lakh crores, up 194% compared to the previous year. In the near term, the market, however, faces challenges due to geopolitical situation and economic challenges intensified by global trade tensions and tariffs.

On the listing compliance front, we continued our efforts to promote high standards of governance and disclosure practices among listed issuers and ensure the competitiveness of our listing framework.

Moving on to our Trading segment: As mentioned earlier, revenue growth in FY 2025 was led by strong volumes in our Sensex derivatives product as we expanded our client base and drove higher non-expiry day activities. Our equities and mutual fund business lines are on a healthy growth momentum with volumes doubling in the last 2 years. Our equities turnover showed stronger activity, especially in the first half of the financial year, resulting in average daily turnover of Rs. 7,766 crores for FY 2025 as compared to Rs. 6,622 crores in the previous year. The BSE Index Derivatives segment sustained its growth trajectory in the quarter with highest ever average daily premium turnover of Rs. 11,782 crores for the quarter.

In the coming year, we will continue to move ahead with our efforts to increase market participation, product development and adoption, as well as investments in data center and enhanced connectivity options. At the same time, we will work closely with expert working groups set up by SEBI to recommend measures to strengthen equity derivatives market development. We continued our efforts to bring

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BSE - PUBLIC liquidity to single stock derivatives segment with 215 members having participated in single stock futures and 257 in single stock options. The total turnover since relaunch is Rs. 830 crores in single stock futures and Rs. 2,773 crores in single stock options.

Moving on to our mutual fund distribution business: BSE Star MF delivered yet another quarter of record revenues and performance of 80% year on year to reach Rs. 230.70 crores. The total number of transactions processed by BSE Star MF grew by 61% to reach 66.3 crores transaction in FY '25 from 41.1 crores in the previous year. On average, the platform processed 5.52 crore transactions per month in the current financial year as compared to 3.50 crores last year. The platform also processed a new

high of 6.24 crores transaction in Jan 2025.

Moving on to our subsidiary businesses now: The BSE Group directly or via subsidiaries also has its presence in other related business including Asia Index Private Limited, India INX, Hindustan Power Exchange, BSE E -Agricultural Markets (BEAM), spot platform for trading in commodities, and BSE Administration and Services Limited (BASL). BSE is committed to these new areas and is constantly working with partners for the growth of these businesses.

As part of our strategic vision to concentrate on our core operations, BSE signed a share purchase agreement to sell its 100% stake in BSE Institute for a consideration of Rs. 16.9 crores to FinX. We are confident that FinX with their strategic long -term vision will complement and enhance the 30 -year legacy of BSE Institute.

FY 2025 was a year of milestones for BSE. We completed 150 years of operations which coincided with our best performance yet. It is a great pleasure, honour and a lifetime opportunity that I am part of this prestigious organization. At this time,

the breadth and depth of our multi -asset offering and ecosystem, coupled with an expanded product suite and customer base, positioned us well to capture market opportunities. We saw rising demand of our index derivative suite, increased trading across products and higher activity due to a buoyant market. We also hit the ground running in FY 2025 in terms of strategic initiatives from acquisition of S&P Dow Jones 50% stake in AIPL, new product launches at India INX that underscores our commitment to enriching the GIFT City ecosystem to product launches at BSE that add more vibrancy and liquidity to our markets.

Looking forward, while there could be some moderation of macro tailwinds in the near term, we are focused on growing our businesses and remain optimistic about our medium -term outlook. Looking at

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BSE - PUBLIC the rest of 2025 and beyond we will continue to leverage our unique Sensex brand, expand our connectivity suite with market participants and enhance our channels, platforms and products, ensuring that it remains resilient at all times, while being capable of capturing the many exciting opportunities ahead. While concluding, I once again assure you that BSE is engaging actively in all areas and remain committed to our vision of contributing to a resilient, transparent and inclusive capital market ecosystem.

With these updates, I now hand over the call back to Anand.

Anand Sethuraman:

Thank you so much, sir, for these updates. With this, we will now open the floor for questions -and -answers. I would request all participants to limit their questions to 1 per participant so that we can accommodate as many questions as possible. Thank you.

Moderator:

Thank you, sir. Ladies and gentlemen, this is now the question -and -answer session. We will wait for a moment while the question queue assembles. The first question comes from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal:

Good evening, sir, and thank you for the opportunity. Firstly, many congratulations to the entire team on the completion of 150 years of BSE's operations. That's a big achievement. My question in terms of, sir, is on the regulatory developments. If you can help us understand, there are 2 -3 developments which are pending. The first one is basically the implementation of gross trading limits, which was proposed by SEBI on Feb '24. Before that, they were talking about separating the clearing corporation from the exchanges. And for a very long time, we've been talking about common contract note. So on all these 3, what is the development? And if one were to assume what has been proposed in the consultation paper, if that is implemented, what is the impact on BSE for each of these regulations? Thank you so much.

Sundararaman R

First of all, thank you for your congratulatory message. We are very glad and happy that we are part of the system when BSE is celebrating 150th year. As far as your questions are concerned, as you may

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BSE - PUBLIC recall, which I always tell, regulation in India is an evolving setup, and clearly created in a co -creation manner in a consultative basis. In respect of the limits that you talked about, and the segregation of clearing cooperation into an independent entity, as you would know, there are consultation papers for which the markets have given their feedback. You also could have given the feedback, I guess, and we also have given our feedback. We have always seen that the regulators consider the feedback and also, they have their own consultation process further and the regulations are evolved. So at this point of time, we have to wait and see how the regulation is going to evolve in respect of the first 2 points.

Regarding the third point, on the common contract note, as you would recall, I have always been advocating about level playing field in order to ensure a reduction of concentration risk and benef

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the investors and protecting their interest. Common contract note is one such measure, and it was proposed by the regulators, it must have gone live by 1st of May, that is 30th of April. Since some part of the market participants, notwithstanding that it has been postponed 4 times, still expressed that they would like to do some further testing to check their readiness. Kindly the regulators have considered it and given further time. We are very confident and sure that in the coming months that those testing's will be completed, and the common contract note will go live.

Moderator:

The next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra:

Yes sir, thanks for the opportunity. So my first question is obviously we have gained market share but if I see in the last 3 months the market share gain has been very impressive. But if I see the mix in terms of the mode of trading, the algo plus co-location together combines to around 68%. But in terms of the mix between algo and co-location trading it has changed over the last 3 months and also if you can quantify what would be the HFT volume in this 68%? And now we have seen the algo volumes have been rising. Is it because more HFTs are now participating in BSE?

Sundararaman R

Thank you for participating in the call. As I always say, at BSE we consider that our market share is 100% in derivatives because we have a unique product. And also, as I always repeat, we don't look into whatever market shares are because the numbers are a result of the efforts with a larger goal. Our goal

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BSE - PUBLIC has been deepening and broadening of markets. When we talk about that, we like to bring in not only the HFT and co-lo players as mentioned by you, but we also want a good mix of others like foreign participants, etc. So what we presume generally is, whatever is coming through co-location is all because of high frequency trades and algorithms. Whether that presumption is right or wrong, we wouldn't know. We don't go by that type of classification. What we track as numbers are how many members we have in the system? How many foreign participants we have been able to increase? How many more racks we have been able to provide? How much of our rack space is being efficiently utilized? These are the numbers we track, and we have found that this strategy of deepening and broadening whereby, we increase these parameters. And we also work with the brokers and other investors to increase their presence on non-expiry days and on contracts other than weekly expiries. This has been very helpful for us and that is the journey generally we pursue. We don't go by what percentage individually people have contributed for shaping our strategies.

Moderator:

Amit, that was your question. I am sorry to interrupt. I would request you to rejoin the queue for more questions. Thank you. The next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services Limited. Please go ahead. Prayesh, please go ahead with your question and unmute yourself in case if you are on mute.

Prayesh Jain:

Yes. Congratulations sir on completing 150 years and on a decent set of numbers. Just the question on co-location, you were mentioning about the utilization of co-location where we now have efficiency. So where we are with respect to the number of racks and how many have been utilized and what are the plans ahead on co-location with respect to the addition of racks as well as charging in terms of per order rate. Yes, that would be my question. Thank you sir.

Sundararaman R

Thank you for your congratulations. At this point of time, as you would know, we started with almost not a great presence in co-location, and then we increased it to some 100 plus racks, and subsequently another 100 and another 100 roughly. Today we are standing at 300 racks approximately. In the 300 racks, the

200 racks have been allocated quite some time before and they are most optimally utilized.

The recent 100 has been a very recent addition. So the number of people using are increasing day by day

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BSE - PUBLIC while the allocations have happened, and we feel over a period of 1 or 2 more months, they all will get fully occupied and therefore will get optimally started getting utilized. Our intention has always been to assess the market requirement in this space and accordingly build rack to suit their requirements. As you know, we offer 2 classes of racks, 15 kVA racks and 6 kVA racks. That all happens based on our assessment of the market need. Based on whatever needs that we have seen now; we are in the process of implementation of adding 200 more racks in 2 separate tranches. The first tranche should happen in another 3 - or 4 - months' time and the next tranche should get completed before the completion of this financial year. We feel at this point of time, this is a good number, that is around 500 racks with a mix of 15 kVA and 6 kVA, probably giving an equivalence of around 650 racks is a good number to aspire for, given the number of products we have as a profile with us. Notwithstanding that, we will continue to be in touch with the market to assess their needs and based on that and the feedback that we regularly get,

we will be augmenting this area and ensure that the market has the necessary infrastructure available to them for pursuing trading at BSE.

Prayesh Jain:

Yes. Sir, just on the part of per order rate...

Moderator:

I am sorry to interrupt, Prayesh, could you please rejoin the queue if you have more questions.

Prayesh Jain:

I am just asking the previous question only I had asked it, just asking for the per order rate agreement.

Sundararaman R

Oh yes, sorry I forgot to reply to that. My apologies. So, at this point of time, we have not been meaningfully charging anything for per order rate. We wanted to enhance the capacity in such a fashion that we could make some meaningful difference by having different throttle rates. While we have introduced a throttle rate that is more on a test basis, we are fine-tuning it. We want to introduce systems and procedures which shall be customer friendly, and which will be in line with the expectations of the market in the area of throttle. We will be very soon coming with what type of throttles will suit to whom, and what type of charges would be meaningful to the market and how we will be

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BSE - PUBLIC arriving at. It will be at the appropriate time, appropriate charges with appropriate throttles and it should be soon.

Prayesh Jain:

Thank you so much, sir.

Moderator:

Thank you. The next question comes from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha:

Yes. Thank you for the opportunity, sir. Sir, your settlement fees, what you pay to the clearing corporation, if I do the math, till first 9 months, the cost per contract seems to be around Rs. 0.105. Suddenly, it has increased to Rs. 0.16 for the fourth quarter. But if I look at full year, it looks at Rs. 0.11 per contract. So, just wanted to understand the new normal is at Rs. 0.16 or Rs. 0.11 is the cost per contract for settlement fees?

Sundararaman R

Honestly, I am not able to relate to the numbers that you have told. May I request you to do the math again and offline connect with us. I can explain you what our experience and understanding is. Our idea is that it generally remains somewhere around Rs. 0.10 per contract. But this statement has to be taken with additional information, because when we tell the contract if the contract size changes or the contract that gets traded on which day of the expiry cycle, they make a lot of difference with regard to the realizations and ultimate margin. So, with regard to the number of 0.16 and 0.11 which you said, unfortunately, I am not able to relate and

understand how you have arrived at. So, may I request you to approach us offline with your computation, so that we can explain how we have arrived at our numbers of around Rs. 0.10 and we can understand how you are arriving at Rs 0.16, and if our understanding needs to be corrected, we shall do so.

Sanketh Godha:

Okay, sir. Sir, maybe if I can squeeze one more if okay.

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BSE - PUBLIC Anand Sethuraman:

Sanket, we can speak offline, please.

Sanketh Godha:

Okay, sure, sure.

Moderator:

Thank you, the next question comes from the line of Madhukar Ladha from Nuvama Wealth Management Limited. Please go ahead.

Madhukar Ladha:

Hi, good evening, everyone. Congratulations on a great set of numbers. So, 2 questions. One, see, you mentioned SGF, there is a reversal of Rs. 147 crores. And then we have made a contribution to NCL of about Rs. 36 crores, which is resulting into a net reversal of around Rs. 109 crores. I wanted to get a context of this Rs. 36 crores contribution to NCL. And how should we think about contributions to SGF on a recurring basis? If you can give us some colour on this, and is sort of Rs. 36 crores, a quarter, a number to look at? Some understanding here will be helpful. Second, on the clearing and settlement charges, I noticed that our consolidated clearing and settlement charges is higher than our standalone clearing and settlement charges. So, standalone, the number is closer to Rs. 60 crores. Consol is at about Rs. 84 crores. Normally, it should be the other way around. And which is why I think the confusion

is there that why this quarter's rate has gone up. So, some explanation, is there something one-off in the consol clearing and settlement charges?

Sundararaman R

First of all, thank you for your congratulations. The problem for me is, under one question, if you pack multiple questions, I tend to forget what your first question is. So, I think I remember your first question. Let me test my memory. You were talking about Rs. 147 crores, Rs. 109 crores and Rs. 37 crores contribution. How you should look at the Rs. 37 crores, if my memory is right. So, here it goes like this. We provided some amount, Rs. 200 crores totally as BSE family towards SGF earlier. Since the capability to use currency derivatives SGF towards this normal SGF of ours in other segments was

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BSE - PUBLIC provided by SEBI, we were able to reverse. But, as you know, the clearing corporations have a requirement to collect a portion of the SGF from the relevant exchanges, subject to the stipulations of SEBI in this regard. Accordingly, a demand of Rs. 37 crores came from NCL, which has been duly met, and the contribution has been made. The question you have asked is, is it to be taken as the number to be projected for the future? How do we understand this? What is the relationship with which we should take this? Is there a method probably of forecasting? This is what you had in your mind. As I always have told, it is a complex algorithm based on which the amount of SGF gets worked out. There are multiple factors involved in it, because of which a straight relationship with volumes cannot be established and a linear relationship cannot be put in place, which therefore prohibits and prevents and makes it difficult for us to project the requirements of SGF. The question is, is there any way by which the SGF contributions could be made periodically instead of being ad hoc at some point of time when demand rises? Because of the complexity, we have been grappling with this problem of providing on a periodic basis. Nevertheless, our thought processes are on this, and in case we are able to find a mechanism where we periodically provide instead of on requirement ad hoc we do not provide, it will be helpful. So, that is the answer for the first part.

Honestly, I do not remember the second part, so I would request my CFO to answer the second part. Deepak Goel:

So you are right. Normally, on a consolidated basis, the C&S (clearing and settlement) expenditure should be lower than standalone. It could be because of the elimination of provisions. As we explained earlier, we are not able to relate to these numbers at this point in time. Maybe we can connect offline, and we will explain it to you.

Madhukar Ladha:

Sure sir. Okay. Thank you and all the best.

Moderator:

The next question comes from the line of Gurpreet Sahi from Goldman Sachs. Please go ahead.

Gurpreet Sahi:

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BSE - PUBLIC Thank you for taking my question. Can I have two, please? So, very simple ones. First is that I know, sir, we have a unique product which is growing in the derivative space, but overall industry, can I please ask you for some advice? The options industry has now started to grow after the reforms have been implemented. For the first time in April, it was up. So, how do we see the options industry overall premium growth? That is the first question. And second, from 1st of July, we will have the common contract note. So, what is our expectation of an increase in volumes on back of that? Thank you.

Sundararaman R

First of all, thank you for congratulating us and for being present. I am not sure I am capable of giving any insight and advice. I can give you what I see more as a commoner like one among you. When I look at the options market, what I am seeing is there is a sort of a consolidation that is happening. From more of an expiry date product, which most of the contracts were trading, because of the multiplicity, and also because of every one day one expiry, the total economic purpose typically which any contract serves, whereby it provides the capability for people to take a directional view ahead of an event, so as to safeguard what is getting lost. With this consolidation more which has been brought in, rightfully by the regulatory process, today makes the options product somewhat getting more mature than what it was. In the case of BSE, we are clearly seeing that it is no longer an expiry day product. It is spread across the weeks. Therefore, people are able to take a view on market not just for the expiry day, but ahead of it next week, next to next week, next month, etc. If this trend continues, if more products on a monthly basis were to be looked at, then I feel the option industry will be growing more towards an alignment with the underlying market and underlying portfolios, which in my opinion could be a healthier development. Also, if you look at it from an infrastructure perspective, if it is every day expiry, every day the infrastructure being stretched to the maximum, in terms of huge and significant number of orders coming in, resulting in not so many trades, but lesser number of trades, in a way hogging the infrastructure, tiring it, increasing the infrastructure cost for no gain economically, probably gets addressed by this rationalization that the regulators have brought in.

So, this is the direction I see. I therefore see more meaningful use of options, more meaningful products continuing to grow in the coming future is what I am able to see as a result of all the actions. In terms of common contract note, what I feel today is every FPI or every domestic institutional investor would like to ensure that their acquisition price is minimal, and their selling price is maximum based on what is available in the market. And there are 2 marketplaces, always because of multiple factors, there is a price difference. If the orders were to be sliced in a fashion where the best price is always taken in the

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BSE - PUBLIC next part of that order, then the objective which I stated before could be nicely met. In that direction, a common contract notes which does not differentiate between the exchanges, which is able to provide a single V-WAP, enabling the institution to allocate it across multiple schemes and therefor

e brings in

economies and deficiencies is a very good move. I feel when that happens, the market will overall grow because institutions will be liking to approach both the venues. Therefore, there will be more players in the market who will use algorithms which use both the marketplaces resulting in overall growth of the pie, increase in liquidity, lesser impact cost, lessened bid-ask spread. In a way, it could be a win-win for the market is my view at this point of time.

Gurpreet Sahi:

Thank you.

Moderator:

The next question comes from the line of Abhishek Leekha from Nestle Wealth Llp. Please go ahead.

Abhishek Leekha:

Yes, hi. Thanks for the opportunity, and congrats to the entire team for covering 150 years, and excellent set of numbers. Just want to understand from here on the dividend policy, because I have seen like over the past 1 year, the dividend percentage to net profits has gone down. So, what is the future outlook on that?

Sundararaman R

So, dividend is a function of earning, and also a function of opportunity available for reinvestment and providing better results for the coming years. In terms of numbers, if you see, the total amount of dividend paid in the last 3 years, last 3 dividends I have been part of this journey. I have found that the dividends that we have been paying has always been going up. The first year when I joined, it was Rs. 154 crores. In the second year, I gave Rs. 204 crores as dividend post my shareholder's approval. In the third year, we are proposing Rs. 316 crores. If you look at it in the last 2 years, the dividends have doubled. This is on one side. And also, we have been creating reserves in order to ensure 2 things. We are in the process of infrastructure building from the place where we were. Today, if we are delivering what we are delivering, it is thanks to the infrastructure that we have built. We spent around Rs. 500 plus

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BSE - PUBLIC crores till now on technology and related aspects. And if you look at it, that has paid us well, more than that number already it has earned for us.

Secondly, the balance sheet is continuing to grow. It gives confidence if somebody wants to use our clearing corporation. While in the exchange area, our reserves have become very evident, and the market support has become very prominent. In the area of clearing, still the number of members for which my clearing corporation is clearing and settling is very low. We have enhanced our capacity so as to ensure that we can handle multiple and almost all, even, if need be, biggest players of this country in our clearing corporation without any problem. That is the type of capacity that we have built. If in this process, we are able to achieve enabling more and more members, use our clearing settlement system, then my balance sheet should be big enough to give confidence to such big players. So it is very essential for me, while I continue to pay higher and higher dividend, while I continue to spend money on infrastructure building, I also continue to create a very healthy balance sheet whereby it exudes confidence to people who want to use our clearing and settlement system. With these multiple objectives in mind, our representations are heard by the Board and the Board, in their wisdom, decides what should be the dividend. And if you look at the dividend percentages also, has been significant and the numbers, as I told you, have doubled in 2 years, and that will be paid based on the shareholder approval.

Abhishek Leekha:

Fine. Thanks for the explanation. Thank you so much.

Moderator:

The next question comes from the line of Marcel, an individual investor. Please go ahead.

Marcel:

My question is that our profit before this corporation clearing charge has really increased. So is it sustainable, number 1. Number 2, in the same context, this corporation clearing charge is completely distorting the net result. In one quar

ter, it is Rs. -147 crore. In one quarter, it is Rs. 100 crore plus. So is this phenomenon over or is it going to again continue in the June quarter also regarding this exceptional item from the corporation clearing charges? Thank you so much.

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BSE - PUBLIC Sundararaman R

On your question of sustainability of our operations, yes, indeed. In order to ensure the sustainability is what we are working very hard. How sustainability can be ensured? It has multiple parts to it. One is the product part. As you know, we always continue to work on improving our product, our new products that we have brought in are doing well. Second is the market part. For the market part, we are deepening and broadening our market base, which I have multiple times repeatedly talked about, passionately telling how we are increasing our deepening and broadening of markets. Third is infrastructure creation. Infrastructure is physical, technological, technical, human resources, talent building, talent acquisition, talent grooming, talent retention, all comes under our infrastructure acquisition. We are going ahead with clear plans, clear strategies and implementing all of them. We wanted to bring in vibrancy as the first goal. Then we added deepening and broadening of markets and then we have added now customer delight as our third one, and therefore we are progressing in this direction only to ensure that we have resilience. As far as your settlement guarantee fund number, I have multiple times talked about how we are not able to linearly project this number and come to a situation where we say this is what is going to be the number. Notwithstanding, as I just told a few minutes before, we are trying to see whether we can have some methodology whereby we are able to bring in some sort of, what should I say, predictability to a number by allocating some number regularly and restricting the ad hoc numbers to wherever it is required only. Whether we can do any such thing, we are also working on, let us see whether we are able to succeed or not.

Marcel:

Sir, like in the last call also I mentioned that although you have started this new series of options, and this is like a future, but many brokers have not onboarded the BSE terminal for this future on option like for example Shoonya, like for example JM Finance. They have not even activated this BSE future on option series, number one, BSE Exchange future option. Number two, even some brokers are, if we are dealing in the future of NFO, they are not charging anything or they are charging nominal charge, Rs .5 for example, per future lots. But here, for BSE, if you trade anything, any future lots through BSE, they are charging Rs.20. So, they are discouraging that people should not trade in the future through BSE, but they should go for the NFO, like for the NSE only. So, sir, can you take some pragmatic and real action with the Chairman or the CEO of each of these big brokers from your level, so that the proper instruction passes from the pyramid, like from the top to the down in the broker, although you can say like this new

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BSE - PUBLIC Generation broker or this discount broker, whosoever it is, so that way we can get much more volume in the future on option, and that will really skyrocket the earning of BSE in the ensuing quarters.

So, it needs some direct intervention and direct meetings from you, sir, to the CEO or the MD of the respective big, for example, top 10 broker Company in India, for example.

Sundararaman R

Sure. Thank you for the suggestion. Point noted. We will analyze and look into whether there are any major brokers who are not yet providing, and we will talk to them if they are overcharging. Thank you for your time.

Marcel:

I am telling you, sir, like for JM Finance, NFO is only Rs.5, but for the BSE, they are Rs.20. In Shoonya, they didn't even activate yet. Although, as I mentioned, sir, it needs interv

ention. Your team is not able to do it, sir. Please do something from your end, sir.

Sundararaman R

Thank you.

Marcel:

Thank you.

Moderator:

Thank you. The next question comes from the line of Deepak Ajmera from IGE India. Please go ahead.

Deepak Ajmera:

Yes. Thanks for the opportunity. If the exposure norms that draft paper is issued recently, if that is implemented, what I understood is the delta-based exposure norms can reduce or the overall option volume significantly, if it is implemented and can impact anything severely, but what will be the impact for BSE assuming if the same is implemented? Thank you.

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BSE - PUBLIC Sundararaman R

As I mentioned very clearly and very elaborately in the answer to my first question, it is at the consultation stage, regulations in our country are co-created on a consultation basis. Market participants have opined about the net and gross. So at this point of time it will not be fair on our side to imagine anything and speculate and say that this is what is going to be implemented. We need to wait to see what is going to be the direction of the market participants' view and based on which what is going to be the regulatory view. Regulatory view would be paramount, because regulators have access. So all the viewpoints of all the market participants, since we have all submitted our views. Let us wait for the outcome from the regulators in this area.

Moderator:

Thank you, sir. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Anand Sethuraman to give his closing comments.

Anand Sethuraman:

Thank you everyone for joining us on this call today. And thank you Allerick for moderating this call. Should you have any further questions, please feel free to reach out to us at bse.ir@bseindia.com. Thank you everyone.

Moderator:

Thank you so much, sir. It was my absolute pleasure too. Ladies and gentlemen, on behalf of BSE Limited, that concludes this conference. You may now disconnect your lines.

Call: Aug 2025

Registered Office: BSE Limited, Floor 25, P J Towers, Dalal Street, Mumbai - 400 001, India. T: +91 22 2272 1234/33 | E: corp.comm@bseindia.com
www.bseindia.com | Corporate Identity Number : L67120MH2005PLC155188

BSE - PUBLIC
August 13, 2025

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on August 7, 2025

Dear Madam/ Sir,

With reference to our letter dated July 30, 2025, intimating you about the conference call with Analysts/Investors held on August 7, 2025, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com

This is for your information & record.

Thanking you,

Yours faithfully,

For BSE Limited

Vishal Bhat
Company Secretary & Compliance Officer
ACS- 41136

Encl: a/a

BSE LIMITED
Q1 FY26 Earnings Conference Call

August 7, 2025
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:

Ladies and gentlemen, good day and welcome to the BSE Limited Q1 FY'26 earnings call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anand Sethuraman – Head (Investor Relations). Thank you and over to you, sir.

Anand Sethuraman:

Thank you so much, Manav. Good evening, everyone and warm welcome to you all. Thank you for participating in Q1 FY'26 Earnings Call for BSE. My name is Anand Sethuraman, and I will be the host for the call. Today, we are joined by the BSE's leadership team consisting of Mr. Sundararaman Ramamurthy – Managing Director and CEO; Mr. Deepak Goel – Chief Financial Officer; Smt. Kamala K – Chief Regulatory Officer; Mr. Sunil Ramrakhiani – Chief Business Officer; Mr. Subhash Kelkar – Chief Information Officer; Smt. Radha Kirthivasan – Head of Listing and SME; Mr. Vivek Garg – Head of Trading Development. We also have Key Management of BSE subsidiaries, Smt. Vaishali Babu – MD and CEO, ICCL and Mr. Ashutosh Singh – MD and CEO of BSE Index Services. Also present here are members of our Business, Finance and Investor Relations team.

The Results for quarter ended 30th June 2025 have been announced and the data pack consisting of 'Financials and Investor Presentation' is available on the BSE Website. We will begin today's call with remarks from BSE MD and CEO on the Company's 'Business' and financial performance. All participant lines will be muted for the duration of the call. There will be an opportunity for you to ask questions after the management remarks. Please note that some of the statements made in today's call may be forward-looking in nature and are subject to risks and uncertainties. The Company does not undertake to update these forward-looking statements publicly. With that, I would now invite the BSE, MD and CEO to share his views. Thank you and over to you, sir.

S. Ramamurthy:

Thank you, Anand. Good evening, everybody and a warm welcome to all our esteemed stakeholders for joining the call today to discuss Q1 FY2026 Earnings.

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BSE - PUBLIC The Indian economy demonstrated resilience in an otherwise volatile quarter marked by trade tariff stresses and conflicts in West Asia. Strong balance sheet, political and policy stability, demographic and digitalization opportunities continue to drive India's growth story. Key high-frequency indicators in the services and manufacturing sectors continue to signal a broad-based growth. The easing on inflation, a favourable monsoon and RBI's unchanged policy repo rate of 5.5% after three consecutive rate cuts to the tune of 100 basis points during the previous three months could further aid the growth momentum in the economy.

Despite a significant sell-off by foreign investors of around Rs. 47,667 crores in July, domestic institutional investors demonstrated remarkable confidence injecting around Rs. 61,000 crores cushioning the market. In fact, DII's have been net buyers in every month in 2025 so far infusing more than Rs. 4 lakh crores in 2025. Systemic investment plan or SIP investments via mutual funds stood at a record Rs. 1.4 lakh crores for the quarter demonstrating confidence of investors in the broader Indian economy and capital markets. Against this backdrop, BSE demonstrated focus and resilience to report its best quarterly financial performance ever with a topline of Rs. 1,045 crores for the first time ever. Our clear strategy, commitment to offering our stakeholders in India and around the world, the choice and opportunity to invest and our resolute focus on our unique service offerings is continuing to produce

results.

Let me now highlight a few of the many milestones in Q1 FY2026:

We crossed the landmark of 600 SME listings on our SME platform with July 2025 marking a record - breaking month with 18 new listings raising a total of Rs. 880 crores. This reflects BSE's pivotal role in empowering India's entrepreneurial ecosystem, capital formation and supporting Hon. PM's vision of Viksit Bharat by 2047. Moreover, this platform, which started in 2012 March has facilitated Indian entrepreneurs to raise Rs. 10,652 crores. The last 100 SMEs to list on the exchange have raised an amount of Rs. 4,071 crores contributing to 38% of the total amount raised on this platform so far. This growth depicts the increasing confidence of the investors on the SMEs raising capital on this platform. Furthermore, we have rebranded our wholly owned subsidiary, Asia Index Private Limited to BSE Index Services Private Limited. This reflects the deep trust, faith and respect the BSE brand inspires globally reinforcing our commitment to driving India's capital markets forward with clarity and ambition.

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BSE - PUBLIC Empowering investors through education and awareness is of paramount importance to BSE. In the Q1FY26, BSE IPF undertook around 1,026 investor awareness programs to promote financial literacy and bring about awareness in securities market for their financial well-being and protect the interests of investors. BSE India has joined hands with market regulator SEBI in its campaign against financial fraud to protect investors. Through SEBI vs SCAM, we aim to empower every investor with the right knowledge and to help them to make informed decisions, avoid digital traps and invest securely.

BSE also introduced Nivesh Mitra mobile app, a purely educational offering with no investment advice or promotional content. The app allows users to learn how to open a trading or DMAT account, assess their personal risk profile and simulate investments using historical market data.

Despite economic fragility impacting equity cash volumes this quarter, our derivatives market has gone from strength to strength. As mentioned earlier, BSE marked its strongest performance in its 150-year history in Q1FY26 with a historic milestone of over Rs. 1,045 crores in revenue for the quarter on a consolidated basis, an increase of 59% against the previous year. The growth in revenues is led by strong performance in transaction-related income, other operating income, and investment-related income.

I will now share some of the key 'financial numbers' on a consolidated basis for the quarter-ended June 30, 2025, as compared to the corresponding quarter previous year.

BSE's operational revenues on a year-on-year basis have grown by 59% to Rs. 958 crores from Rs. 602 crores. Transaction charges, which include equity cash, equity derivatives, mutual fund and clearing house income has increased by 84% to Rs. 737 crores from Rs. 400 crores. Treasury income from clearing and settlement has decreased by 27% to Rs. 45 crores from Rs. 62 crores. Other operating income, which includes enhanced data dissemination fees, index services, software charges, etc. has increased by 57% to Rs. 70 crores from Rs. 45 crores. Income from investments increased by 28% to Rs. 79 crores from Rs. 61 crores. Operating expenses increased by 5% to Rs. 359 crores from Rs. 343 crores. Further, 48% of the total operating expenses are attributable to regulatory fees and clearing and settlement expenses, all of which is directly correlated to increasing derivatives volumes.

The operating EBITDA has increased to Rs. 626 crores as compared to Rs. 282 crores with margins expanding to 65% from 47%. BSE's core SGF stood at Rs. 1,144 crores as of July '25 end. During the quarter, there was no additional contribution to core SGF. The net profit attributable to shareholders of

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BSE - PUBLIC the Company stands at Rs. 539 crores, up from Rs. 265 crores, a growth

with of 104% for Q1 FY'26 against the corresponding quarter previous year.

I would now like to share updates pertaining to business. For specific numbers pertaining to turnover, kindly refer to the BSE website and the Investor Presentation:

As mentioned earlier, despite the challenging global economic and geopolitical backdrop, BSE remained one of the world's premier capital-raising venues with positive sentiments returning to the IPO market, augmenting capital formation and reflecting strong market fundamentals. This has proved a robust foundation for market stability and growth, contributing to the diversification of the investor base and enhancing market liquidity. BSE platforms continue to remain the preferred choice by Indian companies to raise capital by enabling issuers to raise Rs. 7.59 lakh crores by means of equity, debt, bonds, commercial papers, mutual funds, etc. In Q1 FY26, BSE welcomed 21 new equity listings across main and SME boards, raising Rs. 14,237 crores. The IPO market continues to be exceptionally vibrant in July 2025, with 13 companies raising Rs. 24,559 crores and is expected to remain robust on account of economic growth and investor confidence. In August 2025, BSE saw listing of NSDL on BSE, marking yet another significant milestone in India's capital markets. On the listing compliance front, we continue in our efforts to promote high standards of governance and disclosure practices among listed issuers and ensure the competitiveness of our listing framework.

Moving to our Trading segment:

As I mentioned earlier, revenue growth in Q1 FY'26 was led by strong volumes in our Sensex derivatives product as we expanded our client base and drove higher non-expiry day activities. Our equities and mutual fund business lines are on a healthy growth momentum.

Cash market trading volumes remained at long-term normalized levels of Rs. 7,180 crores in Q1 FY2026 against Rs. 9,005 crores the same period last year. Importantly, we are pleased to share that Common Contract Note has been successfully implemented in India with effect from 27 June 2025, a long-standing request of BSE. This brings about the adoption of a major market reform which was long sought by the institutional investor for hassle-free trading experience across trading venues. BSE has been reaching out to all stakeholders about this change to use smart order routing (SOR) to trade multiple venues thereby further reducing the impact costs and improving yields on their order execution.

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BSE - PUBLIC The BSE index derivatives segment sustained its growth trajectory in the quarter with the highest ever average daily premium turnover of Rs. 15,084 crores. In the coming year, we will continue to move ahead with our efforts to increase market participation, product development and adoption of longer-dated contracts as well as investment in data centres and enhanced connectivity options.

In October 2024, BSE introduced throttle charges for the first time applicable only to those members who exceed 10,000 messages per second. Effective June 30, 2025, member-level throttle limits were revised. Members are allowed 40 MPS free from earlier 10,000 MPS. Charges start at Rs. 50,000 annually for 100 MPS and increases proportionally depending on subscription. Detailed information is available in the Circular on BSE website. Notably, BSE charges remain lower than competition,

reinforcing our commitment to cost-effective and efficient market access. As I have been saying in my previous earnings call updates, this is one of our important strategic initiatives aimed to enhancing BSE services and diversify revenue lines.

Moving on to our Mutual Fund Distribution business:

BSE StAR MF delivered yet another quarter of record revenues and performance, up 30% year-on-year to reach Rs. 61.2 crores. The total number of transactions processed by BSE StAR MF grew by 30% to reach Rs. 18.3 crores trans

actions in Q1 FY'26 from Rs. 14.1 crores in the previous year. On an average, the platform processed 6.1 crore transactions per month in the current financial year as compared to Rs. 4.7 crores last year. The platform also processes a new high of 6.65 crore transactions in July 2025. BSE also remains committed to strengthening the SME and Social Stock Exchange platform by fostering an enabling ecosystem for entrepreneurship and social impact fundraising.

Moving on to our subsidiary businesses now:

BSE Index Services Private Limited has a product portfolio of 170 plus indices across broad thematic factors and strategic equity indices catering to 300 plus marquee clients domestically as well as globally. In the current financial year, the Company has launched seven new indices, including four factor indices. This is in addition to the 20 launched in the last financial year.

The BSE Group directly or via subsidiaries also has its presence in other related businesses including Indian Clearing Corporation Limited (ICCL), India INX, Hindustan Power Exchange, BSE E-Agricultural Markets, a spot platform for trading and commodities. BSE is committed to these new areas and is constantly working with partners for the growth of these businesses.

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BSE - PUBLIC In summary, the year has got off to a very good start. At BSE, our strategic focus will continue to be on customer-centric approach and maintaining highest standards of governance with a focus on simplicity and operational resilience. While the macro landscape continues to shape market sentiment, we are pleased to see encouraging signs of a revival in our IPO market matched by a very healthy pipeline. We are also excited about the increasingly broad portfolio of markets, products and opportunities that we now offer our clients and the positive progress we are making to deliver on our strategy.

While the road ahead will not be without challenges, we remain fully committed to prudently investing in our people, our technology and data centre operations etc., reinforcing our relevance and role at the heart of one of the world's fastest-growing economies.

With these updates, I now hand over the call back to Anand.

Anand Sethuraman:

Thank you so much, sir for these updates. We will now open the floor for Q&A.

Moderator:

Thank you very much. We will now begin the question and answer session. We have our first question from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain:

Hi, congratulations on a good set of numbers. Just one question, the clearing house expenses in this quarter seems to have declined, while if I look at the number of contracts that would have traded on the derivative side have not fallen as much. So, how should we read this and how should we kind of model this cost going ahead?

S. Ramamurthy:

Sorry, I am not sure whether I understood the question properly. Are you saying that...

Prayesh Jain:

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BSE - PUBLIC Let me repeat my question. So what I am saying is clearing and settlement costs, clearing house expenses have declined sequentially in this quarter? And when we look at the number of contracts traded, that has not declined as much. So, how should we think about with respect to the clearing house expenses?

S. Ramamurthy:

Got it. The answer is, first of all, thanks for attending the call and asking this question. If you recall, the transaction charges that we get is based on the premium. The clearing and settlement charges that we pay is based on the number of contracts traded. Multiple changes have happened in the recent past. The contract size has gone up. When the contract size goes up, the value traded goes up. And in times of volatility, which we saw in the last quarter, as you would appreciate, because of multiple reasons, including global issues with regard to people fighting with each other, countries fighting, trade tariffs etc.

So, because of the volatility, the premium traded when it goes up, that is one thing, where the revenue goes up. When the contracts continue to grow, but the contracts are of larger size, so larger volume processed with lesser cost and larger revenue because of increased premium, this results in clearing

and settlement cost as a percentage of revenue coming down.

Prayesh Jain:

Sir, my question was more on the absolute decline, because what we have seen is, in the fourth quarter of FY'25, we had about Rs. 84 crores of this cost. And this quarter, it is about Rs. 56 crores. And if I look at the number of contracts traded in both the quarters, it is not as much different as we have seen in the cost. So, that is the question actually.

S. Ramamurthy:

No, absolutely right. Sorry for interrupting you. You are absolutely right. That is because more volumes have shifted from expiry day to non-expiry days. So, when that happens, the quality of premium increases and improves. And due to volatility, the premium also goes up. Both of these two result in a better realization, whereas the number of contracts traded remaining the same, the cost comes down.

Prayesh Jain:

Okay, I will probably take this offline with Anand. Thank you so much sir.

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BSE - PUBLIC Moderator:

Thank you. We have next question from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal:

Yes, good evening, sir. And thank you for the opportunity. And firstly, many congratulations to the entire team on a very great set of numbers. So, my question would be, basically, if you could help us understand the regulatory thought process around further regulations, especially in the lights of sustained retail participation and losses. So, how does a regulator is looking at the entire thing? And we keep hearing this different measure in terms of inclusion taken away, although the regulator clarified. But there are other measures also in terms of increasing the contract size or increasing the STT. So, what as an exchange are you advising the regulators whether in terms of to let the current set of regulations play out and then implement more regulations? So, how are you approaching the entire thing? Yes, that is my question. Thank you.

S. Ramamurthy:

Thanks for your congratulatory message. And thanks for joining the call. And thanks for asking this question. As you would appreciate in India, regulatory process is a consultative co-created process. We are not big enough to advise the regulators. But certainly, when there is a consultation, we do participate and we give our views, which helps in shaping up the regulatory atmosphere. In respect of derivatives, regulations have been a very evolving thing in the recent past particularly. If you recall, starting from November till April, we have been implementing multiple changes, which were brought in place based on the co-created process, which I just mentioned. So, this has resulted certainly in a change in the paradigm, with some amount of cooling off. Whether that is adequate or not, is a question which we need to be continuously asking. And whether still the retailers are losing money and how to ensure that they are able to understand what they trade and trade what they understand. This will be a continuous process and evolving process. What would be the regulatory process? What all could come out as regulation is something which we will not be able to predict. Whether there will be room for more regulatory evolutions, that cannot be ruled out because this has been a consistent process. As you yourself observed, some of the points which were put in the media subsequently have been negated by the regulators as not their views. So, we need to wait at this point of time as to how this process evolves. And as and when consultative process starts, we will certainly contribute from our side the best way in

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BSE - PUBLIC which the de

derivatives market healthily develops as a good hedging and arbitrage mechanism, helping in the stabilization of the cash market and thus serve an economic purpose.

Devesh Agarwal:

So, sir, will it be right to say that at this point in time, there is no consultative process which has been ongoing to implement further regulations?

S. Ramamurthy:

You will be right to say that at this point of time, no consultative process has been started at all on this. If any changes have to be made and asked to be done, certainly a consultative process will happen and the regulators will co-create a meaningful regulatory framework, good for all of us.

Devesh Agarwal:

Right, sir. And sir, finally on the regulation itself, this Phase-2 or derivative 2.0 regulations which have gone live from 1st of July, what is your assessment in terms of a likely impact on the volume of that? That will be the last one. Thank you.

S. Ramamurthy:

What will be the impact on what?

Devesh Agarwal:

On the option volume, sir.

S. Ramamurthy:

So, that has already gone live and it is live for the past four months and the impact as you are seeing has not been any way devastating. In a way, to some extent, it has achieved the purpose for which it was brought in and more way to go as we discussed, regulations will be an evolutionary process.

Devesh Agarwal:

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BSE - PUBLIC I was talking about the regulations which have gone live from July in terms of future adjusted equivalent open positions as well as the gross limits and the net limits that were introduced.

S. Ramamurthy:

That is too early for us to comment, we have to wait for some more time to understand how it evolves.

Devesh Agarwal:

Sure, sir. Thank you.

Moderator:

Thank you. We have a next question from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra:

Yes, thanks for the opportunity and sir congratulations for a very strong set of results. So, my question is a follow-up on the options volume. If you can clarify, what will be the mix of options volume in terms of now the contribution from weekly and monthly contracts in the overall volumes and also if you can give some color in terms of what will be the volume from HFTs, retail, proper institution in terms of options contribution and how this has evolved maybe in the last four quarters?

S. Ramamurthy:

Sure. Thanks, first of all, Amit Chandra for joining this conversation and thanks for your congratulatory message. As far as the question on the participation, the HFTs contribute for around 35% and the retailers contribute a bit shy of 25% -26%. The remaining comes from the prop and other traders. You asked a question about what is the mix of long-term versus the current week expiry volumes. As you would appreciate, BSE is a very late entrant into the derivative journey. Building long-term contracts is an effort and it takes time. It was, first of all, very big effort for us to build the weekly volumes itself. What we must say is the weekly volumes have grown well and the next week and next week volumes are picking up. Other than current week volumes, currently hover between 2% to 2.5% on a regular basis and our feeling is that with the type of effort that we are putting, we will be able to grow the mix more towards the other than weekly options and our efforts are on in this direction.

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BSE - PUBLIC Anand Sethuraman:

Amit, also with regard to the participant-wise trading data, the trend that you requested, it is available on our website. We will be happy to share the link if you request.

Amit Chandra:

Okay, sir. Thank you for answering the questions.

Moderator:

Thank you. We have our next question from the line of Shalini Gupta from East India Securities. Please go ahead.

Shalini Gupta:

Good evening, sir. I am just a bit new to BSE, but sir, I was just wondering the substantial increase in turnover volume that we have seen, that

is driven by derivatives, I think, but specifically which data point in derivatives? If I look at it, contracts are down more than 20% but the average ADTV is up and turnover is up almost 30%. If you could just say which specific data point reveals why your turnover has gone, sales have gone up from turnover?

Anand Sethuraman:

Hi, Shalini. For the index derivative contracts, you may please look at the premium turnover to derive the revenue numbers. Our charges are flat with respect to derivatives, so you can take it from our website. As far as the costs are concerned, you may please look at the notional turnover for computing the regulatory costs and the contracts traded for computing the clearing and settlement costs. You may please reach out to us offline, and we will probably be in a better position to give more clarifications.

Thank you.

Shalini Gupta:

Thank you.

Moderator:

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BSE - PUBLIC Thank you. We have our next question from the line of Gurpreet Sahi from Goldman Sachs. Please go

ahead.

Gurpreet Sahi:

Thank you for taking my question. Congratulations from my side also, Mr. Ramamurthy and the BSE team on an excellent set of numbers. My one question is on the regulatory expense. So, Rs. 116 crores for this quarter, we were gaining clients and at the last call, Mr. Ramamurthy told us that it depends on many factors, new client additions, volatility, etc. But would we be fine with assuming that they level for the quarter? And if it goes higher, we can appropriately model higher. In other words, is this set of numbers a clean number for us to model the regulatory expense? Because as you can imagine, that moves around a lot and difficult to model. Thank you so much.

S. Ramamurthy:

Thanks for your congratulatory message. And as far as your question is concerned, the regulatory charges represent the turnover fee that we are paying to the regulators. It is a fairly simple number that is available from the public domain. And you will be able to compute it and model it very easily. For cash market, what is the methodology? And for the derivatives market, what is the methodology? All are available in public domain. So, if you are able to track the volumes that we trade on a daily basis, and if you have to model it, it will be as simple as it and as straight as an arrow. In case you require any help, please feel free to call our investor relations people. We will be able to show you how to go ahead with it.

Gurpreet Sahi:

Understood, sir. Thank you.

Moderator:

Thank you. We have our next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha:

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BSE - PUBLIC Thank you for the opportunity, sir. My questions probably are, we have seen a 50 -basis point improvement in our cash market share from June to July. So, if you can attribute whether that has happened largely because of common contract note, or it is a usual trend of market share. Just wanted to understand the color whether common contract note played any role for the market share gain. And the second thing, sir, is if you can give a bit color on the co -location tracks, how much we have, how much we are expected to add. And lastly, do you see any impact on premium realization due to Tuesday - Thursday swap?

S. Ramamurthy:

So, your question is on common contract note, co -location, and Thursday swap.

Sanketh Godha:

Tuesday -Thursday swap.

Sundaraman R.:

Yes. So, let me explain one by one. It is too early to say that common contract note has contributed for this. We have been making multiple efforts in garnering institutional support and also ensuring the retail participation gets a level playing field. Common contract note regulatorily provided a level playing field for institutions. But unless and until it is backed with proper SOR and best price execution, it is not going to translate into any meaningful avoidance and removal of the concent

ration risk seen in the market. So,

we are working on it. So, it is too early. But probably the volume increase could be because of various other areas of operation which we were doing in improving the mobile applications of the retailers to ensure level playing field and also in introducing SOR even before the common contract note came. And some amount of institutional participation increased from mutual fund side and insurance side because there is a good amount of price difference in respect of scripts. So, they all have a mandate of best price execution. That could have resulted in it, but it is very too early to predict that or to state, conclude that it is because of common contract note this has happened. On the co -location journey, if you would recall, we started with the situation with not any meaningful level of data center or colo racks with us. We built it over a period of time and currently we have allocated around 350 racks, some of them 15 kVA, some of them 6 kVA, which has been fully taken up by the market. And some of the racks are in the process of being populated with servers and also the algorithms inside the servers. So, while this is happening, we are in the process of putting in place around 140 more racks in two tranches. One

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BSE - PUBLIC probably will happen very soon, probably within a month's time. And another before the end of this financial year, which we think should be able to cater to the current requirements of the market. As far as Thursday is concerned, I would like you to recall my previous conversation. If you would remember that we started with our expiry day on Friday because we did not have option. Every day in the week was with one expiry. So, we had no option but to start with Friday. And subsequently, even the Friday was wanted for another expiry and subsequently wisdom prevailed and we continued with our Friday. And

when the opportunity of only one weekly contract per exchange came, exchangers were given the option to choose whichever expiry they want. Since NSE chose Thursday, we chose Tuesday at that point of time. Subsequently, there was a huge amount of market noise in trying to shift the expiry to Monday or uniform expiry. It was confused and very noisy. And this made the regulators to jump in with a consultation paper which necessitated Tuesday or Thursday. Honestly, normally everybody would have expected that the status quo would have continued because the status quo was already Tuesday and Thursday. Since suddenly there was a renewed and interesting demand for Tuesday, in order to put a lid on this matter, we thought we will concede Tuesday. And also, we felt very strongly that Thursday is a very wonderful, great day. We did not opt for it because it was opted earlier by somebody else. So, now that there is an availability for it, we wanted to lap it up and we have taken Thursday. We do not feel that Thursday is a bad day. That is not the input that we have got from the market participants. So, we will go by whatever the market participants say. Since Thursday was found by the market participants to be a good day for us to take, we have gone with their verdict and we have taken it.

Sanketh Godha:

So, sir, you don't see an impact on the premium because of the Thursday movement, in your opinion?

S. Ramamurthy:

Whether there is going to be an impact or not, time will tell. Whether the market participants have predicted it and prevented me from taking it, I think I have explained. The answer is no. The market participants felt that Thursday is a better day. Beware, Thursday has been the expiry day traditionally for the most successful contract of this country. So, if I am getting it on a platter, why should I not take it?

Sanketh Godha:

Okay, got it, sir. Thank you for your answer.

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BSE - PUBLIC Moderator:

Thank you. We have our next question from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha:

Congratulations on a good set of numbers, sir. Just one thing, on the expenses line item, we see the admin expenses have come down pretty significantly in Q1. What is happening out there and what sort of run rate should we be building in here?

Deepak Goel:

Madhukar, this is Deepak. Thank you for your question. Expenses appear to have come down because there was a one-off expenditure in the previous quarter. So, the number which is reflecting in P&L, you can assume it should continue at the same level.

Madhukar Ladha:

Sir, but also in Q1 FY'25, the number was like Rs. 63 crores. Q4 FY'25, the number was 61 crores. So, that is where I am coming from.

Deepak Goel:

So, I think I have told you these are the numbers which are at a reasonably normalized level and you can assume it will continue at that.

Madhukar Ladha:

Understood. Okay. Thank you.

Moderator:

Thank you. We have a next question from the line of Neeraj Toshniwal from UBS. Please go ahead.

Neeraj Toshniwal:

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BSE - PUBLIC Congratulations on a great set, sir. Wanting to know more on co-location, how much is currently utilized? In terms of utilization, do we have allotted and what kind of revenue we can expect in this year from co-location services?

S. Ramamurthy:

See, the co-location, as I told you, we have allotted 350 racks already. We will not know how many of them are fully utilizing it from whatever our estimate is at least 75% to 80% of it is being used because we see some of the racks getting populated. But we will be coming out with some 140 racks further.

Neeraj Toshniwal:

In terms of revenue, sir, how much will we be paying customers in that?

S. Ramamurthy:

Honestly, I don't know what is the co-location rent revenue for us. Deepak, would you be knowing what is the revenue that we get out of co-location rent?

Deepak Goel:

We are not publishing it separately.

S. Ramamurthy:

But what is the number?

Deepak Goel:

We charge Rs. 12 lakh per annum.

S. Ramamurthy:

So, Rs. 12 lakh per annum for a 6 kVA rack and I think Rs. 25 lakhs is for a 15 kVA rack. Roughly around 10% of the total racks would be around 15 kVA racks. So, you can estimate revenue based on that. I think roughly it should be around Rs. 12 crores for quarter one. That is my rough estimate.

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BSE - PUBLIC Neeraj Toshniwal:

Okay, I will take it offline on this one.

S. Ramamurthy:

I think roughly it should be around Rs. 12 crores for quarter one. That is my rough estimate.

Neeraj Toshniwal:

Okay, got it, sir. Thank you.

Moderator:

Thank you. We have our next question from the line of Shalabh Agrawal from Oxbow Capital. Please go ahead.

Shalabh Agrawal:

Hi, sir. Thank you for taking my question. I have just one question. Sir, what can be the second order impact on your volumes and premium turnover because of this Jane Street regulatory issue? And does it impact our co-location business in the future because we were expected to have these HFTs? Thank you, sir.

S. Ramamurthy:

Honestly, I don't have an answer for this question as to what you call a second order impact because Jane Street order came at least some 10 -15 days before now, I guess. And whatever impact we are seeing, we are not seeing any specific impact arising out of Jane Street at least as what we could recognize. It is more of the market factors that are dealing with it. Co-location requirement would be based on what the demand and supply is and what the utility of the product. I think at this point of time, our estimate is we are better off with whatever number of Colo racks that we are manufacturing now. And I think that should take us for a good while. So that is what our estimated demand. This estimated demand is not after Jane Street. It is much before we have planned it at the beginning of the year. And I think our plan stands well. That is the way we are looking at it at this point of

time.

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BSE - PUBLIC Shalabh Agrawal:

Thank you, sir.

Moderator:

Thank you. We have our next question from the line of Amit Tapadia from IGE India family office. Please go ahead.

Amit Tapadia:

My questions have been answered. Thank you very much.

Moderator:

Thank you. We have our next question from the line of SK Debnath, an individual investor, please go ahead.

SK Debnath:

Thank you for giving me the opportunity. I would like to congratulate the management for wonderful performance. A small query just in the standalone part of it where the business has already gone up. But I find particularly when the expenses and all have gone up, the clearing and settlement expense compared to last previous quarter of having year-on-year basis, June 24 quarter was 1017 against which in this current quarter has been 707. This is something that has reduced quite a bit. What is the reason for it?

S. Ramamurthy:

Debnath, that is a very good question that you are asking. There are two things which are contributing to it in a big way. One is the contract size was very small in the year-on-year last quarter. So, in Q1 2024, which you are talking about, the contract size was smaller. And since we are paying the clearing and settlement charges based on the number of contracts traded, that contributed to a higher amount of charges for the same notional value traded. That was one part. And second, since we were at that point of time in the initial stages of inception, most of our volumes were concentrated on the expiry date. As you would appreciate on expiry day, the theta is a declining trend and a smaller number because of

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BSE - PUBLIC which the premium value traded will always be small for the same notional number. The income earned

is based on the premium traded. So, your income goes up whereas your settlement charges come down. That was the paradigm. Specifically, since you are talking about the clearing and settlement expenses as an absolute number, that reduction can be mainly attributed to the change in the contract size. The contract size was earlier very small. Now, the contract size has become bigger and therefore, it has become better.

SK Debnath:

Okay. That is quite clear. Otherwise, every expenses has gone up. These particular expenses had been lower. That is why I had asked for it. Anyway, thank you and it was a wonderful quarter performance despite the fact that equity has gone up. I mean, the number of shares has gone up. Still, the EPS has substantially higher than that of last year. Thank you.

S. Ramamurthy:

Thank you, sir.

Moderator:

Thank you. We have our next question from the line of Rattan Joneja from CoValue Technologies. Please go ahead.

Rattan Joneja:

Hi. Thanks for the opportunity and congratulations for a really great set of numbers. I wanted to ask what is the growth in numbers and FPIs and when do we see the equity cash segment come to a significant size? Those are my questions.

S. Ramamurthy:

Sure. Thank you, first of all, for your congratulatory message. We have been, as you know, working very hard for getting increased number of participants in the market. That has been our stated objective. Market share and profits and revenues were all second order for us. From a place where we did not have any member at all today, we are very happy to tell you that we are having 528 members who are participating with us. There are around 7.9 million UCCs registered. All of them may not trade, but at

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BSE - PUBLIC least we have 7.9 million UCCs. And from no FPI situation today, we are having 330 FPIs who are participating in the market with us. I hope I have answered the question. If I have not answered any part, please repeat.

Rattan Joneja:

What is the growth compared to the last quarter? How many members and FPIs have we added?

S. Ramamurthy:

If you are able to see, in Q1 FY'24, we had 200 members. Today, we are having around 528 members.

We had less than 1 million, around probably only 1 lakh investors we had, 1 lakh UCCs we had in Q1 FY'24. It has become 7.9 million, that is 79 lakhs in terms of registered people as of now. Probably in Q1 FY'24, we had less than 10-15 FPIs with us. Today, we are talking about 330 FPIs. There has been a significant growth in terms of member participation, market participation in this one year.

Moderator:

Thank you. Ladies and gentlemen, that would be the last question for today and I now hand over the conference to the management for closing comments. Over to you, sir.

Anand Sethuraman:

Thank you so much. Thank you everyone for joining the call today. If you have any questions, please reach out to us at bse.ir@bseindia.com. Thank you.

Moderator:

Thank you. On behalf of BSE Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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www.bseindia.com | Corporate Identity Number : L67120MH2005PLC155188

BSE - PUBLIC
November 17, 2025

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on November 11, 2025

Dear Madam/Sir,

With reference to our letter dated November 4, 2025, intimating about the results conference call with Analysts/Investors held on November 11, 2025, please find attached transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com

This is for your information & record.

Thanking you,

Yours faithfully,

For BSE Limited

Vishal Bhat
Company Secretary & Compliance Officer
ACS- 41136

Encl: a/a

BSE LIMITED
Q2 FY26 Earnings Conference Call

November 11, 2025
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:

Ladies and gentlemen, good day and welcome to the BSE Limited Q2 FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for

you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Sethuraman, Head of Investor Relations at BSE. Thank you and over to you, sir.

Anand Sethuraman:

Good evening, everyone and thank you, Dominic. Thank you all for participating in the Q2 FY'26 Earnings Call for BSE.

My name is Anand Sethuraman and I will be the host for the call. Today we are joined by the BSE's leadership team consisting of Mr. Sundararaman Ramamurthy – Managing Director and CEO, Mr. Deepak Goel – Chief Financial Officer, Mr. Sunil Ramrakhiani – Chief Business Officer, Mr. Viral Davda – Chief Information Officer, Mr. Ramesh Gurram – CISO, Smt. Radha Kirthivasan – Head of Listing and SME. We are also joined by MD and CEO of our subsidiary companies – Smt. Vais shali Babu – MD and CEO of ICCL and Mr. Ash utosh Singh – MD and CEO of BSE Index Services. Also present here today are members of our Business – Finance and the Investor Relations team.

The results for the quarter ended 30th September 2025 have been announced and the data pack consisting of financials and the investor presentation is available on the BSE website. We will begin today's call with remarks from the BSE's MD and CEO on the financial and business performance. During this time all participant lines will be on mute and there will be an opportunity for you to ask questions after these remarks.

Some of the statements made today may be forward looking in nature and are subject to risks and uncertainties. The Company does not undertake to update these forward -looking statements publicly. With these remarks I would now like to invite the BSE MD and CEO, Mr. Sundararaman Ramamurthy to share his views. Thank you and over to you sir.

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BSE - PUBLIC S. Ramamurthy:

Thank you, Anand. Good evening, everybody and a warm welcome to all our esteemed stakeholders for joining the call today to discuss Q2 FY2026 Earnings.

India's economic progress continues to gain momentum with our Q2 FY'26 reflecting resilient growth despite global headwinds. The finance ministry's latest review highlights robust demand across both rural and urban sectors even in the face of elevated US tariffs. This resilience is underpinned by structural reforms such as GST rationalization and strong domestic fundamentals. The Reserve Bank of India's decision to maintain the repo rate unchanged further reinforces macroeconomic stability supporting consumption and investment while keeping inflation well anchored.

Foreign institutional investors have been on a selling spree this year while Q1 FY'26 saw a brief respite with FII's turning net buyers. The trend reversed sharply in Q2 when the offloaded stocks worth Rs. 1.29 lakh crores. So far in this calendar year, FII's have sold nearly Rs. 2.5 lakh crores compared to Rs. 3 lakh crores in the entire previous year. However, domestic institutional investors have consistently demonstrated confidence acting as a strong counterbalance by being net buyers every month in 2025 and infusing over Rs. 6.3 lakh crores into the market thereby cushioning volatility and reinforcing stability. Amidst global uncertainties and FII selling pressure, one of the most encouraging trends has been the unwavering confidence of retail investors. SIP inflows through mutual funds reached an all-time high of Rs. 29,529 crores in October 2025, while equity mutual fund inflows for October 2025 stood at Rs. 24,691 crores. This sustained participation underscores the strength of India's capital mar

kets

and the trust investors place in our economy.

Despite the ongoing macroeconomic volatility and dynamic geopolitical landscape, our unwavering commitment to fostering innovation, dynamism and resilience has significantly bolstered the competitiveness and allure of our markets. During the first six months, we continued our efforts to review our listing policies to ensure they remain fit for purpose as our markets evolve, expand our product range and widen the scope of our offerings across the spectrum.

With this backdrop, I am happy to inform you that BSE has once again achieved a record quarterly revenue for the 10th consecutive quarter posting its highest -ever topline of Rs. 1,139 crores. This surpasses the previous record of Rs. 1,045 crores set last quarter, up 40% year-on-year, underscoring the strength of our strategy, our commitment to creating investment opportunities for stakeholders in

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BSE - PUBLIC India and globally, and our focus on delivering differentiated services that drive sustainable growth. The strong revenue growth was driven by transaction-related income, mainly from derivatives, listing-related income, which was supported by record fund raising activity in Q2, and co-location services, which continued to develop rapidly.

Building on our strong foundation, BSE continued to capture momentum, resulting in record results for the quarter and for the first six months of FY2025 -2026. At the end of Q2, we maintained our position

as one of the leading venues for equity listings with a solid pipeline spanning the technology and other exciting sectors, whilst averaged daily volumes across our cash market, derivatives market, and Mutual Fund Distribution platforms remained very robust. Meanwhile, steps taken by our subsidiary companies further enhanced the vibrancy of our offerings.

Let me now highlight a few of the many milestones in Q2 FY2026:

BSE's SME platform continues to grow steadily, reinforcing its role in empowering India's entrepreneurial landscape. After crossing the landmark of 600 SME listings in July 2025, the momentum has remained strong. As of October 2025, the platform hosts 657 listed companies which have collectively raised over Rs. 13,083 crores since launch. Notably, October 2025 was a record month with 27 companies listed, raising a total of Rs. 1,056 crores. This growth depicts the increasing confidence of the investors on the SMEs raising capital on this platform.

Beyond capital raising, the money raised through the capital market has got channelized into a productive environment in the Indian economy with the highest standards of infrastructure development, global servicing, and employment generation. SME entrepreneurs can use this facility to achieve next level of growth, helping achieve the dream of Viksit Bharat. BSE's index business continues to grow at a rapid pace, fuelled by strong client adoption and product innovation.

As of September 2025, passive products tracking our indices have accumulated Rs. 2.54 lakh crores in asset under management. We are actively expanding our customer base by catering to insurance companies, market-linked debenture issuers, and foreign clients, further strengthening our reach across domestic and global markets. The total number of investor accounts registered with BSE crossed 23 crores in Q2 FY2026, with 10 states registering more than 1 crore investors, a sign of deepening retail participation across regions.

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BSE - PUBLIC Empowering investors through education and awareness is of paramount importance to BSE. In the Q2 FY2026, BSE IPF undertook around 4,096 investor awareness programs to promote financial literacy and bring about awareness in the securities market for their financial well-being and protect the interests of investors. BSE India has joined hands with market regulator SEBI in its campaign against financial frauds to protect investors. Through hashtag #SEB

IvsScam, we aim to empower every investor

with the right knowledge and tools to make informed decisions, avoid digital traps, and invest securely.

Through our social media channels, BSE also continues to issue multiple investor advisories, emphasizing the importance of avoiding schemes that claim assured or guaranteed returns.

I will now share some of the key financial numbers on a consolidated basis for the quarter-ended September 30, 2025, as compared to the corresponding quarter previous year:

BSE's operational revenues have grown by 44% to Rs. 1,068 crores from Rs. 740 crores. Transaction charges, which include equity cash, equity derivatives, mutual fund and clearing house income has increased by 57% to Rs. 794 crores from Rs. 507 crores. Treasury income from clearing and settlement funds has decreased by 32% to Rs. 42 crores from Rs. 63 crores. Other operating income, which includes enhanced data dissemination fees, co-location, index services, etc. has increased by 82% to Rs. 93 crores from Rs. 51 crores. Income from investments stands at Rs. 65 crores similar to last year. Operating expenses increased by just 7% to Rs. 410 crores from Rs. 381 crores. It may be noted that 51% of the total operating expenses are attributable to regulatory fees and clearing and settlement expenses all of which is directly correlated to increasing transaction volumes. The operating EBITDA including contribution to core SGF has increased to Rs. 680 crores as compared to Rs. 388 crores with margins expanding to 64% from 52%. The net profit attributable to shareholders of the Company stands at Rs. 558 crores up from Rs. 346 crores a growth of 61%.

I would also like to highlight that the SGF contributions made this quarter is because of a BSE introduced policy to contribute 5% of transaction-related revenue to the core SGF on a monthly basis with a cap to ensure financial prudence while maintaining a adequate risk coverage. As SGF contributions are a result of market activity which may or may not align with the revenue, BSE has decided to make voluntary core SGF contributions in line with the revenue as long as overall SGF is not exceeding 150% of the minimum requirement.

As of October 2025, BSE's core SGF stood at Rs. 1,159 crores with an additional Rs. 10.6 crores contributed during the quarter which is due to the new policy. I would now like to share updates

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BSE - PUBLIC pertaining to business. For specific numbers pertaining to turnover, kindly refer to the BSE website and the investor presentation. As highlighted earlier, despite a challenging global economic and geopolitical environment, BSE has maintained its position as one of the world's leading capital-raising platforms.

With positive sentiment returning to the IPO market, we have strengthened capital formation and showcased robust market fundamentals. This has laid a strong foundation for stability and growth while diversifying the investor base and enhancing overall market liquidity. BSE platforms continue to remain the preferred choice by Indian companies to raise capital by enabling issuers to raise Rs. 15.91 lakh

crores in FY'26 by means of equity, debt, bonds, commercial papers, mutual funds etc. In Q2 FY'26, BSE welcomed 97 new equity listings across both the main and SME boards, raising a total of Rs. 53,548 crores. The IPO market continued to remain exceptionally vibrant in October 2025 as well, with 45 companies collectively raising Rs. 41,856 crores and is expected to stay strong driven by robust economic growth and sustained investor confidence.

The notable growth in the IPO pipeline since the start of 2025 has demonstrated the continued vibrancy of India's IPO market, reinforcing BSE as a listing venue of choice for issuers seeking to raise funds in both main board and SME markets.

On the listing compliance front, we continue to focus on promoting high standards of governance and disclosure practices among

listed issuers while ensuring the competitiveness and resilience of our listing framework.

Moving on to our Trading segment:

It continues to maintain strong momentum and is supported by healthy volumes and increased client participation across key business lines. Cash market trading volumes remained at long-term normalized levels of Rs. 7,968 crores in Q2 FY'26 against Rs. 9,768 crores in the same period last year. We are pleased to share that the common contract note was successfully implemented in India effective 27th June 2025, addressing a long-standing request from BSE and marking a significant market reform. The initiative enables institutional investors to enjoy a seamless trading experience across venues. BSE has engaged stakeholders to adopt smart order routing for multi-venue trading, lowering costs and improving execution. Early signs are positive with so far, share of BSE volumes rising among both DIIs and FIIs.

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BSE - PUBLIC The BSE index derivative segment sustained its growth trajectory in the quarter with average daily premium turnover of over Rs. 15,000 crores. In the coming year, we will continue to move ahead with our efforts to increase market participation, product development and adoption of longer-dated contracts as well as investments in data centres and enhanced connectivity operations. In our last quarterly earnings call, I had highlighted co-location as a key strategic initiative for diversifying revenue streams. During the quarter under review, revenue from co-location rose to Rs. 46 crores compared to Rs. 27 crores in the previous quarter. This increase was primarily driven by the revision in throttled charges i.e. messages per second effective from July 1.

Moving on to our Mutual Fund Distribution business:

BSE StAR MF delivered yet another quarter of record revenues and performance up 18% year-on-year to reach Rs. 69.7 crores. The total number of transactions processed by BSE StAR MF grew by 24% to reach 20.1 crore transactions in Q2 FY'26 from 16.2 crores in the previous year. The platform also processed a new high of 7.13 crore transactions in October 2025. BSE also remained committed to strengthening the SME and Social Stock Exchange platform by fostering an enabling ecosystem for entrepreneurship and social impact fundraising.

Moving on to our subsidiary business now:

BSE Clearing House, India Clearing Corporation Limited, ICCL, delivered strong growth in the first half of FY2026 between April 2025 to September 2025, with monthly equity settled turnover tripling to Rs. 2.91 lakh crores and equity derivatives premium turnover nearly doubling to Rs. 4.31 lakh crores while number of equity derivatives contracts settled surged six-fold to 126 crores. This was enabled by major tech upgrades including re-engineering of our real-time risk management system and scaling trades per second per member per client from 3,000 to 27,000. BSE Index Services, a wholly-owned subsidiary of BSE, offers a comprehensive portfolio of 180-plus indices spanning broad-based thematic, factor and strategic equity categories serving over 300 marquee clients both domestically and globally.

As of September 2025, passive products tracking our indices have surpassed Rs. 2.5 lakh crores in AUM with 72 passive schemes benchmarked to our indices. Since the acquisition of 50% stake from SPDJI, the company has launched 32 new indices in just 16 months, significantly accelerating innovation. Additionally, the Company has obtained RBI approval for two debt indices, expanding our product suite beyond equities.

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BSE - PUBLIC The BSE Group directly or by our subsidiaries also has its presence in other related businesses including India INX, Hindustan Power Exchange, HPX, BSE E -Agricultural Markets, BEAM, Spot Platform for Trading in Commodities. BSE is committed to these new areas and is constantly working with partners for the growth of these

businesses. While the road ahead may not be without challenges, our resilience and commitment to innovation give us confidence in capturing significant opportunities and driving the next chapter of growth.

We are encouraged by the strong IPO pipeline, steady retail participation and growing adoption of our

trading and clearing services. These trends position us well for the year ahead. Our strategy remains customer-centric, focused on expanding markets and products while maintaining the highest standards of governance, operational simplicity and resilience.

Thank you for your continued trust and support. With these updates, I now hand over the call back to Anand.

Anand Sethuraman:

Thank you so much sir for all these updates. We can now open the floor for Q&A.

Moderator:

Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Mohit Mangal from Centrum.

Mohit Mangal:

Thanks for the opportunity and congratulations on a good set of numbers. Just one question, we have seen the market share increase in the option derivative segment. What also we have seen is that the competition reducing lot sizes and they've also introduced same-day expiries in the GIFT City? So, are we going to follow the suit?

S. Ramamurthy:

Thank you, Mohit, for your kind words and congratulating us and for this question. BSE has always been following the principle of looking at the voice of customers and then going ahead and implementing changes. The questions which you have raised about whether we will be making any changes to the

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BSE - PUBLIC product suit as far as Indian weekly derivatives are concerned, we will be consulting the market and based on whatever the market feedback is, then subject to the large size rules stipulated by SEBI, we will be doing from time to time whatever changes are required. As far as 0-DTE in GIFT City is concerned, for us, we are working towards creating deeper liquidity in the existing weekly Sensex futures contract at GIFT City. So, at the right point of time, with the right support from market participants, we will consider bringing in more features and more products.

Mohit Mangal:

All right. This is helpful. Thanks and wish you all the best

Moderator :

Thank you. Our next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra :

Thank you for the opportunity and congratulations on a very strong set of numbers. My first question is, obviously, on the market share gain that we have seen and oppose the change in expiry. So, what is driving this? Because we have seen market share gains in almost all days from expiry (E) to expiry minus 4 (E -4). So, any number that you can give us in terms of what is driving this and what exactly can be the number. And also, we have seen the rise in the premium to notional was there till September, post that the rise in the notional has been higher. So, that has impacted our margins as well. So, your views on that and where we are in the journey of increasing the institutional participation or changing the mix in terms of the index options where we wanted to see a rise in terms of the monthly volumes. Thank you.

S. Ramamurthy:

Thank you so much, Amitji, for this question. There are three questions packed into one question. So, in case I miss answering any one of them, you may have to remind me. If I recap the question, the first part is on the market share increase and related to that is the institutional participation in options. And the second question was with regard to what is the notional rise vs the premium, that question was there. So, let me answer all the three of them. As far as the market share part of it, as you would recall, BSE

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BSE - PUBLIC stand has always been in a lighter vein, we always say that our market share is 100% because our product is unique. Notwithstanding that, we have

never been tracking the market share part of it with

regard to the derivative. Our intention and our work continues to be in deepening and broadening of markets. We have been taking multiple steps in including more number of participants, more number of members, and more FPIs. Our journey there continues. Whatever were the goals that we placed in front of us for the timelines, we are in line with our expectations and we are progressing. We are planning to add more institutional participants there. As you rightly pointed out in your third question, efforts are on for us to bring in more institutional participants who can help in building even more the growth trend that we are seeing with regard to the other than current week options, monthly options, etc., and also increase the liquidity in respect of index futures. At this point of time, it's an ongoing effort for us and we are very confident while it is slow, it is steady, and therefore it is moving in a positive mode. With regard to the margins of premium versus notional, as you would appreciate, the receipt of premium by us, the revenue for us comes from the premium, whereas the regulatory charges are based on Notional

turnover. The premium that is received is a function of multiple things, including volatility. The volatility behaviour is based on both internal and external events. As you would appreciate, the internal events in the first quarter made the volatility to show higher tones, while the events of the second quarter made the volatility subdued, making the premium realization per contract different from what it was for the first quarter and thus compressing the margins. These events, being uncontrollable and unpredictable, no future trend in this regard could be predicted by us.

Amit Chandra :

Okay, sir. Thank you.

Moderator:

Thank you. Our next question comes from the line of Bhavya Sanghvi from Alchemy Capital. Please go ahead.

Bhavya Sanghvi :

Congratulations on a great performance. Sir, my question is on the change in voluntary contribution to the core SGF. So you said that 5% of the transaction revenue would be transferred to core SGF. One question was that, what is the target? Is it 150% of minimum requirement? Have I heard it right? Correct me if I am wrong. Thank you.

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BSE - PUBLIC S. Ramamurthy:

Sanghvi ji, thank you so much for your congratulatory message. Yes, indeed, you heard it right. Leave alone the percentage, I will just explain the principles so that the percentages will become more sensible. As you know, it is very difficult to predict the behaviour of core SGF requirement as the parameters involved in the computation of SGF is more complex and it is not a simple direct relationship with any single factor. This, in the past as we have seen, has been leading to a lot of sudden spurts in the requirement of core SGF and therefore having sudden impact on the quarterly earnings. In order to smoothen it and as a matter of financial prudence, what we thought was some minimum amount on a quarterly basis out of our revenue should be contributed to the SGF. So, that is where the 5% comes in. And when we start contributing, if over a period of time we have over-contributed and the trend in SGF's requirement has not kept in line with the simulated model what we have followed to predict a probable requirement, then we will be contributing SGF without any actual need. So, to put a cap, the 150% requirement has been put in place. If more than 150% of the requirement, if we have touched the 150% requirement, we wanted to halt this voluntary contribution till such time when the amount contributed by us is actually consumed by the requirement and further fresh requirements remaining. Basically, in simple English, it is to ensure that no single quarter suddenly has jerks in the earning because of new emergence of additional requirement of core SGF to be contributed by BSE.

Bhavya Sanghvi

:

Understood, sir. Sir, just one follow-up on this since you have disclosed some data on clearing corporation of BSE. So, just wanted to update where we have reached on the decoupling of the charges, Clearing charges? Thank you. That is all from me

S. Ramamurthy:

I am not sure whether I am understanding the question of decoupling of charges what you mean. If you mean that we should unbundle the charges, unbundling of charges at this point of time is under the regulatory ambit because the original charges that are being paid come under the regulatory ambit of the agreement between clearing corporation under the oversight of the regulators. So, unless and until that regulatory clarity emerges by way of the normally used co-creative consultative process, unilaterally, we will not be able to unbundle. So, once that happens, unbundling will happen.

Bhavya Sanghvi :

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BSE - PUBLIC Understood, sir. Thank you.

Moderator :

Thank you. Our next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead

Madhukar Ladha :

Congratulations on a great set of numbers. Just wanting to get a better understanding of the SGF contribution that we are going to do. So, this 5% of transaction charges, this is going to be BSE's contribution, right, sir? ICCL's contribution can be in addition to that. So, in our consolidated numbers, the actual sort of contribution to SGF can be larger than 5% of transaction charges. Is my understanding correct on this? Second, you mentioned 150% of, again, sort of the minimum requirement right now. So, I wanted to understand what is the current minimum requirement and how far are we from that 150% also to get a sense of, you know, where could we, I know that this is a moving goalpost. So, maybe a disclosure every quarter on this would also be helpful.

S. Ramamurthy:

Ladha ji, first of all, thanks for congratulating us and thanks for your participation and question. Yes, you

are right. What we are talking about 5% of transaction revenue is from the BSE side. Will ICCL be contributing on its own to the core SGF? Yes. ICCL's revenue is not transaction revenue. So, we should not take ICCL contribution, add it to BSE's contribution and put the denominator as transaction revenue and say the contribution is more than 5% of transaction revenue. ICCL, from its revenue, as should be required, will be contributing for the core SGF. You are understanding that BSE, on its own, from its 5% of transaction revenue, contributing the core SGF is an absolute correct number. 150% is not any regulatory stipulation. As I said, this is for us to halt and look how much more we should go ahead and when we should stop. If on a regular basis, every quarter we start contributing, this is based on a simulated model that we thought this is what is required. If the core SGF requirement is not growing in line with what we projected, because the computation of core SGF and dependence of it is on multiple parameters, which are not unilaterally correlated, so the expectation and actual may be different. If it is different and if we are building it, at what point of time we should halt and not further contribute till the utilization actually happens. That is the 150% number .

Madhukar Ladha :

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BSE - PUBLIC Yes, I understood that. But I wanted to just know that what is the gap that we need to bridge as of now? And I just have a follow-up question on this .

S. Ramamurthy:

Ladha ji, let me answer the first question. Otherwise, I will forget. There is no gap to bridge. We are contributing on our own. There is no shortage now. We are contributing. We will continue to contribute till we reach 150% .

Madhukar Ladha :

So I meant what is the gap to 150% as of now?

Anand Sethuraman :

Madhukar, we don't disclose these numbers publicly. Like I said, it is an internal calculation, which we do on a monthly basis. So, if X is, say, the minimum corpus, we see up t

o 150% of that X, and accordingly

we decide to contribute or not. These numbers are not publicly discussed on our website or on the website of our clearing corporation. So, this is purely from an internal perspective, which we will not be able to disclose it publicly.

Madhukar Ladha :

Understood. Thanks, Anand.

Anand Sethuraman :

Madhukar, we can take any other question offline. There are several other questions, people in the queue now. .

Madhukar Ladha :

Just one thing, if I may squeeze in. If you can clarify on what is ICCL's policy also on SGF, if there is a policy as such ?

S. Ramamurthy :

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BSE - PUBLIC See, we will discuss ICCL's policy separately in a call offline, because this call being BSE, since there are many other people waiting to ask for BSE -related questions, we should do it. And you have asked already four questions. Since it was only one question quota, we will take it offline and we will explain to you. Let us now give opportunity for the people who are waiting to ask on BSE performance, and then we will come to you. Is that okay? .

Madhukar Ladha :

Yes, sir. Thank you, sir. .

Moderator :

Thank you. Our next question is from the line of Abhishek Kumar Leekha from Neste Wealth LLP. Please go ahead

Abhishek Kumar Leekha

Thank you for the opportunity. And congratulations to the team for a great set of numbers. I would like to get an understanding on the BSE EbiX model, the kind of star platform that we have capitalized upon. The same we have not been able to capitalize upon the BSE EbiX Insurance Platform. I would like to have understanding on that. How we can capitalize or probably how we can take our stakes up, which can ensure that we have substantial skin in the game? .

S. Ramamurthy :

Leekha ji, thanks for asking, thanks for participation and thanks for your congratulatory message. Yes, indeed you are right. The StAR MF platform has seen a better success compared to the EbiX. EbiX has not taken off and I think if we look at the entire country, the mutual fund performance levels are very different as compared to the insurance scheme's performance levels. There are a host of factors. Some of them are controllable, some of them are not controllable, some of them are macro in nature. The

point that you made that there has to be an effort or there has to be a rethinking in respect of what would be the role for us as effectively as it could be, should be made. And we will be making such thought process because it is the right time given the success of mutual fund, that's not what we see as replicated in respect of Eb iX. Of course, the rules are different, the regulators are different, the needs

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BSE - PUBLIC are different. Nevertheless, we will be getting into a deep thought process to see what is that that can come out of Eb iX and what should be the future course of action for us .

Abhishek Kumar Leekha :

Yes, thank you. Because what I feel is like there is a great set of opportunity. It only needs a rethink and a reassess . And so we look forward to your steps in the future. Thank you so much .

S. Ramamurthy :

Thank you, sir.

Moderator :

Thank you. Our next question is from the line of Devesh Agarwal from IIFL Capital. Please go ahead .

Gurpreet Sahi:

Understood, sir. Thank you.

Devesh Agarwal :

Thank you for the opportunity, sir. And congratulations on a great set of numbers. My first question is a clarification question. Could you again highlight how much is the co-location revenues that you have booked in Q2? And in which line item have you booked this .

S. Ramamurthy :

See, all the racks that we have already generated, we have allocated. How much the members are using, what percentage utilization, we wouldn't know. It will be the question of what we create and what is taken. We are expecting another 70 to 90 racks to come within the close of this financial year and which also will be allocated by us. Once it is

done, we will have around 500 racks, which is a mix of both 6 KVA and 15 KVA racks. Since 15 KVA racks are 2.5 times the capacity of the 6 KVA racks, from a 6 KVA equivalent, roughly you can say it will be equivalent to some 650 to 700 racks. But the actual number of racks will be around 500 .

Devesh Agarwal :

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BSE - PUBLIC Right, sir. And sir, one last one, your share in the clearing and settlement has kind of increased. So, could you share what was the external revenues that we have booked from clearing and settlement? And is this SGF contribution that we have started from this quarter onwards, is in lieu of this increasing share in the clearing and settlement?

S. Ramamurthy :

So, let me take you a bit back. If you recall, when I joined BSE, the clearing capacity for BSE's clearing corporation was just 50 trades per second per broker. Technologically, the clearing corporation was sound enough to take multiple members, particularly big members. We have been consistently working on it. By the start of this financial by April, it was around 3,000 trades per second per broker was the capacity that we had reached. From there, we went ahead with the system upgradation. We took it up to around 27,000 trades per second per broker per client , which if you benchmark, is much ahead of what one of the largest trading members in this country could be generating as trades per second for one person. So, clearly this has led to some of the major brokers considering ICCL as their clearing corporation and that shift has taken us to the higher market share. The clearing charges income of ICCL is around Rs. 32 crores this quarter and on an ongoing basis, we have to wait and watch because all these implementations and all these new members are happening one behind the other. The full impact of it will be realized in the coming quarters .

Devesh Agarwal :

And the SGF part, sir, is it connected to this because with the higher clearing share, does the SGF requirement also goes up for us?

S. Ramamurthy:

No, as I told you, SGF competition is a sort of a complex model. It is just not based on just the volumes cleared and the volumes traded. It is a complex set of things based on stress test requirements as stipulated by SEBI. So, there is no specific increase in SGF because of which we have started contributing. I would like to reiterate as a sort of financial prudence in order to ensure that there is no sudden surprises at the end of any quarter. We are planning it properly so that on a regular basis, voluntarily, BSE computes some amount and puts it into SGF so that any sudden spike in SGF requirement arising out of multiple factors would not adversely and suddenly and surprisingly impact the profit numbers .

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BSE - PUBLIC Devesh Agarwal :

Right, sir. Thank you so much and all the very best .

Moderator:

Thank you. Our next question comes from the line of Antony Joseph, an individual investor. Please go ahead.

Antony Joseph :

Sir, thanks for an excellent set of numbers again. My question is related to the capital expenditure that you have actually incurred in the last six months of about slightly over Rs. 300 crores. Would you be able to kind of give a breakdown of that?

S. Ramamurthy :

Sir, I am not sure how these Rs. 300 crores numbers you are referring to. Any suggestion where you are getting it from, sir?

Antony Joseph :

It is from your cash flow statement. If you look into your cash flow statement, it is clear that there is about Rs. 305 crores. If I am not wrong, I am not in front of my system right now but I have seen this number .

S. Ramamurthy :

No problem. Let me look into it and reply. Just give me half a millisecond. I am having the cash flow in front of me. I am not able to see any specific Rs. 300 crore numbers, sir .

Antony Joseph :

The first line on your investing activities .

S. Ramamurthy :

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BSE - PUBLIC Okay, got it. You are talking about

capital work in progress .

Antony Joseph :

All put together, yes. The effective investments that you have made .

S. Ramamurthy:

Got it. What we mean by this capital work in progress is as you would recall, the growth in BSE in the last three years has been significantly larger. To cope up with it, there was a significant requirement of investment in multiple areas, in physical infrastructure, in trading infrastructure and technology infrastructure. All this infrastructure put together is what we are showing here. It has multiple facets of investments, including what we are spending on building, co -location, technology, servers, DR, etc .

Antony Joseph :

But the Rs. 300 crore number is just from the last six months, right? It is significant for a particular period.

S. Ramamurthy:

Absolutely right.

Antony Joseph :

It is the kind of expenditure that we have ever seen before. It is great. You are doing excellent in terms of your revenue, in terms of your profits. But considering this kind of number in terms of capital expenditure is significant for a six -month period, it would be great if you can give a breakup of what this is. If it is investment into a property, that is great. I am not questioning why you are doing it. I just want to understand where this is going?

S. Ramamurthy:

I totally appreciate your point. Rs. 313 crores is not a small number. It is a big number. It is a mix of multiple things, including the physical and technology infrastructure. What we can do is right now in front of me, I don't have the breakup. Offline, certainly we can take your call. You know the numbers to call or the mail to write. Please do write to us. We will give you all details because your point that Rs.

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BSE - PUBLIC 313 crores is not a small number is fully taken and we will be able to provide you a breakup of whatever we are doing.

Antony Joseph:

Thank you, sir. Great going.

S. Ramamurthy:

Thank you so much .

Moderator:

Thank you. Our next question comes from the line of Arpit Shah from Stanley Asset Managers. Please go ahead .

Arpit Shah :

I just wanted to understand the SGF contribution this quarter was about Rs. 11 crores. How should we think about this 5% number? When it will start? If I see your transaction revenue is about Rs. 794 crores

and 5% of that would be a significantly higher number. How should we think about the 5% number? How should we calculate that number?

S. Ramamurthy :

I am not sure whether you were there from the beginning of the call. If you are straight applying the 5% to the total revenue, this will not match with the Rs. 10 crore number because we started it from September only. That is why the number comes to 10%. The rationale of 5% and 150% since I have already explained, I am not reiterating. Your mathematics is correct. If you apply on the topline, say 5%, it is not resulting in Rs. 10 crores. Why? We started it only from September.

Arpit Shah :

Got it. So going ahead from every quarter till 150% is achieved?

S. Ramamurthy :

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BSE - PUBLIC Correct, sir. Absolutely, correct. Right understanding .

Arpit Shah :

Got it. Perfect. Thank you so much .

S. Ramamurthy :

Thank you .

Moderator:

Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Anand Sethuraman for closing comments. Over to you, sir.

Anand Sethuraman :

Thank you so much. I can see there are still a significant number of questions. I would request all of them to reach out to us at bse.ir@bseindia.com. Thank you all for participating today. Thank you.

Moderator :

Thank you. On behalf of BSE Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines .

Call: Feb 2026

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BSE - PUBLIC
February 13, 2026

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on February 9, 2026.

Dear Madam/Sir,

With reference to our letter dated February 2, 2026, intimating about the results conference call with Analysts/Investors held on February 9, 2026, please find attached transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com

This is for your information & record.

Thanking you,

Yours faithfully,

For BSE Limited

Vishal Bhat
Company Secretary & Compliance Officer
ACS- 41136

Encl: a/a

BSE The Power of Vibrance

BSE LIMITED
Q3 FY26 Earnings Conference Call

February 9, 2026
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

BSE The Power of Vibrance

BSE - PUBLIC Moderator:

Ladies and gentlemen, good day, and welcome to BSE Limited Q3 FY '26 Investor Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Anand Sethuraman from BSE Limited. Thank you, and over to you, sir.

Anand Sethuraman:

Good evening, everyone, and thank you so much, Danish. A warm welcome to all of you for participating in Q3 FY 2026 earnings call for BSE. My name is Anand, and I'll be the host for the call. Today we are joined by BSE's leadership team consisting of Mr. S undararaman Ramamurthy - Managing Director and CEO; Mr. Deepak Goel - Chief Financial Officer; S mt. Kamala K - Chief Regulatory Officer; Mr. Sunil Ramrakhiani - Chief Business Officer; Mr. Viral Davda - Chief Technology Officer; S mt. Radha Kirthivasan - Head of Listing and SME; Mr. Rudresh Kunde - Chief of Product Strategy and Policy; S mt. Vaishali Babu - MD and CEO of ICCL. Also present here are senior members of our business, finance, and investor relations team. The results for the quarter ended 31st December 2025 have been announced, and the data pack consisting of financials and investor presentation is available on the BSE website. We will begin today's call with remarks from BSE's MD and CEO on the business and financial performance. All participant lines will be muted for the duration of the call. There will be an opportunity for you to ask questions after the management remarks. Please note that some of the remarks made today may be forward -looking in nature and are subject to risks and uncertainties. The company does not undertake to update these forward -looking statements publicly. With this, I would now like to invite BSE MD and CEO to share his views. Thank you, and over to you, sir.

S. Ramamurthy:

Thank you, Anand. Good evening, everybody, and a warm welcome to all of our esteemed stakeholders for joining the call today to discuss Q3 FY 2026 earnings. Warm wishes for the New Year to all of you .

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BSE - PUBLIC Let me first talk a little bit about the macroeconomic environment. The global landscape has become more volatile with geopolitical tensions, trade and tariff uncertainties have weighed on global investor confidence. We have seen unprecedented movement of gold and silver prices and outflows from India by FPIs. However, the Indian economy continues to demonstrate strong and stable growth with the year starting on a good note. I take this opportunity to congratulate Honourable Prime Minister Narendra Modi ji for successful agreement of the trade deal with the United States. Together with the trade deals with EU and UK announced earlier, the move to progressively lower tariffs and non -tariff barriers has the potential to enhance market access, boost trade, and enable deeper strategic collaboration while further strengthening India's position as a trusted partner. This will enhance the global competitiveness of Indian products while catalyzing manufacturing growth, employment creation, and the development of resilient supply chains, directly advancing the vision of Viksit Bharat which bodes well for the Indian capital markets. I also congratulate Honourable Finance Minister Shrimati Nirmala Sitharaman ji for her ninth consecutive budget, articulating a clear shift towards ecosystem -driven industrial strategy and long -term capital formation. For capital markets, the budget offers a blend of structural reforms , liquidity -enhancing measures, and regulatory fine -tuning aimed at shaping deeper, more resilient financial architecture. By expa

anding foreign investor limits, strengthening the corporate bond framework, and maintaining fiscal discipline, the budget enhances liquidity and broadens participation. The STT adjustments also appear to be realigning investor focus towards long -term equity investments and healthier market liquidity. Additionally, the rationalization of the buyback tax removes distortion that previously encouraged tax arbitrage.

Moving to Indian capital markets, the defining feature of 2025 was the composition of capital flows, not their absolute size. When Foreign Portfolio Investors retreated during 2025's geopolitical turbulence, India's Domestic Institutional Investors, comprising of mutual funds, insurance companies, banks, and others deployed Rs.7 lakh crores during the calendar year, representing a 33% increase from Rs.5.25 lakh crores in 2024. This represented a fundamental change in market microstructure. The year demonstrated that domestic capital could manage foreign outflows without systemic disruption. Equally encouraging is the unwavering commitment of India's retail investors. SIP flows touched a record high of Rs. 3.34 lakh crores in 2025 from Rs. 2.68 lakh crores in 2024, reaching new all -time levels and reinforcing the deepening culture of disciplined long -term investing across the country. Against this backdrop, I am pleased to share that BSE delivered its 11th consecutive quarter of record revenue with consolidated revenues of Rs. 1,334 crores, surpassing the previous quarter's record of Rs.

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BSE - PUBLIC 1,139 crores and marking a robust 62% year -on-year expansion. Moreover, with cumulative revenues reaching Rs. 3,518 crores during the first nine months of the current financial year, BSE has already exceeded the total top line of Rs. 3,236 crores recorded for the entire previous fiscal, underscoring the strong and sustained growth momentum across its business segments.

I will now share some of the key financial numbers on a consolidated basis for the quarter ended December 31, 2025 as compared to the corresponding quarter previous year.

BSE's operational revenues have grown by 62% to Rs. 1,244 crores from Rs. 768 crores. Transaction charges, comprising revenues from the equity cash, equity derivatives, mutual fund, and clearing house segments have registered a substantial increase of 86%, rising to Rs. 953 crores from Rs. 511 crores, reflecting robust growth in core trading and settlement -related activities. Other operating income, which includes enhanced data dissemination fees, colocation, index services, have increased by 56% to Rs. 92 crores from Rs. 59 crores. Income from investments has increased by 47% to Rs. 84 crores from Rs. 57 crores. Operating expenses increased by 40% to Rs. 511 crores from Rs. 364 crores. It may be noted that 51% of the total operating expenses are attributable to regulatory fees and clearing and settlement expenses, all of which is directly correlated to increasing transaction volumes. The operating EBITDA including contribution to core SGF has more than tripled to Rs. 732 crores as compared to Rs. 236 crores with margins expanding to 59% from 39%. The net profit attributable to the shareholders of the company has demonstrated a significant acceleration, more than doubling to Rs. 602 crores from Rs. 220 crores, representing a robust year -on-year growth of 176%.

This marked improvement across both top line and bottom -line performance underscores the company's enhanced operational resilience, disciplined execution, and sustained financial momentum. The continuation of this trajectory further reflects the breadth and depth of participant engagement across our platforms, the effectiveness of our strategically aligned initiatives, and the progressively increasing confidence that India's capital market ecosystem continues to repose in BSE.

As highlighted in our previous earnings calls, the SGF contribution

s recorded during the quarter reflect

the implementation of BSE's revised policy whereby 5% of transaction -linked revenue is allocated to the Core Settlement Guarantee Fund on a monthly basis. The policy framework incorporates an upper limit mechanism to ensure prudent capital management while simultaneously maintaining robust and adequate risk coverage. As of Jan 2026, BSE's core SGF balance stood at Rs. 1,202 crores, inclusive of an incremental contribution of Rs. 45.6 crores made during the quarter arising from the application of BSE The Power of Vibrance

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BSE - PUBLIC this new policy. Furthermore, employee expenses for the period increased by Rs. 22 crores primarily attributable to the enactment of Government of India's new Labor Codes notified on November 21, 2025, which introduced a standardized wage definition and revised regulatory provisions relating to gratuity, leave encashment, and other employee benefit obligations.

Let me now highlight a few of the many business milestones in Q3 FY 2026.

BSE's SME platform achieved a significant milestone with the successful listing of its 700th SME company on February 1, 2026. The pace of listings has accelerated meaningfully with the most recent tranche of 100 companies added within a span of just 179 days, marking the shortest interval recorded to date. Collectively, these 700 SMEs have mobilized Rs. 14,735 crores in capital and together represent a cumulative market capitalization of approximately Rs. 1.8 lakh crores, reflecting the platform's growing depth, scale, and relevance within India's evolving capital markets ecosystem. The total number of investor accounts registered on BSE has surpassed 24 crores, with 10 states individually contributing more than 1 crore registered investors, reflecting a broad -based deepening of retail market participation across regional demographics

On the investor education front, BSE conducted 4,841 investor awareness programs during Q3 FY '26, aimed at enhancing financial literacy, strengthening informed decision -making, and furthering the protection of investor interests within the capital market ecosystem. BSE signed a Memorandum of Understanding (MoU) with the Department of Posts (DoP) to enable the distribution of mutual fund products via India Post's vast network of post offices.

Under the agreement, selected postal employees will be trained and certified to act as mutual fund distributors using the BSE StAR MF platform to facilitate transactions. This partnership aims to enhance financial inclusion, specifically targeting rural and semi -urban areas by leveraging the BSE StAR MF platform.

SEBI, along with BSE, launched the first -ever bond issuer outreach program, introducing the new identity, Bonds -- Ek Sashakt Bandhan. This initiative strengthens our collective push to deepen India's corporate bond market. At BSE, we remain committed to building a transparent, digital, and issuer -centric ecosystem that broadens participation, enhances trust, and positions corporate bonds as a key engine of long -term capital formation.

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BSE - PUBLIC BSE's fundraising platforms continue to remain the preferred choice by Indian companies to raise

capital by enabling issuers to raise Rs. 22.4 lakh crores in FY'26 by means of equity, debt, bonds, commercial papers, mutual funds, Q3 FY '26 proved to be an exceptionally strong quarter in terms of capital mobilization. A total of 39 companies raised a record of Rs. 95,272 crores, reflecting the depth and resilience of fundraising environment on BSE. The strong uptick in the IPO pipeline since early 2025 continues to reflect the vibrancy of India's primary market, reinforcing BSE's position as a preferred listing venue across both the main board and SME segments.

Moving on to our trading segment.

It continues to maintain strong growth momentum, supported by healthy volumes and increased client participation across key business lines.

Cash market trading volumes remained at long-term normalized levels at Rs. 7,645 crores in Q3 FY 2026 against Rs. 6,800 crores in the same period last year. On the regulatory front, SEBI directed exchanges to introduce a closing auction session to be implemented from 3rd August 2026, replacing the existing methodology of determining closing prices through the volume weighted average price of trades executed during the final 30 minutes of continuous trading. The shift is anchored in the objective of ensuring a fair, transparent, and representative closing price, particularly given its critical role in derivative settlement, index computation, and mutual fund net asset value calculations. In addition, SEBI has aligned the pre-open auction session with the CAS framework. The pre-open session will remain 15 minutes long, allow market and limit orders, follow a similar equilibrium price discovery mechanism with random closure, and improve transparency through dissemination of indicative prices and other imbalances. BSE is preparing to implement the changes to ensure a smooth transition for all market participants.

The BSE index derivatives segment continued to exhibit a strong and sustained growth trajectory during the quarter, with the average daily premium turnover reaching a new record of Rs. 19,459 crores, more than double recorded the corresponding quarter of the previous year and representing a sequential increase of 30% Q-o-Q. Following the transition to a Thursday expiry cycle, we have observed a pronounced expansion in open interest, deeper market participation, and a broadening of the contract's liquidity profile. Sensex index options has consequently advanced to rank among the most actively traded contracts in 2025, with continued momentum observed in 2026 so far. In addition, BSE has revamped the Bankex index to make it broad-based and representative of the evolving banking landscape. Following this enhancement, we are witnessing a marked increase in market participation.

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BSE - PUBLIC and liquidity, further strengthening the index relevance as a benchmark for investors and market participants.

We remain focused on further enhancing market depth by expanding participation, evolving our product suite, particularly through the promotion of longer tenor contracts, and strengthening our technology infrastructure through systematic upgrades to data center capabilities and connectivity framework. Colocation continues to constitute a strategically significant component of our broader diversification agenda, serving as a critical enabler of enhanced market access, latency-sensitive trading infrastructure, and long-term revenue stability. During the quarter under review, colocation revenues stood at Rs. 48 crores, broadly in line with the previous quarter. The revised throttle charge framework introduced in July 2025 continues to support the steady performance with utilization trends remaining healthy.

Turning to our mutual fund distribution business, BSE StAR MF continues to serve as a strategically important pillar of our market infrastructure ecosystem, playing a critical role in facilitating retail participation at scale and strengthening the efficiency and transparency of mutual fund transactions nationwide. During the quarter, the platform delivered yet another period of record performance with revenues increasing 14% year-on-year to Rs. 72.5 crores. Transaction volumes also exhibited strong momentum, rising 21% to 21.7 crores transactions in Q3 FY '26. Notably, the platform achieved a new monthly peak of 7.97 crores transactions in Jan 2026, further reinforcing its position as a high-growth, systemically critical distribution channel within India's mutual fund landscape.

Moving to our subsidiary business now. BSE's clearing house, Indian Clearing Corporation Limited, ICCL, continues to

grow in Q3 FY '26, with equity settled turnover at Rs. 8.14 lakh crores and equity derivatives premium turnover at Rs. 12.57 lakh crores, while number of equity derivatives contract settled stood at 364 crores. This was enabled by major tech upgrades including re-engineering of our real-time risk management system and scaling trades per second per member from 3,000 to 27,000. BSE Index Services, a wholly owned subsidiary of BSE, offers a comprehensive portfolio of 200 plus indices spanning broad-based, thematic, factor, and strategic equity categories, serving over 350 marquee clients both domestically and globally. As of December 2025, passive products tracking our indices has surpassed Rs. 2.7 lakh crores in AUM with 85 passive schemes benchmarked to our indices. Since the acquisition of 50% stake from SPDJI, the company has launched 50 new indices, significantly

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BSE - PUBLIC accelerating innovation. Additionally, the company has obtained RBI approval for two debt indices, expanding our product suite beyond equities.

Overall, this quarter, we recorded our strongest performance to date across multiple dimensions, including top line and bottom-line expansion, new listings, transaction-linked revenue, clearinghouse activity, market data services, and index-related revenue, underscoring the scalability, resilience. These outcomes reaffirm the effectiveness of our strategic initiatives and the deepening trust placed in BSE by participants across the financial ecosystem. As we move forward, BSE remains firmly committed to strengthening India's capital market architecture with integrity, innovation, and resilience at its core. Supported by a healthy IPO pipeline, sustained retail participation, and the expanding adoption of our trading, clearing, and settlement platforms, we are well-positioned to enable the next phase of market development. Our strategic focus will continue to centre on broadening opportunities, simplifying market processes, and upholding the highest standards of governance and institutional discipline. Together, we will continue to build a more vibrant, inclusive, and future-ready market for all stakeholders.

Thank you for your continued trust and support. And sorry for the disturbances and noise which you might have encountered during my speech. With these updates, I now hand over the call back to Anand.

Anand Sethuraman:

Thank you so much, sir, for the remarks. We will now open the floor for Q&A. Over to you, Danish.

Moderator:

Our first question comes from the line of Sucrit D Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D Patil :

Good evening to the team. I have two questions. My first question to Mr. MD sir is, how do you see BSE balancing between expanding new product offerings, strengthening technology infrastructure, and protecting the profits? As investor participation and competition evolves, what will guide your decision-making process on which of these areas should get the strongest focus in the coming quarters? That's my first question, I'll ask my second question after this. Thank you.

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BSE - PUBLIC S. Ramamurthy:

Thank you first of all for asking this question. I'm not sure whether these objectives that you are talking about are conflicting. Actually, I feel they are complementary. As MII, we don't strive hard to protect the top line or bottom line. We try to provide services which will suit the market's requirement and fulfill the market's demand for products and better the economy in terms of capital creation. When we adhere to this process, naturally and necessarily infrastructure building becomes part and parcel of it, and profits become an automatic outcome, and therefore we don't have to go towards making profit as a specific goal. So our focus will continue as what it was. It will be deepening and broadening market, enhancing

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customer delight, and in the process help in the capital formations for the economy. All our product introductions will be keeping in mind these broad strategic objectives and this is what will be guiding. We are very confident and sure when we pursue these objectives, profit is a natural corollary that will be happening. Thank you.

Sucrit D Patil:

Thank you. My second question to Mr. CFO is, again along the similar lines. As BSE plans for the next few quarters or next few years, which financial signals or metrics will be most important in guiding decisions on cost control, cash flow management, and capital allocation for technological investments? How do you see these particular levers shaping BSE's ability to protect the margins and deliver sustainable value as the exchange business grows? Thank you.

Deepak Goel:

So, thank you for this question. Protecting margin and managing cost is a continuous process. So it doesn't get driven by any one particular objective. Ultimately, the overall objective what MD sir mentioned is what guides us in terms of maximizing capital formation, maximizing providing best infrastructure to the market, and we get guided by the development of the market. As it's mentioned, cost control, is a guiding regular process which we continue to manage.

Anand Sethuraman:

We request all participants to please limit their question to one per person and please follow the queue.

Sucrit D Patil:

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BSE - PUBLIC Thank you and best wishes.

Moderator :

Thank you so much. Our next question comes from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee:

Hi sir, thank you for the opportunity. I just wanted to understand in terms of the Core SGF contribution. So the limit that you have in mind, so how much runway for that is left if you could give some colour on that, that would be very helpful. Thank you.

S. Ramamurthy:

Thanks for this question. At this point of time, if you recall, we decided to contribute 5% till we reach a threshold of 150%. In this quarter, we have reached the threshold of 150%, limiting therefore the requirement to contribute the amount to lesser than 5%. That is where we stand.

Swarnabh Mukherjee :

Okay, sir. Very helpful. I'll come back in the queue. Thank you

Moderator:

Thank you. Our next question come from the line of Supratim Datta from Jefferies. Please go ahead.

Supratim Datta :

Hi, thanks for the opportunity. What we have seen in the last few months is commodities has emerged as a key segment of interest for both HFTs as well as retail traders. Just wanted to understand how are you seeing that category, and is that -- this a category of interest that you would like to build in the next coming years? Thank you.

S. Ramamurthy:

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BSE - PUBLIC Datta ji, thanks for this very valuable question that you have asked me. As you would recall, BSE commenced its journey in derivatives very late and very recently, somewhere around some 30 plus months back. We started it from scratch, and therefore we needed to consolidate ourselves, put ourselves in a growth path, and the policy of deepening and broadening of markets and customer delight were to be achieved. So, I think slowly and steadily we are reaching there. And we do recognize the fact that commodities are very important underlyings from a nation's perspective, and its overall economic development. So clearly, once we feel well -stabilized in what we have started to do and once we feel we are resilient, we will certainly be embarking on all the available opportunities including commodities, with the same seriousness with which we took derivatives for equities. Hope this answers your question.

Supratim Datta :

Just, you know, sir, when would you think that you have become resilient on the equity derivative side so that you can pursue these, you know, new opportu-

nities?

S. Ramamurthy:

Honestly, 30 plus months before when I started, I never thought I will reach this place in 30 months. So it's very difficult to put a timeline. It can be anything. So, the passage of for us in equity derivatives has been really swift. We hope the same way we progress further, so that we can take up other areas.

Supratim Datta :

Thank you, sir.

Moderator :

Our next question come from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra:

Yes, so thanks for the opportunity. So my question is on the strategic direction that you laid in terms of gaining market share in the cash segment, and also improving on the monthly contribution in the options side, and also the institutional participation. So where we are in that journey maybe you can update us, versus last quarter's commentary? And also, in terms of the market share that we see in terms of BSE The Power of Vibrance

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BSE - PUBLIC colocation and clearing corporation, we are at around 14% -15%, in Clearing Corp, we have gained to around 25% to 27%. So is it fair to assume that these market share will converge to our options market share eventually ?

S. Ramamurthy:

On the cash market segment and in the monthly options to start with. As far as cash market segment, clearly we felt, there need to be a level playing field in the market, which was absent. So with lot of regulatory advocacy, common contract notes were brought in place. What we are understanding from the market participants is that, while they absolutely realize the benefits of common contract notes, when they seek algo approval, so that the SOR can be implemented and best price execution could be implemented for the market participants. There are quite a few bottlenecks that they are encountering. We are very confident that wisdom will prevail and the market will be ready to embrace competitiveness with open mind so that the market participants get the benefit of best price execution and become exchange agnostic. I think it's a transformation and it's therefore a journey, all participants need to embrace what is good for the market without thinking what is good for themselves, and we are confident that it will happen. More and more participants are getting aligned with this, particularly mutual fund and

insurance companies have started seeing the benefits of embracing this path and getting the benefits of best price execution.

As far as long-term rather, other than, rather than always we used to measure it in terms of other than weekly expiry. Other than the current weekly expiry, our market share has started, market share means, the share of whatever we trade within that has started growing. And earlier we were nothing there in the next week and next to next week. Today we are very proud to say including the monthly, other than the current week, total volumes of around of our 5% comes from that.

I think this is a starting process and we will be going further ahead. Amitji, I'm not actually remembering your second question. Oh, I think you talked about colocation. Colocation we never started as a profit center. As we earlier also stated, deepening and broadening of markets was a necessity for us, and without colocation, it could not have happened. It is incidental that we put in place colocation as a requirement and it has become a profit center. At this point of time, we are planning to allocate 80 more racks which is in the offing soon, which way and how will depend upon multiple factors. With that we will be having around 500 racks in place. Currently, the colocation revenue is somewhere around Rs. 45 to Rs. 48 crores per quarter. We think it could get stabilized at that level if we are not planning to increase

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BSE - PUBLIC any charges, which at this point of time will not be done ad hoc; it will be only at appropriate time, appropriate levels.

As far as Clearing C

orporation is concerned, we have put in lot of efforts to improve the technological supremacy and efficiency of Clearing Corporation. Traveling from 3,000 trades per second per member in clearing corporation, that capability to 27,000, I think, which we are doing now, in itself was a great achievement. And there is still a long way to go, we will strive hard to provide the best of services, therefore, so that there is a level playing field in the market in the area of clearing as well.

Amit Chandra :

Thank you, sir. Thank you and all the best, sir .

S. Ramamurthy:

Thank you so much, Chandra ji .

Moderator:

Thank you. Our next question come from the line of Prayesh Jain from Motilal Oswal Financial Services.

Please go ahead .

Prayesh Jain :

Yes, hi sir. So my question is on stock options, how do we kind of scale up that segment? Is it linked to the cash volumes? And what are the efforts, and what are the plans for that particular segment? Because I think that's a decent part of the industry volumes in terms of premium turnover, and the premium to notional is also significantly better there. So what are the thoughts on that particular category over the medium term?

S. Ramamurthy:

It's a very good question that you are asking. BSE always looks for product diversification in its portfolio. Certainly, therefore, stock options would be one of the areas which we will be looking into. As you would be knowing, comparatively stock futures were more attractive products for the market compared to stock options, and stock options were therefore getting slightly lesser attention compared to stock

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BSE - PUBLIC futures . And as I said previously, we recently started our journey, just around 30 months before, and it was fortunate for us that we were able to grow to the level where we are. Now we have -- our primary focus has been at this point of time on our cash market volumes and bringing in level playing field there, and ensuring other than the current week options gaining traction. Slowly we are progressing there. At the appropriate time, like, what we talked about commodities, we will be putting in efforts for stock options as well to gain momentum at BSE, and use the existing infrastructure of market participants and technology, so that we can leverage on it, and provide a very good alternative competitive platform for the market participants.

Prayesh Jain:

Sir, just follow up on that, is there any linkage between cash volumes having a low market share on cash volumes and stock options? Would there be any linkage in that sense?

S. Ramamurthy:

It is very difficult to say that because the market microstructure is not that easy to predict. Whether the stock market volumes will increase, stock options volume or vice versa will happen or they will continue to exist. See today, if you look at it, the cash market is fungible across exchanges. The stock options, in a way, are fungible across exchanges. So I don't know whether there is any prerequisite of one to be present in the same exchange or the other. So it's very difficult to give an answer in that sense. The stock as a underlying is very active in Indian markets. That in itself therefore should be sufficient for picking up stock options. Probably it may not be venue sensitive. That is one view, but we have to wait and see,

how it unfolds.

Prayesh Jain :

Thank you so much, sir. All the best.

Moderator:

Thank you, our next question come from the line of Deepak Ajmera from IGE India. Please go ahead.

Deepak Ajmera:

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BSE - PUBLIC Thank you, thanks for the opportunity and congratulations on great set of return, and also congratulations considering or looking at January number where Sensex is higher than the NSE in terms of notional turnover Nifty. So my question is on the charges. To my knowledge, premium compared to the turnover, we are charging lower

than the NSE. So what is plan there to increase the same? Thank you.

S. Ramamurthy:

Ajmeraji, thank you for your congratulatory messages and thanks for kindly attending this call and asking this question. And thanks for noting the way in which Sensex is growing. At this point of time, the charges that we make are around Rs. 250 lower on a per crore basis. If you recall, we started our journey with no charges, then we went into Rs. 500 rupees, and then we slowly increased it to some mid -level, and then we ultimately landed up with the current charges that we are. Charges are not fixed and written in stone, certainly they have some scope for further increase. As I always say, depending on the market's capability to bear the cost, there are multiple costs that are evolving in the market. Profit cannot be a sole objective for an MII, it also has other responsibilities. Keeping that in mind, any increase in charges, will be considered at an appropriate time for appropriate reasons, and after considering, what the voice of customer would be in this regard .

Deepak Ajmera :

Thank you, all the best .

Moderator:

Our next question come from the line of Dikshant Boolchandani from DB Wealth. Please go ahead.

Dikshant Boolchandani :

Congratulations management on the good results. What is the sort of impact...

S. Ramamurthy:

I am really sorry Mr.Boolchandani. Your voice is very low.

Dikshant Boolchandani:

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BSE - PUBLIC Is it better?

S. Ramamurthy:

Yes, please go ahead .

Dikshant Boolchandani:

So management, what is it that we are thinking on the recent changes that the Government has made on the STT? What are the reflection in the markets that you have started to expect that what can happen now? What are your thoughts on it?

S. Ramamurthy:

Thank you, Mr. Boolchandani ji, for congratulating us and thanks for attending this call and asking this question. I think you are primarily referring to the STT increase. The other part of it is, of course, with regard to the buyback, the capital gains tax. I think that's a very wonderful change. Lot of people talk about the STT, so let me take the question to reflect to that area and answer you. It had two portions, one is increasing the STT for futures, and second is for options. As I have been telling the press also before, my experience from the past is that whenever STT charges are increased for options, it has not had any meaningful impact on the volumes, and volumes have continued as before. That is the experience that I have seen from my limited knowledge of what I have seen in the market. As far as futures are concerned, I think the thought process behind the move probably could be twofold. One is to encourage long -term equity investments among retailers instead of getting into the derivatives. And secondly, to encourage longer -term future contracts which may help mutual funds and other institutions which are permitted to trade derivatives. Both if materialized will be in the interest of the market. So I think, there will be some time to adjust and re -orient for the market. And once it happens, it will be in the interest of the market, as more retail people may move towards mutual fund and long -term equity investments, and mutual funds which are doing arbitrage funds and others, may think of a longer -term option instead of monthly option, so that the cost that would be debited to the funds will get lower.

Dikshant Boolchandani:

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BSE - PUBLIC Sir, just a follow-up here, a good chunk of our growth has happened because of the futures introduction by BSE. And if the charges go up more than double on STT, wouldn't that be a problem for our growth trajectory just from a basic perspective?

S. Ramamurthy:

It's a very valid question that you are asking. But the truth is slightly different. The growth of BSE's derivatives has been based on Sensex options vol

umes. At this point of time, in comparison to the

Sensex options, Sensex futures are still at a very nascent stages of growth. Because it is at a small level, I don't think it will have much impact because of any increase or decrease. If it had been a significant chunk, there is a probability for us, to rethink on what could be the strategy for futures. Since at this point of time, it looks like more a supporting volume for options that is happening in very nascent stages, we do not find any impact specifically coming on Sensex futures because of the change.

Dikshant Boolchandani:

So this is more of a neutral news for us, rather than a negative news for us or an impact on our direct business.

S. Ramamurthy:

Boolchandaniji, I think we should restrict it to one question. You had two questions, and if you are getting into three questions, I have replied you, I am sure you get what I am saying. You should get into the queue again. Yes?

Dikshant Boolchandani :

Thank you, sir.

Moderator:

Our next question comes from the line of Devesh Agarwal from IIFL Capital. Please go ahead

Devesh Agarwal

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BSE - PUBLIC Good evening, sir. Thank you for the opportunity and congratulations on a very strong performance. Most of the questions have been answered, just two clarifications. First, did you say that, you are nearly at 150% of your core SGF requirement and to that extent, the incremental contribution will not be there from the coming quarter, or it will come down? That is first. And secondly, the increase in the STT that has happened on the futures side, would that in any way directionally, can the volume shift from futures to either equity options or cash? Is that a possibility?

S. Ramamurthy:

As far as the SGF, if you look at it, most of the time, what we talk about SGF is more on a retrospective basis. On a prospective basis, it is not very amenable for prediction. That is why an adhoc number of 5% and 150 % were arrived at by us to prevent any shocks. In this quarter, with the type of parameters that we have seen, we found that there was no need for us to contribute the entire full 5% and we restricted somewhere around 3% plus, I guess, because we touched the top line of 150%. Will the same thing will continue, and therefore there will be no need for any contribution in the next quarter? No, it is not predicted that way. As we always maintained, the algorithm for computing the SGF requirement is a complex one, and therefore, depending upon what is the highest open interest and other things in the next quarter, there may be a need for contributing or there may be no need. The move is not to predict and prevent, the move is to normalize so that there are no sudden jerks.

As far as the STT is concerned, your question was, will that result in move towards options, will that lead to move towards underlying equity volumes. My impression is that the way the futures STT is structured, I think it is more to encourage people, particularly retailers, to think of participating in longer term equity, and for mutual funds and others to think about longer term futures instead of monthly futures. So that could be the result. Options at this point of time, for various reasons in the growth trajectory, because of that, while the growth may be slightly slower compared to what it was, I think it will still grow and may not show any severe impact because of the STT increase. All these are what we consider could be truth. The time will tell, what is the right thing, and maybe we have to wait and watch to see what type of reaction the market has, because the market cannot be just predicted with our own understanding. The market is complex, and so we will have to wait and watch my reply to your question.

Devesh Agarwal :

Thank you so much and all the very best.

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BSE - PUBLIC S. Ramamurthy:

Thank you.

Moderator:

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dies and gentlemen, due to the time constraint, that was the last question for today. I now hand the conference over to Mr. Anand Sethuraman for closing comments. Thank you, and over to you, sir.

Anand Sethuraman:

Thank you so much, Danish. Thank you, everyone, for joining the call today. If you have any further questions, please feel free to reach out to us at bse.ir@bseindia.com. Thank you so much.

Moderator:

Thank you Anand sir. Ladies and gentlemen on behalf of BSE Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: May 2026

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www.bseindia.com | Corporate Identity Number : L67120MH2005PLC155188

BSE - PUBLIC
May 13, 2026

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1
G Block, Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: BSE ISIN: INE118H01025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the Conference Call held on May 7, 2026

Dear Sir/ Madam,

With reference to our letter dated April 28, 2026, intimating you about the conference call with Analysts/Investors held on May 7, 2026, please find attached the transcript of the aforesaid conference call.

This intimation will also be available on the website of the Company: www.bseindia.com

This is for your information & record.

Thanking you,

Yours faithfully,

For BSE Limited

Vishal Bhat
Company Secretary and Compliance Officer
ACS - 41136

Encl: a/a

BSE LIMITED
Q4 FY26 & FY27 Earnings Conference Call

May 7, 2026
BSE LIMITED
25th Floor, P.J. Tower, Dalal Street, Fort, Mumbai 400 001

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BSE - PUBLIC Moderator:

Ladies and gentlemen, good day and welcome to the BSE Limited Q4 FY26 Investor Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing start and zero on your touchtone phone.
I now hand the conference over to Mr. Anand Sethuraman, Head of Investor Relations, BSE Limited.
Thank you and over to you, sir .

Anand Sethuraman:

Thank you so much, Rutuja. Good evening, everyone. Welcome to BSE's Q4 and FY 2026 earnings call. Joining us today is our leadership team, including our MD and CEO, Mr. Sundararaman Ramamurthy, Mr. Deepak Goel - CFO, Smt. Kamala K - Chief Regulatory Officer, Mr. Sunil Ramrakhiani - Chief Business Officer, Dr. Vivek Jain - Chief of Staff and HR Strategy, MD and CEO of our subsidiary companies of ICCL and BSE Index Services Pvt. Ltd., Smt. Vaishali Babu and Ashutosh Singh, respectively. We also have other members of our finance, business, investor relations and secretarial teams present here. Our latest results and investor presentation are now available on the BSE website. We will start with remarks from our MD and CEO on our performance, followed by a Q&A session. There will be an opportunity for you to ask questions after the management remarks. Please note that some of the statements made in today's call may be forward-looking in nature and are subject to risks and uncertainties. The company does not undertake to update these forward-looking statements publicly. With this, I would now invite the BSE, MD and CEO to share his views. Thank you and over to you, sir.
S. Ramamurthy:

Thank you, Anand. Good evening, everyone, and thank you for joining us today. Let me begin by welcoming our shareholders, analysts, investors, members and all other stakeholders on this call. FY26 has been a landmark year for BSE in many ways. This year marked my third full year as MD and CEO of BSE, and it is particularly gratifying to share that FY2026 was a record year of achievements for the BSE, marked by important strategic milestones, new listings and trading records, along with the

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BSE - PUBLIC celebration of BSE's 150th anniversary. I am happy to state that in FY2026, BSE's total revenues crossed Rs. 5,000 crores for the first time ever in its 150-year history to reach Rs. 5,148 crores.

Our record financial performance reflected the continued resilience and strength of our business, reinforcing our competitiveness, relevance and leadership at the heart of the global financial community. We are confident that our focused strategy, together with a series of pivotal initiatives we accomplished or initiated during the year, will underpin our continued success and shape the future financial landscape of India and beyond.

Let me first talk a little bit about the macroeconomic environment. The global macroeconomic backdrop over the past year and especially in the last quarter has been challenging and complex. Markets across the world have had to contend with heightened geopolitical tensions, ongoing conflicts, uncertain interest rate trajectories, commodity price volatility and shifting global capital flows. Against this backdrop, India's performance stands out for its resilience and balance.

While India, like all major economies, is not immune to global uncertainty, it is noteworthy how the country has managed external developments with maturity and restraint. India's approach has been measured and pragmatic, focused on safeguarding macroeconomic stability, ensuring continuity of policy and maintaining confidence in the financial system.

Moving to Indian capital markets, one of the defining features of FY26 was that despite periods of global uncertainty and geopolitical turbulence in the year, foreign portfolios turned

episodic and selective.

However, this was more than offset by the strength of domestic institutional participation. Domestic institutional investors, including mutual funds, insurance companies, banks and other long-term pools of capital, deployed close to Rs. 8.5 lakh crores during FY26, representing a sharp step-up over previous years.

Equally encouraging has been the continued commitment of India's retail investors, whose SIP flows reached a record Rs. 3.5 lakh crores for the year. This reflects the deepening culture of disciplined long-term investment across the country and reinforces the growing role of households as stable providers of capital to Indian markets. This resilience was particularly visible in March. Against this backdrop, I am pleased to share that BSE delivered its 13th consecutive quarter of record revenues.

For the quarter ending March 2026, consolidated revenues stood at Rs. 1,630 crores, surpassing the previous quarter's record of Rs. 1,334 crores, a growth of 22%. On a full-year basis, FY26 revenues

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BSE - PUBLIC reached Rs. 5,148 crores, as compared to Rs. 3,236 crores in FY25, translating into a year-on-year growth of 59%. This makes FY26 the best financial year in BSE's 150-year history till now, underscoring the durability and breadth of our strategy.

I will now share some of the key financial numbers on a consolidated basis for the year ended March 31, 2026, as compared to the previous year.

Operational revenues have grown by 63% to Rs. 4,834 crores from Rs. 2,957 crores. Transaction charges comprising revenues from the equity cash, equity derivatives, mutual fund and clearing house

segments have registered a substantial increase of 87%, rising to Rs. 3,795 crores from Rs. 2,030 crores, reflecting robust growth in core trading and settlement-related activities. Other operating income, which includes enhanced data dissemination fees, co-location, index services, etc., has increased by 59 % to Rs. 349 crores from Rs. 220 crores. Operating expenses increased by 20% to Rs. 1,755 crores from Rs. 1,458 crores. It may be noted that 53% of the total operating expenses are attributable to regulatory fees and clearing and settlement expenses, all of which is directly correlated to increasing transaction volume s.

The operating EBITDA, including contribution to core SGF, has more than doubled to Rs. 3,079 crores as compared to Rs. 1,500 crores, with margins expanding to 64% from 51%. The net profit attributable to the shareholders of the company has demonstrated a significant acceleration to reach Rs. 2,497 crores from Rs. 1,326 crores, representing a robust year-on-year growth of 88%. The profit margins have expanded to 49% from 41%. And back of these financial results, it is my pleasure to inform you that the Board of Directors of BSE Ltd. has recommended a dividend of Rs. 10 per equity share, having face value of Rs. 2, for the financial year 2026, subject to the approval of shareholders in the ensuing Annual General Meeting. The total payout for the year would be Rs. 412 crores, which is an increase of 30% from last year on an overall basis, and 67% excluding the special dividend that was announced on account of 150 years of BSE last year.

The improvement across both the top line and bottom line highlights the company's strengthened operational resilience, disciplined execution, and sustained financial momentum. It also reflects the broad-based engagement across our platforms, the effectiveness of our strategic initiatives, and the steadily rising confidence that India's capital market ecosystem places in BSE.

Let me now highlight a few of the many business milestones in FY26. FY26 marked an exceptional year for main board fundraising and reflected strong issuer and investor confidence. The BSE IPO market was

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BSE - PUBLIC ranked first globally for IPO listings in FY2026, welcoming 255 new listings across main board and SME markets and raising a total of Rs. 1.8 lakh crores. This represents a continuation of the strong momentum seen in recent years, but FY26 stands out as the highest ever, both in terms of number of issues and funds mobilized.

As we enter FY27, the IPO pipeline remains robust, with more than 250 active applications to raise Rs. 1.75 lakh crores, reinforcing our position as a leading global fundraising venue. Overall, business fundraising platforms remain the preferred choice by Indian companies to raise capital by enabling issues to raise Rs. 26.9 lakh crores in FY26 by means of equity, debt, bonds, commercial papers, REITs, INVITs, and municipal bonds. The total number of investor accounts registered on BSE has now crossed 25 crores, reflecting the continued deepening of retail participation across the country.

Over the past year alone, BSE has added 3.53 crores new investor accounts, with 10 states each contributing more than 1 crore registered investors, underscoring the broad-based expansion of India's capital markets across regional demographics. On the investor education front, BSE conducted 16,663 investor awareness programs, covering over 8.5 lakh investors in FY26. These initiatives were aimed at enhancing financial literacy, strengthening informed decision-making, and furthering the protection of investor interests within the capital market ecosystem.

Moving to our trading segment, new records were set across our cash and derivatives market in FY26 on account of our product offerings, growing client and platform adoption. Our technology capabilities and expansion of co-location services are also delivering greater values to clients. While cash market volumes remained at long-term normalized levels throughout the year, FY26 marked a milestone with BSE recording its highest ever ADTV of Rs. 7,950 crores.

The BSE index derivatives segment continued to demonstrate strong momentum in FY26, with average daily premium turnover reaching a record of Rs. 19,523 crores compared to Rs. 8,978 crores in FY25, translating into a robust year-on-year growth of approximately 118%. This sustained expansion reflects deeper market participation and improving liquidity. Following the transition to a Thursday expiry cycle, we have seen broadening of the liquidity profile, including build-up in non-expiry day volumes and open interest. Our flagship Sensex index options ranks among the most actively traded contracts globally, with the momentum continuing into FY27.

On the new products front, BSE has received approvals for three new monthly index derivatives – BSE Focused IT, Focused MidCap, and Sensex Next 30. Based on market feedback, derivatives on the BSE

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BSE - PUBLIC Focused IT Index will be launched from 11 May 2026, further expanding and strengthening our monthly derivatives suite. The launch of derivatives on Focused IT Index will provide participants an additional hedging tool to manage their portfolio risk effectively.

We remain focused on further enhancing market depth by expanding participation, evolving our product suite, particularly through the promotion of longer tenure contracts, and strengthening our technology infrastructure through systematic upgrades to data center capabilities and connectivity framework.

Co-location remains a strategically important part of our diversification agenda, supporting low-latency market access and providing stable long-term revenues. For FY26, co-location revenues increased to Rs. 171 crores compared to Rs. 74 crores in FY25, reflecting strong growth, healthy utilization levels and the continued benefit of the revised Throttle Charges Framework introduced in July 2025. Turning to our mutual fund distribution business, BSE StAR MF continues to serve as a strategically important pillar of our market infrastructure ecosystem. In FY26, the platform delivered yet another period of record performance with re

venues increasing 24% year-on-year to Rs. 285 crores. Total transactions recorded on the platform grew to 84 crores, a 27% increase that highlights our strong performance. Notably, the platform achieved a new monthly peak of 8.2 crores transactions in March 2026, further reinforcing its position as a high-growth, systemically critical distribution channel within India's mutual fund landscape.

In a landmark achievement of financial inclusion, BSE became the first Indian exchange to sign a MOU with the Department of Post (DoP), Government of India. As mentioned in my previous earnings speech, we have successfully onboarded the DOP as a member on our BSE StAR MF platform in January 2026. I am happy to update that the StAR MF has become the first platform to go live for Dak Sevak s who have executed over 1,500 transactions till date. This partnership leverages the vast postal network to democratize investment across India.

Expanding our platform's reach, BSE Technologies launched StAR NPS on April 22, 2026. This platform aims to simplify and streamline retirement planning for millions of Indians by providing a unified architecture for the national pension system. Nationwide, we are evolving from India's premier mutual fund distributor into the country's definitive super gateway for long-term wealth. With StAR NPS, we now capture the entire financial lifecycle of the Indian investor, from their first SIP to their final pension.

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BSE - PUBLIC Our key subsidiaries, such as the Indian Clearing Corporation Limited, ICCL, and BSE Index Services, continue to scale through new client acquisition, product innovation, and enhanced technology adoption. While these businesses remain relatively smaller in size, they have grown at a significantly faster pace over the past three years, with ICCL's revenues having more than doubled, while BSE Index Services revenues have increased nearly fourfold. Overall, it was a year of significant momentum and transformation for BSE.

By expanding our product ecosystem, we successfully aligned our offerings with the evolving investor trends. We continue to explore and develop businesses that are adjacent and complementary to our core business, demonstrated notable achievements in market diversification and product innovation, and implemented initiatives that broaden market accessibility and support greater efficiencies in the training, clearing, and settlement processes of the Indian securities market.

These initiatives not only strengthened our visibility but also enhanced the competitiveness of our markets to ensure their long-term resilience and sustainability, enhancing shareholder returns, while pursuing sustainable long-term growth remains a key priority for BSE Group. We will continue to take a disciplined and proactive approach to capital allocation, investing in its core businesses, pursuing strategic growth opportunities, and consistently returning capital to shareholders.

While we expect volatility in the macro landscape to persist, we also see costs for optimism in capital markets as investors adjust to the ongoing uncertainty by seeking diversification and risk management opportunities. As critical financial market infrastructure, exchanges have an important role to play in ensuring that capital and opportunities continue to connect as efficiently as possible.

At BSE, we are confident that our efforts and investments in recent years will ensure our business remains competitive in this global landscape, and we will continue to leverage our unique advantages, meet the evolving demands of investors, and ensure our markets are accessible and competitive.

Thank you all for your continued trust and support. With these updates, I now hand over the call back to Anand.

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BSE - PUBLIC Anand Sethuraman:

Thank you so much, sir, for these updates. With this, we will open the floor for Q&A. I will request all our stakeholders

to please limit their questions to one per participant so that everyone may benefit from the Q&A session. Thank you. Over to you.

Moderator:

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Swarnabh Mukherjee from 360 One Capital. Please go ahead.

Swarnabh Mukherjee :

Hi, sir. Thank you for the opportunity and congrats on a great set of numbers. I just wanted to understand in terms of ICCL member additions, etc., how should we think about this? How are the trends playing out and in terms of our core SGF, how does this manifest into the core SGF contribution in terms of how the open interest positions are adding, if you could give some color? And one data keeping question on the other expenses side, if you could highlight this came out to be slightly higher this quarter? Some color on that would be helpful, sir. How should the trend be going forward? Thank you.

S. Ramamurthy:

First of all, thank you for your kind patience and attending this call, and thanks for all the good words. As far as ICCL, ICCL has been adding members, both big and small. As you would recall, in the earlier earnings call also I have stated that ICCL has significantly increased its technological capability to handle around 29,000 trades per second per broker, and a peak of 69,000 with some small latency of one second, which is a big number. And therefore, it has attracted some significantly large market participants and also smaller participants as well. So this journey continues.

The addition of members alone does not directly contribute to the growth or requirement of SGF. SGF is a function of a stress test conducted with the largest market participants and based on multiple factors it evolves. So simple addition of members does not directly correlate with the increase in the SGF requirements.

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BSE - PUBLIC At this point of time, the SGF maintenance by ICCL and BSE are at a very comfortable situation, and it has added strength even more to the balance sheet and situation of ICCL. Hope I have answered your questions.

Swarnabh Mukherjee :

Right, sir. Some forward-looking view on SGF could be very helpful, sir. If you see some of this continued, like a 20 crores kind of a contribution of whatever, some kind of contribution, color would be better.

S. Ramamurthy :

I wish that I am in a position to give you an answer on this. If you may recall, since we are not able to project what will be the future SGF, because it is based on a complex set of parameters, we had initially decided that as BSE, in order to prevent any sudden jerks in the P&L, we will voluntarily contribute a specified stipulated percentage of our profits into SGF every quarter, and we put a threshold of maximum up to which we will contribute.

That is, if you are reaching more than, say, 150% of the total required amount of SGF by this consistent contribution, we will review the percentage of contribution, which was at the point of time set as 5% of profits. At this point of time when we review, we have already touched the threshold of more than 150 crores. We have crossed it, and in that situation, we are reducing the contribution requirement per quarter from 5% to 3.5%. Other than that, a forward-looking number cannot be put. As I said, the SGF computation is based on a complex set of parameters.

Swarnabh Mukherjee :

Understood, sir. Very helpful. If you could comment on the other expenses part also, very helpful. Thank you.

S. Ramamurthy:

I would request everybody to retain only one question per person, because there are quite a few people on the queue. As we talked about other expenses, most of it is based on regulatory expense, that is, either to SEBI or clearing corporation. I hope you are talking about other expenses in our balance sheet or something else. I am requesting CFO to explain.

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BSE - PUBLIC Deepak Goel

Than

k you, Swarnabhji. As you are aware, and you talked about, our group's clearing company, ICCL, provides services to both BSE and NSE. There is an outstanding of Rs. 80 crore, which is an old outstanding from NSE. So, we have taken some ECL provision that is in line with our ECL policy and accounting standard requirement, which has led to this increase in the current quarter.

Moderator:

Thank you. The next question is from the line of Supratim Datta from Jefferies. Please go ahead.

Supratim Datta :

Thanks a lot for the opportunity. My question is on the pricing side. Your option contracts are still quite lower than competition, and recently we saw that in the competition increased the realization for contract as well. So, could you give us some colour around how are you thinking about pricing going into FY27, given you have a lever to increase pricing there, or if you could reduce the Investor Protection Fund contribution like your competition has also done? So, if you could give us some colour around here, that would be very helpful. Thank you.

S. Ramamurthy:

Thanks, Supratim Datta, for participating in the call and asking this question. Contributions to IPF and other statutory things are governed by SEBI rules, so there will be no intention to reduce any of them, and we will continue to be supporting all those noble causes stipulated by the regulators in the normal fashion as what we have been doing all along.

As far as the cost is concerned, as I have been clarifying in my previous calls, we always believe in charging appropriate amounts at appropriate points of time, considering multiple factors, including the volumes that we are making and the cost of trading and the affordability and what will be easy for the members, etc.

So, at this point of time, we have priced, based on our studies, whatever cost we should charge for the options. These are subject to revisions and review, and as and when we feel the appropriate time has come for either an upward or downward revision, we will consider doing it. It will be totally driven by our own estimate and not by any other external factors .

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BSE - PUBLIC Moderator :

Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra :

Thanks for the opportunity and congratulations on a very strong set of numbers. So, my first question is on the strong growth that we are seeing on the options side. Obviously, we have been gaining share there, but over the past few months, we have also experienced that the share of our monthly contracts have also been rising, and you have been talking about that

We have been trying to do that, but still the share in the monthly side is still only at 5% to 6%. So, how do we see this panning out, maybe in the next one or two quarters? And also, in the incremental volume that we are seeing in the options side, if you can quantify how much of that is coming from existing vendors and new vendors, that would be helpful.

And sir, also, secondly, on the cost side, we have seen a drop in the expenses in terms of clearing expenses. So, if I just take the expenses based on the number of contracts traded also, for a full year it is down by 12 points, around 12% -13% on a full year basis, despite the options revenue going up 113%. So, how do we see the clearing expenses panning out? Maybe if we are gaining share, maybe we can see further reduction in the clearing expenses. Thank you.

S. Ramamurthy:

Amitji, thanks a lot. I think you have packed three questions into one question, because there was a stipulation that you could ask only one question. Let me try and do justice to all the three questions you have packed.

First is on monthly contracts. As you rightly observed, Amitji, the percentage of monthly contracts for us is going up, but that is not the destination where we would like to be. We would like to further proceed. It is our strong

belief that the market has to be deeper and broader. One of the ways of achieving it or one of the parameters for us is the greater participation of monthly contracts. Since BSE's derivative segment is fairly new even now, with only three years that have gone, some of the market participants who are well -established in Indian markets are still yet to be present in BSE's market, and we are working with them to bring them in.

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BSE - PUBLIC They are in various stages of implementation. In the coming months and years, we feel that more and more such participants who have a long -term view on the market will be participating even in a bigger way with Sensex contracts, which will bring in the type of monthly volumes which we are looking forward. One of the recent contracts introduced Bankex, is showing some traction in respect of monthly contracts, proving the fact that monthly contracts do have their own advantages, and therefore, we are very confident that we will be able to bring those types of people here.

Honestly, I do not know how much volume is coming from new people and how much is coming from existing people, because we do not measure it as participant -wise to see, because that is not a fair way of looking at the markets. Our intention has always been, in terms of broadening and deepening, to bring more members.

As you would know, in the last one year, the member count has increased from 446 to 587. FPIs have increased from 100 to 520. Collocators have increased from 300 to 500. Monthly contract volumes have gone up by 5x. Index futures have gone up by 3x. Of course, they are all on a smaller base. That is what we are keeping track of and we are working for, and we will continue to work to deepen it in this fashion.

As far as clearing expenses are concerned, as you would know, the SEBI turnover fee is based on the notional trading, the clearing expense is based on the number of contracts, and we earn revenue based on premium. In times of volatility, when the premium is higher, naturally, because volatility being one of the factors for pricing an option and, therefore, the premium, you get more premium, but the contract is only one, so the clearing expense comes down and the premium and, therefore, the revenue goes up. Whether we can predict this trend, it is, of course, not predictable. Why? Global volatility is as

unpredictable as it is, and, therefore, what would be the premium revenue growth because of volatility cannot be predicted. Therefore, the correlation between the clearing and settlement expenses versus the premium cannot be predicted.

Hope I have explained all the questions that you have asked before, and also one more point what you should understand is the contract size has doubled over the last week. So, these are some of the points which I thought I should place before you. Thank you so much for your patient listening.

Moderator :

Thank you. The next question is from the line of Deepak Ajmera from IGE India. Please go ahead .

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BSE - PUBLIC Deepak Ajmera :

Hello. Thanks for the opportunity and congratulations on a good set of numbers and very commendable leadership. My question is on the, other than equity like electricity derivative and commodity derivative, how, like, because of the different day expiry, the fortune of BSE changed altogether. Similarly, any innovative thought there, that would be helpful. Thank you .

S. Ramamurthy :

Ajmera -ji, thanks for participating in the call and asking this question and thank you for your kind words. Indeed, BSE's stipulated strategy is to explore commodity derivatives as early as possible. As you would recall, BSE was not able to have any opening in equity derivatives with a very poor volume in equities for a very long time.

And just in the last three years, our entire attention span has been totally gobbled up by bringing in level playing field to whatever extent we can through regulat

ory requests and advocacies and bringing in a

new segment and build volumes. So, we were concentrating on that by and large. Now that we feel that we have made some headway, though there is a long way to go further, we will be starting to think on commodity derivatives.

Here we have a few thoughts. We do not want to have the sense of being left out and therefore me too type of a syndrome where we also start something because others are starting it. We want to create a value proposition for the market by thinking about some unique selling proposition, just not the expiry day alone as a differentiator.

Do we have anything immediately on our mind and on the cost to implement? No. But some thought processes are wrong, and our sincere wish is that very soon we should be able to come out with consolidated views, taking up with the regulators and taking the commodity agenda forward.

Thanks once again for your patient listening and the question.

Moderator:

Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain:

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BSE - PUBLIC Yes, congratulations on good set of numbers. The question is on the co -location part...

Moderator:

I am sorry to interrupt you, Mr. Jain. We are unable to hear you, sir. Your voice is breaking a lot. Your voice is not audible. May we request you to please rejoin the queue and with the proper network connection?

Sir, it is still breaking. We would request you to please rejoin the queue, sir. We move to the next participant, which is with the question, which is from the line of Yash Parekh, an individual investor.

Please go ahead.

Yash Parekh:

Yes, good evening, sir. And congratulations on the good set of numbers. Sir wanted your view of investor presentation. In the transaction charges income, there are two heads, one is special rate income, and another is a normal rate income. So, sir, wanted to understand the difference between the two. And if we see year on year that special rate income has somewhat reduced. So, wanted to understand that part.

S. Ramamurthy :

See, the first one, thanks first of all for asking this question. And thanks for your congratulatory message. Much appreciated. See, the special one is for exclusive stocks. And the first one is, the other one is for commonly traded stocks across bourses. We have been conducting, as you will recall, a lot of investor programs where we are telling people that in times of volatility, large cap equity stocks generally are a safer bet for new investors.

As you would appreciate, more and more new investors are coming into the market as markets are becoming more democratic with good amount of access and democratic access to the news as well. When new investors come, we feel that because of all the good investor protection measures and investor awareness creation that we along with the regulators are doing, they are more migrating towards the commonly traded large cap or slot of mid -cap stocks. Therefore, that income is going compared to the income on the other side.

This is how we understand it. As you know, stock trading is a question of market preference. Our insights will be limited to whatever extent of analysis we are able to see without getting into the privacy of a

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BSE - PUBLIC client. So, when we look at it from the economic parameters, this is what we are able to confirm. Thank you so much.

Moderator:

Thank you. The next question is from the line of Satyam Chaurasiya, an individual investor.

Satyam Chaurasiya:

Hi, sir. Good evening. First of all, congratulations for making a 12th consecutive quarter record in the top line and bottom line. My question is just about the MSE. How do you look at MSE as an emerging competitor? And please give me a number that what is your current market share in the cash segment?

S. Ramamurthy :

Thank you, sir, for participating and thanks for the congratulatory message.

Actually, just a small

correction. This is the 13th consecutive quarter where BSE has seen new heights. I joined in January and by the end of March, that's the first quarter that started. So, 13th consecutive quarter. As far as any specific exchange which you are naming as a competitor, our stand has always been we should be the competitor with ourselves. All the other participants are trying to help in the capital market expansion of the country. Given the size of the Indian markets and given the size of the investor population that is available, I feel that the number of exchanges can be whatever it is and they can cater to the society by creating niche products for themselves. That's how we look at the MS E part of it.

Market share in equities has been hovering around 7% to 8% compared to 5% to 6% when I joined. This is far away from what we wanted it to be. We wanted it to be at least double digit. As you may recall, with a lot of great efforts, we brought in common contract notes. We thought with that there will be and also the closing auction, what we thought was both institutional and retail participants will become exchange agnostic and trade where the prices are suitable for them. It's the same order could be split across multiple venues, and they could get the best price execution. But unfortunately, what we are understanding is the applications of SOR (Smart Order Routing) which people send to both the exchanges while we have cleared are still pending for more than six months at the other exchange because of which smart order routing has not taken off and because of which the clients are not able to be exchange agnostic and take the best prices available at BSE. This has probably impeded. That's what our inference is. This is probably impeding the growth in the market share and contribution of BSE to the generation of capital and economic development of India. Thank you.

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BSE - PUBLIC Satyam Chaurasiya:

Okay, sir. That was helpful. Thank you.

Moderator:

Thank you. The next question is from the line of Madhukar Ladha from JP Morgan. Please go ahead.

Madhukar Ladha:

Hi, sir. Congratulations on a great set of numbers. I wanted to get a sense of, you know, in terms of participants on BSE derivatives platform. Are there any brokers who are still yet to get impanelled on the derivatives platform, so on the institutional side? Also, in terms of large HFTs, NSE was always ahead of BSE. Is that gap closing on right now? What is the runway still available? How many more HFTs and how much some sense on what more additional volumes could come onto BSE, sir?

S. Ramamurthy :

Madhukarji, thanks for this question and thanks for the congratulatory message. As you would recall, our goal in derivatives is deepening and broadening of markets. At this point of time, we have around 587 brokers of India who are with us and who are trading SENSEX options .

In terms of brokers, if we see, while our stated goal for this year is we should go at least 600, 700. 600 appears to have been achieved by now already. So, at least 700 is what is the goal. Will this add greater runway, as you called, in terms of volume? I don't think so because these are all small members. Then, why are we wanting to increase more members? We feel it is not big or small that matters. It is deepening and broadening that matters. So, that is the situation with regard to the number of brokers.

With regard to HFTs, some of the HFTs are FPIs, as you would know. Our FPI count has grown from 100 to 520, which is commendable. But we have put for ourselves a target of around 800 FPIs. The reason why we are putting this number is there are quite a few HFTs or quite a few funds, I would say, I will not say HFTs, who typically look into long-term option products because that is their strategy.

Some of them are slowly walking in because, till very recently, the liquidity for us in monthly contracts were less

er. Today, with a lot of efforts, we are finding that it is meaningfully liquid. So, more and more people are coming in. So, we feel that the runway is more there in that place. In terms of the big unknown

BSE - PUBLIC HFTs, most of them are already there. It is these types of bigger funds who get into longer -term situation we are looking in for.

This would be what I would call as the areas where we are looking forward to growing . And if I were to put a forward -looking number, sorry, I will not be able to put any forward -looking number in terms of volumes or market share because that is not where we are strategizing and putting our targets.

Our targets for ourselves as KRAs and for our employees is on how many members are there, how many FPIs, how much of COLO utilization, how much of monthly contracts building up, what is the percentage of contribution of FPIs to the total volumes of ours, not to anybody else. We are already at around 5% to 6%. While in the market, generally, we find the participation is around 9%. So, that is a target for us to go to around 9% of FPI participation.

Hope I have clarified your doubts. Thank you.

Moderator:

Thank you. The next question is from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal:

Thank you, sir. And many congratulations on a strong performance. Sir, I wanted to understand ...

Moderator:

Mr. Agarwal, sorry to interrupt. We cannot hear you, sir.

Devesh Agarwal:

Sure. So, my question is, basically, if you see the premium to notional ratio for Sensex and when you compare to the other large index, there is a gap that is there. And it has been eight months that we have to Thursday. So, there is some expectation that this gap could get converged as the non -expiry volumes kind of go up. So, I wanted to understand, one, what can be done to converge this premium to notional ratios? And can that happen?

S. Ramamurthy :

BSE - PUBLIC Thanks once again, Deveshji, for participating in the call and congratulating us and asking a question.

Yes, indeed, you are right. The premium to notional ratio of Sensex vis -a-vis comparable indices in the market, the ratio at Sensex is lower. This is mainly because still the monthly contracts are yet to develop and grow in a big way at BSE. From a situation where that ratio used to be very, very small because most of the volumes were mainly only on the expiry day, the situation I am talking when we had Friday as expiry. Compared to that today, the concentration of volumes on the expiry day has significantly fallen down and it has gotten distributed. But still, if you talk about monthly volumes, maximum what we trade is the one -month volumes. We do not have openings in second month and third ahead. Can it be closed?

Yes, that is exactly what we are working in for. And as I stated in the previous replies to my various questions, we are working on such types of participants who are having strategies in trading longer -term contracts. What I would like to emphasize, which is of course very well known to you, is Sensex is just a three -year -old product, whereas the other comparable products are 26 -year -old in the market.

So, it is just that Sensex has been fortunate with the support of all the market participants and people like you, has grown so big in three years. Typically, product growth takes a lot of time. While the time has been crunched a lot for Sensex, still there will be some more time required for the longer -term contracts should develop and sustain. That is what we see.

Moderator:

Thank you. The next question is from the line of Rushabh Doshi from Nirmiti Investment Advisors. Please go ahead.

Rushabh Doshi:

Yes, thank you for the opportunity and congrats on a great set of numbers. My question is basically on returning wealth to shareholders in terms of dividend and buyback. So if you refer to slide 30 of your deck, initially t

ill 2023, the payout ratio has been close to 99%. And over the last two years, it has fallen.

Now, it is currently around 28%. So generally, our understanding is that this business does not require a lot of cash, apart from the capex, which you are doing.

Although I agree that it has been going up on a year -on-year basis, but it is still not close to the amount of free cash flow surplus which the company has. And also compared to other exchanges, let's say like IEX or NSE, the payout ratio is much lower. So, if you would just spell out what could be the reasons that

BSE - PUBLIC you are holding on to excess cash on the balance sheet? And it also, you might be just generating 4% - 4.5% post -tax returns on the excess cash? So that's my question.

S. Ramamurthy :

Thank you once again for the congratulatory message and a very good question that you have asked. A

100% dividend payout or a significantly large payout may indicate a situation where the company is not having any growth idea at all. If you look at BSE the points of what you're talking about as 97%, 98% payout, BSE never had any growth prospects in its mind. And while in terms of percentage, it looks so big, what was the amount paid also, we should see.

And when you looked at it, the entire amount generated was paid back because there was, apparently it did not have any growth targets in its mind. The things are different now. If you look at the share price growth, that is also one way of returning money to the shareholders. It is just not dividend and the buyback, which are ways of returning back. When I tried to buy back the shares, most of the investors were so supportive of BSE, they didn't want to even offer one share for buyback.

As far as the share price is concerned, which is also one way of improving the wealth of the shareholders, please note that the market capitalization of BSE was 5,000 crores when I joined. And today we are talking about a market capitalization of around 1.56 lakh crores. Therefore, to say, to holding on cash, which is not required and not returning it back to the shareholders may not be a correct and absolutely good statement.

So, what are we doing with the cash and why are we retaining it? First of all, let us see whether we are paying good dividend or bad dividend. We are talking about a dividend that what we paid last year was around Rs. 23 per share of that Rs. 5 for the 150th year. The remaining Rs. 18, if we look at it in current share scenario, because there was a 1: 2 bonus, which is again a way of returning capital to the investors to make it more liquid by giving more shares in the market.

Today, that will translate to Rs. 6 per share, as Rs. 6 per share as dividend. Today, as against Rs. 6 per share, we are giving a Rs. 10 dividend, which is around 66% more than what we paid last year. If you look at the total outgo, compared to around Rs. 230 crores plus in the last year, without considering the extra dividend of Rs. 5, we are paying around Rs. 414 crores or something this year, which is again a 67% increase.

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BSE - PUBLIC So, what is the purpose of the cash that is accumulated? How it is being utilized? In the last two years, we have built around Rs. 500 crores as gross block, which has gone for capacity increase. BSE is a rapidly growing company, which requires a lot of technology investment. The current year's technology budget already appears to be underpriced.

We put around Rs. 300 crores, but with the global situation today, for the memory increase, the price of the memory increasing, the price of hardware increasing, this is almost going to be doubling as an investment requirement for keeping the lights on and growing further to achieve all the ambitious targets that we have in place.

And secondly, as you will know, we have also invested in technology in a big way, not only with BSE, but also with all the sister companies to provide seamless

service. Also, a stronger balance sheet of an exchange is very essential to showcase to the world that the clearing corporation is strong enough.

Last but not the least, as you will know, we have been increasing our capacity in terms of COLO, which requires a lot of outlay. And also, there are already efforts on to see whether we should acquire a plot of land in the heart of Mumbai, whereby the ambitious dreams of expanding BSE further can materialize. So, the money is not earning 4.5% and lying idle. It is earning much more than that even in terms of treasury, which is very much available in the balance sheet and profit and loss for you to see. But also, it is being put on to productive use for further enhancing the shareholder value.

As the market truly reflects the growth in share price, all the things that we are talking about, and as I would repeat, a 5,000 crores market capitalization in three and a quarter year has become 1.56 lakh crores. The proof is in these numbers of the growth trajectory and the strategy being followed by BSE. Hope this clarifies. Thanks for your patient listening.

Moderator:

Thank you very much. Ladies and gentlemen, that was the last question for today. With that, I now hand the conference over to Mr. Anand Sethuraman for closing comments.

Anand Sethuraman:

Thank you, sir, for these remarks. Thank you all for joining us today. If you have any further questions, please feel free to reach out to us at Bse.IR@bseindia.com. Thank you.

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BSE - PUBLIC Moderator:

Thank you. Ladies and gentlemen, on behalf of BSE Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.